Application Proof of

诺令生物
Novlead Biotech

Nanjing Novlead Biotechnology Co., Ltd.
南京諾令生物科技股份有限公司

(the "**Company**")

(A joint stock company incorporated in the People's Republic of China with limited liability)

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[REDACTED]

Number of [REDACTED] under the [REDACTED]	**:**	**[REDACTED] H Shares (subject to the [REDACTED])**
Number of [REDACTED]	**:**	**[REDACTED] H Shares (subject to reallocation)**
Number of [REDACTED]	**:**	**[REDACTED] H Shares (subject to reallocation and the [REDACTED])**
Maximum [REDACTED]	**:**	**HK$[REDACTED] per [REDACTED], plus brokerage of 1.0%, SFC transaction levy of 0.0027%, Stock Exchange trading fee of 0.00565%, and AFRC transaction levy of 0.00015% (payable in full on [REDACTED] in Hong Kong dollars and subject to refund)**
Nominal Value	**:**	**RMB[REDACTED] per H Share**
[REDACTED]	**:**	**[REDACTED]**

Sole Sponsor, Sole Overall Coordinator, **[REDACTED]**

建银国际
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[REDACTED]

IMPORTANT

[REDACTED]

IMPORTANT

[**REDACTED**]

[**REDACTED**]

EXPECTED TIMETABLE

[REDACTED]

[**REDACTED**]

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CONTENTS

This summary aims to give you an overview of the information contained in this document. As this is a summary, it does not contain all the information that may be important to you. You should read the entire document before you decide to [**REDACTED**] *in the H Shares.*

There are risks associated with any [**REDACTED**]. *Some of the particular risks in* [**REDACTED**] *in the H Shares are set out in "Risk Factors" of this document. In particular, we are a biotechnology company seeking to* [**REDACTED**] *on the Main Board of the Stock Exchange under Chapter 18A of the Listing Rules as we do not meet the requirements under Rules 8.05(1), (2) or (3) of the Listing Rules. There are unique challenges, risks and uncertainties associated with* [**REDACTED**] *in companies like ours. Our Core Product is the product for the purpose of satisfying the eligibility requirements under Chapter 18A of the Rule and Chapter 2.3 of the Guide for New Listing Applicants. We may continue to incur substantial costs and expenses in relation to R&D activities for the Core Product and our Core Product may not be successfully marketed. Your* [**REDACTED**] *decision should be made in light of these considerations.*

OVERVIEW

Incorporated in 2018, we are a global leader in the gas-based cardiopulmonary therapeutic and diagnostic device market, with a focus on the development and commercialization of inhaled nitric oxide (iNO) therapy. Leveraging our gas-liquid precision control technology platform, we have established full-chain technical capabilities covering nitric oxide (NO) generation, delivery, monitoring, storage and clinical application. According to Frost & Sullivan, we are one of the few companies globally with fully proprietary control over the entire NO technology chain, and the only company globally offering a full-spectrum product portfolio covering both therapeutic and diagnostic applications of NO. As of the Latest Practicable Date, we had five approved products and four product candidates under development, spanning three major product lines addressing cardiopulmonary care across critical care, inpatient, outpatient and home-based disease management — (i) iNO therapy, (ii) cardiopulmonary circulatory support, and (iii) respiratory diagnostics. All our products are independently developed in-house, and we own the global rights of all of our products and product candidates exclusively. Our Core Product, iNOwill, was approved by the NMPA in 2022 and received EU CE certification in 2025, and is used primarily in acute and critical care settings for severe cardiopulmonary disease such as pulmonary hypertension. According to Frost & Sullivan, iNOwill is the world's first approved electrochemical catalysis-based iNO therapy device and China's first approved portable iNO device, and it ranked first in China's iNO therapy market in 2024 in terms of market share by sales revenue. According to the same source, our Key Product, NovaPulse intra-aortic balloon pump (IABP), is the first domestically developed and approved pneumatic IABP in China, and is used in cardiovascular and perioperative care in operating rooms, intensive care units (ICUs) and catheter laboratories where temporary mechanical circulatory support is required.

WE MAY NOT BE ABLE TO ULTIMATELY DEVELOP AND/OR MARKET OUR CORE PRODUCT AND OTHER PIPELINE CANDIDATES.

OUR TECHNOLOGY PLATFORM AND PRODUCT PIPELINE

Our gas-liquid precision control technology platform integrates NO generation, real-time gas sensing and monitoring, and software-enabled flowpath/fluidic control to support accurate and reliable handling of target molecules in both gas and liquid media across different clinical settings. Leveraging our technology platform, we have established a product pipeline spanning three main categories: (i) iNO therapy, (ii) cardiopulmonary circulatory support, and (iii) respiratory diagnostics.

The following chart summarizes the status of our products and product candidates as of the Latest Practicable Date.

Segment	Product[(1)]	Concept/ Application Scenario	Jurisdiction/ Registration Classification	Indications	Pre-Clinical	Pipeline Progress Clinical Trials	Registration & Commercialization	Time of Approval	Upcoming Milestone and Timeline
Inhaled NO	★ iNOwill	iNO (ICU & Inpatient)	CN/III	PH				2022.4	2027Q2 New features upgrade
				COPD				-	2026Q4 Registrational trial initiation
				ARDS				-	2026Q4 Registrational trial initiation
				CAP				-	2029 Registrational trial initiation
			EU/IIb	PH				2025.9	2026Q3 PMCF study initiation
				COPD/ARDS				-	2026Q4 Registrational trial initiation
			USA/N/A	PH				-	2026 Pre-submission
				COPD/ARDS				-	2028Q1 Registrational trial initiation
	eNOaire	iNO (Inpatient & Transfer)	CN/III	PH				2024.2	-
			EU/IIb	PH				-	2026Q1 Application preparation
	VQfit	Portable iNO (Outpatient & At-Home)	CN/III	COPD				-	2026Q2 Innovative Medical Device Application
Cardio-pulmonary Circulatory support	▲ NovaPulse IABP	IABP (ICU & Inpatient)	CN/III	IABP therapy				2025.9	2026Q4 New features upgrade
	NovaVent	Ventilator (ICU & Inpatient)	CN/III	Respiratory support+PH				-	2027Q1 Type test
Respiratory Diagnosis	Reslink	FeNO detection (Outpatient)	CN/II	Airway inflammation				2022.1	-
			EU/I	Airway inflammation				2022.8	-
	eNOglow	FeNO detection (ICU, Inpatient & Outpatient)	CN/II	High-precision airway inflammation assessment				2024.6	-
	PElink	FeNO detection & Spirometer (Outpatient & At-Home)	CN/II	Pulmonary function, airway diseases				-	2026Q2 Type test
	PSlink	Spirometer (At-Home)	CN/II	Pulmonary function, airway diseases				-	2026Q1 Development of prototype

★ Core Product ▲ Key Product

Among our product candidates, these class III devices completed the clinical evaluation through comparison of the same variety of medical devices, and the class II devices are exempted from clinical trial requirements in accordance with the Catalogue of Medical Device Exempted from Clinical Evaluation (《免於進行臨床评价醫療器械目錄》) promulgated by the NMPA, as amended. The class I devices are exempted from clinical trials requirements in accordance with EU MDR.

Abbreviations: FeNO=Fractional Exhaled Nitric Oxide. PH=Pulmonary Hypertension. COPD=Chronic Obstructive Pulmonary Disease. ARDS=Acute Respiratory Distress Syndrome. CAP=Community-Acquired Pneumonia.

Note:

(1) All of our products and product candidates are self-developed.

iNOwill — Our Core Product

iNOwill is a portable iNO therapy device that generates medically usable NO on demand at the point of care and integrates NO generation, delivery and real-time monitoring into a single system. iNOwill has been registered as a Class III medical device in China for PH since 2022 and certified as a Class IIb medical device under the EU MDR since 2025. From 2022 to 2023, we conducted two clinical trials for postoperative PH in pediatric and adult patient populations that support EU CE certification (collectively, the "**Clinical Trials**") in collaboration with collaborative hospitals, where we undertook sponsor equivalent obligations and were treated as the sponsor of the Clinical Trials by the UDEM for the purpose of EU CE certification. For details of the Clinical Trials and other key trials of iNOwill, see "Business — Our Product Pipeline."

Market opportunity and competitive landscape. The global iNO therapy market remains largely cylinder-based but is shifting toward instant-generation delivery. Globally, instant-generation iNO systems accounted for about US$0.10 billion in 2024 and are forecast to reach approximately US$0.55 billion by 2030 at a CAGR of 32.8%, far outpacing the low single-digit growth expected for cylinder-based workflows. Our iNOwill is the world's first approved electrochemical catalysis-based iNO therapy device and China's first approved portable iNO device. iNOwill ranked first in China's iNO therapy market in 2024 in terms of market share by sales revenue, positioning us among the leading companies in instant-generation iNO delivery.

Competitive advantages. Building on our electrochemical instant-generation NO technologies, the iNOwill series replace the traditional "gas factory + cylinder logistics" paradigm with a "device + reactant" model. Compared with cylinder-based systems and other instant-generation technologies such as plasma- or N_2O_4-decomposition-based systems, iNOwill is designed to provide precise dosing, high gas purity and a favorable safety and usability profile.

NovaPulse IABP — Our Key Product

NovaPulse is an in-house developed IABP designed for cardiovascular and perioperative care in operating rooms, ICUs and catheter laboratories where temporary mechanical circulatory support is required. NovaPulse has been registered as a Class III medical device with the NMPA since September 2025.

Market opportunity and competitive landscape. In China, the IABP market has expanded rapidly from a relatively low base, increasing from RMB313.1 million in 2020 to RMB641.4 million in 2024, a CAGR of 19.6%, and is expected to reach RMB1,370.9 million in 2030 and RMB2,083.5 million in 2035, with CAGRs of 13.5% from 2024 to 2030 and 8.7% from 2030 to 2035. The market has historically been dominated by imported systems that set the benchmark for technical specifications and clinical use. In 2025, two domestic manufacturers obtained NMPA registration, with our NovaPulse being the first domestically developed and approved pneumatic-pump IABP in China.

Competitive advantages. NovaPulse is designed to provide reliable, easily deployed counter-pulsation support in complex cardiovascular and perioperative settings, enhancing hemodynamic safety, monitoring precision and workflow efficiency across operating rooms, catheter laboratories and critical-care units.

OUR COMPETITIVE STRENGTHS

We believe the following strengths have contributed to our success and differentiated us from our competitors: (i) a global leader in the gas-based cardiopulmonary therapeutic and diagnostic device market centered on instant-generation iNO therapy; (ii) high entry barriers underpinned by proprietary technology platform and differentiated products; (iii) broad applications across the cardiopulmonary care continuum to drive sustainable growth; (iv) comprehensive execution capabilities across the end-to-end product lifecycle; and (v) experienced global leadership team empowered by strategic investors.

OUR GROWTH STRATEGIES

We plan to execute the following strategies to achieve our mission and drive our future growth: (i) building a comprehensive iNO-centric ecosystem covering multiple indications and care scenarios; (ii) advancing product innovation and broadening the cardiopulmonary diagnostic and therapeutic pipeline; (iii) expanding our global business footprint through targeted overseas commercialization; (iv) strengthening commercial execution to solidify regional leadership; and (v) enhancing our R&D infrastructure and manufacturing capabilities to support sustainable growth.

RESEARCH AND DEVELOPMENT

Our R&D team are led by our chief executive officer, Dr. Mao, and our chief technology officer, Mr. Zhang Yuyan. As of the Latest Practicable Date, our R&D team comprised 50 employees, representing approximately 31.7% of our total headcount. For the year ended December 31, 2024 and the nine months ended September 30, 2025, our R&D expenses were approximately RMB33.0 million and RMB20.7 million. Of these amounts, RMB12.3 million and RMB7.8 million were attributable to our Core Product, respectively, representing 37.4% and 37.4% of our total research and development costs in the corresponding periods.

MANUFACTURING

During the Track Record Period, our commercialized products mainly included iNOwill, eNOaire, NovaPulse IABP, Reslink and eNOglow. As of September 30, 2025, we had two principal manufacturing facilities, which were separately located in Yangzhou, Jiangsu Province and Fangchenggang, Guangxi Zhuang Autonomous Region with aggregate areas of approximately 2,200.0 s.qm. and 1,400.0 s.qm., respectively.

SALES AND MARKETING

We sell our products primarily to distributors under a buyer and seller relationship, who then sell the products to hospitals and medical institutions. Our sales and marketing team engages physicians through frequent visits, on site product demonstrations and free educational sessions. Save for one of our former distributors, who was our connected person during the Track Record Period, to the best of our knowledge, our distributors were Independent Third Parties and they did not have any past or present relationships (business, trust, family, financing or otherwise) with us or our subsidiaries, shareholders, directors or senior management, or any of their respective associates.

OUR CUSTOMERS AND SUPPLIERS

Our customers were primarily distributors in the Chinese mainland who purchase our products and sell them directly or indirectly to hospitals or medical institutions. For the year ended December 31, 2024 and the nine months ended September 30, 2025, the aggregate sales to our five largest customers represented 25.6% and 21.0% of our revenue, respectively, and sales to our largest customer represented 7.4% and 6.0% of our revenue, respectively.

During the Track Record Period, we procured raw materials and fixed assets to be used in the manufacture of our medical devices. For the year ended December 31, 2024 and the nine months ended September 30, 2025, the aggregate purchases from our five largest suppliers represented 30.4% and 46.8% of our total purchases, respectively, and our purchases from our largest supplier represented 9.2% and 14.1% of our total purchases, respectively. We generally have a credit term up to 30 days for certain suppliers.

In each year/period during the Track Record Period, all of our five largest customers and suppliers were Independent Third Parties, and none of our five largest suppliers was also our customer, vice versa.

INTELLECTUAL PROPERTY RIGHTS

We had 79 patents and 174 registered trademarks, as well as 75 patent applications and three pending trademark applications in the Chinese mainland and 13 jurisdictions overseas, such as Canada, United States, Indonesia, Israel, Brazil and South Korea. Our patents, patent applications, registered trademarks and pending trademark applications cover key technology areas including instant NO generation, electrochemical catalytic reduction, plasma discharge, gas sensing and gas- and fluid-path control. We believe there is no material legal impediment for us to obtain the approvals for these pending patents and trademarks. As of the Latest Practicable Date, all of our 154 patents and patent applications were self-developed. Among these patents and patent applications, 44 of them were related to our Core Product, and five patents and patent applications related to our Key Product. Besides the patents and patent applications we owned, as of the Latest Practicable Date, we also in-licensed a total of six patents and patent applications.

During the Track Record Period and up to the Latest Practicable Date, we were not subject to, nor were we a party to, any intellectual property rights infringement claims or litigations and were not aware of any material infringement of our intellectual property rights that had or could have a material adverse effect on our business. We had complied with all applicable intellectual property laws and regulations in all material respects during the Track Record Period and up to the Latest Practicable Date. Based on the freedom-to-operate analysis, there is no substantial risk of infringement of valid and enforceable issued patents of any third party in the Chinese mainland, Europe and the U.S. that may impact the development and commercialization of our Core Product in the Chinese mainland, Europe and the U.S. and there is no substantial risk of infringement of valid and enforceable issued patents of any third party in the Chinese mainland that may impact the development and commercialization of our Key Product in the Chinese mainland.

OUR SHAREHOLDING STRUCTURE

Our Single Largest Group of Shareholders

Our Single Largest Group of Shareholders comprises Dr. Mao, Jingning Noring, Mr. Cao Guiping and Lingxing Hainan. As of the Latest Practicable Date, each of Dr. Mao, Jingning Noring, Mr. Cao Guiping and Lingxing Hainan directly held approximately 7.14%, 21.41%, 5.35% and 0.71% of our issued Shares, respectively, totaling approximately 34.61% in aggregate. Pursuant to a concert party agreement dated October 10, 2021 entered into among Dr. Mao, Mr. Cao Guiping, Jingning Noring and Lingxing Hainan, each of parties therein agreed to act in concert with respect to their voting rights as shareholders in our Company, with Dr. Mao's opinion prevailing in case of disagreement. Immediately following the completion of the [**REDACTED**] (assuming that the [**REDACTED**] is not exercised), our Single Largest Group of Shareholders will control approximately [**REDACTED**]% of our issued Shares.

Pre-[REDACTED] Investments

We received five rounds of Pre-[**REDACTED**] Investments from our Pre-[**REDACTED**] Investors which include established funds and venture capitals. Suzhou Lirun and Northern Light Venture Capital are our sophisticated investors which made meaningful investment to us and will respectively hold approximately [**REDACTED**]% and [**REDACTED**]% of our total issued share capital upon the completion of the [**REDACTED**]. Pursuant to the PRC Company Law, Shares issued by our Company prior to the [**REDACTED**] (including those held by the Pre-[**REDACTED**] Investors) will be subject to a lock-up period of one year from the [**REDACTED**]. For further details of the Pre-[**REDACTED**] Investors and the principal terms of the Pre-[**REDACTED**] Investments, see "History, Development and Corporate Structure — Pre-[**REDACTED**] Investments."

SUMMARY OF KEY FINANCIAL INFORMATION

Summary of Consolidated Statements of Profit or Loss

The table below sets forth our consolidated statements of profit or loss for the periods indicated derived from the Accountants' Report included in Appendix I to this document:

	For the Year Ended December 31,		For the Nine Months Ended September 30,			
	2024		2024		2025	
	RMB	*% of Revenue*	*RMB*	*% of Revenue*	*RMB*	*% of Revenue*
			(unaudited)			
	(RMB in thousands, except for percentages)					
Revenue	45,547	100.0	35,394	100.0	31,565	100.0
Cost of sales	(18,535)	(40.7)	(13,878)	(39.2)	(15,818)	(50.1)
Gross profit	**27,012**	**59.3**	**21,516**	**60.8**	**15,747**	**49.9**
Selling expenses	(31,197)	(68.5)	(22,148)	(62.6)	(20,294)	(64.3)
Administrative expenses	(26,067)	(57.2)	(19,187)	(54.2)	(17,245)	(54.6)
Research and development expenses	(32,982)	(72.4)	(23,714)	(67.0)	(20,719)	(65.6)
Other income	7,748	17.0	5,551	15.7	4,318	13.7
Other gains and losses	(867)	(1.9)	(1,226)	(3.5)	124	0.4
Share of results of an associate	(93)	(0.2)	–	–	(119)	(0.4)
Impairment losses under expected credit loss model, net of reversal	(129)	(0.3)	30	0.1	–	–
Finance costs	(29,671)	(65.1)	(20,789)	(58.7)	(29,621)	(93.8)
Loss before tax	**(86,246)**	**(189.4)**	**(59,967)**	**(169.4)**	**(67,809)**	**(214.8)**
Income tax expenses	–	–	–	–	–	–
Loss for the year/period	**(86,246)**	**(189.4)**	**(59,967)**	**(169.4)**	**(67,809)**	**(214.8)**
Other comprehensive income						
Items that will not be reclassified to profit or loss:						
Exchange differences on translation from functional currency to presentation currency	13	0.0	(9)	(0.0)	(11)	(0.0)
Loss and total comprehensive expense for the year/period	**(86,233)**	**(189.3)**	**(59,976)**	**(169.5)**	**(67,820)**	**(214.9)**

For more details, see "Financial Information — Summary of Our Consolidated Statements of Profit or Loss."

During the Track Record Period, our revenue was mainly derived from the sales of medical devices and other products and services.

	For the Year Ended December 31,		For the Nine Months Ended September 30,			
	2024		2024		2025	
	RMB	*%*	*RMB*	*%*	*RMB*	*%*
Medical devices	41,062	90.2	31,379	88.7	30,659	97.1
Other products and services	4,485	9.8	4,015	11.3	906	2.9
Total	45,547	100.0	35,394	100.0	31,565	100.0
including: sales of Core Product	*27,140*	*59.6*	*20,769*	*58.7*	*17,336*	*54.9*

We present adjusted net loss as a supplemental non-IFRS measure to facilitate period-to-period performance comparisons, as detailed in "Financial Information — Non-IFRS Measure."

Summary of Consolidated Statements of Financial Position

The following table sets forth our consolidated statements of financial position as of the dates indicated.

	As of December 31,	As of September 30,
	2024	2025
		(unaudited)
	(RMB in thousands)	
Total non-current assets	103,641	124,805
Total current assets	119,432	109,892
Total assets	**223,073**	**234,697**
Total non-current liabilities	434,112	513,161
Total current liabilities	44,192	43,559
Total liabilities	**478,304**	**556,720**
Net liabilities	**(255,231)**	**(322,023)**
Net current assets	**75,240**	**66,333**

For more details, see "Financial Information — Discussion of Certain Selected Items from the Consolidated Statements of Financial Position."

During the Track Record Period, we had a net current assets position. The increase of net current asset from RMB66.3 million as of September 30, 2025 to RMB75.5 million as of January 31, 2026 was primarily due to (i) an increase in cash and cash equivalents from RMB30.0 million to RMB40.4 million and (ii) a decrease in bank borrowings from RMB27.0 million to RMB20.0 million, partially offset by an increase in trade and other payables, primarily due to payables due to professional parties in connection with the [**REDACTED**].

Summary of Consolidated Cash Flow Statements

The following table presents our consolidated cash flow data for the periods indicated.

	For the Year Ended December 31,	For the nine months ended September 30,	
	2024	2024	2025
		(unaudited)	
	(RMB in thousands)		
Net cash used in operating activities	(52,776)	(41,319)	(46,013)
Net cash used in investing activities	(9,329)	(83,454)	(46,590)
Net cash from financing activities	92,077	97,276	53,532
Net increase (decrease) in cash and cash equivalents	**29.972**	**(27,497)**	**(39,071)**
Cash and cash equivalents at the beginning of the year/period	39,115	39,115	69,100
Cash and cash equivalents at the end of the year/period	**69,100**	**11,609**	**30,018**

For more details, see "Financial Information — Liquidity and Capital Resources."

WORKING CAPITAL

The Directors are of the opinion that, taking into account of the following financial resources available to us, including our future operating cash flows and our cash and cash equivalents as of September 30, 2025, available equity and debt financing, and the estimated net [**REDACTED**] from the [**REDACTED**], we have sufficient working capital to cover at least 125% of our costs, including R&D expenses, selling and distribution expenses, administrative expenses, finance costs and other expenses for at least the next 12 months from the date of this document.

Our cash burn rate refers to the average monthly amount of net cash used in operating activities and capital expenditures. We had cash and cash equivalents of RMB30.0 million and time deposits of RMB140.6 million as of September 30, 2025. We estimate that we will receive net [**REDACTED**] of approximately RMB[**REDACTED**] after deducting the [**REDACTED**] fees and expenses payable by us in the [**REDACTED**], at the [**REDACTED**] of HK$[**REDACTED**] per [**REDACTED**]. Assuming an average cash burn rate going forward of [**REDACTED**] the level in nine months ended September 30, 2025, we estimate that our cash and cash equivalents and time deposits as of September 30, 2025, will be able to maintain our financial viability for [**REDACTED**] or, if we take into account the estimated net [**REDACTED**] from the [**REDACTED**], [**REDACTED**]. We will continue to monitor our cash flows from operations closely and expect to raise our next round of financing, if needed, with a minimum buffer of 12 months.

KEY FINANCIAL RATIO

For the year ended December 31, 2024 and the nine months ended September 30, 2025, our gross profit margin was 59.3% and 49.9%, respectively.

[**REDACTED**]

DIVIDEND

No dividend was paid or declared by us or any of our subsidiaries since our incorporation. After the Track Record Period and as of the date of this document, we did not declare any dividends to our Shareholders. As of the Latest Practicable Date, we did not have a formal dividend policy or a fixed dividend distribution ratio. PRC laws require that dividends be paid only out of our distributable profits. Pursuant to our Articles of Association, our Board may declare dividends in the future after taking into account our results of operations, financial conditions, cash requirements and availability, and other factors as it may deem relevant at such time. Our ability to distribute dividends in the future also depends on whether we can receive dividends from our subsidiaries. As advised by the PRC Legal Advisor, we may not pay dividends in view of our net loss position. For more details, see "Financial Information — Dividend."

FUTURE PLANS AND USE OF [REDACTED]

We estimate that the we will receive net [**REDACTED**] of approximately HK$[**REDACTED**] from the [**REDACTED**], after deducting [**REDACTED**], fees and other estimated expenses in connection with the [**REDACTED**] to be paid and payable by us, assuming that the [**REDACTED**] is not exercised and an [**REDACTED**] of HK$[**REDACTED**] per H Share, being the mid-point of the indicative [**REDACTED**] of HK$[**REDACTED**] to HK$[**REDACTED**] per H share.

We intend to use the net [**REDACTED**] from the [**REDACTED**] for the following purposes, subject to changes in light of our evolving business needs and changing market conditions:

- approximately HK$[**REDACTED**] (or approximately [**REDACTED**]% of the net [**REDACTED**]) will be used for the further development and registration of our Core Product iNOwill;
- approximately HK$[**REDACTED**] (or approximately [**REDACTED**]% of the net [**REDACTED**]) will be used for the development and registration of our other products and product candidates targeting different care settings;
- approximately HK$[**REDACTED**] (or approximately [**REDACTED**]% of the net [**REDACTED**]) will be used to strengthen our domestic and overseas commercialization capabilities;
- approximately HK$[**REDACTED**] (or approximately [**REDACTED**]% of the net [**REDACTED**]) will be used to upgrade our R&D infrastructure and product line automation;
- approximately HK$[**REDACTED**] (or approximately [**REDACTED**]% of the net [**REDACTED**]) will be used used for working capital, business development and general corporate purposes.

For more details, see "Future Plans and Use of [**REDACTED**]."

RISK FACTORS

We believe there are certain risks and uncertainties involved in our operations, some of which are beyond our control. These risks are set out in "Risk Factors" in this document. Some of the major risks we face include: (i) If we are unable to successfully develop our products for new indications or commercialize our products in new jurisdictions, develop and commercialize our product candidates, or experience significant delays in doing so, our business will be materially harmed; (ii) We face substantial competition and rapid market changes, and our competitors may discover, develop or commercialize competing products before or more successfully than we do, or respond and adapt to the market changes more quickly and effectively; (iii) Our revenue during the Track Record Period substantially relied on our commercialized products; (iv) Product development involves a lengthy and expensive process with an uncertain outcome, and unsuccessful clinical trials or procedures relating to our products and product candidates could have a material adverse effect on our prospects; and (v) Guidelines, recommendations and studies published by various organizations could disfavor our product candidates.

LEGAL PROCEEDINGS AND COMPLIANCE

During the Track Record Period and up to the Latest Practicable Date, we had not been involved in any actual or pending legal, arbitration, or administrative proceedings (including any bankruptcy or receivership proceedings) that we believe would have a material adverse effect on our business, results of operations, financial condition, or reputation and compliance. The business operations we engaged in had been carried out in compliance with applicable PRC laws and regulations in all material respects during the Track Record Period and up to the Latest Practicable Date.

[**REDACTED**]

Our [**REDACTED**] mainly include (i) [**REDACTED**] expenses, such as [**REDACTED**] fees and [**REDACTED**], and (ii) [**REDACTED**] expenses, comprising professional fees paid to our legal advisors and reporting accountants for their services rendered in relation to the [**REDACTED**] and the [**REDACTED**], and other fees and expenses. Assuming full payment of the discretionary incentive fee, the estimated total [**REDACTED**] (based on the mid-point of the [**REDACTED**] and assuming that the [**REDACTED**] is not exercised) for the [**REDACTED**] are approximately HK$[**REDACTED**], accounting for approximately [**REDACTED**]% of our gross [**REDACTED**]. Among such estimated total [**REDACTED**], we expect to pay [**REDACTED**] expenses of HK$[**REDACTED**], professional fees for our legal advisors and reporting accountants of HK$[**REDACTED**] and other fees and expenses of HK$[**REDACTED**]. An estimated amount of HK$[**REDACTED**] for our [**REDACTED**], accounting for approximately [**REDACTED**]% of our gross [**REDACTED**], is expected to be expensed through the statement of profit or loss and an estimated amount of HK$[**REDACTED**] is expected to be recognized directly as a deduction from equity upon the [**REDACTED**]. We did not recognize any [**REDACTED**] in 2024 and the nine months ended September 30, 2025.

NO MATERIAL ADVERSE CHANGE

Our Directors confirm that, as of the date of the document, there has been no material adverse change in our financial or trading position, indebtedness, mortgage, contingent liabilities, guarantees or prospects since September 30, 2025, the end of the period reported on the Accountants' Report included in Appendix I to this document; and there has been no event since September 30, 2025 which would materially affect the information presented in the Accountants' Report set out in Appendix I and the Condensed Consolidated Financial Statements in Appendix IA to this document.

In this document, unless the context otherwise requires, the following terms and expressions shall have the meanings set out below. Certain other terms are defined in the section headed "Glossary of Technical Terms" in this document.

"Accountants' Report"	the accountants' report of our Company for the Track Record Period from Deloitte Touche Tohmatsu, the text of which is set out in Appendix I to this document
"affiliate(s)"	with respect to any specified person, any other person, directly or indirectly, controlling or controlled by or under direct or indirect common control with such specified person
"AFRC"	the Accounting and Financial Reporting Council of Hong Kong (formerly known as the Financial Reporting Council of Hong Kong)
"Articles" or "Articles of Association"	the articles of association of our Company conditionally adopted on February 5, 2026 with effect from the [**REDACTED**], as amended, supplemented or otherwise modified from time to time, a summary of which is set out in Appendix III to this document
"associate(s)"	has the meaning ascribed to it under the Listing Rules
"Audit Committee"	the audit committee of our Board
"Board of Directors" or "Board"	the board of Directors
"Business Day"	a day on which banks in Hong Kong are open generally for normal banking business to the public and which is not a Saturday, Sunday or public holiday in Hong Kong

[**REDACTED**]

"Changsha Nuoshi"	Changsha Nuoshi Biotechnology Co., Ltd.* (長沙諾什生物科技有限公司), a limited liability company established in the PRC on June 2, 2021, and a subsidiary of our Company

"China," "Chinese Mainland" or "PRC"	the People's Republic of China, which for the purpose of this document and for geographical reference only, excludes Hong Kong and the Macau Special Administrative Region of the People's Republic of China and Taiwan China
"close associate(s)"	has the meaning ascribed to it under the Listing Rules
"Companies Ordinance"	the Companies Ordinance (Chapter 622 of the Laws of Hong Kong), as amended, supplemented or otherwise modified from time to time
"Companies (Winding Up and Miscellaneous Provisions) Ordinance"	the Companies (Winding Up and Miscellaneous Provisions) Ordinance (Chapter 32 of the Laws of Hong Kong), as amended, supplemented or otherwise modified from time to time
"Company", "our Company" or "the Company"	Nanjing Novlead Biotechnology Co., Ltd. (南京諾令生物科技股份有限公司) (previously known as Nanjing Nuoquan Biomedical Technology Co., Ltd.* (南京諾全生物醫療科技有限公司) and Nanjing Novlead Biotechnology Co., Ltd.* (南京諾令生物科技有限公司)), a limited liability company established in the PRC on April 16, 2018 and converted into a joint stock company with limited liability on January 8, 2026
"Competent Authority"	has the meaning ascribed to it under Chapter 18A of the Listing Rules
"Compliance Advisor"	Rainbow Capital (HK) Limited
"connected person(s)"	has the meaning ascribed to it under the Listing Rules
"connected transaction(s)"	has the meaning ascribed to it under the Listing Rules
"core connected person(s)"	has the meaning ascribed to it under the Listing Rules
"Core Product"	has the meaning ascribed to it under Chapter 18A of the Listing Rules and in this context, refers to iNOwill
"Corporate Governance Code"	the Corporate Governance Code set out in Appendix C1 to the Listing Rules
"CSDCC"	China Securities Depository and Clearing Corporation Limited (中國證券登記結算有限責任公司)
"CSRC"	China Securities Regulatory Commission (中國證券監督管理委員會)

[**REDACTED**]

"Director(s)" or "our Director(s)"	the director(s) of our Company
"Dr. Mao"	Dr. Mao Wen (毛雯), the chairperson of the Board, chief executive officer and a member of our Single Largest Group of Shareholders
"EIT"	the PRC enterprise income tax
"EIT Law"	the Enterprise Income Tax Law of the PRC (《中華人民共和國企業所得稅法》), as amended, supplemented or otherwise modified from time to time

[**REDACTED**]

"Extreme Conditions"	extreme conditions caused by a super typhoon as announced by the government of Hong Kong

[**REDACTED**]

"Frost & Sullivan" or "Industry Consultant"	Frost & Sullivan Consulting Co., Ltd., our industry consultant
"Frost & Sullivan Report"	the industry report commissioned by our Company and independently prepared by Frost & Sullivan, a summary of which is set out in the section headed "Industry Overview" in this document

[**REDACTED**]

"Group", "our Group", "we", "us" or "our"	our Company and its subsidiaries from time to time or, where the context so requires, in respect of the period prior to our Company having become the holding company of its present subsidiaries, such subsidiaries as if they were subsidiaries of our Company at the relevant time
"Guangxi Nuogang"	Guangxi Nuogang Biotechnology Co., Ltd.* (廣西諾港生物科技有限公司), a limited liability company established in the PRC on August 31, 2023, and a wholly-owned subsidiary of our Company
"Guide for New Listing Applicants"	the Guide for New Listing Applicants published by the Stock Exchange, as amended, supplemented or otherwise modified from time to time
"H Share(s)"	overseas [**REDACTED**] foreign share(s) in the share capital of our Company with a nominal value of RMB[**REDACTED**] each, which is/are to be [**REDACTED**] and [**REDACTED**] in HK dollars and to be [**REDACTED**] on the Stock Exchange

[**REDACTED**]

"HK$", "HKD" or "Hong Kong dollars"	Hong Kong dollars, the lawful currency of Hong Kong

[**REDACTED**]

[**REDACTED**]

"Hong Kong" or "HK"	the Hong Kong Special Administrative Region of the People's Republic of China

[**REDACTED**]

"Hong Kong Stock Exchange" or "Stock Exchange"	The Stock Exchange of Hong Kong Limited, a wholly-owned subsidiary of Hong Kong Exchanges and Clearing Limited

[**REDACTED**]

"IFRSs"	the International Financial Reporting Standards, which include standards, amendments and interpretations promulgated by IASB and the International Accounting Standards (IAS) and interpretations issued by the International Accounting Standards Committee (IASC)

DEFINITIONS

"IIT Law"	the Individual Income Tax Law of the PRC (《中華人民共和國個人所得稅法》)
"Independent Third Party(ies)"	any person(s) or entity(ies) who/which is not a connected person of our Company within the meaning of the Listing Rules

[**REDACTED**]

"Jingning Noring"	Jingning Noring Team Biotechnology Partnership Enterprise (Limited Partnership)* (景寧諾令團隊生物科技合夥企業(有限合夥)), a limited partnership established in the PRC on February 20, 2020 ultimately controlled by Dr. Mao, details of which are set out in "History, Development and Corporate Structure — Corporate Development", and a member of our Single Largest Group of Shareholders
"Jingning Nuoming"	Jingning Nuoming Biotechnology Partnership (Limited Partnership)* (景寧諾明生物科技合夥企業(有限合夥)), a limited partnership established in the PRC on January 14, 2026, details of which are set out in "History, Development and Corporate Structure — Pre-[**REDACTED**] Employee Incentive Scheme"

"Key Product"	refers to NovaPulse

[**REDACTED**]

"Latest Practicable Date"	February 5, 2026, being the latest practicable date for the purpose of ascertaining certain information contained in this document before its publication
"Lingxing Hainan"	Lingxing (Hainan) Biotechnology Partnership Enterprise (Limited Partnership)* (令行(海南)生物科技合夥企業(有限合夥)), a limited partnership established in the PRC on August 25, 2021 ultimately controlled by Dr. Mao, details of which are set out in "History, Development and Corporate Structure — Corporate Development", and a member of our Single Largest Group of Shareholders

[**REDACTED**]

"Listing Committee"	the listing committee of the Stock Exchange

[**REDACTED**]

"Listing Rules"	the Rules Governing the Listing of Securities on The Stock Exchange of Hong Kong Limited, as amended, supplemented or otherwise modified from time to time
"Main Board"	the stock market (excluding the option market) operated by the Stock Exchange which is independent from and operated in parallel with the GEM of the Stock Exchange
"MOF"	the Ministry of Finance of the PRC (中華人民共和國財政部)
"MOFCOM"	the Ministry of Commerce of the PRC (中華人民共和國商務部)

"NDRC"	the National Development and Reform Commission of the PRC (中華人民共和國國家發展和改革委員會)
"NHC"	the National Health Commission of the PRC (formerly known as the National Health and Family Planning Commission) (中華人民共和國國家衛生健康委員會)
"NMPA"	the National Medical Products Administration of the PRC (國家藥品監督管理局), the successor to the China Food and Drug Administration (國家食品藥品監督管理總局)
"Nomination Committee"	the nomination committee of our Board
"Novlead Beijing"	Beijing Novlead Biotechnology Co., Ltd.* (北京諾令生物科技有限公司), a limited liability company established in the PRC on January 21, 2022, and a wholly-owned subsidiary of our Company
"Novlead HK"	Novlead Biotech Hong Kong Limited (諾令生物香港有限公司), a limited liability company established in Hong Kong on January 2, 2025, and a wholly-owned subsidiary of our Company
"Novlead US"	Novlead, Inc., a limited liability company established in the United States on July 23, 2021, and a non-wholly-owned subsidiary of our Company
"Novlead Yangzhou"	Novlead Biotechnology (Yangzhou) Co., Ltd.* (諾令生物科技(揚州)有限公司), a limited liability company established in the PRC on February 19, 2024, and a wholly-owned subsidiary of our Company
"Novlead Yulin"	Novlead Biotechnology (Yulin) Co., Ltd.* (諾令生物科技(玉林)有限公司), a limited liability company established in the PRC on March 14, 2025, and a wholly-owned subsidiary of our Company
"NPC"	the National People's Congress of the PRC (中華人民共和國全國人民代表大會)

[**REDACTED**]

[**REDACTED**]

"Overseas Listing Trial Measures"	the Trial Administrative Measures of Overseas Securities Offering and Listing by Domestic Companies (《境內企業境外發行證券和上市管理試行辦法》) promulgated by the CSRC on February 17, 2023 which became effective on March 31, 2023
"PBOC"	the People's Bank of China (中國人民銀行), the central bank of the PRC
"PRC Company Law"	the Company Law of the PRC (中華人民共和國公司法), as amended, supplemented or otherwise modified from time to time
"PRC Legal Advisor"	Jingtian & Gongcheng, the legal advisor to our Company as to the PRC laws
"PRC Securities Law"	the Securities Law of the PRC (中華人民共和國證券法), as amended, supplemented or otherwise modified from time to time
"Pre-[**REDACTED**] Investment(s)"	the investment(s) in our Group before the [**REDACTED**], details of which are set out in the paragraph headed "History, Development and Corporate Structure — Pre-[**REDACTED**] Investments" in this document
"Pre-[**REDACTED**] Investor(s)"	the investor(s) who acquired interest in our Group pursuant to the relevant share subscription agreement(s), details of which are set out in the section headed "History, Development and Corporate Structure" in this document

[**REDACTED**]

"QIB(s)"	qualified institutional buyer(s) within Rule 144A
"R&D"	research and development
"Regulation S"	Regulation S under the U.S. Securities Act
"Remuneration and Appraisal Committee"	the remuneration and appraisal committee of our Board
"RMB" or "Renminbi"	Renminbi, the lawful currency of the PRC
"Rule 144A"	Rule 144A under the U.S. Securities Act
"SAFE"	the State Administration of Foreign Exchange of the PRC (中華人民共和國國家外匯管理局)
"SAMR"	the State Administration for Market Regulation of the PRC (中華人民共和國國家市場監督管理總局), the predecessors of which is the State Administration of Industry and Commerce of the PRC (中華人民共和國國家工商行政管理總局)
"SASAC"	the State-owned Assets Supervision and Administration Commission of the State Council (國務院國有資產監督管理委員會)
"SAT"	the State Taxation Administration of the PRC (中華人民共和國國家稅務總局)
"SFC"	the Securities and Futures Commission of Hong Kong
"SFO" or "Securities and Futures Ordinance"	the Securities and Futures Ordinance (Chapter 571 of the Laws of Hong Kong), as amended, supplemented or otherwise modified from time to time

"Share(s)"	ordinary share(s) in the share capital of our Company with a nominal value of RMB[**REDACTED**] each upon the completion of the [**REDACTED**]; before the completion of the [**REDACTED**], ordinary share(s) in the share capital of our Company with a nominal value of RMB1.0 each

[**REDACTED**]

"Shareholder(s)"	holder(s) of our Shares
"Single Largest Group of Shareholders"	refers to Dr. Mao, Jingning Noring, Mr. Cao Guiping and Lingxing Hainan
"Sole Sponsor", "Sole Overall Coordinator" or "Sponsor-overall Coordinator"	the Sole Sponsor, sole overall coordinator and the sponsor-overall coordinator as named in the section headed "Directors and Parties Involved in the [**REDACTED**]" in this document
"sophisticated investor(s)"	has the meaning ascribed to it under paragraph 10 of Chapter 2.3 of the Guide for New Listing Applicants

[**REDACTED**]

"State Council"	the State Council of the PRC (中華人民共和國國務院)
"subsidiary(ies)"	has the meaning ascribed to it under the Listing Rules
"substantial shareholder(s)"	has the meaning ascribed to it under the Listing Rules
"Takeovers Codes" or "Hong Kong Takeovers Code"	the Codes on Takeovers and Mergers and Share Buy-backs published by the SFC, as amended, supplemented or otherwise modified from time to time
"Track Record Period"	the financial year ended December 31, 2024 and the nine months ended September 30, 2025
"treasury shares"	has the meaning ascribed thereto under the Listing Rules
"U.S. persons"	U.S. persons as defined in Regulation S
"U.S. Securities Act"	the United States Securities Act of 1933, as amended, supplemented or otherwise modified from time to time

[**REDACTED**]

"United States" or "U.S."	the United States of America, its territories and possessions, any State of the United States, and the District of Columbia
"Unlisted Share(s)"	ordinary share(s) issued by our Company, with a nominal value of RMB[**REDACTED**] (taking into account the [**REDACTED**]), which is/are not listed on any stock exchange
"US$" or "USD" or "U.S. dollars"	United States dollars, the lawful currency of the United States
"VAT"	value-added tax

[**REDACTED**]

"%"	per cent

For ease of reference, the names of Chinese laws and regulations, governmental authorities, institutions, natural persons or other entities (including our subsidiary) have been included in this document in both the Chinese and English languages and in the event of any inconsistency, the Chinese versions shall prevail. English translations of company names and other terms from the Chinese language are provided for identification purposes only.

Certain amounts and percentage figures included in this document have been subject to rounding adjustments. Accordingly, figures shown as totals in certain tables may not be an arithmetic aggregation of the figures preceding them.

* *For identification purposes only*

This glossary of technical terms contains explanations of certain technical terms used in this document. As such, these terms and their meanings may not correspond to standard industry meanings or usage of these terms.

"AE"	adverse event, any untoward medical occurrence in a patient or clinical investigation subject, which does not necessarily have a causal relationship with the treatment
"ARDS"	acute respiratory distress syndrome, a type of respiratory failure characterized by rapid onset of widespread inflammation in the lungs and severe hypoxemia
"BPD"	bronchopulmonary dysplasia, a form of chronic lung disease that commonly affects premature newborns who have required mechanical ventilation and oxygen therapy
"breath-synchronized delivery"	an intelligent dosing mode where the device triggers gas delivery precisely during the patient's inspiratory phase to optimize efficacy and reduce gas waste
"by-product management"	the technical processes of monitoring and filtering out undesirable gases, such as nitrogen dioxide, produced during nitric oxide generation
"CAGR"	compound annual growth rate, a measure used to describe the mean annual growth rate of an investment or business metric over a specified period of time
"CAP"	community-acquired pneumonia, an infectious disease of the lungs that is acquired outside of a hospital or healthcare facility
"cardiopulmonary homeostasis"	the state of steady internal physical and chemical conditions maintained by the heart and lungs in response to changing external environments
"CER"	Clinical Evaluation Report, a technical document that assesses and analyzes clinical data to verify the clinical safety and performance of a medical device in accordance with regulatory requirements
"chemical cassette approach"	a method of generating nitric oxide through a controlled chemical reaction initiated within a pre-packaged disposable cartridge or cassette
"chemiluminescence"	a high-sensitivity gas detection technology that measures the light emitted during a chemical reaction to determine the concentration of nitric oxide

"closed-loop control"	an automated control mechanism where the system adjusts its output based on real-time feedback from sensors to maintain a target therapeutic level
"COPD"	chronic obstructive pulmonary disease, a chronic inflammatory lung disease that causes obstructed airflow from the lungs
"CRF"	case report form, a printed, optical, or electronic document designed to record all of the protocol-required information to be reported to the sponsor on each trial subject
"CTCAE"	common terminology criteria for adverse events, a standardized classification and grading system used for the reporting of adverse events in clinical trials
"CVP"	central venous pressure, the blood pressure in the central veins, close to the right atrium of the heart, reflecting the amount of blood returning to the heart
"ECG"	electrocardiogram, a record or display of a person's heartbeat produced by electrocardiography used for hemodynamic monitoring
"ECMO"	extracorporeal membrane oxygenation, a life support machine that provides prolonged cardiac and respiratory support to patients with severe heart or lung failure
"electrical impedance tomography"	a non-invasive imaging technique that provides real-time images of regional lung ventilation and perfusion
"electrolytic cell"	an electrochemical device that uses electrical energy to drive a non-spontaneous chemical reaction for nitric oxide generation
"ESG"	environmental, social and governance, a set of standards for a company's operations that socially conscious [**REDACTED**] use to evaluate corporate responsibility
"fail-safe mechanisms"	design features that automatically revert a system to a safe condition in the event of a failure or malfunction to ensure patient safety
"FDA"	Food and Drug Administration, the federal agency of the United States Department of Health and Human Services responsible for regulating medical devices
"FeNO"	fractional exhaled nitric oxide, a quantitative measure used to assess airway inflammation, typically in patients with respiratory conditions

"FIM"	first-in-man, a type of clinical trial where a new medical device or drug is tested on human subjects for the first time
"fluidic engineering"	the engineering discipline focused on the design and control of complex gas and liquid flow paths within a medical device
"gas-path architecture"	the structural design and logical configuration of internal airways, filters, and sensors within a gas delivery or monitoring device
"GB 9706"	a series of Chinese national standards for the safety and essential performance of medical electrical equipment
"GCP"	good clinical practice, an international ethical and scientific quality standard for designing, conducting, and reporting clinical trials
"guanylate cyclase–cGMP pathway"	a biochemical signaling pathway through which nitric oxide induces smooth muscle relaxation and vasodilation by increasing cGMP levels
"IABP"	intra-aortic balloon pump, a mechanical circulatory support device used to help the heart pump blood and improve myocardial oxygen perfusion
"ICU"	intensive care unit, a special department of a hospital that provides intensive care medicine for patients with life-threatening illnesses or injuries
"indication expansion"	the process of seeking regulatory approval to use a previously approved medical device or drug for additional clinical conditions or populations
"iNO"	inhaled nitric oxide, a clinical therapy that involves the inhalation of nitric oxide gas to treat various cardiopulmonary disease
"ISO 13485"	an international standard that specifies requirements for a quality management system for the design and manufacture of medical devices
"KOL"	key opinion leader, an influential expert in a specific clinical or scientific field whose opinions are respected and followed by the medical community
"MDR"	Medical Device Regulation, specifically referring to Regulation (EU) 2017/745, the legal framework governing the safety, clinical evaluation, and market placement of medical devices within the European Union

"mechanical ventilation"	a form of life support where a machine helps a patient breathe when they are unable to breathe enough on their own
"methemoglobin"	a form of hemoglobin that cannot bind oxygen; its concentration is a key safety indicator monitored during nitric oxide therapy
"N_2O_4 decomposition system"	a system designed to generate nitric oxide gas through the controlled thermal or chemical decomposition of nitrogen tetroxide
"NICU"	neonatal intensive care unit, an intensive care unit specializing in the care of ill or premature newborn infants
"NO_2 adsorption media"	substances used in a gas-path architecture to selectively remove nitrogen dioxide from the therapeutic gas stream
"NT-proBNP"	N-terminal pro-B-type natriuretic peptide, a laboratory test used as a biomarker for the diagnosis and assessment of heart failure severity
"PCI"	percutaneous coronary intervention, a non-surgical procedure used to treat narrowing of the coronary arteries of the heart
"PH"	pulmonary hypertension, a type of high blood pressure that affects the arteries in the lungs and the right side of the heart
"plasma discharge"	an electrical discharge that ionizes gas, often air, into plasma and can occur in thermal high-temperature or non-thermal forms
"PMCF"	post-market clinical follow-up, a continuous process to update the clinical evaluation of a medical device after it has been placed on the market
"point-of-care production"	the capability to generate medical-grade gases directly at the site of patient care, eliminating the need for high-pressure gas cylinders
"ppb"	parts per billion, a unit of concentration used for the high-precision monitoring of trace gases in medical applications
"PPHN"	persistent pulmonary hypertension of the newborn, a serious condition where a newborn's circulatory system fails to transition properly after birth
"ppm"	parts per million, a unit of concentration commonly used to define the therapeutic dosage of inhaled nitric oxide

"precursors"	raw chemical substances or materials used as starting materials to generate therapeutic or diagnostic gases
"SAE"	serious adverse event, any adverse event that results in death, life-threatening experience, hospitalization, or significant disability
"SCI"	Science Citation Index, a citation index that covers thousands of the world's most significant scientific and technical journals
"selective pulmonary vasodilation"	a physiological effect where inhaled nitric oxide relaxes pulmonary blood vessels without affecting systemic blood pressure
"SOP"	standard operating procedure, a set of detailed, written instructions to achieve uniformity in the performance of a specific function
"TEAE"	treatment-emergent adverse event, an adverse event that occurs or worsens after the administration of a treatment or device
"TFDA"	Taiwan Food and Drug Administration, the competent authority responsible for the management, safety, and quality of food, drugs, and medical devices in Taiwan China
"the Two Invoice System"	a regulatory policy in the PRC which requires a maximum of two invoices to be issued in the medical consumables distribution chain, with one invoice issued by the manufacturer to the distributor and the second invoice issued by the distributor to the medical institution
"tidal breath"	the normal volume of air displaced between normal inhalation and exhalation when extra effort is not applied
"titratable dosing"	the capability of a device to adjust the dosage of a therapy in precise, small increments to meet individual patient needs
"UDEM"	an EU-recognized notified body responsible for assessing the conformity of medical devices under the MDR framework to ensure they meet essential safety and performance requirements

FORWARD-LOOKING STATEMENTS

We have included in this document forward-looking statements. Statements that are not historical facts, including but not limited to statements about our intentions, beliefs, expectations or predictions for the future, are forward-looking statements.

This document contains forward-looking statements and information relating to us and our subsidiaries that are based on the beliefs of our management as well as assumptions made by and information currently available to our management. When used in this document, the words "aim," "anticipate," "aspire," "believe," "could," "expect," "going forward," "intend," "may," "ought to," "plan," "project," "schedule," "seek," "should," "target," "vision," "will," "would," and the negative of these words and other similar expressions, as they relate to us or our management, are intended to identify forward-looking statements. Such statements reflect the current views of our management with respect to future events, operations, liquidity and capital resources, some of which may not materialize or may change. These statements are subject to certain risks, uncertainties and assumptions, including the risk factors as described in "Risk Factors" and elsewhere in this document, some of which are beyond our control and may cause our actual results, performance or achievements, or industry results, to be materially different from any future results, performance or achievements expressed or implied by the forward-looking statements. You are strongly cautioned that reliance on any forward-looking statements involves known and unknown risks and uncertainties. The risks and uncertainties facing us which could affect the accuracy of forward-looking statements include, but are not limited to, the following:

- our operations and business prospects;
- future developments, trends and conditions in the industries and markets in which we operate or plan to operate;
- general economic, political and business conditions in the markets in which we operate, including but not limited to interest rates, foreign exchange rates;
- changes to the regulatory environment in the industries and markets in which we operate;
- our ability to maintain relationship with, and the actions and developments affecting, our major business partners, suppliers and future customers;
- our ability to maintain the market leading positions and the actions and developments of our competitors;
- our ability to effectively control costs and operating expenses;
- the ability of business partners to perform in accordance with contractual terms and specifications;
- our ability to retain senior management and key personnel and recruit qualified staff;
- our business strategies and plans to achieve these strategies, including our medical device development plans, commercialization strategies and geographic expansion plans; and
- all other risks and uncertainties described in "Risk Factors."

By their nature, certain disclosures relating to these and other risks are only estimates and should one or more of these uncertainties or risks, among others, materialize, actual results may vary materially from those estimated, anticipated or projected, as well as from historical results. Specifically but without limitation, sales could decrease, costs could increase, capital costs could increase, capital investment could be delayed and anticipated improvements in performance might not be fully realized.

Subject to the requirements of applicable laws, rules and regulations, we do not have any and undertake no obligation to update or otherwise revise the forward-looking statements in this document, whether as a result of new information, future events or otherwise. As a result of these and other risks, uncertainties and assumptions, the forward-looking events and circumstances discussed in this document might not occur in the way we expect or at all. Accordingly, you should not place undue reliance on any forward-looking information. All forward-looking statements in this document are qualified by reference to the cautionary statements in this section as well as the risks and uncertainties discussed in the section headed "Risk Factors" in this document.

In this document, statements of or references to our intentions or those of our Directors are made as of the date of this document. Any such information may change in light of future developments.

An [**REDACTED**] *in our H Shares involves significant risks. You should carefully consider all of the information in this document, including the risks and uncertainties described below, as well as our financial statements and the related notes, and the "Financial Information" section, before deciding to* [**REDACTED**] *in our H Shares. Particularly, we are seeking to* [**REDACTED**] *on the Main Board of the Stock Exchange under Chapter 18A of the Listing Rules. Our operations and the biotech industry involve certain risks and uncertainties, some of which are beyond our control and may cause you to lose all your* [**REDACTED**] *in our H Shares. The following is a description of what we consider to be our material risks. Any of the following risks could have a material adverse effect on our business, financial condition, results of operations and growth prospects. In any such an event, the* [**REDACTED**] *of our H Shares could decline, and you may lose all or part of your* [**REDACTED**]. *Additional risks and uncertainties not presently known to us or that we currently deem immaterial also may impair our business operations.*

These factors are contingencies that may or may not occur, and we are not in a position to express a view on the likelihood of any such contingency occurring. The information given is as of the Latest Practicable Date unless otherwise stated, will not be updated after the date hereof, and is subject to the cautionary statements in the section headed "Forward-Looking Statements" in this document.

RISKS RELATING TO THE DEVELOPMENT AND COMMERCIALIZATION OF OUR PRODUCTS AND PRODUCT CANDIDATES

If we are unable to successfully develop our products for new indications or commercialize our products in new jurisdictions, develop and commercialize our product candidates, or experience significant delays in doing so, our business will be materially harmed.

Our business growth depends on our ability to successfully develop our products for new indications or commercialize our products in new jurisdictions. As of the Latest Practicable Date, we have five commercialized products, namely iNOwill, eNOaire, NovaPulse IABP, Reslink and eNOglow. In addition, our business also depends on our ability to successfully develop and commercialize our product candidates. We had a broad pipeline of product candidates that are in various stages of development, including VQfit and NovaVent, among others, as of the Latest Practicable Date.

The development and commercialization of our products and product candidates will depend on several factors, including but not limited to: (i) completion of clinical trials and preclinical studies; (ii) favorable safety and efficacy data from our clinical trials and other studies; (iii) the ability to conduct our clinical trials safely, efficiently, and in accordance with specified laws, regulations trial protocols and policies; (iv) the performance by any third parties we may retain in a manner that complies with our protocols and applicable laws and that protects the integrity of the resulting data; (v) obtaining and maintaining patent, trade secret and other intellectual property protection and regulatory exclusivity while making sure we do not infringe, misappropriate or otherwise violate intellectual property rights of third parties; (vi) obtaining required regulatory approvals, commercialization authorizations and successfully launching our product candidates cost effectively in targeted markets, if and when approved, in a timely manner; (vii) obtaining favorable governmental and private medical reimbursement for our products; (viii) appropriately pricing our products and timely collecting payments; (ix) enhancing our marketing and distribution capabilities in an efficient manner; (x) winning competition with other comparable products; (xi) continued acceptable safety profile and efficacy of our products and product candidates following regulatory approval and (xii) allocate resources to pursue product candidates that prove to be more profitable or for which there is a greater likelihood of success. If we do not achieve one or more of these factors in a timely manner, or at all, we could experience significant delays or be unable to obtain approval or achieve commercialization for our products and product candidates, which would materially harm our business and financial performance.

We face substantial competition and rapid market changes, and our competitors may discover, develop or commercialize competing products before or more successfully than we do, or respond and adapt to the market changes more quickly and effectively.

The cardiopulmonary diagnostic and therapeutic devices market is highly competitive, and characterized by technological changes, frequent new product introductions, and evolving industry standards. Potential competitors include domestic and foreign companies, academic institutions and other public and private research organizations that engage in the research, development and commercialization of cardiopulmonary diagnostic and therapeutic devices. If we do not offer products in competitive quality and prices, or introduce new products in a timely manner, our products may become obsolete and our operating results may suffer.

Our business opportunities could be reduced or eliminated if our competitors develop and commercialize products that have higher quality, are less expensive or are more convenient than any products that we commercialize or are developing. Our competitors in the global market may also apply for commercialization approvals in jurisdictions for products with the same intended use as our products and product candidates. They may obtain approvals from the regulatory authorities more rapidly than we do, which may allow our competitors to establish a strong market position before we are able to enter the market.

Many of our competitors have longer operating history, significantly greater financial resources and expertise and experience in research and development, and more capable than us to conduct preclinical studies and clinical trials. They may also obtain regulatory approvals more quickly or marketing their products more successfully than we do. Furthermore, mergers and acquisitions in the medical device industries may result in even more resources being concentrated among a small number of our competitors.

Our revenue during the Track Record Period substantially relied on our commercialized products.

Our revenue is primarily derived from the sales of medical devices, which comprise of our commercialized products, including iNOwill, our Core Product, and other medical devices. In 2024 and the nine months ended September 30, 2024 and 2025, sales of medical devices amounted to RMB41.1 million, RMB31.4 million and RMB30.7 million, respectively, accounting for 90.2%, 88.7% and 97.1% of our total revenue in the same periods, respectively. We expect that sales of our products will continue to account for a significant portion of our total revenue in the near future.

However, we cannot assure you that demand for our products will continue to reach the levels as anticipated. There is also no assurance that we will be able to achieve the expected sales and profit margin for our products, which may be adversely affected by many factors outside of our control, including introduction of substitute products marketed by our competitors, pricing pressure caused by changes in market competition, shifting customer demands, disruptions in manufacturing or sales, issues with respect to product quality or severe adverse events incurred after the procedure, coverage of medical insurance and disputes over intellectual property or other matters with third parties, and expiration of patent protection. If we are unable to achieve the expected sales volumes, pricing levels or profit margins of the above-mentioned products, our business, financial condition and results of operations may be materially and adversely affected.

Product development involves a lengthy and expensive process with an uncertain outcome, and unsuccessful clinical trials or procedures relating to our products and product candidates could have a material adverse effect on our prospects.

Clinical trials and demonstration procedures can be lengthy, expensive and subject to inherent uncertainties. There can be no assurance that these trials or procedures will be completed in a timely or cost-effective manner or result in a commercially viable product or expanded indication.

If we encounter difficulties in the enrollment of subjects to our clinical trials, our clinical development activities could be delayed or otherwise adversely affected. Identifying, screening and enrolling of clinical trial participants are critical to our success. We may not be able to identify and enroll a sufficient number of trial participants with the required or desired characteristics in accordance with the eligibility criteria defined in our protocols to complete our clinical trials in a timely manner. Furthermore, even if we are able to enroll a sufficient number of eligible patients or other subjects in our clinical trials, we may experience enrollment delays related to increased or unforeseen regulatory, legal and logistical requirements at certain clinical trial sites.

Failure can occur at any time during the procedures or clinical trial process. The results of preclinical studies and previous clinical trials of our product candidates may not be predictive of the results of subsequent clinical trials, and initial or interim results of a trial may not be predictive of the final results. Product candidates in later stages of clinical trials may fail to show the desired safety and efficacy traits despite having progressed through preclinical studies and initial clinical trials. In addition, there can be significant variability in safety and/or efficacy results between different trials of the same product candidate due to numerous factors, including changes in trial procedures set forth in protocols, differences in the size and type of the patient populations or other trial participants, including differences in physical conditions, and the rate of dropout among clinical trial participants. In the case of any trials we conduct, results may differ from earlier trials due to the larger number of clinical trial sites and additional countries and languages involved in such trials. Severe adverse events and complications may incur in some cases. If our product candidates fail to demonstrate safety and efficacy to the satisfaction of regulatory authorities, or if they cause undesirable adverse events, we may incur additional costs, experience delays, or ultimately be unable to complete development, obtain regulatory approval or achieve successful commercialization.

We may experience numerous unexpected events during clinical trials, such as (i) regulators or ethics committees may not authorize us or research partners we may cooperate with to commence a clinical trial or conduct a clinical trial at a prospective trial site; (ii) our inability to reach agreements on acceptable terms with prospective clinical sites and hospitals as trial centers; (iii) the supply or quality of materials and services necessary to conduct clinical trials of our product candidates may be insufficient or inadequate and (iv) regulatory agencies or other authorities may require us to suspend or terminate clinical trials if they find non-compliance incidents or unacceptable health risks.

Even if we successfully complete the clinical trial, successful commercialization is not guaranteed. For example, we may be delayed in obtaining or not obtain regulatory approval for our product candidates or the approval we obtained for indications are not as broad as intended.

Guidelines, recommendations and studies published by various organizations could disfavor our product candidates.

Influential recommendations, guidelines and quality metrics issued by various organizations and government authorities may significantly affect customers' willingness to purchase our products and services. For example, iNO therapy is recommended by the "Expert Consensus on Clinical Application of Inhaled Nitric Oxide Therapy in Critical Illness" (《吸入一氧化氮治療在急危重症中的臨床應用專家共識》) and the "Expert Consensus on Clinical Application of Inhaled Nitric Oxide Therapy (2024 Edition)" (《一氧化氮吸入療法臨床應用專家共識(2024版)》). If any such recommendations, guidelines and quality metrics that are currently favorable to us are later updated, overturned or modified, or otherwise interpreted in a manner unfavorable to us, our results of operations and prospects may be adversely affected.

In certain jurisdictions such as the United States and Europe, clinical guidelines about use of iNO therapy devices are relatively mature and widely adopted, providing physicians with structured frameworks for treatment decisions. In contrast, such guidelines are still in a developing stage in China. This lack of maturity may result in limited physician awareness of our products, slower adoption, and reduced commercial traction. There is no assurance that we will successfully work with hospitals and academic experts to promote the establishment of new guidelines, or that our products will be favorably positioned within such guidelines. The process of guideline development is lengthy, consensus-driven, and subject to competing interests, which may delay or dilute recognition of our products.

If physicians and hospitals are not receptive to our products, our results of operations may be negatively affected.

We sell our cardiopulmonary diagnostic and therapeutic devices to hospitals through our distributors. Physicians and hospitals play important roles in recommending and deciding what products to be used. They not only provide professional advice but also offer help throughout the entire therapeutic procedures from candidate screening, operation assistance to post-operation follow-up visit. Our in-house marketing team works with physicians and hospitals, communicate with KOLs, as well as attend industry conventions and academic meetings to introduce and promote our products. However, our efforts to introduce the distinctive characteristics, advantages, safety, efficacy and cost effectiveness of our products may not be successful. If our products and product candidates (upon commercialization) are not widely accepted by physician and hospital communities, our sales of our currently commercialized products may decline, and we may not be able to effectively market our other product candidates, such as other iNO therapy devices, cardiopulmonary circulatory support devices and respiratory diagnosis devices upon commercialization.

In addition, many of our products or product candidates represent innovative therapies in China or even globally. Physicians face a learning process to become proficient in the use of some of our products and product candidates, which may take a longer time than we expected. Encouraging physicians to dedicate their time and energy necessary for adequate training remains challenging, and we may not be successful in these efforts. If physicians are not properly trained, they may misuse or ineffectively use our products and product candidates, which may result in unsatisfactory patient treatment outcomes, patient injury, negative publicity or lawsuits against us, any of which could have a significant adverse effect on our reputation, business, financial condition, results of operations and prospects. Following completion of training, we also rely on trained physicians to advocate the benefits of our products in the marketplace. If we are not able to enhance our product awareness and receive recognition from these physicians, other physicians and hospitals may not be inclined to use our products, and our results of operations may be adversely affected.

If we fail to maintain, expand and optimize an effective distribution channel for our products, our business and sales of the relevant products could be adversely affected.

During the Track Record Period, we primarily relied on our network of distributors to distribute our products. Our ability to maintain and grow our business will depend on our ability to maintain, expand and optimize effective distribution channels that ensure timely distribution of our products to the relevant markets. However, we have relatively limited control over our distributors, and our revenue from product sales may be lower than expected. For example, our distributors may fail to distribute our products in the manner we contemplate; breach our agreements with them, sell products outside their designated territories; and fail to comply with applicable regulatory requirements, including but not limited to failing to obtain and maintain requisite licenses, or violating anti-corruption, anti-bribery and competition laws.

In addition, our distributors may terminate their relationships with us, and we may be unable to find alternative distributors in a cost-effective and timely manner. The occurrence of the foregoing incidents could disrupt our product sales and negatively affect our business operation, financial performance and reputation.

The growth and success of our business depends on the performance of our distributors in hospital tender processes.

Hospitals and medical institutions may organize public tenders for procurement of medical devices, the procedures and timing of which may vary from hospital to hospital and from region to region. Our future growth and success significantly depend on our ability to successfully market our products to hospitals and other medical institutions through our distributors. However, we may not always be able to locate a sufficient number of experienced local distributors to secure the bids in such tender processes.

In addition, our products may not be chosen for a number of reasons, including where: (i) our prices are not competitive; (ii) our products fail to meet the technical or quality requirements imposed by the hospitals or are less clinically effective than competing products; (iii) our reputation is adversely affected by unforeseeable events; or (iv) our service quality or any other aspect of our operations fails to meet the relevant requirements. If our distributors fail in the tender process, we may face difficulties in maintaining the existing level of sales of our products, and we may find it difficult to sell our product candidates (upon commercialization) and our revenue may decline, materially adversely affecting our results of operations and financial condition.

We have relatively limited experience in marketing and sales of our products.

We have relatively limited experience in launching and commercializing our product candidates and in the sales and marketing of our products. We started to commercialize our Core Product, iNOwill, in May 2022. Our ability to successfully commercialize our product candidates may involve more inherent risks, take longer and cost more than it would if we were a company with sufficient experience commercializing product candidates.

The success of our sales and marketing efforts depends on our ability to attract, motivate and retain more qualified and professional employees in our sales and marketing team who have, among other things, sufficient clinical and marketing experience for medical devices and extensive industry connections with distributors and hospitals, and are able to communicate effectively with medical professionals. However, due to the intense competition for experienced personnel, we may be unable to attract, motivate and retain a sufficient number of qualified sales and marketing employees to support our business development and expansion, and our sales revenue and results of operations may be negatively affected.

If we fail to effectively expand our overseas business, our business prospects may be adversely affected.

We plan to broaden our sales and expand our presence globally to benefit from wider market opportunities. We have obtained the Class IIb CE certification with UDEM under the EU MDR in 2025 of our Core Product and are in the process of registration applications with the FDA in the United States. However, our limited experience in overseas markets may expose us to risks and uncertainties, including the risks associated with dealing with regulatory regimes and government policies that may differ materially from those that we may be familiar with; substantial time that may be required for us to obtain approval for registering and selling our products in multiple countries; high costs in constructing and maintaining effective sales force in jurisdictions with which we have limited experience and established no sales and marketing infrastructure; costs incurred to resolve product liability litigation and regulatory scrutiny and our insurance coverage may be insufficient to protect us; unexpected changes in economic and trade policies and requirements; compliance with relevant laws and regulations, including but not limited to tax, employment, immigration, labor laws for employees traveling abroad; the effects of applicable foreign tax structures and potentially adverse tax consequences; currency fluctuations; workforce uncertainty and labor unrest; and business interruptions resulting from general economic factors.

We may be exposed to potential product liability claims if our products contain significant defects, and our insurance coverage may be inadequate to protect us from all the liabilities we may incur.

Certain of our current products and product candidates are classified as Class III medical devices. Such classifications represent a high risk to the human body and require a high level of supervision to ensure safety and effectiveness. We may be subject to product liability claims if our products have quality issues. For example, we may be sued if our product candidates are perceived to cause injury or are found to be otherwise unsuitable during clinical testing. Product liability claims may also arise out of allegations of defects in design, component failure, a failure to warn of dangers inherent in the medical device product, negligence or strict liability. Further, we cannot ensure that physicians will strictly and accurately follow our instructions on the proper usage of our products and product candidates. If our product or product candidates are used incorrectly by physicians, injury may result, which could require review and corrective action by us or even give rise to product liability claims against us. Any serious failures or defects could cause us to withdraw or recall products, and subject us to product liabilities, which may damage our brand name and may have a material adverse effect on our business, financial condition, results of operations and prospects. In addition, we provide warranties for our products, committing that product quality complies with the quality standards issued by relevant authorities. If our customers suffers losses due to quality issues with the product, we may be liable for damages. During the Track Record Period and up to the Latest Practicable Date, we had not experienced any material customer complaint or product return from customers.

We have purchased property insurance, which covers, among other things, public liability and product liability. However, our insurance may be unable to cover all the liabilities that may arise. In this regard, if we cannot successfully defend ourselves against, obtain indemnification from our collaborators for product liability claims, or acquire sufficient product liability insurance at an acceptable cost, we may incur substantial liabilities or be required to limit commercialization of our product candidates, and our business, financial condition, results of operations and prospects may be materially adversely affected.

Our ability to sell our products and product candidates, if approved for commercial sale, may be affected by the coverage of price guideline and medical insurance reimbursement list of the medical services utilizing our products.

Hospitals and medical institutions purchase our medical devices through distributors and use them in providing medical services to patients. Having the medical services included in the government price guideline is critical to market demand. Hospitals and medical institutions will be more inclined to adopt our products in offering medical services if such services are included in categories and price guidelines set forth by regulatory agencies. Conversely, if the medical services are not included in price guidance, patients and hospitals may be less inclined to adopt our products for lack of clarity and transparency. In addition, our ability to sell our products and product candidates, if approved for commercial sale, may be affected by the then-available public and private medical insurance coverage. If medical services using our products are not included in the public medical insurance reimbursement list, hospitals may be less inclined to purchase our products, which will adversely affect our sales volume. As of the Latest Practicable Date, medical services utilizing some of our products (such as iNO therapy) have been included in the price guidance and public medical insurance reimbursement list in several provinces in China. However, to be included in such list and reimbursement requires substantial time and cost to demonstrate the safety, efficacy and other aspects of our products, and we cannot assure you that our applications will be granted on time or at all. In the absence of price guideline or sufficient medical insurance coverage, market demand for, and sales of, our products may decline, which could materially and adversely affect our business, financial condition and results of operations.

In addition, we may experience downward pressure in the pricing of our products and product candidates from governmental price control measures and some other sources, many of which may be beyond our control. For example, the PRC government may issue pricing guidance for our products and product candidates, as well as similar products offered by other parties. In this case, such pricing guidance may negatively impact our pricing strategies.

RISKS RELATING TO MANUFACTURE AND SUPPLY OF OUR PRODUCTS

Fluctuations in prices of our raw materials and equipment, and supply interruptions may have a material adverse effect on us.

During the Track Record Period, our raw materials and equipment primarily include injection mold component, sheet metal machine, printed circuit board assembly (PCBA), sensor pumps and valves. Most of our raw materials and equipment are procured from domestic suppliers, and only a small portion of our raw materials and equipment are procured from overseas suppliers. Raw materials and components may be susceptible to fluctuations in price and availability and affected by a number of factors, including market supply and demand, tariffs, and the PRC or international environmental and regulatory requirements, natural disasters, and the global economic conditions. A significant increase in the costs of raw materials or shortage of raw materials may increase our procurement costs, disrupt our product timeline, and negatively affect our business and financial performance. During the Track Record Period and up to the Latest Practicable Date, we had not experienced any material difficulties in procuring our major raw materials or material fluctuations in purchase price. However, we cannot assure you that such situation will continue in the future.

In addition, general economic conditions could adversely affect the financial viability of our suppliers, resulting in their inability to provide materials and components used in the manufacture of our products. During the Track Record Period, we relied on a limited number of suppliers for procurement of raw materials and equipment. For the years ended December 31, 2024 and the nine months ended September 30, 2025, purchases from our five largest suppliers in aggregate accounted for 30.4% and 46.8% of our total purchases, respectively, and purchases from our largest supplier accounted for 9.2% and 14.1% of our total purchases for the same periods, respectively. If our suppliers fail to supply products that meet our demands or satisfy our quality standards, our product development process, costs, and overall operation and financial performance may be adversely impacted.

Delays in completing and receiving regulatory approvals for our manufacturing facilities, or damage to, destruction of or interruption of production at such facilities, could delay our development plans or commercialization efforts.

As of the Latest Practicable Date, we operated a Class III medical device production base in Yangzhou, Jiangsu Province, and a Class II medical device production base in Fangchenggang, Guangxi Province. We may expand our manufacturing facilities in line with our business. If we establish new facilities, we need to apply for a change of our manufacturing permit to include our new facilities, which requires regulatory approval. The facilities may encounter unanticipated expenses due to a number of factors, including complying with ongoing regulatory requirements.

Our facilities may be harmed or rendered inoperable by physical damage from fire, floods, earthquakes, typhoons, tornadoes, power loss, telecommunications failures, break-ins, and similar events. If our manufacturing facilities or the equipment are damaged or destroyed, we may not be able to timely or cost-effectively locate quality replacement manufacturer or at all. Even if we could transfer manufacturing to a qualified third party, such new facility would need to comply with the necessary regulatory requirements and we may need to seek regulatory approval before selling any products manufactured at that facility. Such an event could delay our clinical trials or reduce our product sales. In addition, our insurance coverage may not reimburse us, or may not be sufficient to reimburse us, for any expenses or losses we may suffer. Any interruption in manufacturing operations at our manufacturing facilities could result in our inability to satisfy the demands of our clinical trials or commercialization, which could materially harm our business, financial condition and operating results.

The manufacture of our products is highly complex and subject to strict quality controls. If we or one of our suppliers encounter manufacturing problems, our business could suffer.

We have limited experience in manufacturing medical device products on a commercial scale. The manufacture of many of our products is highly complex and subject to strict quality controls, due in part to rigorous regulatory requirements. Quality issues may bring serious and costly consequences and can arise during the manufacturing process for a number of reasons, including equipment malfunction, failure to follow protocols and procedures, raw material problems, software problems, or human error. Furthermore, if contaminants are discovered in the supply of our products or product candidates or in the manufacturing facilities, such manufacturing facilities may need to be closed for an extended period of time to investigate and remedy the contamination. Stability failures and other issues relating to the manufacture of our products or product candidates could occur in the future. In addition, disruptions can occur during implementation of new equipment and systems to replace aging equipment, as well as during production line transfers and expansions. As we expand into new markets, we may face unanticipated surges in demands for our products which could strain our production capacity. If these problems arise or if we otherwise fail to meet our internal and regulatory quality standards, we could become subject to a safety alert or a recall, incur product liability and other costs, experience delayed product approvals, and our reputation and business could be adversely affected.

The size of our addressable markets and the demand for our products and product candidates may not increase as rapidly as we anticipate due to a variety of factors, which could materially and adversely affect our business, results of operations, financial condition and prospects.

Our projections of the scope of applications and addressable market opportunities of our products and product candidates are based on our beliefs and estimates. These estimates have been derived from a variety of sources, including scientific literature, surveys of clinics or market research and may prove to be incorrect. They also depend on several factors, including, among others, acceptance by the medical community and patient access, pricing and reimbursement. Furthermore, new studies and technologies may change the market needs for our products and product candidates. As a result, the potentially addressable areas of precision medicine and market size for our product candidates may be smaller than our estimates, which could have a material and adverse effect on the profitability of our products and product candidates when commercialized.

RISKS RELATING TO GOVERNMENT REGULATIONS

If we are not able to obtain, or experience delays in obtaining, required regulatory approvals, we will not be able to commercialize our product candidates, and our ability to generate revenue will be materially impaired.

Obtaining regulatory approvals is a lengthy, expensive and uncertain process. We intend to focus our activities in the major markets of China and other international jurisdictions such as the United States, the EU, the Asia-Pacific region and the Middle East. China has comprehensive regulation on medical devices, including regulation of product development, approval, manufacturing, sales and marketing and distribution of medical devices.

We currently market and intend to continue to market a substantial portion of our products in China in the foreseeable future. We are required to obtain the NMPA's or its local counterpart's approval before we can market our products in China. Significant time, effort and expense are required to bring our products to market in compliance with the regulatory process, and we cannot assure you that any of our products will be approved for sale. After we submit a filing application to the NMPA, the NMPA will decide whether to accept or reject the submission for filing according to relevant laws or regulations. We cannot be certain that any submissions will be accepted for filing and review by the NMPA. The NMPA may also slow down, suspend or cease review of our applications according to relevant laws or regulations, any of which could prolong the registration process of our product candidates. Even if regulatory approval or clearance of our products is granted, the approval or clearance could limit the uses for which our products may be labeled and promoted according to relevant laws or regulations, which may in turn limit the market for our products. Any failure to obtain, or delay in obtaining, regulatory approvals or clearances or to renew registrations for our products could prevent us from successfully commercialization of our products, which could materially and adversely affect our business, financial condition and results of operations.

Our product candidates could fail to receive the regulatory approval of the NMPA or a comparable regulatory authority in other jurisdictions for many reasons, including but not limited to: (i) disagreement with the design or implementation of our clinical trials; (ii) failure to demonstrate that a product candidate is safe and effective and potent for its proposed indication; (iii) failure of our clinical trial results to meet the level of statistical significance required for approval; (iv) failure of our clinical trial process to pass relevant regulatory inspections; (v) failure to report any serious or potentially serious incidents; (vi) disagreement with our interpretation of data from preclinical studies or clinical trials; (vii) insufficient data collected from the clinical trials of our product candidates; (viii) failure of our product candidates to pass current regulatory inspections during the regulatory review process or across the production cycle of our product candidates; (ix) failure of our clinical sites to pass audits carried out by regulatory authorities, resulting in a potential invalidation of our research data; (x) changes in approval policies or regulations that render our preclinical and clinical data insufficient for obtaining approvals; or (xi) failure of our clinical trial process to keep up with any scientific or technological advancements required by approval policies or regulations.

Comparably, regulatory authorities outside of China also have requirements for approval of medical devices for commercial sale with which we must comply prior to marketing in those areas. However, regulatory requirements can vary widely from jurisdiction to jurisdiction. Obtaining regulatory approval in one jurisdiction does not mean that the regulatory approval will be obtained in any other jurisdiction. Approval processes vary among jurisdictions and can involve additional product testing and validation, and additional administrative review periods. Seeking foreign regulatory approval may include all of the risks associated with obtaining NMPA approval, and could require additional nonclinical studies or clinical trials. For these reasons, we may incur substantial time and financial resources to bring our products to targeted markets overseas in compliance with different regulatory processes. The introduction of our product candidates in these targeted markets could be delayed or prevented, and we may not obtain relevant regulatory approvals on a timely basis, or at all.

Our products and any product candidates will be subject to ongoing regulatory obligations and continued regulatory review, which may result in significant additional expenses and we may be subject to penalties if we fail to comply with regulatory requirements or experience unanticipated problems with our products and/or product candidates.

Our products and any additional product candidates that are approved by the regulators are and will be subject to ongoing regulatory requirements with respect to manufacturing, labeling, advertising, promotion, sampling, record-keeping, conduct of post-market studies, submission of safety, efficacy and other post-market information, and other requirements of regulatory authorities in jurisdictions where we market or sell our products.

Regulatory approvals for our products and any approvals that we receive for our product candidates are and may be subject to limitations on the indicated uses for which our product may be marketed. The approvals we obtain may also be subject to other conditions that may require potentially costly post-market testing and surveillance to monitor the safety and efficacy of our products or product candidates. Such limitations and conditions could adversely affect the commercial potential of our products. The NMPA and other comparable regulatory authorities strictly regulate the marketing, labeling, advertising and promotion of products placed on the market. As such, we are and will be subject to continual review and inspections by the regulators to assess our compliance with applicable laws, requirements, and adherence to commitments we made in any application materials with the NMPA or other comparable regulatory authorities. Accordingly, we must continue to devote time, money and effort to all areas of regulatory compliance.

If we fail to maintain compliance with these ongoing regulatory requirements or if problems occur after our products reach the market, the NMPA or other comparable regulatory authorities may seek to impose a consent decree, withdraw marketing approval, or mandate product recalls. Later discovery of previously unknown problems with our products or product candidates or with our manufacturing processes may result in revisions to the approved labeling or requirements to add new safety information; imposition of post-market studies or clinical studies to assess new safety risks; or imposition of distribution restrictions or other restrictions. Other potential consequences include, among other things: (i) restrictions on the marketing or commercialization of our products, withdrawal of the products from the market, or voluntary or mandatory product recalls; (ii) fines, untitled or warning letters, or holds on clinical trials; (iii) refusal by the NMPA or comparable regulatory authorities to approve pending applications or supplements to approved applications filed by us or suspension or revocation of license approvals or withdrawal of approvals; (iv) product seizure or detention, or refusal to permit the import or export of our products and product candidates; and/or (v) injunctions or the imposition of civil, administrative or criminal penalties.

We cannot predict the likelihood, nature or extent of governmental policies or regulations that may arise from future legislation or administrative actions in various jurisdictions, where the regulatory environment is constantly evolving. If we are slow or unable to adapt to changes in existing requirements or the adoption of new requirements or policies, or if we are unable to maintain regulatory compliance, we may lose any regulatory approval that we have obtained and we may not achieve or sustain profitability.

If we or parties with whom we cooperate fail to maintain the necessary licenses for the development, production, sales and distribution of our products, our ability to conduct our business could be materially impaired.

We, our business partners, including research institutions, clinical research organizations ("**CROs**"), distributors, suppliers and lessors, are required to obtain, maintain and renew various permits, licenses and certificates to develop, produce, promote and sell our products. Any failure to comply with such regulations could result in the termination of ongoing research, administrative penalties imposed by regulatory bodies or the disqualification of data for submission to regulatory authorities. This could harm our reputation, business, financial condition, results of operations and prospects. Specifically, companies producing medical devices in China are required to obtain permits and licenses issued by various government authorities, including but not limited to the medical device production permit (《醫療器械生產許可證》) and medical device production record-filing (《醫療器械生產備案》). For details, see "Regulatory Overview — Relevant Laws and Regulations in the PRC."

We and third parties with whom we cooperate may be also subject to regular inspections, examinations, inquiries or audits by regulatory authorities, an adverse outcome of which may result in the loss or nonrenewal of the relevant permits, licenses and certificates. Moreover, the interpretation and enforcement of existing laws and regulations may be subject to future implementations, or new regulations may come into effect. There can be no assurance that we or our business partners will be able to adapt to these changes in a timely and efficient manner, and obtain and maintain permits, licenses and certificates that are material to the operation of our business. If we or our business partners fail to to maintain or renew material permits, licenses and certificates, or failure to comply with the regulatory requirements, our ability to conduct our business could be materially impaired.

RISKS RELATING TO OUR INTELLECTUAL PROPERTY RIGHTS

If we are unable to obtain and maintain patent protection for our products and product candidates through intellectual property rights, or if the scope of such intellectual property rights obtained is not sufficiently broad, third parties may compete directly against us and our ability to successfully commercialize any product and product candidate we developed may be adversely affected.

We seek to protect our product candidates and technologies that we consider commercially important primarily by filing patent applications in China, the U.S., EU and other countries or regions as well as relying on trade secrets, regulatory protection or employing a combination of these methods. However, filing, prosecuting, maintaining and defending patents in all countries throughout the world could be prohibitively expensive for us, and our intellectual property rights in some countries can have a different scope and strength than do those in some other countries. We may not be able to file and prosecute all necessary or desirable patent applications and secure other intellectual property protection in all relevant jurisdictions in a timely manner. It is also possible that we or our business partners will fail to identify patentable aspects of our research and development output before it is too late to obtain patent protection. Moreover, we or our business partners may fail to timely identify third-party infringement of our intellectual property rights and take necessary actions to defend and enforce our rights, or at all.

We cannot assure you that all of our patent applications will be granted. Patent applications may not be granted for a number of reasons, including a late application date, known or unknown prior art, deficiencies in the patent application or the lack of novelty or non-obviousness of the underlying invention or technology. China, the U.S. and Europe have adopted the "first-to-file" system, under which the first inventor to file a patent application will be awarded the patent if all other patentability requirements are met. Moreover, patent applications in China, the U.S. and other jurisdictions are typically not published until an 18-month waiting period after filing, or in some cases, at all. In addition, under the PRC Patent Law, any organization or individual that applies for a patent in a foreign country for an invention or utility model accomplished in China is required to file in advance to the China National Intellectual Property Administration ("**CNIPA**") for confidentiality examination. Otherwise, if an application is later filed in China, the patent right will not be granted. Therefore, we cannot be certain that we were the first to make the inventions claimed in our owned or licensed patents or pending patent applications or that we were the first to file for patent protection of such inventions.

In addition, periodic maintenance fees, renewal fees, annuity fees and various other governmental fees on patents and patent applications are due to be paid and will be paid to the CNIPA, the United States Patent and Trademark Office and other applicable patent agencies in several stages over the lifetime of a patent. Such applicable patent agencies require compliance with a number of procedural, documentary, fee payment, and other similar provisions during the patent application process. Although an inadvertent lapse can in many cases be cured by the payment of a late fee or by other means in accordance with the applicable rules, there are situations in which non-compliance can result in abandonment or lapse of the patent or patent application, resulting in partial or complete loss of patent rights in the relevant jurisdiction. Non-compliance events that could result in abandonment or lapse of a patent or patent application include the failure to respond to official actions within prescribed time limits, non-payment of fees, and the failure to properly legalize and submit formal documents. In any such event, our competitors might be able to enter the market, which would have a material and adverse effect on our business.

We may not be able to protect our intellectual property rights or prevent unfair competition by third parties.

The laws of certain countries do not protect intellectual property rights to the same extent as the laws of certain other countries. Consequently, we may not be able to prevent third parties from practicing our inventions in all countries, or from selling or importing products made using our inventions in and into certain jurisdictions. Competitors may use our patented technologies in jurisdictions where we have not obtained patent protection to develop their own products and further, may be able to circumvent our patents by developing similar or alternative products and technologies in a non-infringing manner, may develop and commercialize products and technologies similar or identical to ours and compete directly against us after the expiration of our patent rights, or may export otherwise infringing products to certain jurisdictions where we have patent protection, but where enforcement rights are not as strong as those in certain other countries. These products may compete with our products and product candidates and our patent rights or other intellectual property rights may not be effective or adequate to prevent them from competing.

The legal systems of some countries do not favor the enforcement of patents, trade secrets and other intellectual properties, particularly those relating to medical device products, which could make it difficult in those jurisdictions for us to stop the infringement, misappropriation or other violation of our patents or other intellectual property rights, or the marketing of competing products in violation of our proprietary rights. Proceedings to enforce our intellectual property and proprietary rights in foreign jurisdictions could result in substantial costs and divert our efforts and attention from other aspects of our business, put our patents at risk of being invalidated or interpreted narrowly, put our patent applications at risk of not issuing, and provoke third parties to assert claims against us. We may not prevail in any lawsuits that we initiate, and the damages or other remedies awarded, if any, may not be commercially meaningful. Accordingly, our efforts to enforce our intellectual property rights around the world may be inadequate to obtain a significant commercial benefit from the intellectual property that we develop or license. Any of the foregoing could materially and adversely affect our business, financial conditions, operating results and prospects.

We may become involved in lawsuits to protect or enforce our intellectual property, which could be expensive, time-consuming and unsuccessful and may delay us from developing or commercializing our product candidates.

Competitors may infringe or misappropriate our intellectual property, and enforcing our rights may require costly and time-consuming litigation that diverts management and scientific resources. Such actions could prompt counterclaims alleging infringement of third-party rights, and there is a risk that our patents or trademarks could be found invalid, unenforceable or narrowly construed, limiting our ability to exclude competitors or, in the case of trademarks, forcing us to cease use of certain marks. Even if we prevail, litigation may not result in commercially meaningful damages and could require extensive discovery that risks disclosure of confidential information. In addition, we may lack sufficient resources to pursue or sustain prolonged IP enforcement actions, and the costs and distractions associated with such proceedings may outweigh any potential benefits, adversely affecting our competitive position, business prospects and financial condition.

We may be subject to intellectual property infringement claims or other disputes, which could be costly and time-consuming to defend, and could prevent or delay us from developing or commercializing our product candidates.

We may receive in the future, notices that claim our technologies or certain other aspects of our business have infringed, misappropriated or misused other parties' intellectual property rights. Whether third-party intellectual property claims are with or without merit, there is no assurance that a court would find in our favor on questions of infringement, validity, enforceability or priority. A court of competent jurisdiction may hold that these third-party patents are valid, enforceable and infringed, which could materially and adversely affect our ability to commercialize any product candidates or technologies covered by the asserted third-party patents. Defending against claims of patent infringement, misappropriation of trade secrets or other violations of intellectual property rights involves an analysis of complex legal and factual issues, the determination of which is often uncertain, and thus it could be costly and time-consuming, regardless of the outcome. Thus, even if we were to ultimately prevail, or to settle at an early stage, such litigation could result in a substantial diversion of management resources and burden us with substantial unanticipated costs.

Moreover, some of our competitors are larger than we are and are able to mobilize substantially greater resources than we do. They are, therefore, likely to be able to sustain the costs of complex intellectual property litigation longer than we could. In addition, the uncertainties associated with litigation could have a material and adverse effect on our ability to raise the funds necessary to conduct our clinical trials, continue our internal research projects, in-license needed technologies, or enter into strategic partnerships that would help us bring our product candidates to market.

We may not have the right to control the preparation, filing, prosecution, maintenance, extension, enforcement and defense of patents and patent applications covering the technologies that we license from third parties, which could have a material and adverse effect on us.

We may not have the right to control the preparation, filing, prosecution, maintenance, enforcement or defense of patents and patent applications covering the technologies that we have in-licensed or may in-license from third parties in the future. Therefore, we cannot be certain that these patents and patent applications will be prepared, filed, prosecuted, maintained, enforced and defended in a manner consistent with the best interests of our business. If we continue to enter into in-licensing agreements in the future, and such future licensing partners fail to prosecute, maintain, enforce or defend the patents we license in, or lose rights to those patents or patent applications, the rights we will have licensed may be reduced or eliminated, and our right to develop and commercialize any of our products and product candidates that are subject of such potential licensed rights could be adversely affected.

Changes in patent law in the jurisdictions where we operate could diminish the value of patents in general, thereby impairing our ability to protect our product candidates.

The scope of patent protection varies across jurisdictions. Changes in patent laws or their interpretations may diminish our ability to protect our inventions, obtain, maintain, defend, or enforce our intellectual property rights and, more generally, could affect the value of our intellectual property. We cannot predict whether the patent applications we are currently pursuing and may pursue in the future will provide us with sufficient protection. The coverage claimed in patent applications can be significantly reduced before the patents are issued, and their scopes can be reinterpreted after issuance.

Even if patent applications we own currently or in the future issue as patents, they may not issue in a form that will provide us with any meaningful protection, prevent competitors or other third parties from competing with us. In addition, the patent position of medical device companies generally is highly uncertain, involves complex legal and factual questions, and has been the subject of much litigation in recent years.

If our trademarks and trade names are not adequately protected, then we may not be able to build brand recognition in our markets of interest and our business may be adversely affected.

We currently hold registered trademarks and have trademark applications pending, any of which may be the subject of a governmental or third-party objection, which could prevent the registration or maintenance of the same. If we are unsuccessful in obtaining trademark protection for our primary brands, we may be required to change our brand names, which could materially adversely affect our business. Moreover, as our products mature, our reliance on our trademarks to differentiate us from our competitors will increase, and as a result, if we are unable to prevent third parties from adopting, registering or using trademarks and trade dress that infringe, dilute or otherwise violate our trademark rights, or engaging in any conduct that constitutes unfair competition, defamation or other violation of our rights, our business could be materially adversely affected.

If we are unable to protect the confidentiality of our trade secrets, our business and competitive position would be harmed. We may be subject to claims that our employees have wrongfully used or disclosed alleged trade secrets and other intellectual properties of their former employers.

In addition to our issued patents and pending patent applications, we rely on trade secrets, including unpatented know-hows, technologies and other proprietary information, to maintain our competitive position and to protect our product candidates. We seek to protect these trade secrets, in part, by entering into non-disclosure and confidentiality agreements or include such undertakings in the agreement with parties that have access to them, such as our employees, advisers and other third parties. We also enter into employment agreements with all of our employees that include undertakings regarding confidentiality, assignment of inventions and discoveries. However, such agreements with our employees, adviser and other third parties may not adequately prevent disclosures of our trade secrets and other proprietary information. Any of these parties may breach such agreements and disclose our proprietary information, and we may not be able to obtain adequate remedies for such breaches. Enforcing a claim that a party illegally disclosed or misappropriated a trade secret can be difficult, expensive and time consuming, and the outcome is unpredictable. If any of our trade secrets were lawfully obtained or independently developed by a competitor, we would have no right to prevent them from using that technology or information to compete with us and our competitive position would be harmed. Further, our employees, advisers or other third parties may be subject to claims by their former employers or other business partners, which could result in additional costs, litigation, or restrictions on our ability to commercialize our products.

Intellectual property rights do not necessarily protect us from all potential threats to our competitive advantage.

Our intellectual property rights may not be sufficient to prevent third parties from developing or commercializing competing products or technologies, and our patent applications may not result in issued patents or provide meaningful competitive protection. If we fail to maintain or enforce effective intellectual property protection, our competitive position, business, financial condition, results of operations and prospects could be materially and adversely affected.

RISKS RELATING TO OUR GENERAL OPERATIONS

If the third parties with which we contract for pre-clinical studies and clinical trials do not perform in an acceptable manner, or if we suffer setbacks in these activities, we may be unable to develop and commercialize our product candidates as anticipated.

We rely on third parties, including clinical sites we contract with to collect data for improving our products, and clinical trial institutions, public hospitals, and/or CROs, to assist us in designing, implementing and monitoring our clinical trials. To ensure the quality of our pre-clinical studies and clinical trials, we selectively choose these third parties, taking into consideration their work methodology and experience, among other factors. We rely on these parties for execution of our algorithm training, pre-clinical studies and clinical trials and do not control all aspects of their activities. If any of these parties terminates its agreements with us, we may not be able to enter into arrangements with alternative third parties that meet our standards, or on commercially reasonable terms, or at all, and the development of the product candidates covered by those agreements could be substantially delayed. In addition, these third parties may not successfully carry out their contractual obligations, meet expected deadlines or follow regulatory requirements, including clinical and laboratory guidelines. Our reliance on these third parties may result in delays in completing, or in failing to complete, these studies if they fail to perform in accordance with the contractual arrangements. Furthermore, if any of these parties fail to perform their obligations under our agreements with them in the manner specified in those agreements, the NMPA or other comparable regulatory authorities may not accept the data generated by those studies or may require us to perform additional clinical trials before approving our commercialization applications, which would increase the cost of and the development time for the relevant product candidate. If any of the pre-clinical studies or clinical trials of our product candidates is affected by any of reasons described above, we will be unable to meet our anticipated development or commercialization timelines, which would have a material adverse effect on our business and prospects.

We have entered into collaborations, and may establish or seek collaborations or strategic alliances or enter into licensing arrangements in the future, and we may not realize the benefits of such collaborations, alliances or licensing arrangements.

We may from time to time establish or seek strategic alliances, form joint ventures or collaborations, or enter into licensing arrangements with third parties that we believe will complement or augment our development and commercialization efforts with respect to our existing product candidates and any future product candidates that we may develop.

We may not be successful in our efforts to establish a strategic partnership or other alternative arrangements for our product candidates because they may be deemed to be at too early stage of development for collaborative effort and third parties may not view our product candidates as having the requisite potential to demonstrate safety and efficacy or commercial viability. If and when we collaborate with a third party for development and commercialization of a product candidate, we can expect to relinquish some or all of the control over the future success of that product candidate to the third party. For any products or product candidates that we may seek to in-license from third parties, we may face significant competition from other medical device companies with greater resources or capabilities than us, and any agreement that we do enter may not result in the anticipated benefits.

If we become subject to litigation, legal or contractual disputes, governmental investigations or administrative proceedings, our management's attention may be diverted and we may incur substantial costs and liabilities.

We may from time to time become subject to various litigations, legal or contractual disputes, investigations or administrative proceedings arising in the ordinary course of our business, including but not limited to various disputes with or claims from our current and former employees, suppliers, customers, contractors, business partners and other third parties that we engage for our business operations. On-going or threatened litigations, legal or contractual disputes, investigations or administrative proceedings may divert our management's attention and consume their time and our other resources. We cannot assure you that we will not be subject to any similar claims, disputes or legal proceedings, related to, or in connection with, our share incentive scheme, or other aspects in the ordinary course of business in the future. Any such claims, disputes or legal proceedings involving us or our employees may result in damages or liabilities, as well as legal and other costs and may cause a distraction to our management.

Any failure to offer patient support may adversely affect our relationships with our existing and prospective patients, and in turn our business, results of operations and financial condition.

Our patients and healthcare professionals will depend on our customer and patient support to properly use and upgrade our iNO therapy, FeNO detection and IABP products, and resolve issues in a timely manner. We may be unable to respond quickly enough to accommodate short-term increases in demand for customer and patient support. Increased demand for support could increase costs and adversely affect our results of operations and financial condition. Any failure to maintain high-quality customer and patient support, or the market perception that we do not maintain high quality customer and patient support, could adversely affect customer and patient satisfaction and their willingness to continue to use our products or the willingness of physicians to prescribe or recommend our products, which in turn could harm our business, results of operations and financial condition.

Our future success depends on our ability to retain key executives and to attract, hire, retain and motivate other qualified and highly skilled personnel.

Our future success depends on the continued service of our senior management and other key personnel. The loss of any such individuals, including due to departures to competitors or the inability to replace them in a timely manner, could materially and adversely affect our business, financial condition and results of operations. We may also face challenges in attracting and retaining senior management and key personnel on acceptable terms. In addition, our growth depends on our ability to recruit and retain qualified personnel with expertise in medical devices and life sciences. Competition for such talent is intense across industry, academia and research institutions, and high turnover could limit our ability to develop our technologies, pursue collaborations and execute our business strategy.

Our operations and business plans may be adversely affected by natural disasters, civil and social disruption.

Any future occurrence of force majeure events, natural disasters or outbreaks of epidemics and contagious diseases, including avian influenza, severe acute respiratory syndrome, swine influenza caused by the H1N1 virus, or H1N1 influenza or the Ebola virus, may materially and adversely affect our business, financial condition and results of operations. An outbreak of a contagious disease or other adverse public health developments in China or elsewhere could have a material adverse effect on our business operations. These events could cause temporary suspension of our manufacturing facilities, laboratory operations, or clinical trials, and could disrupt our supply chain and sales activities. For instance, our operations could be disrupted if any of our employees or employees of our distributors or other business partners were suspected of contracting or contracted a contagious disease, since this could require us and our distributors and other business partners to quarantine some or all of these employees and disinfect facilities used for operations. In addition, the commencement of new clinical trials for product candidates in our development pipeline could also be delayed or prevented by any delay or failure in subject recruitment or enrollment. Our commercialization plan for commercial-ready or near commercial-ready assets could also be disrupted.

Moreover, geographies where we market our products have experienced natural disasters such as earthquakes, floods and droughts in the past few years. Any future occurrence of severe natural disasters in these geographies may materially and adversely affect its economy and our business. We cannot assure you that any future occurrence of natural disasters or outbreaks of epidemics and contagious diseases or the measures taken by the government in response to such contagious diseases will not seriously disrupt our operations or those of our customers, which may materially and adversely affect our business, financial condition and results of operations.

We are subject to risks relating to leased properties.

We do not own the real property for our current major operations. As of the Latest Practicable Date, we had 5 leased properties in the PRC, with a total aggregate gross floor area of approximately 9,500 sq.m. Upon expiration of the leases, we will need to negotiate for renewal of the leases and may have to pay increased rent. We cannot assure you that we will be able to renew our leases on terms which are favorable or otherwise acceptable to us, or at all. If we fail to renew any of our leases or if any of our leases are terminated or if we cannot continue to use any of our leased property, we may need to seek an alternative location and incur expenses related to such relocation, and our operations and businesses may also be disrupted or even suspended if we are not able to complete the relocation, including the reconstruction of relevant facilities in the new location, in a timely manner.

We are subject to other risks related to our leased properties. Pursuant to the applicable PRC laws and regulations, property lease agreements must be registered with the local branch of the Ministry of Housing and Urban-Rural Development of the PRC. As of the Latest Practicable Date, we had not completed the relevant property leasing registrations for four of our leased properties. With respect to such failure of filing lease agreements, our PRC Legal Advisor is of the view that the failure to file lease agreements will not affect the validity of such lease agreements, but the relevant local housing administrative authorities can require us to complete filings within a specified timeframe and we may be subject to a fine between RMB1,000 and RMB10,000 per lease. During the Track Record Period and up to the Latest Practicable Date, we did not experience any material dispute arising out of our leased properties and were not subject to any penalties imposed by regulatory authorities.

During the track record period, we did not obtain construction permits or complete the final acceptance filing for certain decoration projects. According to relevant PRC laws and regulations, such failures may subject us to administrative penalties, including orders to make rectifications within a prescribed period and the imposition of fines. As of the Latest Practicable Date, we have not received any notification, inquiry or administrative fines or penalties.

Our technology infrastructure may experience unexpected system failure, interruption, inadequacy, security breaches or cyberattacks.

Despite the implementation of security measures, our internal computer systems are vulnerable to damage from computer viruses and unauthorized access. Although to our knowledge we have not experienced any material system failure or security breach to date, if such an event were to occur and cause interruptions in our operations, it could result in a material disruption of our development programs and our business operations.

Our internal computer systems store a wide variety of business critical information including research and development information, commercial information and business and financial information. Because information systems, networks and other technologies are critical to many of our operating activities, shutdowns or service disruptions at our Company or vendors that provide information systems, networks, or other services to us pose increasing risks. Such disruptions may be caused by events such as computer hacking, phishing attacks, ransomware, dissemination of computer viruses, worms and other destructive or disruptive software, denial of service attacks and other malicious activity, as well as power outages, natural disasters (including extreme weather), terrorist attacks or other similar events. Such events could have an adverse impact on us and our business, including loss of data and damage to equipment and data. In addition, system redundancy may be ineffective or inadequate, and our disaster recovery planning may not be sufficient to cover all eventualities. Significant events could result in a disruption of our operations, damage to our reputation or a loss of revenue. In addition, we may not have adequate insurance coverage to compensate for any losses associated with such events.

We may be subject, directly or indirectly, to applicable anti-bribery laws, anti-kickback laws, false claims laws, physician payment transparency laws, fraud and abuse laws or similar healthcare and security laws and regulations in China and other jurisdictions, which could expose us to criminal sanctions, civil penalties, contractual damages, reputational harm and diminished profits and future earnings.

Physicians and other healthcare service providers play a primary role in the recommendation and use of any products for which we obtain regulatory approval. Our operations are subject to various applicable anti-bribery laws, anti-kickback laws, false claims laws, fraud and abuse laws or similar healthcare and security laws and regulations in China, including, without limitation, Criminal Law of the PRC and the PRC Anti-Unfair Competition Law. These laws may impact, among other things, our proposed sales, marketing and education programs. Violations of fraud and abuse laws may be punishable by criminal and/or civil sanctions, including penalties, fines and/or exclusion or suspension from governmental healthcare programs and debarment from contracting with the PRC or other government.

Law enforcement authorities are increasingly focused on enforcing fraud and abuse laws, and some of our practices may be challenged under these laws. Efforts to ensure that our business arrangements with third parties comply with applicable healthcare laws and regulations will involve substantial costs. Governmental authorities could conclude that our business practices may not comply with current or future statutes, regulations or case law involving applicable fraud and abuse or other healthcare laws and regulations. If any such actions are instituted against us, and we are not successful in defending ourselves or asserting our rights, those actions could have a significant impact on our business, including the imposition of civil, criminal and administrative penalties, damages, disgorgement, monetary fines, possible exclusion from participation in governmental healthcare programs, contractual damages, reputational harm, diminished profits and future earnings, and curtailment of our operations, any of which could adversely affect our ability to operate our business and our results of operations.

In addition, we are subject to equivalents of each of the healthcare laws described above in other jurisdictions, among others, some of which may be broader in scope and may apply to healthcare services reimbursed by any source, not just governmental payors, including private insurers. There are ambiguities as to what is required to comply with these requirements, and if we fail to comply with an applicable law requirement, we could be subject to penalties.

If any of the physicians or other healthcare service providers with whom we do business are found to be not in compliance with applicable laws, they may be subject to criminal, civil or administrative sanctions, including exclusions from government funded healthcare programs, which may also adversely affect our business.

Our insurance coverage may not completely cover the risks related to our business and operations, which could expose us to significant costs and business interruptions.

We maintain insurance policies that are required under PRC laws and regulations as well as other insurance policies based on our assessment of our operational needs and industry practice. We have elected not to maintain certain types of insurances, such as cargo insurance for goods. Our insurance coverage may be insufficient to cover any claim for product liability, damage to our fixed assets or employee injuries. Any uninsured risks may result in substantial costs and the diversion of resources, which could adversely affect our business, financial condition, and results of operations.

We may be subject to penalties if we are not in compliance with the PRC's regulations relating to social insurance and housing funds.

According to the PRC Social Insurance Law (《中華人民共和國社會保險法》) and the Regulations on the Administration of Housing Funds (《住房公積金管理條例》), within a prescribed time limit, we need to register with the relevant social security authority and housing provident fund management center, and to open the relevant accounts and make full contributions to social insurance and housing funds for our employees, and this obligation cannot be delegated to any third party.

We have engaged third-party human resources agencies to pay social insurance and housing funds for some of our employees, primarily due to the specific need of certain sales personnel whose work locations differed from our main operating entities, to participate in local social insurance and housing fund schemes in their place of residency to ensure full and proper contribution. Pursuant to the PRC laws and regulations, we are required to pay social insurance premium and housing provident funds for our employees under our own accounts instead of making payments under third-party accounts. The contributions to social insurance premium and housing provident funds made through third-party accounts may not be viewed as contributions made by us, and as a result, we may be required by competent authorities to pay the outstanding amount, and could be subject to late payment penalties or enforcement application made to the court. As of the Latest Practicable Date, we continue to utilize third-party agencies for certain employees whose work locations differ from our main operating entities.

As of the Latest Practicable Date, we had not received any notification from the relevant PRC authorities requiring us to pay for the shortfalls or any overdue charges with respect to social insurance and housing funds, nor had we received any administrative penalty or labor arbitration application from employees for our agency arrangement with third-party human resources agencies. We cannot assure you that the competent local government authorities will not require us to pay the outstanding amount within a specified time limit or impose late fees or fines on us, which may affect our financial condition and results of operations.

Our business significantly depends on our reputation and customer perception of us, and any negative publicity on us or failure to maintain and enhance our recognition and reputation may materially adversely affect our business, financial condition and results of operations.

Our brand is important to attracting and retaining partners and our success depends on our ability to maintain and enhance our brand image and reputation. Maintaining, promoting and growing our brands depend largely on the success of our ability to provide consistent, high-quality services, our marketing efforts and our ability to successfully secure, maintain, and defend our rights to use our brands and trade names. Our brand could be harmed if we fail to achieve these objectives.

Our brand value also depends on our ability to maintain a positive perception of our corporate integrity, purpose and brand culture. Any negative publicity concerning us, our management, employees, affiliates and partners, even if untrue, could adversely affect our reputation and business prospects. There can be no assurance that negative publicity about us or any of our management, employees or affiliates and partners would not damage our brand image or have a material adverse effect on our business, results of operations and financial condition.

RISKS RELATING TO OUR FINANCIAL POSITION AND NEED FOR ADDITIONAL CAPITAL

We have incurred significant net loss from operations historically. We may continue to incur significant net loss from operations in the near future, which may materially adversely affect our business operations, results of operations, financial position and profitability.

We have a history of significant operating expenses and net losses and have experienced, and expect to continue to experience, negative operating cash flows, requiring us to finance our operations primarily through equity investments. In 2024 and the nine months ended September 30, 2024 and 2025, we recorded net losses of RMB86.2 million, RMB60.0 million and RMB67.8 million, respectively. Our net loss position primarily resulted from costs incurred in connection with our research and development, selling activities and administrative expenses associated with our operations, as well as finance costs in connections with redemption right granted to our investors. In particular, we have invested heavily in our research and development efforts. We incurred research and development expenses of RMB33.0 million, RMB22.1 million and RMB20.3 million for the years ended December 31, 2024 and the nine months ended September 30, 2024 and 2025, respectively. As we expect to further expand our product pipeline, we expect that our R&D expenses to increase in the absolute amount. See "Financial Information — Description of Key Components of Consolidated Statements of Profit or Loss."

We expect our net losses to continue in the foreseeable future as we expand our development of, and seek regulatory approvals for, our product candidates, and commercialize our products. Typically, it takes many years to develop one new product from the time it is designed to when it is available for commercial sales. We will also incur costs in support of our growth. The size of our future net losses will depend, in part, on the number and scope of our product development programs and the associated costs of those programs, the cost of commercializing any approved products, our ability to generate revenue and the timing and amount of milestones and other payments we make or receive with arrangements with third parties. If we are unable to effectively manage increases in operating expenses or net losses, our business, results of operations and financial position could be materially and adversely affected.

We will need to obtain additional financing to fund our operations and we had net cash outflows from our operating activities during the Track Record Period. If we are unable to obtain that financing, we may be unable to complete the development and commercialization of our product candidates.

Our product candidates will require completion of clinical development, regulatory review, significant marketing efforts and substantial investment before they can provide us with product sales revenue. Our operations have consumed substantial amounts of cash since inception. We had net cash flows used in operating activities of RMB52.8 million, RMB41.3 million and RMB46.0 million for the year ended December 31, 2024 and the nine months ended September 30, 2024 and 2025, respectively. We cannot assure you that we will be able to generate positive cash flows from operating activities in the future. Our liquidity and financial condition may be materially and adversely affected by negative net cash flows, and we cannot assure you that we will have sufficient cash from other sources to fund our operations. If we resort to other financing activities to generate additional cash, we will incur financing costs and we cannot guarantee that we will be able to obtain the financing on terms acceptable to us, or at all, and if we raise finance by issuing further equity securities, your interest in us may be diluted. If we continue to have negative operating cash flows in the future, our liquidity and financial condition may be materially and adversely affected.

Adequate additional funding may not be available to us on acceptable terms, or at all. If we are unable to raise capital when needed or on attractive terms, we would be forced to delay, reduce or eliminate our research and development programs or future commercialization efforts.

Failure to maintain and predict inventory levels in line with the level of demand for our products could cause us to lose sales or face excess inventory risks and holding costs, either of which could have a material adverse effect on our business, financial condition and results of operations.

To operate our business successfully and meet our customers' demands and expectations, we must maintain a certain level of inventory for our products to ensure timely delivery as required. In 2024 and for the nine months ended September 30, 2025, our average inventory turnover days were 204 days and 235 days, respectively. We maintain our inventory levels based on our internal forecasts which are inherently uncertain. If our forecast demand is lower than actual demand, we may lose sales and market share to our competitors. On the other hand, excess inventory levels may increase our inventory holding costs, risk of inventory obsolescence or write-offs.

We have adopted a share incentive plan and will continue to grant share-based awards in the future, which may increase expenses associated with share-based compensation, cause shareholding dilution to our existing Shareholders, and have an adverse effect on our financial performance. Exercise of the awards granted will increase the number of our outstanding Shares, which may adversely affect the [REDACTED] of our Shares.

We have adopted the Pre-[**REDACTED**] Employee Incentive Scheme in 2020 which was amended and replaced on January 20, 2026. See "Appendix IV — Statutory and General Information — Pre-[**REDACTED**] Employee Incentive Scheme." In 2024 and for the nine months ended September 30, 2024 and 2025, we recorded share-based payment expenses of RMB1.5 million, RMB1.1 million and RMB1.0 million, respectively, related to awards granted under the Pre-[**REDACTED**] Employee Incentive Scheme.

We believe the granting of share-based awards is of significant importance to our ability to attract and retain key personnel and employees. As a result, we will continue to grant share-based compensation to employees in the future, which may further increase our expenses associated with share-based compensation, cause shareholding dilution to our Shareholders, and adversely affect the [**REDACTED**] of our Shares, and in turn materially and adversely affect our business, financial condition, and results of operations.

Fluctuations in exchange rates may result in foreign currency exchange losses and may have a material adverse effect on your [REDACTED].

If any portion of our revenue, expenses or cash flows is denominated in currencies other than RMB, our operating results and financial condition may be adversely affected by fluctuations in foreign currency exchange rates. In addition, the translation into RMB of revenues, expenses, assets and liabilities denominated in foreign currencies will be affected by changes in foreign currency exchange rates. As we expect our sales to overseas market will expand in the future, we may be exposed to foreign exchange risks for transactions settled in U.S. dollars or currencies other than RMB. Our net income and cash flows may be negatively affected by changes in foreign currency exchange rates. In 2024, and the nine months ended September 30, 2024 and 2025, we recorded net exchange gains of RMB27 thousand, and net exchange loss of RMB39 thousand and RMB39 thousand, respectively.

We have historically received government grants and subsidies operation and we may not receive such grants or subsidies in the future.

We have historically received government grants which mainly represent unconditional government subsidies to encourage the operations of certain subsidiaries of us. For the year ended December 31, 2024 and the nine months ended September 30, 2024 and 2025, we recognized government grants as other income of RMB3.0 million, RMB2.3 million and RMB1.2 million, respectively. For further details of our government grants, see "Financial Information." We cannot assure you of the continued availability of the government grants and other favorable policies currently enjoyed by us. Any reduction or elimination of such government grants and other policies would materially adversely affect our business, financial condition, results of operations and prospects.

We may not be able to fulfill our obligation in respect of contract liabilities which could adversely affect our financial condition, results of operations and prospects.

As of December 31, 2024 and September 30, 2025, we had contract liabilities of RMB1.2 million and RMB1.9 million, respectively, mainly arise from the advance payments made by customers for our commercialized products. If we have any difficulties or fail to perform our obligations under our contracts, our relationships with our customer will be adversely affected and we will be unable to recognize such contract liabilities as revenue, exposing us to the risk of shortfalls in liquidity, which may have a material adverse effect on our operational performance and prospects. See "Financial Information — Net Current (Liabilities)/Assets — Contract Liabilities."

If we determine our intangible assets and goodwill to be impaired, our results of operations and financial condition may be adversely affected.

As of September 30, 2025, we had intangible assets of RMB0.5 million. Our determination on whether intangible assets are impaired requires an estimation on recoverable amount of the intangible assets, which is based on a number of assumptions made by our management. If any of these assumptions does not materialize, or if the performance of our business is not consistent with such assumptions, the carrying amount of the intangible assets may exceed its recoverable amount, our intangible assets may be impaired. Any significant impairment of intangible assets could have a material adverse effect on our business, financial condition and results of operations.

For more information regarding our impairment policy in relation to intangible assets, please refer to Note 18 of Appendix I and Note 12 of Appendix IA to this document.

RISKS RELATING TO DOING BUSINESS IN THE JURISDICTION WHERE WE OPERATE

We operate within a complex and evolving medical device regulatory landscape across various jurisdictions and regulatory regimes, which may impede or delay the approval and commercialization of our products.

Our products, marketing, sales and development activities and manufacturing processes are subject to extensive and dynamic regulation by the regulatory authorities of the jurisdictions in which we operate. The regulatory framework of the medical device industry in the PRC addresses various aspects of a medical company's operations, including approval, production, licensing, certification requirements and procedures, periodic renewal and reassessment processes, registration of new medical devices, quality control, pricing and distribution of medical devices and environmental protection. On December 26, 2016, the Notice on Opinions on the Implementation of the "Two Invoice System" in Drug Procurement by Public Medical Institutions (for Trial Implementation) (《關於在公立醫療機構藥品採購中推行"兩票制"的實施意見(試行)的通知》) was jointly issued by the Medical Reform Office of the State Council (國務院醫改辦) and other seven ministries and commissions. On July 19, 2019, the General Office of the State Council issued the Notice on Printing and Distributing the Reform Plan for the Management of High-value Medical Consumables (國務院辦公廳關於印發治理高值醫用耗材改革方案的通知), which encourages local governments to adopt the "Two Invoice System" on a case-by-case basis in order to reduce the circulation of high-value medical consumables and promote the transparency of purchase and sales.

The status of the implementation of Two Invoice System for medical devices differs across provinces in China, and the nationwide implementation of Two Invoice System for medical devices shall be determined in accordance with the relevant laws and regulations in effect at that time. If the products offered by us are included in the Two Invoice System, we or our distributors maybe required adjust selling channels, which may adversely affect our product sales. In addition, any failure to comply with such rules and regulations could have a material and adverse impact on our business, financial condition and results of operations and our reputation could also be adversely affected.

We currently conduct our operations globally. The international medical device industries are subject to comprehensive government regulation and supervision, encompassing the approval, registration, manufacturing, packaging, licensing and marketing of new devices and products. In recent years, the regulatory framework in countries where we operate regarding the medical device industry and pharmaceutical industry has undergone changes and we expect that they will continue to undergo additional changes. Any such changes or amendments may result in increased compliance costs on our business or cause delays in or prevent the successful development of our products and solutions and reduce the benefits we believe are available to us from operating globally.

Changes in geopolitical relationships, barriers to trade or escalation of trade disputes, including the imposition of trade restrictions and sanctions, could negatively affect demand for our products and services, and consequently could have a material adverse effect to our business, financial condition and results of operation.

Our global operations are subject to the risk of deterioration in the political and economic relations among countries and sanctions and export controls administered by the government authorities in the countries in which we operate, and other geopolitical challenges. We cannot predict whether the countries in which we operate, or may operate in the future, would become subject to new or additional trade restrictions and sanctions, including the type or effect of such restrictions and sanctions imposed by the United States or other governments. We cannot assure you that we, our research partners, our suppliers and customers, or the global value chains we serve will not be impacted in the future. Any impacts may result in our customers seeking other suppliers for the products and services that we offer, and we may be unable to recapture and/or replace such customers. We may also have to adjust or even terminate our collaborations with our research and other business partners, which could disrupt our research and development and commercialization strategies. Further, any increased customs restrictions and tariffs or quotas, or the imposition of additional duties and other charges on imports and exports could change the way we and our customers conduct business, increase our costs, or impede the timely delivery of our products. This could have a negative effect on our business, financial condition, results of operations and prospects.

In particular, the United States government imposed economic and trade sanctions directly or indirectly affecting certain foreign technology companies. The United States has increased export controls restrictions through the Export Administration Regulations (the "**EAR**"), administered by the Bureau of Industry and Security of the United States Department of Commerce, which includes a list of foreign persons on which certain trade restrictions are imposed, including businesses, research institutions, government and private organizations, individuals and other types of legal persons (the "**Entity List**"), some of which are based in China. Where a foreign person is included on the Entity List, the export, re-export and/or transfer (in-country) of items which are subject to the EAR generally is prohibited unless specified license requirements are met. If certain of our customers, suppliers and research partners are listed on the Entity List and subject to restrictions from sourcing or selling technologies, software, or products from/to us, there is no guarantee that we will be able to obtain as well as extend and maintain the requisite regulatory licenses, permits and approvals in relation to our transactions with these customers, suppliers and research partners, or that such licenses, permits and approvals will cover all our existing and potential transactions with such customers, suppliers and research partners. As relevant policies are rapidly evolving, it may be difficult to evaluate their potential future impacts. The aforementioned restrictions, and similar or more expansive restrictions or sanctions, including sanctions currently imposed or that may be imposed in the future, may materially and adversely affect our customers', suppliers' and research partners' ability to acquire or use technologies, systems, products or materials critical to their operations, which in turn may adversely affect our business, results of operations and financial condition.

The United States government's attitude towards Chinese service providers in pharmaceutical and biotechnology industries may directly or indirectly affect our business operations. Recent legislative and political developments in the United States reflect intensifying scrutiny of PRC-linked biotechnology companies. In particular, the United States government's attitude towards Chinese service providers in pharmaceutical and biotechnology industries may directly or indirectly affect our business operations. The United States has recently passed legislation, namely the BIOSECURE Act (the "**BIOSECURE Act**"), to prohibit U.S. federal executive agencies from procuring or obtaining any biotechnology equipment or service produced or provided by a "biotechnology company of concern", or entering into or renewing a contract, loan, or grant with an entity that uses such biotechnology service or equipment. For details, see "Regulatory Overview — Overview of Laws and Regulations in the United States — Recently Passed Law by the U.S. Government: The BIOSECURE Act. On October 9, 2025, the U.S. Senate passed a revised version of the BIOSECURE Act as an amendment to the National Defense Authorization Act ("**NDAA**") for the year of 2026. The final version of the NDAA containing this legislative language was passed by the Senate and House of Representatives and signed into law by President Trump on December 18, 2025. The Act prohibits the U.S. Government from procuring or obtaining biotechnology equipment or services produced or provided by a "biotechnology company of concern" ("**BCC**"); entering into, extending, or renewing government contracts with an entity that directly or indirectly (e.g., via a subcontractor) uses biotechnology equipment or services from a BCC in performance of that federal contract; and/or issuing grants or loans to purchase, obtain, or use biotechnology equipment or services produced by a BCC. The Act also prohibits U.S. government loan and grant recipients from using federal loan or grant money to enter into contracts with entities that use equipment from BCCs in the performance of any federal prime contract or subcontract. Companies designated as a BCC include those that are identified on the U.S. Department of Defense's annual List of Chinese Military Companies, also known as the 1260H List, and the U.S. Government also has the ability to designate entities as BCCs through a separate designation process. There is no guarantee that the legislation would not apply to or impact certain biotechnology equipment or services that we procure or use. As a result, any continued use of such biotechnology equipment or services provided or produced could affect our ability to continue our development or the third parties that we may contract with, which may, in turn, affect our business operations. Moreover, because the provisions remain subject to change, the potential scope, timing and impact of any final legislation are uncertain and could be more restrictive than currently anticipated. Consequently, we may need to re-evaluate or adjust our established supply chains now that the BIOSECURE Act has become law. The need to re-evaluate our supply chain contracts may impose additional costs and operational complexities on our business, including, among other things, an examination and potential modification to existing personnel and expertise, and examination of our existing contracts, and a re-assessment of our current suppliers in order to identify possible alternative sources of supply. We may not be able to identify alternative sources of supply with competitive prices and terms and satisfactory quality in a timely manner, and any disruption to our established supply chains may lead to delays in procurement, production, and delivery, all of which could have a material adverse effect to our business, financial condition and results of operations.

Compliance with applicable cybersecurity, data security and personal information protection laws and regulations could require additional expenditures and consequently affect our business, financial conditions and operating results.

We are subject to various PRC cybersecurity, data security and personal information protection laws and regulations, including but not limited to the PRC Civil Code (《中華人民共和國民法典》), the PRC Cybersecurity Law (《中華人民共和國網絡安全法》) (the "**Cybersecurity Law**"), the PRC Data Security Law (《中華人民共和國數據安全法》) (the "**Data Security Law**") and the PRC Personal Information Protection Law (《中華人民共和國個人信息保護法》) (the "**Personal Information Protection Law**"). See "Regulatory Overview — Laws and Regulations Relating to Cyber Security and Data Protection" for details. Furthermore, on February 24, 2023, the CSRC promulgated the Provisions on Strengthening the Confidentiality and Archives Management Work Related to the Overseas Securities Offering and Listing by Domestic Companies (《關於加強境內企業境外發行證券和上市相關保密和檔案管理工作的規定》), which became effective on March 31, 2023. See "Regulatory Overview — Regulations on Securities Issuance and Overseas [**REDACTED**] and [**REDACTED**]" for details.

Changes and developments in the enforcement of cybersecurity, data security and personal information protection laws and regulations present challenges in ensuring comprehensive compliance and increase our operational costs, as we must allocate time and resources to address various compliance requirements. While we have implemented rigorous and comprehensive policies regarding the collection, processing, sharing, disclosure, authorization and protection of data usage and privacy, and have taken necessary measures to comply with applicable cybersecurity, data security and personal information protection laws and regulations, given the evolving legal and regulatory landscape, no assurance can be given as to the effectiveness of these policies and measures adopted by us or our suppliers or other business partners. Any non-compliance or perceived non-compliance by us with any applicable cybersecurity, data security or personal information protection regulations, any such non-compliance by our business partners, or any failure or perceived failure by our employees to adhere to our internal control measures, may result in negative publicity against us, as well as legal proceedings or regulatory actions. Such outcomes could lead to the imposition of fines, revocation of licenses, suspension of relevant operations or other legal or administrative penalties, which may damage our reputation, deter existing and potential customers and expose us to fines and damages. Consequently, these matters could have a material and adverse effect on our business, financial conditions and operating results.

There might be uncertainties in effecting service of legal process and enforcing judgments against us and our management due to the lack of relevant international treaties regarding judicial service and judicial enforcement.

All our assets and the majority of our Directors and senior management are located in the PRC. As a result, it may not be possible to effect service of process within certain jurisdictions outside the PRC upon us or most of our Directors and senior management. Pursuant to Arrangements for Reciprocal Recognition and Enforcement of Judgments in Civil and Commercial Cases between Courts of the Chinese Mainland and Hong Kong Special Administrative Region (《關於內地與香港特別行政區法院相互認可和執行民商事案件判決的安排》) effective on January 29, 2024, promulgated by the Supreme People's Court, a party with an enforceable final court judgment rendered by the competent People's Court of the PRC or the High Court of Hong Kong with respect to any civil and commercial cases excluding certain types of which, may apply for recognition and enforcement of the judgment in the relevant Intermediate People's Court of the PRC or the High court of Hong Kong. We cannot assure you that an effective judgment that complies with the New Arrangement can be recognized and enforced in a PRC court.

We are a PRC enterprise and we are subject to PRC tax on our income, and the dividends payable to [REDACTED] and [REDACTED] on the sale of our H Shares by our [REDACTED] are subject to PRC tax. Under the Enterprise Income Tax (the "EIT") Law of the PRC (the "EIT Law"), our offshore subsidiaries may therefore be subject to PRC income tax on their worldwide taxable income.

Under applicable PRC tax laws, a PRC-established company is generally subject to a tax of 25% on its global income. However, we have been recognized as a "High and New Technology Enterprise" and currently entitled to a preferential enterprise income tax rate of 15% till November 2026. In addition, 5 of our subsidiaries were subject to "small and thin-profit enterprises" and have benefit from a preferential tax rate of 20% under the EIT Law during the Track Record Period. There is no guarantee that we will maintain such preferential tax treatment in the future. If our preferential tax treatments are revoked, become unavailable or if the calculation of our tax liability is successfully challenged by the PRC tax authorities, the discontinuation of any of the various types of preferential tax treatment we enjoy could materially and adversely affect our results of operations.

Under applicable PRC tax laws, regulations and statutory documents, non-PRC resident individuals and enterprises are subject to different tax obligations with respect to dividends received from us or gains realized upon the sale or other disposition of our H Shares. Non-PRC individuals are generally subject to PRC individual income tax under the Individual Income Tax Law of the PRC (《中華人民共和國個人所得稅法》) with respect to PRC source income or gains at a rate of 20% unless specifically exempted by the tax authority of the State Council or reduced or eliminated by an applicable tax treaty. We are required to withhold related tax from dividend payments. Pursuant to applicable regulations, domestic non-foreign — invested enterprises issuing shares in Hong Kong may generally, when distributing dividends, withhold individual income tax at the rate of 10%. However, withholding tax on distributions paid by us to non-PRC individuals may be imposed at other rates pursuant to applicable tax treaties (and up to 20% if no tax treaty is applicable) if the identity of the individual holder of H shares and the tax rate applicable thereto are known to us. Whether gains realized upon disposition of H shares by non-PRC individuals are subject to PRC individual income tax will be determined by the then effective laws and regulations.

Non-PRC resident enterprises that do not have establishments or premises in the PRC, or that have establishments or premises in the PRC but their income is not related to such establishments or premises are subject to PRC EIT at the rate of 10% on dividends received from PRC companies and gains realized upon disposition of equity interests in the PRC companies pursuant to the EIT Law and other applicable PRC tax regulations and statutory documents, which may be reduced or eliminated under special arrangements or applicable treaties between the PRC and the jurisdiction where the nonresident enterprise resides. Pursuant to applicable regulations, we intend to withhold tax at a rate of 10% from dividends paid to non-PRC resident enterprise holders of our H Shares (including [**REDACTED**]). Non-PRC resident enterprises that are entitled to be taxed at a reduced rate under an applicable income tax treaty will be required to apply to the PRC tax authorities for a refund of any amount withheld in excess of the applicable treaty rate, and payment of such refund will be subject to the PRC tax authorities' verification. As of the Latest Practicable Date, there were no specific rules on how to levy tax on gains realized by nonresident enterprise holders of H shares through the sale or transfer by other means of H shares.

The relevant PRC tax laws continue to evolve, including whether and how individual income tax or EIT on gains derived by holders of our H Shares from their disposition of our H Shares may be collected. If any such tax is collected, the value of our H Shares may be materially and adversely affected.

Under the EIT Law, an enterprise established outside the PRC with "de facto management bodies" within China is considered a "resident enterprise," meaning that it is treated in a manner similar to a Chinese enterprise for EIT Law purposes. The implementing rules of the EIT Law define "de facto management bodies" as "management bodies that exercise substantial and overall management and control over the production and operations, personnel, accounting, and properties" of the enterprise. In addition, the Notice Regarding the Determination of Chinese-Controlled Offshore Incorporated Enterprises as PRC Tax Resident Enterprises on the Basis of De Facto Management Bodies (the "**Circular 82**") specifies that certain Chinese-controlled offshore incorporated enterprises, defined as enterprises incorporated under the laws of foreign countries or territories and that have PRC enterprises or enterprise groups as their primary controlling shareholders, will be classified as resident enterprises if all of the following are located or resident in China: (i) senior management personnel and departments that are responsible for daily production, operation and management; (ii) financial and personnel decision-making bodies; (iii) key properties, accounting books, company seal, and minutes of board meetings and shareholders' meetings; and (iv) half or more of senior management or directors having voting rights. State Administration of Taxation of the PRC (the "**SAT**") has subsequently provided further guidance on the implementation of Circular 82.

As substantially all of the operational management of our Company is currently based in the PRC, our offshore subsidiaries (such as our subsidiaries established in Hong Kong and the United States) may be deemed to be "PRC resident enterprises" for the purpose of the EIT Law. If our offshore subsidiaries are deemed PRC resident enterprises, they could be subject to the EIT at 25% on our global income, except that the dividends we receive from our PRC subsidiaries may be exempt from the EIT to the extent such dividend income constitutes "dividends received by a PRC resident enterprise from its directly invested entity that is also a PRC resident enterprise." It is, however, unclear what type of enterprise would be deemed a "PRC resident enterprise" for such purposes. The EIT on our subsidiaries' global income could significantly increase our tax burden and adversely affect our cash flows and profitability.

Payment of dividends is subject to restrictions under PRC law and regulations.

Under PRC law and regulations, we may only pay dividends out of distributable profits. Distributable profits are our after-tax profits, less any recovery of accumulated losses and appropriations to statutory and other reserves that we are required to make. As a result, we may not have sufficient or any distributable profit to enable us to make dividend distributions to our Shareholders, including in periods for which our financial statements indicate we are profitable. Any distributable profit not distributed in a given year is retained and available for distribution in subsequent years.

Moreover, as the calculation of distributable profits under PRC GAAP is different from the calculation under IFRS in certain respects, our subsidiaries may not have distributable profits as determined under PRC GAAP, even if they have profits for that year as determined under IFRS, or vice versa. Accordingly, we may not receive sufficient distributions from our subsidiaries for us to pay dividends. Failure by our operating subsidiaries to pay us dividends could adversely impact our ability to make dividend distributions to our Shareholders and our cash flow, including periods in which we are profitable.

Restrictions on currency exchange may limit our ability to utilize our revenue effectively.

The convertibility of RMB into foreign currencies and, in certain cases, the remittance of currency out of China are in accordance with and subject to the relevant regulatory framework. A substantial portion of our revenue is denominated in RMB. Shortages in availability of foreign currency may then restrict our ability to remit sufficient foreign currency to our offshore entities for our offshore entities to pay dividends or make other payments or otherwise to satisfy our foreign currency denominated obligations. The RMB is currently convertible under the "current account," which includes dividends, trade and service- related foreign exchange transactions, but its convertibility under the "capital account" (which includes foreign direct investment and loans) remains subject to regulation. Currently, we and our PRC subsidiaries may purchase foreign currency for settlement of "current account transactions," including payment of dividends to us, without the prior approval of SAFE by complying with certain procedural requirements. Since a portion of our revenue is denominated in RMB, any existing and future regulations on currency exchange may limit our ability to utilize revenue generated in RMB to fund our business activities outside of the PRC or pay dividends in foreign currencies to holders of our H Shares. Foreign exchange transactions under the capital account remain subject to limitations and require approvals from, or registration with, SAFE and other relevant PRC governmental authorities. This could affect our ability to obtain foreign currency through debt or equity financing for our subsidiaries.

RISKS RELATING TO THE [REDACTED]

No [REDACTED] currently exists for our H Shares, and an active [REDACTED] for our H Shares may not develop and the [REDACTED] of our H Shares may decline or became volatile.

No [**REDACTED**] currently exists for our H Shares. The initial [**REDACTED**] for our H Shares to the [**REDACTED**] will be the result of negotiations between our Company and the [**REDACTED**] and the Sole Overall Coordinator (for itself and on behalf of the [**REDACTED**]), and the [**REDACTED**] may differ significantly from the [**REDACTED**] of the H Shares following the [**REDACTED**]. We have applied to the Hong Kong Stock Exchange for the [**REDACTED**] of, and permission to [**REDACTED**] in, the H Shares. A [**REDACTED**] on the Hong Kong Stock Exchange, however, does not guarantee that an active and liquid [**REDACTED**] for our H Shares will develop, or if it does develop, that it will be sustained following the [**REDACTED**], or that the [**REDACTED**] of the H Shares will rise following the [**REDACTED**].

The [REDACTED] and [REDACTED] of our H Shares may be volatile, which could lead to substantial losses to [REDACTED].

The [**REDACTED**] and [**REDACTED**] of our H Shares may be subject to significant volatility in response to various factors beyond our control, including the general market conditions of the securities in Hong Kong and elsewhere in the world. In particular, the business and performance and the [**REDACTED**] of the shares of other companies engaging in similar business may affect the [**REDACTED**] and [**REDACTED**] of our H Shares. In addition to market and industry factors, the [**REDACTED**] and [**REDACTED**] of our H Shares may be highly volatile for specific business reasons, such as the results of clinical trials of our product candidates, the results of our applications for approval of our product candidates, regulatory developments affecting our industry, healthcare, health insurance and other related matters, fluctuations in our revenue, earnings, cash flows, investments and expenditures, relationships with our suppliers, movements or activities of key personnel, or actions taken by competitors. Moreover, shares of other companies listed on the Hong Kong Stock Exchange with significant operations and assets in China have experienced price volatility in the past, and our H Shares may be subject to changes in [**REDACTED**] not directly related to our performance.

Future sales or perceived sales of a substantial number of our H Shares in the [REDACTED] following the [REDACTED] could materially and adversely affect the [REDACTED] of our H Shares and our ability to raise additional capital in the future, and may result in dilution of your [REDACTED].

Prior to the [**REDACTED**], there has not been a [**REDACTED**] for our H Shares. Future sales or perceived sales by our existing Shareholders of our H Shares after the [**REDACTED**] could result in a significant decrease in the prevailing [**REDACTED**] of our H Shares. Only a limited number of the H Shares currently outstanding will be available for sale or issuance immediately after the [**REDACTED**] due to contractual and regulatory restrictions on disposal and new issuance. Nevertheless, after these restrictions lapse or if they are waived, future sales of significant amounts of our H Shares in the [**REDACTED**] or the perception that these sales may occur could significantly decrease the prevailing [**REDACTED**] of our H Shares and our ability to raise equity capital in the future.

In addition, our Shareholders would experience dilution in their shareholdings upon [**REDACTED**] or sale of additional share capital or share capital-linked securities by our Company in future [**REDACTED**]. If additional funds are raised through our issuance of new share capital or share capital-linked securities other than on a pro rata basis to existing Shareholders, the shareholdings of such Shareholders may be reduced and such new securities may confer rights and privileges that take priority over those conferred by the [**REDACTED**].

Future [REDACTED] in China or conversion of our Unlisted Shares into H Shares, could have a material and adverse effect on the prevailing [REDACTED] of our H Shares and our ability to raise additional equity capital in the future, or may result in dilution of your [REDACTED].

We are currently applying for all of the Company's Unlisted Shares to be converted into H Shares after the completion of the [**REDACTED**]. According to the PRC Company Law, the Unlisted Shares issued by the Company prior to the [**REDACTED**] are restricted from [**REDACTED**] within one year from the [**REDACTED**]. Such restriction from [**REDACTED**] will limit the number of H Shares to be [**REDACTED**] on the market, which will in turn adversely affect the [**REDACTED**] of the H Shares during such restriction period. If our application for the [**REDACTED**] of our relevant Unlisted Shares on the Hong Kong Stock Exchange after the completion of the [**REDACTED**] is successful, any future sales (after the expiration of the restrictions set out above) of Unlisted Shares by relevant Shareholders in the [**REDACTED**] may affect the [**REDACTED**] of our H Shares. Moreover, if we issue Unlisted Shares in the future and convert a substantial amount of Unlisted Shares into H shares to be [**REDACTED**] and [**REDACTED**] in the future on the Hong Kong Stock Exchange, it may further increase the [**REDACTED**] of the H shares in the [**REDACTED**], which may adversely affect the [**REDACTED**] of the H shares.

As the [REDACTED] of our [REDACTED] is higher than our net tangible book value per share, [REDACTED] of our H Shares in the [REDACTED] may experience immediate dilution upon such [REDACTED]. [REDACTED] of H Shares may also experience further dilution in [REDACTED] if we issue additional H Shares in the future.

The [**REDACTED**] of the [**REDACTED**] is higher than the net tangible asset value per Share immediately prior to the [**REDACTED**]. Therefore, purchasers of the [**REDACTED**] in the [**REDACTED**] will experience an immediate dilution in [**REDACTED**] net tangible asset value, and our existing Shareholders will receive an increase in the [**REDACTED**] adjusted consolidated net tangible assets per share of their H Shares. To expand our business, we may consider [**REDACTED**] and [**REDACTED**] additional Shares in the future. [**REDACTED**] of the [**REDACTED**] may experience dilution in the net tangible asset value per share of their H Shares if we issue additional H Shares in the future at a price that is lower than the net tangible asset value per share at that time.

Our Single Largest Group of Shareholders have had and will continue to have substantial influence over the outcome of shareholder actions in our Company.

As of the Latest Practicable Date, our Single Largest Group of Shareholders controlled approximately 34.61% of our issued Shares. Immediately following the completion of the [**REDACTED**] (assuming that the [**REDACTED**] is not exercised), our Single Largest Group of Shareholders will control approximately [**REDACTED**]% of our issued Shares. As a result, our Single Largest Group of Shareholders will have significant influence over our business, including decisions regarding mergers, consolidations, liquidations and the sale of all or substantially all of our assets, election of directors and other significant corporate actions, and may take actions that are not in the best interest of us or our other Shareholders. This concentration of ownership may discourage, delay or prevent a change in control of our Company, which could have the effect of depriving our other Shareholders of the opportunity to receive a premium for their shares as part of a sale of our Company and may reduce the price of the H Shares. This concentrated control will limit your ability to influence corporate matters and could discourage others from pursuing any potential merger, takeover or other change of control transactions that other holders of our ordinary shares may view as beneficial.

Because we do not expect to pay dividends in the foreseeable future after the [REDACTED], you must rely on [REDACTED] appreciation of our H Shares for a [REDACTED] on your [REDACTED].

We intend to retain most, if not all, of our available funds and any future earnings after the [**REDACTED**] to fund the development and commercialization of our pipeline product candidates. As a result, we do not expect to pay any cash dividends in the foreseeable future. Therefore, you should not rely on an [**REDACTED**] in our H Shares as a source for any future [**REDACTED**].

Our Board has complete discretion as to whether to distribute dividends. Even if our Board declares and pays dividends, the timing, amount and form of future dividends, if any, will depend on our future results of operations and cash flow, our capital requirements and surplus, the amount of distributions (if any) received by us from our subsidiaries, our financial condition, contractual restrictions and other factors deemed relevant by our Board. Accordingly, the [**REDACTED**] on your [**REDACTED**] in our H Shares will likely depend entirely upon any future [**REDACTED**] appreciation of our H Shares. There is no guarantee that our H Shares will appreciate [**REDACTED**] after the [**REDACTED**] or even maintain the [**REDACTED**] at which you [**REDACTED**] the H Shares. You may not realize a [**REDACTED**] on your [**REDACTED**] in our H Shares and you may even lose your entire [**REDACTED**] in our H Shares.

Facts, forecasts and statistics in this document relating to our industry may not be fully reliable.

Facts, forecasts and statistics in this document relating to the cardiopulmonary diagnostic and therapeutic devices market in and outside China are obtained from various sources that we believe are reliable, including official government publications as well as a report prepared by Frost & Sullivan that we commissioned. However, we cannot guarantee the quality or reliability of such official government publications. Neither we, the [**REDACTED**], the Sole Sponsor, the [**REDACTED**] nor our or their respective affiliates or advisers have verified the facts, forecasts and statistics nor ascertained the underlying economic assumptions relied upon in those facts, forecasts and statistics obtained from the official government publications. Due to possibly flawed or ineffective collection methods or discrepancies between published information and factual information and other problems, the statistics in this document may be inaccurate and you should not place undue reliance on it. We make no representation as to the accuracy of such facts, forecasts and statistics obtained from various sources. Moreover, these facts, forecasts and statistics involve risk and uncertainties and are subject to change based on various factors and should not be unduly relied upon.

You should read the entire document carefully, and we strongly caution you not to place any reliance on any information contained in press articles or other media regarding us or the [REDACTED].

We strongly caution you not to rely on any information contained in press articles or other media regarding us and the [**REDACTED**]. Prior to the publication of this document, there may be press and media coverage regarding us and the [**REDACTED**]. Such press and media coverage may include references to certain information that does not appear in this document, including certain operating and financial information and projections, valuations and other information. We have not authorized the disclosure of any such information in the press or media and do not accept any responsibility for any such press or media coverage or the accuracy or completeness of any such information or publication. We make no representation as to the appropriateness, accuracy, completeness or reliability of any such information or publication. We disclaim any information in the media to the extent that such information is inconsistent or conflicts with the information contained in this document. Accordingly, prospective [**REDACTED**] are cautioned to make their [**REDACTED**] decisions on the basis of the information contained in this document only and should not rely on any other information.

In preparation for the [**REDACTED**], our Company has sought the following waivers from strict compliance with the relevant provisions of the Listing Rules and exemption from strict compliance with the Companies (Winding up and Miscellaneous Provisions) Ordinance.

WAIVER IN RESPECT OF MANAGEMENT PRESENCE IN HONG KONG

According to Rule 8.12 of the Listing Rules, we must have a sufficient management presence in Hong Kong. This normally means that at least two of our executive Directors must be ordinarily resident in Hong Kong. Rule 19A.15 of the Listing Rules further provides that the requirement in Rule 8.12 of the Listing Rules may be waived by having regard to, among other considerations, our arrangements for maintaining regular communication with the Hong Kong Stock Exchange.

We do not have a sufficient management presence in Hong Kong for the purpose of satisfying the requirement under Rule 8.12 and Rule 19A.15 of the Listing Rules. Our management headquarters, senior management, business operations and assets are primarily based outside Hong Kong. The Directors consider that either by means of relocation of our existing executive Directors or appointment of additional executive Directors who will be ordinarily resident in Hong Kong would not be beneficial to, or appropriate for, our Group and therefore would not be in the best interests of our Company or the Shareholders as a whole. As such, we have applied to the Stock Exchange for, and the Stock Exchange has granted us a waiver from strict compliance with Rule 8.12 and Rule 19A.15 of the Listing Rules. We will ensure that there is a regular and effective communication between us and the Stock Exchange by way of, among others, the following conditions:

(a) pursuant to Rule 3.05 of the Listing Rules, we have appointed Dr. Mao and Mr. Guo Zhong ("**Mr. Guo**") as our authorized representatives (the "**Authorized Representatives**"), who will act as our principal channel of communication with the Stock Exchange and ensure that our Company complies with the Listing Rules at all times. In addition, Mr. Poon Ping Yeung ("**Mr. Poon**"), who is ordinarily resident in Hong Kong, has been appointed as the alternate to the Authorized Representatives in order to assist the Authorized Representatives to communicate with the Stock Exchange. Our Company has provided the Stock Exchange with their contact details, and they will be available to meet with the Stock Exchange within a reasonable period of time upon the request of the Stock Exchange and readily contactable by telephone, facsimile and email. Our Company will also inform the Stock Exchange in respect of any changes in the Authorized Representatives as soon as practicable;

(b) each of the Authorized Representatives has means to contact all Directors (including the independent non-executive Directors) promptly at all times as and when the Stock Exchange wishes to contact our Directors for any matters. We have provided the Stock Exchange with the contact details (i.e. mobile phone number, office phone number (if any), fax number (if any) and/or email address) of all Directors to facilitate communication with the Stock Exchange. Our Directors will also provide the phone number of the place of his/her accommodation to our Authorized Representatives in the event that any Director expects to travel or otherwise be out of office;

(c) pursuant to Rule 3.20 of the Listing Rules, each Director has provided his/her contact information to the Stock Exchange and to the Authorized Representatives. This will ensure that the Stock Exchange and the Authorized Representatives should have means for contacting all Directors promptly at all times as and when required;

(d) all our Directors who are not ordinarily resident in Hong Kong have confirmed that they possess or can apply for valid travel documents to visit Hong Kong and will be able to meet with relevant members of the Stock Exchange in Hong Kong upon reasonable notice, when required;

(e) pursuant to Rule 3A.19 of the Listing Rules, we have retained the services of Rainbow Capital (HK) Limited as Compliance Advisor upon [**REDACTED**] for a period commencing on the [**REDACTED**] and ending on the date on which we comply with Rule 13.46 of the Listing Rules in respect of our financial results for the first full financial year commencing after the [**REDACTED**], which will act as an additional channel of communication with the Stock Exchange and will be available to respond to enquiries from the Stock Exchange. The contact details of the Compliance Advisor have been provided to the Stock Exchange;

(f) our Authorized Representatives, Directors and other officers of our Company will provide promptly such information and assistance as the Compliance Advisor may reasonably require in connection with the performance of the Compliance Advisor's duties as set forth in Chapter 3A of the Listing Rules. There will be adequate and efficient means of communication between our Company, Authorized Representatives, Directors and other officers of our Company and the Compliance Advisor, and to the extent reasonably practicable and legally permissible, we will keep the Compliance Advisor informed of all communications and dealings between the Stock Exchange and us; and

(g) meetings between the Stock Exchange and our Directors could be arranged through our Authorized Representatives or the Compliance Advisor, or directly with our Directors within a reasonable time frame. We will inform the Stock Exchange as soon as practicable in respect of any change of Authorized Representatives and/or the Compliance Advisor.

WAIVER IN RESPECT OF JOINT COMPANY SECRETARIES

Pursuant to Rules 3.28 and 8.17 of the Listing Rules and Chapter 3.10 of the Guide for New Listing Applicants, a new applicant for [**REDACTED**] on the Stock Exchange must appoint a company secretary who, by virtue of his/her academic or professional qualifications or relevant experience, is, in the opinion of the Stock Exchange, capable of discharging the functions of the company secretary.

Note 1 to Rule 3.28 of the Listing Rules provides that the Stock Exchange considers the following academic or professional qualifications to be acceptable:

(a) a member of The Hong Kong Chartered Governance Institute;

(b) a solicitor or barrister as defined in the Legal Practitioners Ordinance (Chapter 159 of the Laws of Hong Kong); and

(c) a certified public accountant as defined in the Professional Accountants Ordinance (Chapter 50 of the Laws of Hong Kong).

Note 2 to Rule 3.28 of the Listing Rules further provides that the Stock Exchange considers the following factors in assessing the "relevant experience" of the individual:

(a) length of employment with the issuer and other issuers and the roles he/she played;

(b) familiarity with the Listing Rules and other relevant laws and regulations including the SFO, the Companies Ordinance, the Companies (Winding Up and Miscellaneous Provisions) Ordinance and the Takeovers Codes;

(c) relevant training taken and/or to be taken in addition to the minimum requirement under Rule 3.29 of the Listing Rules; and

(d) professional qualifications in other jurisdictions.

Our Company has appointed Mr. Guo and Mr. Poon as our joint company secretaries. See “Directors and Senior Management — Joint Company Secretaries” for their biographical details.

Mr. Guo joined our Group in January 2026 and is our secretary to the Board. He has extensive experience in supervising financing and investment related matters of our Company. The Company believes that it would be in the best interests of the Company and the corporate governance of the Group to have a person such as Mr. Guo as its joint company secretary, who is our secretary to the Board and has day-to-day knowledge of the Company’s affairs. Mr. Guo has the necessary nexus to the Board and close working relationship with management of the Company in order to perform the function of a joint company secretary and to take the necessary actions in the most effective and efficient manner. However, Mr. Guo presently does not possess any of the qualifications under Rules 3.28 and 8.17 of the Listing Rules, and may not be able to solely fulfill the requirements of the Listing Rules. Therefore, we have appointed Mr. Poon, who is an associate member of both The Hong Kong Chartered Governance Institute (the “**HKCGI**”, formerly known as the Hong Kong Institute of Chartered Secretaries) and The Chartered Governance Institute in the United Kingdom. He fully meets the requirements stipulated under Rules 3.28 and 8.17 of the Listing Rules, to act as the other joint company secretary and to provide assistance to Mr. Guo for an initial period of three years from the [**REDACTED**] to enable Mr. Guo to acquire the “relevant experience” under Note 2 to Rule 3.28 of the Listing Rules so as to fully comply with the requirements set forth under Rules 3.28 and 8.17 of the Listing Rules.

Accordingly, we have applied to the Stock Exchange for, and the Stock Exchange [has granted], a waiver from strict compliance with the requirements under Rules 3.28 and 8.17 of the Listing Rules such that Mr. Guo may be appointed as a joint company secretary of our Company.

The waiver is valid for an initial period of three years from the [**REDACTED**], and is granted on the condition that Mr. Poon, as a joint company secretary of our Company, will work closely with Mr. Guo to jointly discharge the duties and responsibilities as company secretaries and assist Mr. Guo in acquiring the relevant experience as required under Rules 3.28 and 8.17 of the Listing Rules. Mr. Poon will also assist Mr. Guo in organizing Board meetings and Shareholders’ meetings of our Company as well as other matters of our Company which are incidental to the duties of a company secretary. Mr. Poon is expected to work closely with Mr. Guo and will maintain regular contact with Mr. Guo, the Directors and the senior management of our Company. In addition, Mr. Guo will comply with the annual professional training requirement under Rule 3.29 of the Listing Rules and will enhance his knowledge of the Listing Rules during the three-year period from the [**REDACTED**]. Mr. Guo will also be assisted by (a) the Compliance Advisor, particularly in relation to compliance with the Listing Rules; and (b) the Hong Kong legal advisors of our Company, on matters concerning our Company’s ongoing compliance with the Listing Rules and the applicable laws and regulations.

Pursuant to Chapter 3.10 of the Guide for New Listing Applicants, the waiver will be revoked immediately if Mr. Poon ceases to provide assistance to Mr. Guo as a joint company secretary for the three-year period after the [**REDACTED**] or where there are material breaches of the Listing Rules by our Company.

Prior to the expiration of the initial three-year period, the qualifications and experience of Mr. Guo will be re-evaluated to determine whether the requirements as stipulated in Rules 3.28 and 8.17 of the Listing Rules can be satisfied and whether the need for ongoing assistance will continue. We will demonstrate to and seek the confirmation from the Stock Exchange that Mr. Guo, having benefited from the assistance of Mr. Poon for the preceding three years, has acquired the skills necessary to carry out the duties of company secretary and the relevant experience within the meaning of Note 2 to Rule 3.28 of the Listing Rules so that a further waiver will not be necessary.

EXEMPTION FROM STRICT COMPLIANCE WITH SECTION 342(1)(B) OF THE COMPANIES (WINDING UP AND MISCELLANEOUS PROVISIONS) ORDINANCE IN RELATION TO PARAGRAPH 27 OF PART I AND PARAGRAPH 31 OF PART II OF THE THIRD SCHEDULE TO THE COMPANIES (WINDING UP AND MISCELLANEOUS PROVISIONS) ORDINANCE

Section 342(1)(b) of the Companies (Winding Up and Miscellaneous Provisions) Ordinance requires all documents to include matters specified in Part I of the Third Schedule to the Companies (Winding Up and Miscellaneous Provisions) Ordinance (the "**Third Schedule**"), and set out the reports specified in Part II of the Third Schedule.

Paragraph 27 of Part I of the Third Schedule requires a [**REDACTED**] to include in its document a statement as to the gross trading income or sales turnover (as the case may be) of the company during each of the three financial years immediately preceding the issue of the document, including an explanation of the method used for the computation of such income or turnover and a reasonable breakdown between the more important trading activities.

Paragraph 31 of Part II of the Third Schedule further requires a [**REDACTED**] to include in its document a report by the auditors of the company with respect to (i) the profits and losses of the company for each of the three financial years immediately preceding the issue of the document and (ii) the assets and liabilities of the company of each of the three financial years immediately preceding the issue of the document.

Section 342A(1) of the Companies (Winding Up and Miscellaneous Provisions) Ordinance provides that the SFC may issue, subject to such conditions (if any) as the SFC thinks fit, a certificate of exemption from the compliance with the relevant requirements under the Companies (Winding Up and Miscellaneous Provisions) Ordinance if, having regard to the circumstances, the SFC considers that the exemption will not prejudice the interest of the [**REDACTED**] and compliance with any or all of such requirements would be irrelevant or unduly burdensome, or would otherwise be unnecessary or inappropriate.

According to Rule 4.04(1) of the Listing Rules, the Accountants' Report contained in this document must include, inter alia, the results of our Company in respect of each of the three financial years immediately preceding the issue of this document or such shorter period as may be acceptable to the Stock Exchange.

Our Company is a Biotech Company as defined under Chapter 18A of the Listing Rules and is seeking a [**REDACTED**] under Chapter 18A of the Listing Rules. Rule 18A.03(3) of the Listing Rules requires that a Biotech Company must have been in operation in its current line of business for at least two financial years prior to [**REDACTED**] under substantially the same management. Rule 18A.06 of the Listing Rules requires that a Biotech Company must comply with Rule 4.04 of the Listing Rules modified so that references to "three financial years" or "three years" in Rule 4.04 of the Listing Rules shall instead be references to "two financial years" or "two years," as the case may be. Further, pursuant to Rule 8.06 of the Listing Rules, the latest financial period reported on by the reporting accountants for a new applicant must not have ended more than six months from the date of the [**REDACTED**] document.

In compliance with the abovementioned requirements under the Listing Rules, the Accountants' Report set out in Appendix I to this document is prepared to cover the [**REDACTED**]. As such, we have applied to the SFC for, and the SFC has granted, a certificate of exemption from strict compliance with section 342(1)(b) of the Companies (Winding Up and Miscellaneous Provisions) Ordinance in relation to the requirements of paragraph 27 of Part I and paragraph 31 of Part II of the Third Schedule regarding the inclusion of the Accountants' Report covering the full three financial years immediately preceding the issue of this document on the following grounds:

(a) our Company is primarily engaged in R&D and commercialization of biotech products, and falls within the scope of Biotech Company as defined under Chapter 18A of the Listing Rules. Our Company will fulfill the additional conditions for [**REDACTED**] required under Chapter 18A of the Listing Rules;

(b) the Accountants' Report for the [**REDACTED**] has been disclosed in the document of our Company and is set out in Appendix I to this document in accordance with Rule 18A.06 of the Listing Rules;

(c) notwithstanding that the financial results set out in this document are only for the [**REDACTED**] in accordance with Chapter 18A of the Listing Rules, other information required to be disclosed under the Listing Rules and the Companies (Winding Up and Miscellaneous Provisions) Ordinance has been adequately disclosed in this document pursuant to the relevant requirements;

(d) furthermore, as Chapter 18A of the Listing Rules provides track record period of two years for biotech companies in terms of financial disclosure, strict compliance with the requirements of section 342(1)(b) of the Companies (Winding Up and Miscellaneous Provisions) Ordinance in relation to paragraph 27 of Part I and paragraph 31 of Part II of the Third Schedule to the Companies (Winding Up and Miscellaneous Provisions) Ordinance would be unduly burdensome for our Company as this would require additional work to be performed by us and our reporting accountants; and

(e) the Accountants' Report covering the [**REDACTED**] (as set out in Appendix I to this document), together with other disclosure in this document, have already provided the potential [**REDACTED**] with adequate and reasonably up-to-date information in the circumstances to form a view on the track record of our Company; and our Directors confirm that all information which is necessary for the [**REDACTED**] to make an informed assessment of the business, assets and liabilities, financial position, management and prospects of our Company has been included in this document. Therefore, the exemption would not prejudice the interests of the [**REDACTED**].

The SFC [has granted] us a certificate of exemption under section 342A of the Companies (Winding Up and Miscellaneous Provisions) Ordinance exempting our Company from strict compliance with section 342(1)(b) in relation to paragraph 27 of Part I and paragraph 31 of Part II of the Third Schedule on the condition that particulars of the exemption are set out in this document and that this document will be issued on or before [**REDACTED**].

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

DIRECTORS

Name	Address	Nationality
Executive Director(s)		
Dr. MAO Wen (毛雯)	10-503 Dahua Jinxiu Jianglai Pukou District Nanjing, Jiangsu Province PRC	Chinese
Mr. ZHANG Yuyan (張煜彥)	Room 6-110 Yatai Shanyu Lake Community Pukou District Nanjing, Jiangsu Province PRC	Chinese
Mr. CAO Guiping (曹貴平)	17-1-1201 Huafang Yicheng No. 29 Qingnian Road Chaoyang District Beijing PRC	Chinese
Non-executive Directors		
Mr. DENG Feng	51 Laburnum Rd Atherton, CA 94027 United States	American
Dr. CAO Yu (曹宇)	Room 302, No. 55 Changqiao Yicun Xuhui District Shanghai PRC	Chinese
Mr. HE Xing (何邢)	Room 101, Building 2 No. 28 Fu Hougang Gulou District Nanjing, Jiangsu Province PRC	Chinese

Name	Address	Nationality
Independent Non-executive Director		
Mr. LI Shu Pai (李書湃)	Flat H, 10/F Koon Wong Mansion 2-18 On Ning Road Yuen Long, New Territories Hong Kong	Chinese
Mr. LIU Feng (劉峰)	Room 3-1/12 No. 588 Longchang Road Yangpu District Shanghai PRC	Chinese
Ms. XIAO Yun (肖雲)	1103, Unit 5, Building 4 Qingshangyuan Community Haidian District Beijing PRC	Chinese

For further information with respect to our Directors, see "Directors and Senior Management" in this document.

PARTIES INVOLVED IN THE [REDACTED]

Sole Sponsor	**CCB International Capital Limited** 12th Floor, CCB Tower 3 Connaught Road Central Central Hong Kong

[REDACTED]

Legal Advisors to our Company	*As to Hong Kong and U.S. laws* **Davis Polk & Wardwell** 10/F, The Hong Kong Club Building 3A Chater Road Central Hong Kong *As to PRC laws* **Jingtian & Gongcheng** 34/F, Tower 3, China Central Place 77 Jianguo Road Chaoyang District Beijing PRC
Legal Advisors to the Sole Sponsor and the [REDACTED]	*As to Hong Kong and U.S. laws* **Dentons Hong Kong LLP** Suite 3201, Jardine House 1 Connaught Place Central Hong Kong *As to PRC laws* **Commerce & Finance Law Offices** 12-15/F, China World Office 2 1 Jianguomenwai Avenue Chaoyang District Beijing PRC

Reporting Accountant and Auditor	**Deloitte Touche Tohmatsu** *Certified Public Accountants and Registered Public Interest Entity Auditor* 35/F, One Pacific Place 88 Queensway Hong Kong
Industry Consultant	**Frost & Sullivan Consulting Co., Ltd.** Room 2504 Wheelock Square 1717 Nanjing West Road Shanghai PRC
Compliance Advisor	**Rainbow Capital (HK) Limited** Room 710, 7/F, Wing On House 71 Des Voeux Road Central Central Hong Kong

[REDACTED]

CORPORATE INFORMATION

Registered Office, Headquarter and Principal Place of Business in China	Block C1-2, Building 16, Shu Wu 73 Tanmi Road Jiangbei New District Nanjing, Jiangsu Province PRC
Principal Place of Business in Hong Kong	19/F, Golden Centre 188 Des Voeux Road Central Hong Kong
Company's Website	**www.novlead.com** *(Information contained on this website does not form part of this document)*
Joint Company Secretaries	**Mr. GUO Zhong (郭眾)** Room 1702, Unit 1, Building 7 No. 29 Xiaohang Road Yuhuatai District Nanjing, Jiangsu Province PRC **Mr. POON Ping Yeung (潘秉揚)** *(an associate member of both The Hong Kong Chartered Governance Institute and The Chartered Governance Institute in the United Kingdom)* 19/F, Golden Centre 188 Des Voeux Road Central Hong Kong
Authorized Representatives	**Dr. MAO Wen (毛雯)** 10-503 Dahua Jinxiu Jianglai Pukou District Nanjing, Jiangsu Province PRC **Mr. GUO Zhong (郭眾)** Room 1702, Unit 1, Building 7 No. 29 Xiaohang Road Yuhuatai District Nanjing, Jiangsu Province PRC
Audit Committee	Mr. LI Shu Pai (李書湃) *(Chairperson)* Mr. LIU Feng (劉峰) Mr. HE Xing (何邢)
Remuneration and Appraisal Committee	Mr. LIU Feng (劉峰) *(Chairperson)* Dr. MAO Wen (毛雯) Ms. XIAO Yun (肖雲)

Nomination Committee	Dr. MAO Wen (毛雯) *(Chairperson)* Ms. XIAO Yun (肖雲) Mr. LI Shu Pai (李書湃)

[**REDACTED**]

Principal Banks	**Bank of China Limited Nanjing Jiangbei New Area Branch (Nanjing Gaoxin Sub-Branch)** No. 31 Gaoxin Road Jiangbei New Area Nanjing PRC
	China Merchants Bank Co., Ltd. Nanjing Xinghuo Road Branch No. 14 Xinghuo Road Nanjing High-Tech Development Zone Nanjing, Jiangsu Province PRC
	Bank of Nanjing Hi-tech Development District Branch Units 101-105, Building A No. 3-1 Xinjinhu Road High-Tech Development Zone Pukou District Nanjing, Jiangsu Province PRC

The information presented in this section, unless otherwise indicated, has been derived from various official government publications, market data providers and the F&S Report commissioned by us and prepared by an independent third party, Frost & Sullivan. The information from official government sources has not been independently verified by us, or any other parties involved in the [**REDACTED**], *or any of our or their respective directors, senior management, representatives, advisers or any other persons involved in the* [**REDACTED**], *and no representation is given as to its accuracy, fairness and completeness. For a discussion of the risks relating to our industry, see "Risk Factors." Our Directors confirm that, after making reasonable enquiries, there is no adverse change in the market information since the date of the F&S Report that would qualify, contradict or have a material impact on the information in this section.*

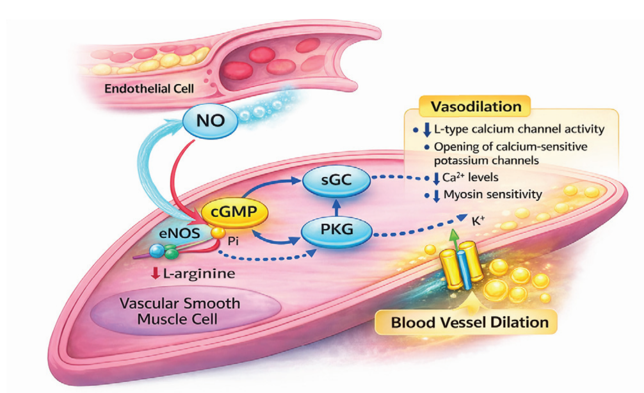
GAS-BASED CARDIOPULMONARY THERAPEUTIC AND DIAGNOSTIC DEVICE MARKET OVERVIEW

Gas-based cardiopulmonary therapeutic and diagnostic devices form a subset of the broader cardiopulmonary device market, which covers tools used to diagnose, treat and support cardiovascular and respiratory diseases across the full continuum of care, from ICU to inpatient to outpatient and home settings. These devices use medical gases as a primary medium for clinical measurement, therapy delivery or mechanical actuation, and include systems for oxygen, inhaled nitric oxide (iNO) and aerosol therapies, analyzers that measure gas-related physiology or biomarkers such as exhaled nitric oxide (FeNO), CO and CO_2, and gas-driven support platforms such as intra-aortic balloon pump (IABP).

GLOBAL iNO THERAPY MARKET

Overview of iNO Therapy

iNO is a selective pulmonary vasodilator delivered at titratable concentrations, typically 5 to 80 ppm in clinical use, into the inspiratory limb of a ventilator or breathing circuit through a dedicated delivery and monitoring system. By dilating pulmonary vessels in ventilated lung regions, iNO improves ventilation–perfusion matching, increases pulmonary blood flow to ventilated alveoli, lowers pulmonary arterial pressure and enhances arterial oxygenation while minimizing systemic hypotension.



Source: Literature Review, Frost & Sullivan Analysis

Over time, the industry has moved through several technology generations: (i) ***Generation 1: Cylinder-based Systems*****:** Premixed high-pressure NO gas supplied as a drug product and delivered through dedicated monitoring systems; (ii) ***Generations 2 and 3: Early Instant Generation*****:** Plasma discharge or N_2O_4 decomposition systems that generate NO from room air or chemical cartridges, reducing dependence on industrial gas logistics; and (iii) ***Generation 4: Advanced Instant Generation*****:** Electrochemical catalytic reduction systems that generate NO on demand.

Application Scenarios and Clinical Positioning of iNO Therapy

iNO therapy is used as a lung-selective pulmonary vasodilator across a range of acute cardiopulmonary settings, including: (i) NICUs for hypoxemic respiratory failure associated with PPHN; (ii) adult and pediatric cardiac surgery and congenital heart disease, including cardiopulmonary bypass procedures and heart/lung transplantation; (iii) adult and pediatric ICUs as supportive rescue therapy for severe hypoxemia or acute pulmonary hypertension with right-ventricular dysfunction; (iv) during cardiopulmonary bypass, where it is used to mitigate ischemia-reperfusion injury in organs and improve oxygenation; (v) high-altitude and community settings as an adjunct pulmonary vasodilator in conditions such as high-altitude pulmonary edema and other severe hypoxemic states; and (vi) investigational anti-infective regimens for viral community-acquired pneumonia and multidrug-resistant bacterial or fungal pneumonias, which remain under clinical study.

Major Indications for iNO Therapy

Pulmonary Hypertension

Pulmonary hypertension (PH) is a progressive cardiopulmonary disorder characterized by elevated pulmonary arterial pressure, vascular remodeling and right-ventricular strain. Imbalance between vasoconstrictors and vasodilators, including reduced NO signaling, contributes to sustained pulmonary vasoconstriction and right-heart overload. ***Prevalence.*** The global prevalent PH cases increased from 76.8 million in 2020 to 82.8 million in 2024. The number is expected to reach 91.7 million in 2030 and 98.9 million in 2035. Within this, China accounts for roughly one-fifth of the global PH pool. Prevalent PH cases in China increased from 14.5 million in 2020 to 15.1 million in 2024. The number is projected to reach 15.9 million in 2030 and 16.5 million in 2035. ***Treatment Paradigm.*** PH is generally managed using a risk-stratified, stepwise approach combining supportive care, treatment of underlying cardiac or respiratory disease and guideline-directed pharmacological therapy with interventional or surgical procedures reserved for selected patients at specialized centers. In acute or perioperative settings where pulmonary pressures remain high despite conventional measures, inhaled pulmonary vasodilators, including iNO, are mainly used as short-term, hospital-based supportive therapies to reduce pulmonary vascular resistance and improve oxygenation, after which patients continue on appropriate longer-term treatment. In neonates with persistent PH and respiratory failure, management is similar and typically combines intensive ventilatory support with early use of iNO when hypoxaemia persists despite conventional therapy.

Community-Acquired Pneumonia

Community-acquired pneumonia (CAP) is a common and serious acute infectious lung disease that can progress to sepsis, ARDS and multi-organ failure, with high short-term mortality and readmission risk. ***Prevalence.*** Globally, new CAP cases increased from 57.9 million in 2020 to 64.8 million in 2024. The number is expected to grow to 78.8 million in 2030 and 92.4 million in 2035. In China, annual CAP cases rose from 15.0 million in 2020 to 15.3 million in 2024. The number is expected to increase to 18.4 million in 2030 and 21.2 million in 2035. ***Treatment Paradigm.*** Treatment of CAP focuses on rapid control of infection, correction of hypoxemia and prevention of complications. In clinical practice, patients are stratified by disease severity and risk factors to determine outpatient, inpatient or intensive care, and treated with appropriate empiric antibiotics, together with respiratory support and hemodynamic management. In severe cases with refractory hypoxemia or acute right-ventricular strain despite standard measures, short-course inhaled pulmonary vasodilators such as iNO may be used in intensive care as supportive, hospital-based therapy in selected patients.

Acute Respiratory Distress Syndrome

Acute respiratory distress syndrome (ARDS) is a severe form of acute respiratory failure that accounts for a significant proportion of ICU admissions and is associated with high mortality. It often develops as a complication of critical illnesses such as severe pneumonia and sepsis. ***Prevalence.*** Global new cases of ARDS increased from 3.76 million in 2020 to 4.13 million in 2024. The number is projected to reach 4.58 million in 2030 and 4.89 million in 2035. In China, new ARDS cases decreased from 0.65 million in 2020 to 0.61 million in 2024, reflecting temporary containment measures during COVID-19. The number is expected to steadily increase to 0.65 million in 2030 and 0.68 million in 2035. ***Treatment Paradigm.*** ARDS is generally managed with supportive, cause-directed therapy rather than disease-specific pharmacologic agents proven to improve survival. Current practice focuses on maintaining gas exchange, minimizing ventilator-induced lung injury, and preventing secondary organ dysfunction through lung-protective ventilation with low tidal volumes and appropriate PEEP, conservative fluid management once the patient is hemodynamically stable, and early enteral nutrition when feasible. Within the moderate to severe ARDS group, iNO is used in selected patients as a short-course, lung-selective pulmonary vasodilator on top of lung-protective ventilation and other standard critical-care measures.

Chronic Obstructive Pulmonary Disease

Chronic obstructive pulmonary disease (COPD) is a common chronic respiratory disorder that imposes a substantial global healthcare burden. It is characterized by persistent respiratory symptoms and airflow limitation, driven by chronic inflammation that destroys alveolar walls, narrows and mucus-plugs airways, traps stale air and impairs gas exchange. In many healthcare systems, COPD continues to be associated with under-diagnosis, suboptimal long-term disease management and adherence, limited rescue options in severe exacerbations and inadequate control of severe hypoxaemia. ***Prevalence.*** Global prevalent cases of COPD grew from 222.3 million in 2020 to 254.6 million in 2024. Prevalent is projected to increase to 301.0 million in 2030 and 344.3 million in 2035. Prevalent COPD in China increased from 105.3 million in 2020 to about 107.8 million in 2024. The number is expected to rise to 110.8 million in 2030 and 112.2 million in 2035. ***Treatment Paradigm.*** COPD is generally managed with a stepwise, guideline-directed approach focused on symptom control and prevention of exacerbations. In stable disease, core pharmacologic treatment consists of inhaled bronchodilators, with inhaled corticosteroids added in selected patients with frequent exacerbations or features of type 2 airway inflammation. Acute exacerbations are treated according to severity with short-acting bronchodilators, short courses of systemic corticosteroids and, where indicated, antibiotics, while more severe episodes require hospital-based management with controlled oxygen therapy. iNO therapy is being developed as a lung-selective adjunct to standard respiratory support, and may be used short-course in intensive care for selected severe COPD exacerbations with marked hypoxemia and suspected pulmonary hypertension or right-ventricular strain.

Global and China iNO Therapy Market Size

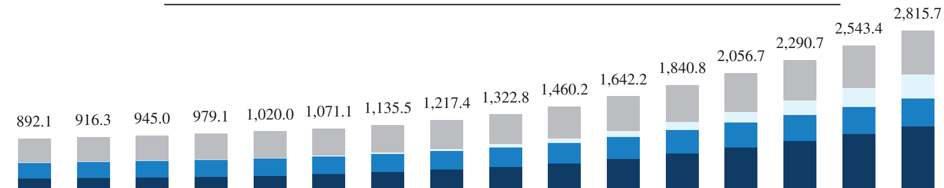
Market Size by Region

The following chart depicts the historical and expected growth trajectories of global iNO therapy market by region from 2020 through 2035.

Global iNO Therapy Market Size and Forecast by Region, 2020-2035E

Unit: Million USD
At wholesales price level

Period	CAGR				
	U.S.	China	EU	RoW	Total
2020-2024	2.6%	36.0%	2.2%	6.0%	3.4%
2024-2030E	4.4%	44.1%	4.1%	15.3%	8.3%
2030-2035E	5.1%	31.9%	4.9%	15.8%	11.4%



	2020	2021	2022	2023	2024	2025E	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Global	892.1	916.3	945.0	979.1	1,020.0	1,071.1	1,135.5	1,217.4	1,322.8	1,460.2	1,642.2	1,840.8	2,056.7	2,290.7	2,543.4	2,815.7
U.S.	428.2	436.6	447.0	459.7	475.3	482.7	494.3	511.3	535.3	568.5	614.2	653.8	691.9	727.5	760.0	788.4
China	3.5	4.5	5.5	8.7	11.9	17.8	26.3	38.3	54.8	77.0	106.3	144.4	193.3	254.7	330.9	424.1
EU	281.9	286.1	291.5	298.4	307.0	311.2	317.9	328.1	342.6	362.9	390.8	415.3	438.5	460.0	479.2	495.6
RoW	178.5	189.1	200.9	212.4	225.8	259.5	296.9	339.7	390.1	451.9	530.9	627.2	733.1	848.5	973.4	1,107.7

Source: Frost & Sullivan Analysis

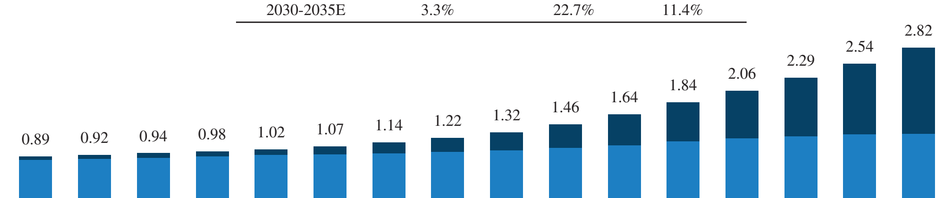
Market Size by Technology

The chart below depicts the historical and expected growth trajectories of global iNO therapy market by technology from 2020 through 2035.

Global iNO Therapy Market Size and Forecast by Tech, 2020-2035E

Unit: Billion USD
At wholesales price level

Period	CAGR		
	Cylinder-based	Instant generation	Total
2020-2024	2.6%	13.4%	3.4%
2024-2030E	2.9%	32.8%	8.3%
2030-2035E	3.3%	22.7%	11.4%



	2020	2021	2022	2023	2024	2025E	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Total	0.89	0.92	0.94	0.98	1.02	1.07	1.14	1.22	1.32	1.46	1.64	1.84	2.06	2.29	2.54	2.82
Instant generation	0.06	0.07	0.08	0.09	0.10	0.14	0.19	0.25	0.32	0.42	0.55	0.69	0.85	1.04	1.26	1.53
Cylinder-based	0.83	0.85	0.87	0.89	0.92	0.93	0.95	0.97	1.00	1.04	1.09	1.16	1.21	1.25	1.28	1.29

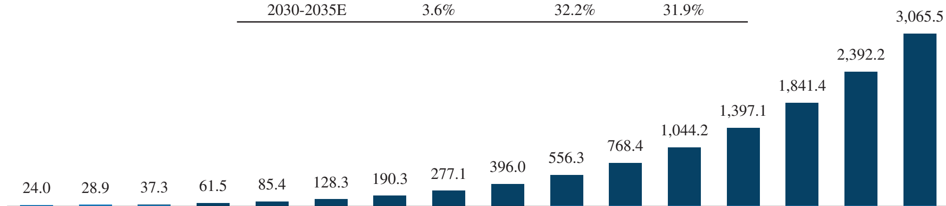
Source: Frost & Sullivan Analysis

In China, this shift is even more pronounced. The delivery mix shifted quickly, as domestic instant-generation devices rapidly displaced cylinder-based systems soon after entering the market. The chart below depicts the historical and expected growth trajectories of China iNO therapy market by technology from 2020 through 2035.

China iNO Therapy Market Size and Forecast by Tech, 2020-2035E

Unit: Million RMB
At ex-factory price level

Period	CAGR		
	Cylinder-based	Instant generation	Total
2020-2024	-24.7%	–	37.4%
2024-2030E	7.1%	46.1%	44.2%
2030-2035E	3.6%	32.2%	31.9%



	2020	2021	2022	2023	2024	2025E	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Total	24.0	28.9	37.3	61.5	85.4	128.3	190.3	277.1	396.0	556.3	768.4	1,044.2	1,397.1	1,841.4	2,392.2	3,065.5
Instant generation	0.0	0.0	16.2	53.3	77.7	120.4	181.7	267.8	385.9	545.4	756.8	1,032.0	1,384.2	1,828.0	2,378.5	3,051.7
Cylinder-based	24.0	28.9	21.1	8.2	7.7	7.9	8.6	9.3	10.1	10.9	11.6	12.2	12.9	13.4	13.7	13.8

Source: Frost & Sullivan Analysis

Competitive Landscape

The global iNO therapy market is characterized by a limited number of specialized platforms approved in major markets. These products illustrate the coexistence of mature cylinder-based franchises with newer instant-generation solutions that differentiate through logistics, footprint, monitoring integration and potential extension into new indications and settings. The following chart sets forth the global competitive landscape of iNO therapy.

Company	Product	Mechanism	Latest Status
Novlead 諾令生物	INOwill® series	Instant – electrochemical catalytic reduction	Approved (NMPA, CE)
BeyondAir	LungFit™ PH	Instant – plasma discharge	Approved (CE, FDA)
Vero	GENOSYL® DS	Instant – N_2O_4 decomposition	Approved (FDA)
Linde	Noxivent	Cylinder-based	Approved (FDA, Health Canada)
Air Liquide	KINOX™ + SoKINOX/ NOXBOX-type	Cylinder-based	Approved (CE)
Mallinckrodt	INOmax®	Cylinder-based	Approved (FDA, NMPA)

Note: Table refer to inhaled nitric oxide gas products only and exclude stand-alone NO delivery systems.
Source: FDA, NMPA, CE, Health Canada (as of 2026/02/06), Frost & Sullivan Analysis

The following chart sets forth the competitive landscape of iNO therapy in China.

Company	Product	Mechanism
Novlead (諾令生物)	INOwill® series	Instant – electrochemical catalytic reduction
Novlead (諾令生物)	eNOaire® series	Instant – plasma discharge
Respomed (睿普)	eNO series	Instant – plasma discharge
Mallinckrodt **Lee's Pharm** (李氏大藥廠)[1]	INOmax®	Cylinder-based
ASCF (航天長峰)	ACM306	Cylinder-based
Fofen (佛山分析)	BG-95	Cylinder-based

Note: INOmax is commercialized in China by Lee's Pharm under a license from Mallinckrodt.
Source: NMPA (as of 2026/02/06), Frost & Sullivan Analysis

Drivers and Future Development Trends of iNO Therapy Market

Growth in the iNO therapy market is supported by (i) a large and recurring pool of high-risk patients, including ARDS patients in ICU settings and COPD patients, with broader dissemination of guidelines and clinician education improving appropriate patient identification and protocolized use; (ii) continued expansion of critical-care infrastructure, particularly in China, where as of 2020 ICU bed density remains approximately 3.6 beds per 100,000 people versus over 30 beds per 100,000 in the United States and Germany, implying that China remains a high-potential ICU market with rising demand for selective pulmonary vasodilators; (iii) an evidence base in core indications, together with a technology shift from traditional cylinder-based delivery to instant-generation systems that reduce storage and logistics burdens and improve the economics and accessibility of NO supply; and (iv) in China, an increasingly supportive policy and payment environment, where "iNO therapy" has been incorporated into standardized procedure codes under national medical insurance information standards to support DRG/DIP-based payment practices, and where the NHSA's Respiratory System Medical Service Price Item Guideline (Trial) issued in March 2025 retained "nitric oxide inhalation therapy fee" as an independently chargeable item with unified coding, enhancing billing operability and traceability and supporting broader adoption across hospitals and care tiers.

The iNO therapy market is expected to (i) shift from cylinder-based delivery to instant-generation, integrated NO platforms (including NO-enabled ventilators) to lower logistics burden and total cost of ownership, (ii) expand beyond acute rescue toward intermittent or longer-term use in selected PH and chronic lung disease patients, subject to supporting clinical and cost-effectiveness evidence, and (iii) increasingly favor systems with drug-grade assurance, reinforcing iNO as a standardized, regulated therapy and supporting a potential evolution toward drug–device combination positioning.

CHINA IABP THERAPY MARKET

Overview of IABP Therapy

IABP is the most widely used form of temporary mechanical circulatory support for patients with acute left-ventricular failure or cardiogenic shock and for selected high-risk cardiac procedures. A balloon-tipped catheter is positioned in the descending thoracic aorta and connected to an external console. The console inflates and deflates the balloon with helium in synchrony with the cardiac cycle, augmenting diastolic aortic pressure and coronary perfusion, modestly increasing cardiac output and reducing left-ventricular afterload and wall stress.

Clinical Positioning and Application Scenarios

Consensus guidelines and expert statements position IABP as a targeted, short-term option within the broader temporary mechanical circulatory support (tMCS) ladder. Major cardiovascular societies and expert groups generally recommend selective use in acute myocardial infarction (AMI)–related cardiogenic shock. Within this framework, IABP is recognized for providing hemodynamic support through diastolic augmentation with relatively simple operation, a shorter learning curve and broad availability, and is typically used for as a bridge to recovery, definitive intervention or escalation—most commonly in acute heart failure and cardiogenic shock, perioperative support for high-risk PCI (especially within cardiology, with high-risk PCI accounting for around 30% of all PCI procedures), and support in cardiac surgery and in catheter laboratories and ICUs.

Major Indications for IABP

Cardiogenic Shock

Cardiogenic shock is a severe form of acute circulatory failure caused by primary cardiac pump failure, leading to systemic hypo perfusion and a high risk of multi-organ dysfunction. Management is time-critical and focuses on optimizing myocardial metabolism and providing comprehensive supportive care. ***Prevalence.*** In China, new cardiogenic shock cases increased from 0.24 million in 2020 to 0.30 million in 2024. The number is expected to grow to 0.39 million in 2030 and 0.48 million in 2035. This persistent growth is backed by accelerated population aging, which imposes a heavy disease burden that is only partially offset by long-term population decline. ***Treatment Paradigm.*** Cardiogenic shock is managed as a medical emergency in coronary care units, ICUs or catheterization laboratories, with initial treatment focused on rapid hemodynamic stabilization using oxygen or ventilatory support, optimization of intravascular volume and vasoactive drugs. For some patients who require additional support, temporary mechanical circulatory support devices, including IABP, are used in specialized centers to maintain systemic perfusion and support myocardial recovery or transition to longer-term therapies. Within this framework, IABP is positioned as a short-term, accessible form of mechanical circulatory support for selected cardiogenic shock patients; through synchronized balloon inflation and deflation in the descending aorta, it augments diastolic coronary perfusion, reduces left ventricular afterload and improves organ perfusion, and is typically used as a bridge to definitive revascularization, surgical intervention or transition to other forms of mechanical support.

Acute Heart Failure

Acute heart failure (AHF) refers to a rapid onset or worsening of heart failure symptoms over a short period of time, with abrupt worsening of dyspnea, congestion and/or hypoperfusion. It often presents as acute left or right heart failure or cardiogenic shock. AHF is a leading cause of hospitalization in patients aged over 65 years and is associated with high mortality and rehospitalization rates. ***Prevalence.*** China's growth is expected to accelerate. New incidences of AHF in China increased from 0.91 million in 2020 to 0.96 million in 2024. The number is projected to rise to 1.05 million in 2030 and 1.15 million in 2035. ***Treatment Paradigm.*** AHF is managed in emergency departments, coronary care units and ICUs, with early risk stratification based on congestion and peripheral perfusion. Initial management focuses on stabilizing airway, breathing and circulation to relieve congestion, careful fluid management, and close monitoring of renal function and electrolytes. Vasodilators may be used in patients with elevated blood pressure and adequate perfusion to reduce preload and afterload. For selected high-risk patients who remain unstable, temporary mechanical circulatory support including IABP provides short-term support by augmenting diastolic coronary perfusion, reducing left-ventricular afterload and improving cardiac output, and is generally used as a bridge to cardiac recovery, long-term device implantation or heart transplantation.

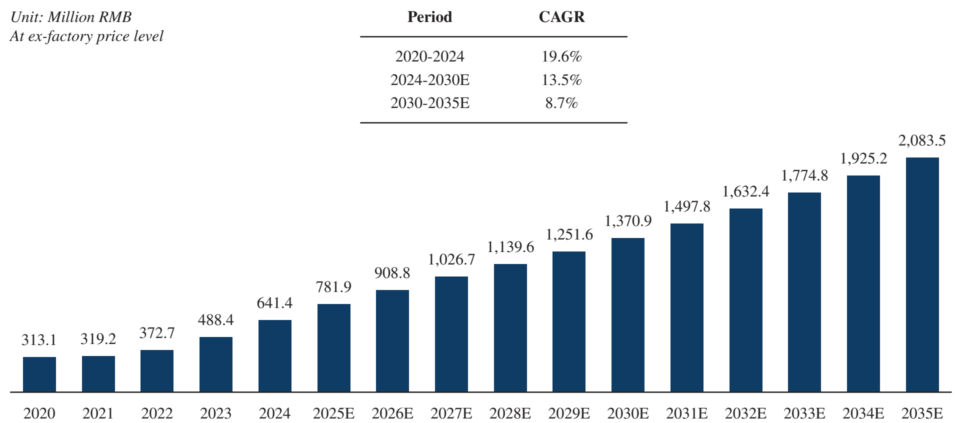
Synergy Between IABP and iNO Therapy

In acute cardiopulmonary failure, management in ICUs often requires coordinated use of multiple devices to maintain circulation, ventilation and gas exchange, particularly in patients with cardiogenic shock, severe right ventricular failure with PH or escalating instability despite medication. In this setting, IABP and iNO provide complementary biventricular support — IABP supports systemic perfusion by improving coronary perfusion and reducing LV afterload, while iNO reduces PVR and RV afterload and improves oxygenation.

China IABP Market Size

The following chart depicts the historical and expected growth trajectories of China IABP market size from 2020 through 2035.

China IABP Market Size and Forecast, 2020-2035E



Source: Frost & Sullivan Analysis

Competitive Landscape

In China, the IABP market has historically been dominated by imported products from leading international manufacturers holding local registration certificates, and these imported systems have set the benchmark for technical specifications and clinical use over a long period. In 2025, three domestic manufacturers obtained approvals for their IABP systems, marking the beginning of meaningful domestic supply at the hospital level. With advantages in cost, delivery capability and localized after-sales service, domestic brands are expected to gradually replace a portion of imported market share over time.

Company	Product	Drive Type	System Design
Life Cardio (先健心康)	IAP-50	• Pneumatic helium system	• Modular design • Safety isolation disk
Novlead (諾令生物)	A100, A200	• Pneumatic helium system	• Modular design • Safety isolation disk
MERA	HBP3	• Electric-powered cylinder drive	• Integrated design • No safety isolation disk
Telelife (通靈仿生)	TL-IABP-100	• Stepper-motor drive	• Integrated design • No safety isolation disk
Teleflex	IAP-0701, IAP-0601 (AC3)	• Stepper-motor drive	• Integrated design • No safety isolation disk
Maquet	Cardiosave Hybrid, Cardiosave Rescue	• Pneumatic helium system	• Modular design • Safety isolation disk

Source: NMPA (as of 2026/02/06), Frost & Sullivan Analysis

Growth Drivers and Future Development Trends of IABP Market

Demand for IABP is supported by (i) a large and persistent burden of cardiogenic shock and acute decompensation in ICU and cath-lab settings, where rapid, readily deployable temporary support is often needed as a bridge to revascularization, surgery or escalation; (ii) the expanding volume and complexity of interventional and perioperative cardiovascular care, including complex and high-risk PCI, which increases the need for procedural hemodynamic stabilization in a broader range of hospitals; and (iii) ongoing device iteration that improves portability, set-up efficiency, triggering performance and workflow integration, supporting replacement demand and wider adoption across routine critical-care pathways.

IABP is expected to evolve toward (i) clearer, more selective and protocol-driven use within the broader tMCS ladder, with more standardized initiation, monitoring and weaning across cath-lab, cardiac surgery and ICU workflows; (ii) continued innovation in vascular-protection and antithrombotic approaches, including exploration of NO-releasing or other coating technologies to reduce thrombosis and infection risks and potentially lower reliance on intensive systemic anticoagulation; and (iii) smarter pneumatic drive control and deeper integration with multi-modality critical care, including improved triggering/monitoring and better coordination with ventilation, ECMO and inhaled pulmonary vasodilators to support consistent use across a wider range of care settings.

CHINA FeNO DIAGNOSTICS MARKET

FeNO is a quantitative, safe and easy-to-perform biomarker of airway inflammation. Elevated FeNO levels indicate eosinophilic airway inflammation and support the diagnosis and management of asthma, chronic cough, rhinitis and COPD, while low FeNO levels suggest non-eosinophilic chronic respiratory diseases. FeNO measurement is non-invasive, rapid, and can be performed with a single controlled exhalation, making it suitable for both specialist and broader clinical settings.

FeNO has been progressively incorporated into international and national respiratory guidelines. Technical standards have standardized measurement procedures, reporting formats and reference values for adults and children, which support routine use of FeNO as an objective test in clinical decision-making. Clinical practice guidelines recommend FeNO as an auxiliary test and, where available a first-line test in suspected asthma, and give strong recommendations for using FeNO to guide asthma treatment in selected patients. FeNO and nasal NO are also referenced in the assessment of upper-airway inflammatory diseases.

Major Indications for FeNO Diagnostics

FeNO diagnostics are primarily used in the management of COPD, asthma and broader airway-inflammation conditions, including chronic cough, allergic rhinitis and chronic rhinosinusitis. Across these indications, FeNO provides a non-invasive, rapid and repeatable biomarker of eosinophilic airway inflammation that supports diagnosis, phenotyping, treatment selection and longitudinal monitoring, and complements symptoms and lung-function testing in both hospital and outpatient settings.

COPD. In COPD, FeNO is typically higher in patients with asthma-like features or eosinophilia and correlates with blood and sputum eosinophil counts. It is therefore used as an adjunct marker to identify eosinophilic or overlap phenotypes, to select patients more likely to respond to inhaled corticosteroid-containing regimens and to support closer follow-up of higher-risk subgroups. For details about COPD, see "— Global iNO Therapy Market — Major Indications for iNO Therapy — Chronic Obstructive Pulmonary Disease."

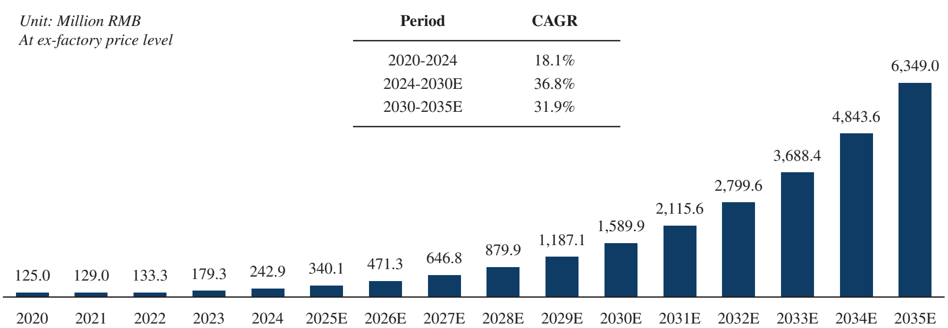
Asthma. Asthma is a chronic inflammatory airway disease with variable airflow obstruction and recurrent symptoms such as wheeze, chest tightness and cough. FeNO has been recognized as a quantitative and easy-to-perform marker of eosinophilic airway inflammation and is recommended in clinical pathways for suspected asthma where available. China's asthma population rose from 64.7 million in 2020 to 69.6 million in 2024. Prevalence is projected to reach 76.5 million in 2030 and 82.2 million in 2035.

Airway Inflammation Diseases. Airway inflammation is a common underlying problem in many long-term respiratory diseases, including asthma, chronic cough, allergic rhinitis, chronic rhinosinusitis (with or without nasal polyps) and certain subgroups of COPD. FeNO and eosinophil levels are therefore important, which indicates broad potential for using FeNO to characterize airway inflammation, evaluate the effect of anti-inflammatory treatment and monitor prognosis over time. In China, airway-inflammation prevalence increased from 446.1 million in 2020 to 465.6 million in 2024. It is projected to reach 491.5 million in 2030 and 510.4 million in 2035.

China FeNO Diagnostic Device Market Size

The following chart depicts the historical and expected growth trajectory of China FeNO diagnostic device market from 2020 through 2035.

China FeNO Diagnostic Device Market Size and Forecast, 2020-2035E



Source: Frost & Sullivan Analysis

Competitive Landscape

In China, the FeNO diagnostic device market is supplied mainly by domestic manufacturers, with a small group of companies accounting for the majority of marketed products. Within this landscape, we have obtained registrations for seven marketed FeNO devices and detectors and rank among the leading domestic manufacturers. We are currently the only domestic player with an approved chemiluminescence-based FeNO analyzer, positioning our portfolio in both the high-precision segment and the mainstream electrochemical segment of the market.

SOURCE OF INFORMATION

We commissioned Frost & Sullivan, an independent market research and consulting company, to conduct an analysis of, and to prepare a report on the global iNO therapy market, China IABP market and China FeNO diagnostics market for use in this document (the "F&S" Report). We have agreed to pay a fee of RMB830,000 to Frost & Sullivan in connection with the preparation of the F&S Report. We have extracted certain information from the F&S Report in this section and elsewhere in this document to provide our potential [**REDACTED**] with a more comprehensive presentation of the industries where we operate. In compiling and preparing the F&S Report, Frost & Sullivan adopted the following assumptions: (i) the social, economic and political conditions globally currently discussed will remain stable during the forecast period, (ii) government policies on medical devices in main markets globally will remain consistent during the forecast period, (iii) medical devices markets will be driven by the factors which are stated in this report in the forecast period. Except as otherwise noted, all of the data and forecasts contained in this section are derived from the F&S Report. The F&S Report has been prepared by Frost & Sullivan independently without any influence from us or other interested parties. Frost & Sullivan is an independent global consulting firm founded in 1961 in New York and its services include, among others, industry consulting, market strategic consulting and corporate training. Frost & Sullivan conducted (i) primary research, which involved discussing the status of the industry with certain leading industry participants, and interviews with industry experts on a best-effort basis to collect information in aiding in-depth analysis; and (ii) secondary research, which involved reviewing company reports, independent research reports and data based on its own research database.

Our Directors confirm that after taking reasonable care, there has been no adverse change in the market information since the date of the report prepared by Frost & Sullivan which may qualify, contradict or have an impact on the information set forth in this section in any material respect.

RELEVANT LAWS AND REGULATIONS IN THE PRC

We are required to comply with various laws, rules and regulations in the PRC in many aspects. This section summarizes the major PRC laws, rules and regulations applicable to our business.

REGULATIONS ON MEDICAL DEVICES

Classification of Medical Devices

Pursuant to the Regulations on the Supervision and Administration of Medical Devices (2024 Revision) (《醫療器械監督管理條例(2024修訂)》) promulgated by the State Council on April 1, 2000 and most recently amended on December 6, 2024 (effective as of January 20, 2025), the drug administration departments under the State Council and the local people's governments at various levels are in charge of the supervision and administration of medical devices in the PRC.

According to the Regulations on the Supervision and Administration of Medical Devices (2024 Revision), medical devices in the PRC are subject to a risk-based classification system comprising three categories — Class I, Class II, and Class III. Class I medical devices refer to those with a low level of risk, the safety and effectiveness of which can be ensured through routine administration. Class II medical devices are subject to more stringent supervision and control due to their moderate level of risk to ensure safety and effectiveness. Class III medical devices, carrying a relatively high level of risk, require special administrative measures to guarantee their safety, effectiveness, and quality throughout the entire life cycle. The production, distribution, and use of medical devices are subject to registration, filing, and supervision requirements depending on their classification.

Registration and Filing of Medical Devices

Pursuant to the Administrative Measures for the Registration and Filing of Medical Devices (《醫療器械註冊與備案管理辦法》) promulgated by the State Administration for Market Regulation (the "**SAMR**") on August 26, 2021 and took effect on October 1, 2021, medical devices of Class I are subject to record-filing, while medical devices of Class II and III are subject to registration. A medical device registration certificate shall be valid for five years. Where a renewal is required upon the expiry of the term of validity, an application for renewal of registration or a filing for record shall be submitted to the original drug administration department six months prior to the expiry of the certificate, in accordance with the adjusted category.

Clinical Trials for Medical Devices

According to the Administrative Measures for the Registration and Filing of Medical Devices, clinical trials are not required for the filing of Class I medical devices but are required for the application for registering Class II and Class III medical devices. Medical devices may be exempt from a clinical trial under any of the following circumstances: (i) with a clear working mechanism, established design, mature manufacturing processes, years of application of similar medical devices on the market with no record of material adverse events, and no change to the general purpose of the device; (ii) safety and effectiveness of the medical device proven through non-clinical evaluation; (iii) safety and effectiveness of the medical device proven through the analysis and evaluation of the data obtained from the clinical trial or application of similar medical devices. The National Medical Products Administration (the "**NMPA**") shall prepare, adjust, and release the catalog of medical devices exempt from a clinical trial.

The Administrative Measures for the Registration and Filing of Medical Devices stipulates that, except for the circumstances exempt from clinical evaluation, clinical evaluation shall take place for the registration and filing of medical device products. On September 16, 2021, the NMPA issued the Notice on the Issuing the Catalog of Medical Devices Exempt from Clinical Evaluation (《關於發佈免於進行臨床評價醫療器械目錄的通告》), which came into effect on October 1, 2021, and last amended on May 12, 2025.

Jointly promulgated by the NMPA, and the National Health Commission (the "**NHC**") on March 24, 2022, and effective from May 1, 2022, the Good Clinical Practice for Medical Devices (《醫療器械臨床試驗質量管理規範》) covers the entire process of a clinical trial of medical devices, including, among others, the protocol design, execution, monitoring, verification and inspection, as well as data collection, recording, analysis and conclusion and reporting procedure of a clinical trial. To carry out clinical trials of medical devices, the applicant shall organize to prepare a scientific and reasonable clinical trial protocol based on the categories, risks and intended uses of the medical devices for clinical experiments. Applicants for the clinical trials of medical devices are responsible for initiating, applying for, organizing and monitoring such clinical trials, and shall be responsible for the authenticity and reliability of the clinical trials.

Medical Devices Production License

Pursuant to the Measures for the Supervision and Administration of Medical Device Production (《醫療器械生產監督管理辦法》) most recently amended by the SAMR on March 10, 2022 with effect from May 1, 2022, the supervision for the production of medical devices follows a risk-based classification. Entities producing Class I medical devices are only required to submit a production filing to the municipal-level drug regulatory authority. Entities producing Class II or III medical devices must obtain approval from the provincial-level drug regulatory authority where they are located and secure a medical device production license in accordance with the law. Each medical device production license is valid for five years and may be renewed upon expiry, provided that an application for renewal is submitted between 90 and 30 working days prior to the expiration.

The Measures for the Supervision and Administration of Medical Device Production further specifies that medical device registrants, filers, and manufacturers shall fulfill the following obligations to ensure the quality of ex-factory medical devices: (i) establish, improve, and maintain a quality management system commensurate with the medical devices produced in accordance with the requirements of the Good Manufacturing Practice for Medical Devices (《醫療器械生產質量管理規範》) (the "**GMP**"); (ii) organize production under strict product technical requirements that have been registered or filed for record. Additionally, registrants, filers and manufacturers of medical devices shall conduct an annual self-inspection of the operation of their quality management system, and submit a self-inspection report to the local drug regulatory authority by March 31 of the following year.

The GMP requires manufacturers of medical devices to fulfill their responsibility for quality and safety by implementing all requirements for product safety, efficacy, and quality control throughout the entire life cycle of medical devices.

Unique Device Identification (UDI) System

Pursuant to the Rules for the Medical Device Unique Identification System (《醫療器械唯一標識系統規則》) promulgated by the NMPA on August 23, 2019, and the subsequent announcements regarding the implementation of the first, second, and third batches of Unique Device Identification ("**UDI**"), the regulatory framework mandates that registrants and filers are responsible for the creation and maintenance of UDIs, the affixation of data carriers, and the submission of relevant data to the UDI Database. This system ensures full-process traceability for medical devices from production to clinical use.

Medical Devices Operation License

Pursuant to the Measures for the Supervision and Administration of Medical Device Operation (《醫療器械經營監督管理辦法》), most recently amended by the SAMR on March 10, 2022 and effective from May 1, 2022, the operation of medical devices in the PRC is subject to a risk-based classified supervision system. Under this framework, the operation of Class III medical devices requires a permit, while the operation of Class II medical devices requires record-filing with the competent authority. The operation of Class I medical devices requires neither a permit or filing.

An operation license for medical devices is valid for five years, and the license holder must apply for renewal between 90 and 30 working days prior to its expiration. If an operator establishes a new business premises, it must submit a separate operation license application or complete the corresponding filing procedures in accordance with the law. No operation permit or record filing is required for the registrant or filer of medical devices to sell its medical devices at its registration address or production sites as long as it meets the prescribed operating conditions, while it is required for it to store and sell medical devices in other places.

Imports and Exports of Medical Devices

The Foreign Trade Law of the PRC (2022 Revision) (《中華人民共和國對外貿易法(2022修正)》) and the 2025 Revision (which has been promulgated but has not yet entered into force) have abolished the mandatory record-filing and registration requirements for foreign trade operators. Unless otherwise stipulated by applicable laws and regulations, the declaration of imported or exported goods and the payment of customs duties may be handled by the consignees or consignors themselves, or alternatively, by their entrusted customs brokers.

Pursuant to the Foreign Trade Law of the PRC (2022 Revision) and the Regulations of the PRC on the Administration of the Import and Export of Goods (《中華人民共和國貨物進出口管理條例》), the state allows the free import and export of goods, and maintains fair and orderly import and export trade of goods according to law. No entity or individual may establish or maintain prohibitive or restrictive measures over the import and export of goods, except for the goods which are explicitly prohibited or restricted by laws or administrative regulations.

Pursuant to the Administrative Regulations on the Export Sales Certificates of Medical Devices (《醫療器械產品出口銷售證明管理規定》) issued by the CFDA on June 1, 2015, and effective as of September 1, 2015, relevant drug regulatory authorities may issue a Medical Device Product Export Sales Certificate (《醫療器械產品出口銷售證明》) to medical device manufacturers only if the manufacturer has obtained a medical device registration certificate and a medical device production license, or has completed the record-filing procedures for medical device registration and production.

Advertisement of Medical Devices

The Advertising Law of the PRC (《中華人民共和國廣告法》), promulgated in 1994 and most recently amended in 2021, regulates advertising activities to ensure truthfulness, lawfulness, and the protection of consumer rights. It prohibits false or misleading content and the use of superlative terms such as "national level" or "highest level", and further restricts advertisements for medical devices from including the contents of: (i) assertations or guarantees regarding efficacy or safety; (ii) statements of cure rates or effectiveness rates; (iii) comparisons with the efficacy or safety of other types of drugs or medical devices; or (iv) the use of advertising endorsers for recommendations or testimonials.

Pursuant to the Interim Administrative Measures for the Review of Advertisements for Drugs, Medical Devices, Health Food and Formula Food for Special Medical Purposes (《藥品、醫療器械、保健食品、特殊醫學用途配方食品廣告審查管理暫行辦法》), promulgated by the SAMR on December 24, 2019 and effective from March 1, 2020, the content of medical device advertisements shall be based on the registration certificates or filing documents approved by the drug regulatory authorities, as well as the content of the registered/filed product instructions. Where a medical device advertisement involves information such as the device name, scope of application, mechanism of action, or structure and composition, it shall not exceed the scope specified in the registration certificate, filing document, or registered/filed product instructions.

Recall, Adverse Event Monitoring and Re-evaluation of Medical Devices

Pursuant to Regulations on the Supervision and Administration of Medical Devices, medical registrants and filers must assume full lifecycle quality and safety responsibilities by establishing and implementing product traceability and recall systems, and by proactively conducting adverse event monitoring, and re-evaluation of products. Based on monitoring and re-evaluation results, they shall promptly implement control measures, improve products, and complete relevant registration or filing changes. Upon discovering that a medical device fails to comply with mandatory standards, registered or filed product technical requirements, the medical device registrant or filing party shall immediately cease production, notify relevant distributors, users and consumers, recall the medical devices on the market, and report the recall and handling to the drug regulatory authority and the health administration authority as required.

The Administrative Measures for Surveillance and Re-evaluation of Medical Device related Adverse Events (《醫療器械不良事件監測和再評價管理辦法》) issued by the SAMR and the NHC on August 13, 2018 and effective from January 1, 2019 stipulates that the medical device marketing authorization holders shall, in accordance with the principle of "reporting when in doubt", report or evaluate individual medical device adverse events that causes or may cause serious injury or death within the prescribed time limit. The Administrative Measures for Surveillance and Re-evaluation of Medical Device-related Adverse Events also establishes a post-marketing monitoring system composed of group medical device adverse events, regular risk assessment reports, key surveillance, risk control, and re-evaluation.

Product Safety

Pursuant to the Production Safety Law of the PRC (《中華人民共和國安全生產法》) promulgated by the Standing Committee of the National People's Congress (the "**SCNPC**") on June 29, 2002, and amended in August 2009, August 2014 and June 2021 respectively, to strengthen production safety supervision and management, and prevent and reduce production safety accidents to safeguard the lives and property of the people, and promote the sustained and sound economic and social development, the state has established systematic and principled provisions at the legislative level on production safety guarantees for production and business operation entities, the production safety rights and obligations of employees, production safety supervision and administration, emergency response and rescue, investigation and handling of production safety accidents, as well as corresponding legal liabilities.

Product Quality

Under the Product Quality Law of the PRC (《中華人民共和國產品質量法》), amended by the SCNPC on December 29, 2018 and effective on the same day, manufacturers and sellers engaged in the production or distribution of products within the PRC shall bear liability for product quality. Violations of the law may result in penalties such as fines, suspension of business operations, confiscation of unlawfully produced or sold goods and related proceeds, or revocation of business licenses. In serious cases, criminal liability may apply. If a defect in a product causes physical injury or damage to third party property, the injured party may claim compensation against the producer or may claim compensation against the seller.

REGULATIONS ON PERSONAL INFORMATION SECURITY AND DATA PROTECTION

The Cybersecurity Law of the PRC (《中華人民共和國網絡安全法》), which took effect on June 1, 2017, which stipulates that network operators must comply with laws and regulations and fulfill their obligations to safeguard cybersecurity while conducting business operations and providing services.

The PRC Data Security Law (《中華人民共和國數據安全法》), which was promulgated by the SCNPC on June 10, 2021 and took effect on September 1, 2021, provides that the conduct of data processing activities shall be in compliance with the provisions of laws and administrative regulations, establishing and completing a data security management system for the entire workflow, organizing and conducting data security education and training, adopting corresponding technical measures and other necessary measures to ensure data security, strengthening risk monitoring, taking immediate disposition measures and promptly reporting to relevant authorities when data security incidents occur.

On August 20, 2021, the SCNPC promulgated the Personal Information Protection Law of the PRC (《中華人民共和國個人信息保護法》), which took effect on November 1, 2021, which integrates the scattered rules with respect to personal information rights and privacy protection and aims at protecting the personal information rights and interests, regulating the processing of personal information, ensuring the orderly and free flow of personal information in accordance with the law, and promoting the reasonable use of personal information.

On September 24, 2024, the State Council promulgated the Administration Regulations on Cyber Data Security (《網絡數據安全管理條例》), which took effect on January 1, 2025. The Administration Regulations on Cyber Data Security provides that where the network data processing activities of a network data processor affect or may affect national security, a national security review shall be conducted in accordance with relevant national provisions.

Cybersecurity Review

On December 28, 2021, the Cyberspace Administration of China (the "**CAC**"), the National Development and Reform Commission of the PRC (the "**NDRC**"), the Ministry of Industry and Information Technology of the People's Republic of China (the "**MIIT**") and ten other Chinese regulatory authorities jointly promulgated the Cybersecurity Review Measures (《網絡安全審查辦法》), which took effect on February 15, 2022. The Cybersecurity Review Measures mandate cybersecurity reviews under the following three circumstances: (i) when critical information infrastructure operators procure network products or services that affect or may affect national security; (ii) when network platform operators carry out data processing activities that affect or may affect national security; and (iii) when network platform operators possessing personal information of more than 1,000,000 individuals pursue overseas [**REDACTED**].

On July 7, 2022, the CAC promulgated the Measures for the Security Assessment of Outbound Data Transfers (《數據出境安全評估辦法》), which became effective on September 1, 2022. Pursuant to Article 4 of such measures, data processors shall apply to the CAC for security assessment for the outbound transfer of data under several circumstances, including: (i) the transfer of important data; (ii) the transfer of personal information by critical information infrastructure operators; and (iii) other circumstances where a security assessment is required by the CAC.

Subsequently, on March 22, 2024, the CAC promulgated the Provisions on Promoting and Standardizing Cross-border Data Flows (《促進和規範數據跨境流動規定》) with effect from March 22, 2024, which further refined the regulatory framework for cross-border data transfers. These Provisions clarify the specific thresholds and application scenarios for the three major data export mechanisms, namely: (i) the security assessment of outbound data transfers; (ii) the execution of the standard contract for the outbound transfer of personal information; and (iii) the implementation of personal information protection certification.

CORPORATE GOVERNANCE AND OVERSEAS INVESTMENT

The establishment, operation, and management of companies in China are primarily governed by the PRC Company Law (《中華人民共和國公司法》), originally enacted on December 29, 1993, and most recently amended on December 29, 2023, with the revisions effective July 1, 2024. Key amendments include but not limited to: (i) enhancement of the company capital system through the introduction of an authorized capital system for companies limited by shares, specification of share classes eligible for issuance, reinforcement of capital maintenance principles, and permission to use capital reserves to cover losses; (ii) strengthening of fiduciary duties of the directors, supervisors and senior management, covering obligations such as maintaining adequate capital, disclosing related-party transactions, and assuming joint and several liability and liquidation responsibilities; and (iii) improvement of the company registration system by clarifying that equity interests and creditor rights can be contributed as capital, allowing the establishment of companies limited by shares with one shareholder, and introducing simplified procedures for capital reduction and de-registration of company to facilitate a company's operation.

Pursuant to the Regulations on Foreign Exchange Administration of the Overseas Direct Investment of Domestic Institutions (《境內機構境外直接投資外匯管理規定》) promulgated by the State Administration of Foreign Exchange (the "**SAFE**") on July 13, 2009 and effective from August 1, 2009, upon obtaining approval for relevant investment, a mainland Chinese enterprise shall apply for foreign exchange registration for its overseas direct investments. The Notice on Further Simplifying and Improving the Direct Investment-related Foreign Exchange Administration Policies (《關於進一步簡化和改進直接投資外匯管理政策的通知》) promulgated by SAFE on February 13, 2015 and amended on December 30, 2019, cancels the administrative approval requirements for foreign exchange registration of domestic direct investment and overseas direct investment, and simplifies foreign exchange-related registration procedures. Banks are entitled to review and carry out foreign exchange registration under overseas direct investment directly.

Pursuant to the Administrative Measures for Overseas Investment (《境外投資管理辦法》) promulgated by the MOFCOM on March 16, 2009, amended on September 6, 2014 and effective from October 6, 2014, the MOFCOM and its provincial counterparts are responsible for administering and supervising overseas investments. Overseas investments by enterprises involving sensitive countries or regions, or sensitive industries, shall be subject to approval administration. For other categories of overseas investments, enterprises shall file records with the competent commerce authorities.

Pursuant to the Administrative Measures for Overseas Investment of Enterprises (《企業境外投資管理辦法》) promulgated by the NDRC on December 26, 2017 and effective from March 1, 2018, domestic investing enterprises conducting overseas investments shall comply with the approval or filing procedures required by competent authorities. Where the direct investing entity is a local enterprise in mainland China and the Chinese investment amount is below USD300 million in a non-sensitive overseas investment project, the filing authority shall be the provincial-level department of the NDRC in the investing entity's place of registration.

REGULATIONS ON INTELLECTUAL PROPERTY RIGHTS

Patent

The Patent Law of the PRC (《中華人民共和國專利法》) promulgated by the SCNPC on March 12, 1984, most recently amended on October 17, 2020, and effective from June 1, 2021, and the Implementing Rules of the Patent Law (《中華人民共和國專利法實施細則》), provides for three types of patents, including "invention", "utility model" and "design". The validity periods of these patents are calculated from the date of application. An invention patent is valid for 20 years, a utility model for 10 years, and a design for 15 years.

Trademark

Pursuant to the Trademark Law of the PRC (《中華人民共和國商標法》), which was promulgated on August 23, 1982, most recently amended on April 23, 2019, and effective as of November 1, 2019, and the Implementation Regulations of the Trademark Law of the PRC (《中華人民共和國商標法實施條例》), the China National Intellectual Property Administration, through its Trademark Office, is responsible for handling trademark registration matters. Under the

Trademark Law, a registered trademark is valid for ten years from the date of registration. To maintain protection beyond this period, the registrant must apply for renewal within twelve months before expiry. Each renewal extends the trademark's validity for another ten years.

Copyright

Pursuant to the Copyright Law of the PRC (《中華人民共和國著作權法》) promulgated by the SCNPC on September 7, 1990, most recently amended on November 11, 2020, and effective from June 1, 2021, Chinese citizens, legal persons, or unincorporated organizations are entitled to copyright in their works under the law, regardless of whether the works are published. Authors and other copyright holders may complete work registration formalities with the registration agency recognized by the competent copyright authority of the PRC.

According to the Measures for the Registration of Computer Software Copyright (《計算機軟件著作權登記辦法》) issued on April 6, 1992, most recently amended on June 18, 2004, and became effective on July 1, 2004, and the Regulations on Protection of Computer Software (《計算機軟件保護條例》) promulgated by the State Council on June 4, 1991, most recently amended on January 30, 2013, and effective from March 1, 2013, the State Copyright Administration shall be responsible for the administration of software copyright registration nationwide, and further certifies the China Copyright Protection Center as the institution responsible for software registration.

Domain Names

Pursuant to the Measures for the Administration of Internet Domain Names (《互聯網域名管理辦法》) promulgated by the MIIT on August 24, 2017 and effective from November 1, 2017, the MIIT supervises and administers domain services nationwide. Domain name registration services shall in principle implement "first apply, first register". A domain name registrar shall, in the process of providing domain name registration services, ask the applicant for which the registration is made to provide authentic, accurate and complete identity information on the holder of the domain name and other domain name registration related information.

LAWS AND REGULATIONS ON ANTI-UNFAIR COMPETITION

According to the Anti-Unfair Competition Law of the People's Republic of China (《中華人民共和國反不正當競爭法》) (the "**Anti-Unfair Competition Law**") amended by the SCNPC on June 27, 2025 and came into effect on October 15, 2025, unfair competition refers to the conduct of an operator who, in the course of production and operation activities, violates the Anti-Unfair Competition Law, disrupts the order of market competition and harms the lawful rights and interests of other operators or consumers. According to the Interim Provisions of the State Administration for Industry and Commerce on Banning Commercial Bribery (《國家工商行政管理局關於禁止商業賄賂行為的暫行規定》) (the "**Provisions on Banning Commercial Bribery**") promulgated by the State Administration for Industry and Commerce on November 15, 1996, commercial bribery refers to the use of money or other means by a business operator to bribe an entity or individual for the sale or purchase of goods. The term "**other means**" refers to the provision of any kind of domestic and overseas trips, study tours, and other means of benefit other than the payment of money. According to the Anti-Unfair Competition Law and the Provisions on Banning Commercial Bribery, the supervisory and inspection department may impose a fine according to the severity of the case and confiscate any illegal proceeds.

According to the Compliance Guidelines for Pharmaceutical Enterprises to Prevent Commercial Bribery Risks (《醫藥企業防範商業賄賂風險合規指引》) (the "**Compliance Guidelines**") promulgated by the SAMR and became effective on January 10, 2025, medical device enterprises are required to establish and improve robust anti-commercial bribery mechanisms. The

Compliance Guidelines emphasize that enterprises shall integrate anti-bribery requirements into their overall corporate governance, ensuring that internal control systems are sufficient to identify and mitigate risks throughout the entire lifecycle of business operations.

REGULATIONS ON ENVIRONMENT PROTECTION

Environmental Impact Assessment

Pursuant to the Environmental Impact Assessment Law of the PRC (《中華人民共和國環境影響評價法》), promulgated by the SCNPC on October 28, 2002 and most recently amended on December 29, 2018, and the Provisions on Classified Examination and Approval of Environmental Impact Assessment Documents for Construction Projects (2009 Revision) (《建設項目環境影響評價文件分級審批規定(2009修訂)》) enacted by the Ministry of Environmental Protection on January 16, 2009 and effective from March 1, 2009, construction projects are subject to classified environmental impact assessments based on the degree of environmental impact. Projects with possible significant impacts must submit a comprehensive assessment of the environmental impact; projects with moderate impacts are required to provide an environmental impact statement for analysis or assessment of specific items relating to the environmental impact; while projects with minimal impacts may submit an environmental impact registration form.

Under the Regulations on the Environmental Protection Management of Construction Projects (《建設項目環境保護管理條例》), promulgated by the State Council on November 29, 1998, revised on July 16, 2017, and effective on October 1, 2017, construction projects requiring environmental impact reports or statements must obtain approval from competent authorities before commencement. Furthermore, complementary environmental protection facilities must pass acceptance inspection prior to being put into production or use, where the environmental protection facilities have not undergone acceptance inspection or do not pass acceptance inspection, the construction project shall not be put into production or use.

Pollutant Discharge

Pursuant to the Environmental Protection Law of the PRC, as well as three key regulatory documents as follows: (i) the Regulation on Administration for Pollutant Discharge License (《排污許可管理條例》), which was promulgated by the State Council in January 2021 and entered into force in March 2021; (ii) the Catalog of Classified Management of Pollutant Discharge License for Stationary Pollution Sources (2019 Edition) (《固定污染源排污許可分類管理名錄(2019年版)》), issued by the Ministry of Ecology and Environment ("**MEE**") in December 2019 and taking effect on the same date; (iii) the Administrative Measures for Pollutant Discharge License (《排污許可管理辦法》), which was promulgated by MEE on April 1, 2024 and scheduled to be implemented on July 1, 2024, Pollutant discharge permits are categorized into three tiers — key management, simplified management, and registration management — based on criteria such as the volume of pollutants generated, the quantity discharged, and the extent of environmental impact. Entities falling under registration management are exempt from applying for a formal permit; instead, they need to complete and submit a pollutant discharge registration form via the national pollutant discharge permit administration information platform.

Under the Measures for the Administration of Permits for the Discharge of Urban Sewage into the Drainage Network (《城鎮污水排入排水管網許可管理辦法》), promulgated in January 2015, amended in December 2022, and effective in February 2023, enterprises, public institutions, and individual business operators engaged in industries such as manufacturing, construction, catering, and medical services (or other activities involving sewage generation) that need to discharge sewage into urban drainage facilities shall apply for a drainage license.

REGULATIONS ON EMPLOYMENT AND SOCIAL WELFARE

Employment

The PRC Labor Law (《中華人民共和國勞動法》), which was promulgated by the NPC in 1994, and most recently amended in 2018, stipulates the relationship between employers and employees.

The PRC Labor Contract Law (《中華人民共和國勞動合同法》), which was promulgated by the NPC in 2007, amended in 2012 and came into effect in 2013, and the Implementation Regulations on Labor Contract Law (《中華人民共和國勞動合同法實施條例》) which was promulgated by the State Council and came into effect in 2008, specifies the terms and conditions included in labor contracts to protect the rights and interests of the employees.

Social Insurance and Housing Provident Fund

According to the Provisional Regulations on the Collection and Payment of Social Insurance Premium (《社會保險費徵繳暫行條例》), the Regulations on Work Injury Insurance (《工傷保險條例》), the Regulations on Unemployment Insurance (《失業保險條例》) and the Trial Measures on Employee Maternity Insurance of Enterprises (《企業職工生育保險試行辦法》), an enterprise in the PRC must provide a benefit plan for their employees, which include basic pension insurance, unemployment insurance, maternity insurance, work injury insurance and medical insurance. An enterprise must provide social insurance by processing social insurance registration with local social insurance agencies, and must pay or withhold relevant social insurance premiums for or on behalf of its employees.

The Social Insurance Law of the People's Republic of China (《中華人民共和國社會保險法》) promulgated by the Standing Committee of the NPC on October 28, 2010, last amended and came into effect on December 29, 2018, regulates basic pension insurance, unemployment insurance, maternity insurance, work injury insurance and medical insurance, and has elaborated in detail the legal obligations and liabilities of an employer who does not comply with relevant laws and regulations on social insurance.

The Regulations on the Administration of Housing Provident Fund (《住房公積金管理條例》) promulgated by the State Council on April 3, 1999, and last amended and came into effect on March 24, 2019, stipulates that an employer shall register with the Housing Provident Fund Management Centre for housing provident fund contributions and set up a housing provident fund account for its employees. The housing provident fund contributions paid by an individual employee and housing provident fund contributions paid by his/her employer shall vest to the individual employee.

REGULATIONS ON FOREIGN EXCHANGE

The principal regulations governing foreign exchange in China are the Foreign Exchange Administration Regulations of the PRC (《中華人民共和國外匯管理條例》), which was promulgated by the State Council on January 29, 1996 and most recently amended on August 5, 2008. Pursuant to this regulation and other PRC rules and regulations on currency conversion, RMB is freely convertible for payments of current account items, such as trade-related and service-related foreign exchange transactions and dividend payments; however, conversion for capital account items, such as direct investment, loans, or investments in securities outside China, requires prior approval is obtained from SAFE or its local counterpart.

According to the Notice of the State Administration of Foreign Exchange on Issues concerning the Foreign Exchange Administration of Overseas Listing (《國家外匯管理局關於境外上市外匯管理有關問題的通知》) (the "**Notice Concerning the Management of Funds**") issued by the SAFE on December 26, 2014, the domestic companies shall register the overseas [**REDACTED**] with the foreign exchange control bureau located at its registered address in 15 working days after completion of the overseas [**REDACTED**] and [**REDACTED**]. The funds raised by the domestic companies through overseas [**REDACTED**] may be repatriated to China or deposited overseas, provided that the intended use of the fund shall be consistent with the contents of the document and other public disclosure documents. While, according to the Notice by the People's Bank of China and the State Administration of Foreign Exchange of Issues Concerning the Management of Funds for Domestic Enterprises Listing Abroad (《中國人民銀行、國家外匯管理局關於境內企業境外上市資金管理有關問題的通知》) (the "**New Notice Concerning the Management of Funds**") promulgated by the PBOC and the SAFE on December 24, 2025 and will come into effect on April 1, 2026, which will replace Notice Concerning the Management of Funds. According to the New Notice Concerning the Management of Funds, domestic enterprises conducting overseas [**REDACTED**] shall, within 30 working days from the first [**REDACTED**] day of overseas [**REDACTED**] or after completion of the [**REDACTED**], apply for overseas [**REDACTED**] registration at a bank within the province/municipality with independent planning status where they are registered. Funds raised by domestic enterprises through overseas [**REDACTED**] shall, in principle, be repatriated to China in a timely manner. If such funds are retained overseas for purposes such as overseas direct investment, overseas securities investment, or oversea lending, approval or filing documents from the competent business authorities must be obtained before the completion of the [**REDACTED**] or the [**REDACTED**], and relevant cross-border fund management regulations must be complied with.

REGULATIONS ON TAXATION

Income Tax Law

According to the PRC Enterprise Income Tax Law (《中華人民共和國企業所得稅法》) (the "**EIT Law**") promulgated by the NPC on March 16, 2007, and most recently amended on December 29, 2018 and effective from the same date and the Enterprise Income Tax Implementation Regulations of the PRC (《中華人民共和國企業所得稅法實施條例》) (the "**Implementation Regulations for the EIT Law**") promulgated by the State Council on December 6, 2007, and most recently amended on December 6, 2024 and effective from January 20, 2025, enterprises are classified as either "resident enterprises" and "non-resident enterprises". Resident enterprises are enterprises incorporated in China under the PRC law, or enterprises incorporated under the law of a foreign country (region) but are with its de facto management located within China. Non-resident enterprises are enterprises which are incorporated in accordance with the law of a foreign country (region) with its actual management located outside China, but which either maintains an office or place of business in China, or derives China-sourced income despite having no such office or place of business in China. Resident enterprises are subject to a standard enterprise income tax rate of 25% on their global income. Key advanced and new technology enterprises supported by the State are eligible for a preferential enterprise income tax rate of 15%.

Pursuant to the Circular on Issues Relating to the Withholding of Enterprise Income Tax by Mainland China Resident Enterprises on Dividends Paid to Overseas Non-mainland China Resident Enterprise Shareholders of H Shares (《國家稅務總局關於中國居民企業向境外H股非居民企業股東派發股息代扣代繳企業所得稅有關問題的通知》), issued by the State Taxation Administration (the "**STA**") on November 6, 2008, a Chinese resident enterprise distributing dividends to its overseas non-resident enterprise shareholders holding H-shares for fiscal years commencing in or after 2008 is required to withhold Enterprise Income Tax at a uniform rate of 10%.

Value-Added Tax

The PRC Value-Added Tax Law (《中華人民共和國增值稅法》) has been promulgated by the SCNPC on December 25, 2024, and became effective on January 1, 2026. Entities and individuals (including individual industrial and commercial households) that sell goods, services, intangible assets, or immovables, or import goods within the territory of the People's Republic of China are taxpayers of VAT, and shall pay VAT in accordance with this Law. Pursuant to the VAT Law, the VAT rate will be: (1) 13%, for taxpayers' sale of goods, labor services of processing, repairs or replacement, or tangible movable property leasing services or import of goods, except for those specified in subparagraphs 2, 4 and 5 herein; (2) 9%, for taxpayers' sale of transportation, postal, basic telecommunications, construction, or immovable leasing services, sale of immovables, transfer of the rights to use land, or sale or import of the following goods, except for those specified in subparagraphs 4 and 5 herein; (3) 6%, for taxpayers' sale of services or intangible assets, except for those specified in subparagraphs 1, 2 and 5 herein; (4) Zero, for taxpayers' export of goods, except it is otherwise provided for by the State Council; (5) Zero, for the sale of services or intangible assets within the scope as prescribed by the State Council by domestic entities and individuals across national borders.

REGULATIONS ON SECURITIES ISSUANCE AND OVERSEAS [REDACTED] AND [REDACTED]

Laws and Regulations on Securities Issuance

The Securities Law of the PRC (《中華人民共和國證券法》) (the "**Securities Law**"), which was promulgated by the SCNPC on December 29, 1998, most recently amended on December 28, 2019 and took effect on March 1, 2020, comprehensively regulating activities in the PRC securities market including issuance and [**REDACTED**] of securities, takeovers by [**REDACTED**] companies, securities exchanges, securities companies and the duties and responsibilities of securities regulatory authorities. The Securities Law further regulates that a domestic enterprise [**REDACTED**] and [**REDACTED**] overseas directly or indirectly or [**REDACTED**] and [**REDACTED**] their securities overseas shall comply with the relevant provisions of the State Council and for subscription and [**REDACTED**] of shares of domestic companies using foreign currencies, detailed measures shall be stipulated by the State Council separately. The CSRC is the securities regulatory authority set up by the State Council to supervise and administer the securities market according to law, maintain order in the market, and ensure the market operates in a lawful manner.

CSRC Filing Requirements for Overseas [REDACTED] and [REDACTED]

On February 17, 2023, the CSRC promulgated the Trial Administrative Measures of Overseas Securities Offering and Listing by Domestic Companies (《境內企業境外發行證券和上市管理試行辦法》) (the "**Overseas Listing Trial Measures**") and five supporting guidelines (together with the Overseas Listing Trial Measures, collectively referred to as the "**Overseas Listing Regulations**"). Under the Overseas Listing Regulations, PRC domestic companies that seek to [**REDACTED**] or [**REDACTED**] securities overseas, either directly or indirectly, shall file with the CSRC within 3 working days after its [**REDACTED**] for overseas [**REDACTED**] is submitted.

Pursuant to the Overseas Listing Trial Measures, no overseas [**REDACTED**] and [**REDACTED**] shall be made under any of the following circumstances: (i) such securities [**REDACTED**] and [**REDACTED**] are explicitly prohibited by the PRC laws and regulations; (ii) such securities [**REDACTED**] and [**REDACTED**] constitute a threat to or endanger national security; (iii) the PRC domestic company, or its controlling shareholder(s) and the actual controller, have committed relevant crimes such as corruption, bribery, embezzlement, misappropriation of property or undermining the order of the socialist market economy during the latest three years; (iv) the PRC domestic company is under investigations for suspicion of criminal offenses or major violations of laws and regulations, and no conclusion has yet been made thereof; or (v) there are material ownership disputes over equity held by the controlling shareholder(s) or by other shareholder(s) that are controlled by the controlling shareholder(s) and/or the actual controller.

CSRC Requirements on Confidentiality and Archives Administration for Overseas [REDACTED] and [REDACTED]

On February 24, 2023, the CSRC and other relevant government authorities promulgated the Provisions on Strengthening the Confidentiality and Archives Management Work Related to the Overseas Securities Offering and Listing by Domestic Companies (《關於加強境內企業境外發行證券和上市相關保密和檔案管理工作的規定》) (the "**Provision on Confidentiality**"), which took effect on March 31, 2023. Pursuant to the Provision on Confidentiality, where a domestic enterprise provides or publicly discloses to the relevant securities companies, securities service institutions, overseas regulatory authorities and other entities and individuals, or provides or publicly discloses through its overseas [**REDACTED**] and [**REDACTED**] subjects, documents and materials involving state secrets and working secrets of state agencies, it shall apply to the competent authority for approval, and file the same with the secrecy administration department at the same level for the record. To provide accounting records or photocopies of accounting records to entities and individuals such as the relevant securities companies, securities service agencies and overseas regulatory authorities, a domestic enterprise shall perform the corresponding procedures in accordance with the relevant provisions of the State.

REGULATIONS RELATED TO THE "FULL-CIRCULATION" OF H-SHARE

"Full circulation" means [**REDACTED**] and [**REDACTED**] on the Stock Exchange of the domestic unlisted shares of an H-share [**REDACTED**] company (the "**H-share [REDACTED] company**"), including unlisted domestic shares held by domestic shareholders prior to overseas [**REDACTED**], unlisted domestic shares additionally issued after overseas [**REDACTED**], and unlisted shares held by foreign shareholders. On August 10, 2023, the CSRC announced the Guidelines for the "Full Circulation" Program for Domestic Unlisted Shares of H-share Listed Companies (2023 Revision) (《H 股公司境內未上市股份申請"全流通"業務指引(2023修訂)》) (the "**Guidelines for the 'Full Circulation'**").

According to the Guidelines for the "Full Circulation", shareholders of domestic unlisted shares may determine by themselves through consultation on the amount and proportion of shares, for which an application will be filed for circulation, provided that the requirements laid down in the relevant laws and regulations and set out in the policies for state-owned asset administration, foreign investment and industry regulation are met, and the corresponding H-share company may be entrusted to file with the CSRC. Domestic companies limited by shares that have not been [**REDACTED**] may file with the CSRC for the "Full circulation" at the time of their [**REDACTED**] and [**REDACTED**] overseas.

On December 31, 2019, China Securities Depository and Clearing Corporation Limited (the "**CSDC**") and Shenzhen Stock Exchange jointly announced the Measures for Implementation of the H share "Full Circulation" business (《H股"全流通"業務實施細則》) (the "**Measures for Implementation**"). The businesses of cross-border transfer registration, maintenance of deposit and holding details, transaction entrustment and instruction transmission, settlement, management of settlement participants, services of nominal holders, etc. in relation to the H-share "full circulation business", are subject to the Measures for Implementation. Unlisted shares in the PRC once [**REDACTED**] and [**REDACTED**] on the Hong Kong Stock Exchange may not be transferred back to the PRC.

In order to fully promote the reform of H-shares "Full Circulation" and clarify the business arrangement and procedures for the relevant shares' registration, custody, settlement and delivery, CSDC has promulgated the Notice on the issuance of the "Full Circulation" Pilot Business Guide for H Shares (Trial) (關於發佈《H股"全流通"試點業務指南(試行)》的通知) in May 22, 2018, which specified the business preparation, account arrangement, cross-border share transfer registration and overseas centralized custody, etc.

OVERVIEW OF LAWS AND REGULATIONS IN EUROPEAN UNION

EEA Regulations of Medical Devices

Since the full application of the EU MDR on May 26, 2021, all new medical devices seeking CE marking for the first time must demonstrate full compliance with Regulation (EU) 2017/745 ("**MDR**"). For legacy devices already on the market, medical devices can be commercialized in the member states of the European Economic Area ("**EEA**") only if they meet the requirements under the Regulation (EU) 2017/745 on medical devices ("**MDR**") and obtain CE (Conformité Européenne) Mark (including countries which have signed Mutual Recognition Agreement with EU).

On May 26, 2021, the Medical Device Directive ("**EU MDD**") 93/42/EEC was repealed and replaced by the EU MDR which has become a regulation versus a former directive, for the manufacturers who plan to commercialize medical devices in this region. The MDR is subject to a transition period during which manufacturers of medical devices must update their technical information and processes. While the original transition period was initially set to end in May 2024, Regulation (EU) 2023/607 has formally extended these timelines. The MDR has the same basic requirements as the EU MDD, but is generally more stringent, especially in terms of risk classes and the oversight provided by notified bodies, and more vigilance and post-market surveillance ("**PMS**").

The EU MDR aims to ensure the smooth functioning of the internal market with respect to medical devices, taking as a base a high level of protection of health for patients and users, and considering the small- and medium-sized enterprises that are active in this sector. At the same time, this Regulation sets high standards of quality and safety for medical devices in order to meet common safety concerns as regards such products.

Certification System of Medical Devices

The system of regulating medical devices operates by way of a certification for each medical device. Each certificated device is marked with CE mark which shows that the device has a Certificat de Conformité. There are national bodies known as Competent Authorities in each member state which oversee the implementation of the EU MDR within their jurisdiction. The means for achieving the requirements for CE mark varies according to the nature of the device. Pursuant to the MDR, devices are classified into Class I, Class IIa, Class IIb, and Class III. The classification is a risk-based mechanism according to the nature of human body contact and the contact duration of the medical devices. The class of a product determines the requirements to be fulfilled before CE mark can be placed on a product, known as a conformity assessment. Each member state can appoint notified bodies within its jurisdiction. If a notified body of one member state has issued a Certificat de Conformité, the device can be sold throughout the European Union without further conformance tests being required in other member states.

Post Market Surveillance and Vigilance for Medical Devices

Pursuant to the EU MDR, the PMS and vigilance of a medical device shall have a PMS system to actively gather and analyze the PMS data throughout the device's lifetime. Proactive PMS plan and report shall be performed at an appropriate frequency based on the device's risk-based class. As a key element of this proactive approach, a Post-Market Clinical Follow-up (PMCF) plan is required to continuously update the clinical evaluation and verify the long-term safety and performance of the device. For Class IIa, IIb and III medical devices, as a result of the PMS plan and PMCF findings, a Periodic Safety Update Report ("**PSUR**") will be generated either biennially (for IIa) or annually (for IIb and III) and made available to the notified body and competent authorities. The medical device manufacturers are also requested by the regulation to report serious incidents and field safety corrective actions, additionally the trend report for any statistical significant increase in the frequency or severity of the non-serious incidents. The aforementioned reporting and PSUR submission shall follow the electronic system established by the European Commission.

Import Requirements of Medical Devices

Under the MDR, strict requirements on manufacturers, importers and distributors of medical devices in the EEA are imposed. Failure to comply with the regulatory requirements may render medical device manufacturers to lose their marketing approvals or be subject to fines or other sanctions. Medical device manufacturers must also have a named person responsible for regulatory compliance, who possesses the requisite expertise in the field of medical devices. Medical device manufacturers must assign a Basic UDI-DI code to the device and provide the code to the UDI database.

Pursuant to article 16 of the MDR, an importer, distributor or any natural or legal person is the one who must assume the obligations incumbent on manufacturers if it does any of the following: (a) it makes available on the EEA market a device under its own name, registered trade name or registered trademark, except if the manufacturer agreed to be identified as such on the label and to be responsible for the MDR manufacturers obligations; (b) it changes the intended purpose of a device already placed on the market or put into service; and (c) it modifies a device already placed on the market or put into service in such a way that compliance with the applicable requirements may be affected.

OVERVIEW OF LAWS AND REGULATIONS IN THE UNITED STATES

U.S. Federal and State Regulations of Medical Devices

The U.S. Food and Drug Administration ("**FDA**") regulates medical devices and products intended for diagnostic use under the Food, Drug and Cosmetic Act and its implementing regulations ("**FDCA**"). In the United States, a company that manufactures, imports, or distributes a medical device, would be subject to FDA pre- and post-market requirements, including obtaining a 510(k) clearance or pre-market approval ("**PMA**"), registering its manufacturing facilities, listing the products it manufactures.

For a product candidate to enter preclinical testing in accordance with FDA's Good Laboratory Practice regulations, a sponsor of an Investigational Device Exemption ("**IDE**") must submit the results of the preclinical results, manufacturing information, analytical data and any available clinical data to the FDA. The IDE becomes effective 30 days after the FDA receipt, unless the FDA raises concerns and places the trial on a clinical hold.

Beyond clinical trials, the regulatory pathway to market depends on the device classification. Most Class II devices, including many active devices, require a 510(k) clearance or pre-market approval to demonstrate that the device is "substantially equivalent" to a legally marketed predicate. In contrast, Class III or high-risk devices typically require PMA, a more rigorous process requiring independent evidence of safety and effectiveness. Both pathways require strict adherence to the FDA's Quality System Regulation, or Quality Management System Regulation which will be implemented on February 2, 2026.

Recently Passed Law by the U.S. Government: The BIOSECURE Act

On January 25, 2024, the BIOSECURE Act (H.R. 7085) was introduced to the U.S. House of Representatives. The proposed legislation was referred to the House Committee on Oversight and Accountability, and passed by a vote of 306-81 in the House.

At the time, the BIOSECURE Act (H.R. 7085), as proposed, generally would prohibit U.S. executive branch agencies from:

1. procuring or obtaining any biotechnology equipment or service produced or provided by a "biotechnology company of concern;"

2. entering into or renewing a contract with an entity that uses such biotechnology equipment or enters into a contract requiring the use of such biotechnology equipment after the applicable effective date of the prohibition; or

3. providing loan or grant funds to perform either of these functions.

On October 9, 2025, the U.S. Senate passed a revised version of the BIOSECURE Act as an amendment to the NDAA for the year of 2026. The final version of the NDAA containing this legislative language was passed by the Senate and House of Representatives and signed into law by President Trump on December 18, 2025. This version of the Act materially mitigates potential impacts, specifically, the Act eliminates the prior, explicit designation of "BCC" (which had included Wuxi AppTec) and instead adopts a dynamic identification framework tied to the U.S. Department of Defense's annual List of Chinese Military Companies, also known as the 1260H List, and the U.S. Government also has the ability to designate entities as BCCs through a separate designation process. At present, that list includes BGI and MGI, but does not include Wuxi Apptec or its affiliates. In addition, the legislation narrows the definition of restricted "biotechnology equipment or services," expressly excluding certain core technologies, including mass spectrometry and PCR instruments, from the scope of prohibitions.

OVERVIEW

We are a global leader in the gas-based cardiopulmonary therapeutic and diagnostic device market, with a focus on the development and commercialization of iNO therapy. Our history can be traced back to April 16, 2018 with the establishment of our Company as a limited liability company under the PRC Company Law with the name Nanjing Nuoquan Biomedical Technology Co., Ltd.* (南京諾全生物醫療科技有限公司). On September 18, 2020, our Company was renamed as Nanjing Novlead Biotechnology Co., Ltd.* (南京諾令生物科技有限公司). On January 8, 2026, our Company was converted into a joint stock company with limited liability and was renamed as Nanjing Novlead Biotechnology Co., Ltd. (南京諾令生物科技股份有限公司). Our R&D efforts have been led by our chief executive officer, Dr. Mao, and our chief technology officer, Mr. Zhang Yuyan, since they joined our Group in May 2019 and November 2020, respectively. For more details of their experience and qualifications, please refer to "Directors and Senior Management" of this document.

BUSINESS DEVELOPMENT MILESTONES

The following table summarizes the key milestones since the commencement of our business:

Year	Milestone
2018	Our Company was established in the PRC.
2019	We initiated iNOwill R&D and technology validation.
2020	We developed our first iNOwill prototype.
2021	We completed our Series Angel and Series A financing with investors including, among others, Northern Light Venture Capital.
2022	iNOwill obtained an NMPA Class III medical device registration certificate in April 2022, making it the first portable iNO therapy medical device approved in China.
	We completed our Series B financing with investors including, among others, Suzhou Lirun.
2023	iNOwill registered with the Indonesian Ministry of Health in June 2023.
	We were recognized as a National High-Tech Enterprise (國家高新技術企業).
2024	We achieved TFDA registration in Taiwan China, and launched a Taiwan variant.
	We were recognized as a Specialized, Refined, Characteristic, and Innovative Small and Medium-sized Enterprises in Jiangsu Province (江蘇省專精特新中小企業).
2025	iNOwill obtained a CE certification (Class IIb) under EU MDR from UDEM in September 2025, supporting commercialization of iNOwill in CE-marked jurisdictions.
	NovaPulse IABP obtained an NMPA Class III medical device registration certificate in September 2025.
	We were recognized as a Potential Unicorn Enterprise in Jiangsu Province.

OUR MAJOR SUBSIDIARIES

The place of establishment, the date of establishment, and principal business activities of each of our major subsidiaries during the Track Record Period are shown below:

Name of major subsidiary	Place of establishment	Date of establishment and commencement of business	Equity interest attributable to our Group	Principal business activities
Guangxi Nuogang	PRC	August 31, 2023	100%	Manufacturing of Class II medical devices
Novlead Yangzhou	PRC	February 19, 2024	100%	Manufacturing of Class III medical devices

CORPORATE DEVELOPMENT

(1) Establishment of our Company and equity transfers in March 2019 and February 2020

On April 16, 2018, our Company was established as a limited liability company under the laws of the PRC, with an initial registered capital of RMB3,000,000. The shareholding structure of our Company upon establishment is set forth in the table below:

Shareholders	Registered share capital subscribed	Equity interest in our Company
	(RMB)	*(%)*
Nanjing Aoning Partnership (Limited Partnership) (南京奧寧生物科技合夥企業(有限合夥)) ("**Nanjing Aoning**")*(Note 1)*	2,700,000	90.00
Dr. Yang Minmin (楊民民)*(Note 1)*	300,000	10.00
Total	**3,000,000**	**100.00**

Note:

1. Nanjing Aoning was held as to 99% by Dr. Yu Qin as a limited partner and general partner when our Company was established on April 16, 2018 with Dr. Yu Qin being our Director from August 2018 to July 2025. Dr. Yu Qin and Dr. Yang Minmin are spouses and they established our Company with a view to explore the development and commercialization of NO therapy. Dr. Yu Qin and Dr. Mao were fellow alumni and met in late 2017. Dr. Yu Qin, Dr. Yang Minmin and Dr. Mao had been exploring business opportunities in NO therapy since the conception of our Company. Since the official joining of Dr. Mao and Mr. Cao Guiping in our Company in May and November 2019 respectively, we initiated the development of our Core Product and achieved continuous growth.

On March 6, 2019, Nanjing Aoning and Dr. Yang Minmin transferred 90% and 10% of the registered share capital in our Company at nil consideration, reflecting the unpaid registered capital at the time, and at a consideration of RMB300,000, respectively, to Eaglenos Sciences, Inc. (南京晶捷生物科技有限公司) ("**Eaglenos Sciences**"), an entity controlled by Dr. Yang Minmin. After the aforesaid equity transfers in March 2019, our Company was owned as to 100% by Eaglenos Sciences.

On February 21, 2020, Eaglenos Sciences transferred (i) 15% of the registered capital of our Company to Mr. Cao Guiping, (ii) 20% of the registered capital of our Company to Dr. Mao, (iii) 35% of the registered capital of our Company to Jingning Noring, our employee incentive platform, and (iv) 2% of the registered capital of our Company to Jiangsu Nanchuang Chemical and Life Health Research Institute Co., Ltd.* (江蘇南創化學與生命健康研究院有限公司) ("**Nanchuang Chemical**"), an early investor of our Company. The above equity transfers were made at nil consideration, reflecting the unpaid registered capital at the time. The registered capital was subsequently fully paid up.

After the aforesaid equity transfers in February 2020, the shareholding structure of our Company was as follows:

Shareholders	**Registered share capital subscribed**	**Equity interest in our Company**
	(RMB)	*(%)*
Jingning Noring	1,050,000	35.00
Eaglenos Sciences	840,000	28.00
Dr. Mao	600,000	20.00
Mr. Cao Guiping	450,000	15.00
Nanchuang Chemical*(Note 1)*	60,000	2.00
Total	**3,000,000**	**100.00**

Note:

1. Nanchuang Chemical transferred all its equity interests to Lingxing Hainan at a consideration of RMB4,450,000 on September 15, 2021 and ceased to be our Shareholder.

(2) Overview of Pre-[REDACTED] Investments

Since our establishment, our Company entered into several rounds of Pre-[**REDACTED**] Investments pursuant to the respective equity transfer agreements and capital increase agreements with our Pre-[**REDACTED**] Investors. For details, see "— Pre-[**REDACTED**] Investments" in this section.

(3) Conversion into a joint stock limited company

On December 18, 2025, our then Shareholders passed the resolutions approving the conversion of our Company from a limited liability company into a joint stock limited company and the change of name of our Company to Nanjing Novlead Biotechnology Co., Ltd. (南京諾令生物科技股份有限公司). Pursuant to the promoters' agreement dated December 18, 2025 entered into by all the then Shareholders, all promoters approved the conversion of the net assets value of our Company as of October 31, 2025 into 8,405,122 Shares of our Company, with the remaining RMB190,100,616.50 in net assets included as capital reserves of our Company. Upon completion of the conversion, the registered capital of our Company became RMB8,405,122 divided into 8,405,122 Shares with a nominal value of RMB1.00 each, which were subscribed by all the then Shareholders in proportion to their respective equity interests in our Company before the conversion. The conversion was completed on January 8, 2026. Immediately after the conversion into a joint stock company, the Company was held by the following Shareholders:

Shareholders	**Number of Shares held**	**Percentage of shareholding**
		(%)
Single Largest Group of Shareholders		
- Jingning Noring	1,799,117	21.41
- Dr. Mao	600,000	7.14
- Mr. Cao Guiping	450,000	5.35
- Lingxing Hainan	60,000	0.71
Subtotal	**2,909,117**	**34.61**
Suzhou Lirun Equity Investment Centre (Limited Partnership) (蘇州禮潤股權投資中心(有限合夥)) ("**Suzhou Lirun**")	1,014,988	12.08

Shareholders	Number of Shares held	Percentage of shareholding
		(%)
Suzhou Jichuang Xinyuan Venture Capital Partnership (Limited Partnership) (蘇州極創欣源創業投資合夥企業(有限合夥)) ("**Jichuang Xinyuan**")	685,630	8.16
Eaglenos Sciences	494,860	5.89
Beijing Chenqing Bencao Equity Investment Center (Limited Partnership) (北京辰清本草股權投資中心(有限合夥)) ("**Chenqing Bencao**")	475,302	5.65
Nanjing InnoMed Innovation and Entrepreneurship Investment Partnership Enterprise (Limited Partnership) (南京鷹盟創新創業投資合夥企業(有限合夥)) ("**InnoMed Innovation**")	412,500	4.91
Wuhu Xinqi Cornerstone Equity Investment Partnership (Limited Partnership) (蕪湖信祺基石股權投資合夥企業(有限合夥)) ("**Xinqi Cornerstone**")	378,730	4.51
Nanjing Noyikang Biotechnology Partnership (Limited Partnership) (南京諾益康生物科技合夥企業(有限合夥)) ("**Nanjing Noyikang**")	337,500	4.02
Nanjing Aoning	291,171	3.46
Chongqing Jichuang Fengyuan Private Equity Investment Fund Partnership (Limited Partnership) (重慶極創灃源私募股權投資基金合夥企業(有限合夥)) ("**Jichuang Fengyuan**")	274,580	3.27
Yangzhou Dingyi Phase II Venture Capital Partnership (Limited Partnership) (揚州鼎毅貳期創業投資合夥企業(有限合夥)) ("**Yangzhou Dingyi**")	255,010	3.03
Nanjing InnoMed Advanced Intelligent Venture Capital Partnership (Limited Partnership) (南京鷹盟先進智造創業投資合夥企業(有限合夥)) ("**InnoMed Advanced**")	170,455	2.03
Hunan Jinfurong Efung Xiangjiang Jingxing Venture Capital Partnership Enterprise (Limited Partnership) (湖南省金芙蓉倚鋒湘江景行創業投資合夥企業(有限合夥)) ("**Efung Capital**")	153,006	1.82
Yangzhou Industrial Park Investment Fund (Limited Partnership) (揚州市園區產業投資基金(有限合夥)) ("**Yangzhou Industrial Investment**")	153,006	1.82
Changde Xingxiang Jintou Industrial Upgrade Investment Fund Partnership (Limited Partnership) (常德興湘津投產業升級投資基金合夥企業(有限合夥)) ("**Xingxiang Jintou**")	102,004	1.21
Zhanji Selection (Xiamen) Equity Investment Partnership (Limited Partnership) (展驥精選(廈門)股權投資合夥企業(有限合夥)) ("**Zhanji Selection**")	75,745	0.90
Beijing Jianyuan Boyi Investment Management Partnership (Limited Partnership) (北京建元博一投資管理合夥企業(有限合夥)) ("**Jianyuan Boyi**")	75,745	0.90

Shareholders	Number of Shares held	Percentage of shareholding
		(%)
Nanjing Jiangbei Tunzhi Biomedical Venture Capital Partnership (Limited Partnership) (南京江北暾智生物醫藥創業投資合夥企業(有限合夥)) ("**Jiangbei Tunzhi**")	53,969	0.64
Zhongshan Jintou Venture Capital Development Fund (Limited Partnership) (中山金投創業投資發展基金(有限合夥)) ("**Zhongshan Jintou**")	51,002	0.61
Nantong Triwise Jianteng Venture Capital Partnership (Limited Partnership) (南通勤智健騰創業投資合夥企業(有限合夥)) ("**Triwise Jianteng**")	40,802	0.49
Total	**8,405,122**	**100.00**

(4) [REDACTED] before the [REDACTED]

Pursuant to the resolutions of the Shareholders dated February 5, 2026, the Shares will be [**REDACTED**] on a [**REDACTED**] basis immediately prior to the [**REDACTED**], and the nominal value of the Shares will be changed from RMB1.0 each to RMB[**REDACTED**] each. Immediately after the [**REDACTED**], the registered share capital of the Company will be RMB8,405,122 with [**REDACTED**] Shares in a nominal value of RMB[**REDACTED**] each.

COMPLIANCE WITH PRC LAWS AND REGULATION

Our PRC Legal Advisor confirmed that all material regulatory approvals in relation to the equity transfers, conversion into joint stock limited company and the capital increases as described in this section were legally completed in accordance with relevant PRC laws and regulations.

MAJOR ACQUISITIONS, DISPOSALS AND MERGERS

During the Track Record Period and up to the Latest Practicable Date, we did not conduct any acquisitions, disposals or mergers that we consider to be material to us.

CONCERT PARTY AGREEMENT

As Dr. Mao and Mr. Cao Guiping shared the same values, goals and the vision in our Company's prospects and in order to ensure unified and consistent strategic decisions, on October 10, 2021, Dr. Mao, Mr. Cao Guiping, Jingning Noring and Lingxing Hainan (collectively, the "**Concert Parties**") entered into a concert party agreement (the "**Concert Party Agreement**"), pursuant to which (i) the Concert Parties agreed to act in concert with respect to their voting rights as shareholders in our Company, with Dr. Mao's opinion prevailing in case of disagreement, (ii) the Concert Parties shall only transfer the shares on the condition that the transferee is also subject to the terms of the Concert Party Agreement, and (iii) if any of the Concert Parties breaches the Concert Party Agreement, he/she/it shall transfer all his/her/its shares in our Company to the non-breaching Concert Party(ies) or third party as designated by the non-breaching Concert Parties.

REASONS FOR THE [REDACTED]

Our Company is seeking a [**REDACTED**] of its H Shares on the Stock Exchange in order to provide further capital for the development and expansion of our Company's business into the international market, to enhance our R&D capabilities, to strengthen our Company's working capital and to further strengthen our business profile and global presence. For further details of our future plans, see "Future Plans and Use of [**REDACTED**]."

PRE-[REDACTED] EMPLOYEE INCENTIVE SCHEME

In recognition of the contributions of our employees and to incentivize them to further promote our development, we adopted the Pre-[**REDACTED**] Employee Incentive Scheme on December 10, 2020 which was amended and replaced on January 20, 2026. Jingning Noring was established as a limited partnership in the PRC on February 20, 2020 and Jingning Nuoming was established on January 14, 2026 as our employee incentive platforms. Selected participants were granted awards under the Pre-[**REDACTED**] Employee Incentive Scheme for direct limited partnership interests in Jingning Noring or indirect limited partnership interests in Jingning Noring through Jingning Nuoming corresponding to underlying Shares of our Company. All awards have been granted and all grantees have been registered as limited partners of Jingning Noring or Jingning Nuoming as of the Latest Practicable Date and no further awards will be granted under the Pre-[**REDACTED**] Employee Incentive Scheme upon [**REDACTED**]. As of the Latest Practicable Date, awards had been granted to 76 grantees (including three Directors, namely Dr. Mao with 21.12% direct limited partnership interest, Mr. Cao Guiping with 20.12% direct limited partnership interest, Mr. Zhang Yuyan with 14.48% direct limited partnership interest in Jingning Noring, and 73 other employees, former employees or consultants). For the details regarding the terms of the Pre-[**REDACTED**] Employee Incentive Scheme and details of the awards granted, please refer to the section headed "Statutory and General Information — D. Pre-[**REDACTED**] Employee Incentive Scheme" in Appendix IV to this document.

PRE-[REDACTED] INVESTMENTS

Our Company entered into several rounds of Pre-[**REDACTED**] Investments pursuant to the respective capital increase agreements with our Pre-[**REDACTED**] Investors.

Principal Terms of the Pre-[REDACTED] Investments

The following table summarizes the key terms of the Pre-[**REDACTED**] Investments to our Company made by the Pre-[**REDACTED**] Investors:

	Series Angel	Series A	Series B	Series B+	Series C
Registered capital acquired and/or transferred	RMB750,000	RMB1,022,728	RMB1,295,247	RMB833,200	RMB754,830
Consideration	RMB10,000,000	RMB30,000,000	RMB120,000,000	RMB110,000,000	RMB148,000,000
Post-money valuation(1)	RMB50,000,000	RMB140,000,000	RMB600,000,000	RMB1,100,000,000	RMB1,648,000,000
Date of agreement(s)	April 22, 2020	December 28, 2020, and September 17, 2021(4)	October 10, 2021 and October 31, 2021(5)	September 5, 2022 and February 21, 2023(6)	February 9, 2024, June 13, 2024 and August 6, 2024
Date of last settlement	August 10, 2021	November 10, 2021	September 26, 2022	August 22, 2023	March 28, 2025
Cost per Share(2)	RMB13.33	RMB29.33	RMB92.65	RMB132.02	RMB196.07
Discount to the [REDACTED](3)	**[REDACTED]**%	**[REDACTED]**%	**[REDACTED]**%	**[REDACTED]**%	**[REDACTED]**%

Notes:

(1) The reasons for the change in valuation for each round of Pre-[**REDACTED**] Investment are as follows:

a. The post-money valuation increased in Series A investment compared with Series Angel investment was because our Company identified the need for PH treatment in ICU with iNO therapy equipment as the R&D focus and we developed our first iNOwill prototype.

b. The post-money valuation increased in Series B investment compared with Series A investment was because the Company completed full scale of device verification and validation including animal trials and submission of NMPA Class III medical device registration for iNOwill. Our Company's quality system also obtained the ISO 13485 certificate qualification.

c. The post-money valuation increased in Series B+ investment compared with Series B investment was because iNOwill obtained an NMPA Class III medical device registration approval, Reslink series received NMPA Class II medical device certificate, and we launched domestic commercialization of our products.

d. The post-money valuation increased in Series C investment compared with Series B+ investment was because the iNOwill achieved scaled growth in domestic commercialization and made breakthroughs in overseas markets. Through the refinement of its product pipeline, our Company established three major product lines: (i) iNO therapy, (ii) cardiopulmonary circulatory support, and (iii) respiratory diagnostics, forming a product matrix spanning from critical care to clinical settings and home use.

e. As of the Latest Practicable Date, market capitalization of the Company upon the completion of the [**REDACTED**] is expected to be approximately HK$[**REDACTED**] (based on the [**REDACTED**] of HK$[**REDACTED**], being the mid-point of the indicative [**REDACTED**] of HK$[**REDACTED**] to HK$[**REDACTED**]). The increase in the valuation of the Company upon [**REDACTED**] since Series C Investment was due to the research and development progress and business growth of our Company, in particular, iNOwill obtained a CE certification (Class IIb) under EU MDR from UDEM in September 2025, supporting global commercialization of iNOwill in CE-marked jurisdictions. Further, NovaPulse IABP obtained an NMPA Class III medical device registration certificate in September 2025. The increase in valuation upon the completion of the [**REDACTED**] has also taken into account of the potential business development of the Company, the increased liquidity of the Shares subsequent to the [**REDACTED**], and the current market conditions.

(2) The cost per Share is calculated based on the aggregate amount of consideration paid by the relevant Pre-[**REDACTED**] Investors divided by the aggregate amount of registered capital they subscribed/transferred at the relevant time of the Pre-[**REDACTED**] Investments.

(3) The discount to the [**REDACTED**] is calculated based on the assumption that the [**REDACTED**] is HK$[**REDACTED**] per H Share (being the mid-point of the indicative [**REDACTED**] of HK$[**REDACTED**] to HK$[**REDACTED**]).

(4) Pursuant to an equity transfer agreement dated September 16, 2021, Jichuang Xinyuan transferred 4.70% registered capital in our Company to Jichuang Fengyuan at a consideration of approximately RMB7.15 million. The consideration of such share transfer was settled on October 27, 2021.

(5) Pursuant to an equity transfer agreement dated October 31, 2021, Eaglenos Sciences transferred 0.83% registered capital in our Company to Jiangbei Tunzhi at a consideration of approximately RMB5 million. The consideration of such share transfer was settled on December 3, 2021.

(6) Pursuant to an equity transfer agreement dated October 31, 2021, Xiamen Jinyuan Zhanhong Phase II Equity Investment Partnership (Limited Partnership)* (廈門金圓展鴻二期股權投資合夥企業(有限合夥)) transferred 0.99% registered capital in our Company to Zhanji Selection at a consideration of approximately RMB10.00 million. The consideration of such share transfer was settled on August 22, 2023.

Basis of determining the valuation and consideration paid . . . . . The determination of the valuation and consideration for each round of Pre-[**REDACTED**] Investments is based on arm's length negotiations between the respective Pre-[**REDACTED**] Investors and our Group with reference to among others, the timing and market conditions of the investment, the status of our business operations, financial performance of our Group, and the prospects of our business.

Lock-up . . . . Pursuant to the PRC Company Law, Shares issued by our Company prior to the [**REDACTED**] (including those held by the Pre-[**REDACTED**] Investors) will be subject to a lock-up period of one year from the [**REDACTED**].

Use of proceeds from the Pre-[REDACTED] Investments . . . . We utilized the proceeds from the Pre-[**REDACTED**] Investments for the principal business of our Group, including but not limited to research and development of our products, the growth and expansion of our business and general working capital purposes. As of the Latest Practicable Date, we have fully utilized the proceeds from the Pre-[**REDACTED**] Investments.

Strategic benefit of the Pre-[REDACTED] Investments to our Group . . . . At the time of the Pre-[**REDACTED**] Investment, we believed that our Group could benefit from the additional funds raised from the Pre-[**REDACTED**] Investments as well as their knowledge and experience.

Special Rights of the Pre-[REDACTED] Investors

The Pre-[**REDACTED**] Investors were granted certain special rights, including, among others, redemption right, tag-along rights, right of first refusal and anti-dilution rights.

Pursuant to a termination agreement on special rights entered into among our Company and the Shareholders of our Company dated February 2, 2026, the redemption rights granted by our Company were suspended before the first filing of the [**REDACTED**] by our Company with the Stock Exchange and will be terminated upon [**REDACTED**], while all other special rights will be terminated upon [**REDACTED**]. The special rights shall be automatically reinstated upon the earliest of the occurrence of any of the following restoring events: (i) the earlier of the [**REDACTED**] not being approved within 24 months from the date of the first filing of the [**REDACTED**] by our Company by the regulatory authority or before December 31, 2027; (ii) our Company withdrew the [**REDACTED**], (iii) the [**REDACTED**] was returned or rejected, or (iv) our Company did not refile the [**REDACTED**] within six months after the lapse of the initial [**REDACTED**].

Sole Sponsor's Confirmation

On the basis that (i) the consideration for the Pre-[**REDACTED**] Investments was settled more than 28 clear days before the first filing of the [**REDACTED**] by our Company with the Stock Exchange, and (ii) the termination of special rights granted to the Pre-[**REDACTED**] Investors as disclosed in "— Special Rights of the Pre-[**REDACTED**] Investors" above, the Sole Sponsor confirms that the Pre-[**REDACTED**] Investments are in compliance with the Pre-[**REDACTED**] Investment Guidance in Chapter 4.2 of the Guide for New Listing Applicants.

Information about our Pre-[REDACTED] Investors

Suzhou Lirun and Northern Light Venture Capital (through Jichuang Xinyuan and Jichuang Fengyuan), which made meaningful investment to us and will respectively hold approximately [**REDACTED**]% and [**REDACTED**]% of our total issued share capital upon the completion of the [**REDACTED**], are our sophisticated investors.

To the best knowledge of our Directors, save as disclosed below, each of our Pre-[**REDACTED**] Investors and their respective ultimate beneficial owner (where applicable) is an Independent Third Party. Set out below are details of our principal Pre-[**REDACTED**] Investors as of the Latest Practicable Date.

Suzhou Lirun

Suzhou Lirun is a limited partnership established under the laws of the PRC on February 26, 2021, which is engaged in equity investment, asset management and consulting. The general partner of Suzhou Lirun is Shanghai Likun Enterprise Management Partnership (L.P.) (上海禮堃企業管理合夥企業(有限合夥)), which is ultimately controlled by Dr. Chen Fei (陳飛). Suzhou Lirun has 37 limited partners, none of which holds 30% or more partnership interests therein. To the best knowledge of the Company, each of these aforementioned individuals and entities is an Independent Third Party.

Suzhou Lirun dedicates its investments primarily to healthcare and biotech companies, including ImmuneOnco Biopharmaceuticals (Shanghai) Inc. (宜明昂科生物醫藥技術(上海)股份有限公司) (a company listed on the Hong Kong Stock Exchange (stock code: 1541.HK)) and ArriVent Biopharma, Inc. (a company listed on the Nasdaq Stock Exchange (stock symbol: AVBP)). As of the Latest Practicable Date, Suzhou Lirun and its affiliates, all controlled by Dr. CHEN Fei (together, "**Liyi Investment Group**"), had assets under management of approximately US$1.9 billion.

Northern Light Venture Capital

Jichuang Xinyuan is a limited partnership established under the laws of the PRC. The general partner of Jichuang Xinyuan is Suzhou Peiyuan Venture Capital Partnership (Limited Partnership) (蘇州沛源創業投資合夥企業(有限合夥)). The de facto controller of Jichuang Xinyuan is Zhang Pengpeng (張朋朋), an Independent Third Party to the Company. None of any partners of Jichuang Xinyuan holds 30% or more of the partnership interests.

Jichuang Fengyuan is a limited partnership established under the laws of the PRC. The general partner of Jichuang Fengyuan is Chongqing Jichuang Liyuan Private Equity Investment Fund Management Partnership (Limited Partnership) (重慶極創瀝源私募股權投資基金管理合夥企業(有限合夥)). The de facto controller of Jichuang Fengyuan is Zhang Pengpeng (張朋朋). None of the limited partners of Jichuang Fengyuan holds 30% or more of the partnership interests.

Jichuang Xinyuan invested in our Company in December 2020 and Jichuang Fengyuan subscribed for increased share capital in our Company in October 2021. Both Jichuang Xinyuan and Jichuang Fengyuan are all investment institutions of Northern Light Venture Capital (北極光創投), a venture capital dedicated to investing in early-stage, technology-driven innovative companies, primarily focusing on enterprises in new technology, healthcare and new consumer industries. Since 2005, Northern Light Venture Capital has invested in over 400 companies. Its investment portfolio includes multiple listed companies.

Chenqing Bencao

Chenqing Bencao is a limited partnership established under the laws of the PRC on April 21, 2021, which is engaged in equity investment. The general partner of Chenqing Bencao is Shanghai Qingchun Management Consulting Center (L.P.) (上海清椿管理諮詢中心(有限合夥)), which is ultimately controlled by Song Jingyan (宋靖雁). Chenqing Bencao has 19 limited partners, none of which holds 30% or more partnership interests therein.

To the best knowledge of the Company, each of these aforementioned individuals and entities is an Independent Third Party.

InnoMed Capital

InnoMed Innovation is a limited partnership established under the laws of the PRC on December 27, 2018, which is engaged in equity investment. The general partner of InnoMed Innovation is Nanjing InnoMed Investment Management Center (L.P.) (南京鷹盟投資管理中心(有限合夥)) ("**InnoMed Investment**"), which is in turn controlled by Mr. He Xing. InnoMed Innovation has 16 limited partners, including Dr. Yang Minmin, who holds approximately 33.33% partnership interests therein, and none of the remaining 15 limited partners holds 30% or more partnership interests therein.

InnoMed Advanced is a limited partnership established under the laws of the PRC on May 20, 2020, which is engaged in equity investment. The general partner of InnoMed Advanced is InnoMed Investment. InnoMed Advanced has seven limited partners, including Mr. He Xing, who holds 63.90% partnership interests therein, and none of the remaining six limited partners holds 30% or more partnership interests therein.

Save as Mr. He Xing and Dr. Yang Minmin, all the other limited partners are Independent Third Parties.

Xinqi Cornerstone

Xinqi Cornerstone is a limited partnership established under the laws of the PRC on July 12, 2022, which is engaged in equity investment, investment management, and asset management. The general partner of Xinqi Cornerstone is Urumqi Phoenix Cornerstone Equity Investment Management (L.P.) (烏魯木齊鳳凰基石股權投資管理有限合夥企業), which is ultimately controlled by Wang Qiwen (王啟文). Xinqi Cornerstone has three limited partners, including Ma'anshan Lingnuo Cornerstone Equity Investment Partnership (L.P.) (馬鞍山領諾基石股權投資合夥企業(有限合夥)) which holds approximately 59.41% partnership interests therein, and none of the remaining two limited partners holds 30% or more partnership interests therein. The general partner of Ma'anshan Lingnuo Cornerstone Equity Investment Partnership (L.P.) (馬鞍山領諾基石股權投資合夥企業(有限合夥)) is Tibet Dimensity Cornerstone Venture Capital Co., Ltd (西藏天璣基石創業

投資有限公司), which is ultimately controlled by Zhang Wei (張維), and the sole limited partner Liu Tieying (劉鐵鷹) holds approximately 99.80% partnership interests therein. To the best knowledge of the Company, each of these aforementioned individuals and entities is an Independent Third Party.

Nanjing Noyikang

Nanjing Noyikang is a limited partnership established under the laws of the PRC on March 30, 2020, which is engaged in scientific research and technical services. The general partner of Nanjing Noyikang is Nanjing Aoning which is controlled by its general partner Dr. Yu Qin. Nanjing Noyikang is held as to (i) 44.44% by Zhao Jianguang (趙建光), (ii) 28.89% by Mr. He Xing, and (iii) 13.33% by Gao Kun (高坤).

To the best knowledge of the Company, save as Dr. Yu Qin and Mr. He Xing, each of these aforementioned individuals is an Independent Third Party.

Yangzhou Dingyi

Yangzhou Dingyi is a limited partnership established under the laws of the PRC on December 15, 2023, which is engaged in venture capital investment. The general partner of Yangzhou Dingyi is Jiangsu D&T Capital Management Co., Ltd. (江蘇鼎信資本管理有限公司), which is ultimately controlled by Liu Ting (柳婷). The sole limited partner of Yangzhou Dingyi is Yangzhou Shengtai Industrial Investment Promotion Development Co., Ltd. (揚州盛泰產業招商發展有限公司) which holds 99.99% partnership interests therein and in turn ultimately controlled by Yangzhou Municipal People's Government (揚州市人民政府).

To the best knowledge of the Company, each of these aforementioned individuals and entities is an Independent Third Party.

Efung Capital

Efung Capital is a limited partnership established under the laws of the PRC on July 5, 2024, which is engaged in venture capital investment. The general partner of Efung Capital is Shenzhen Efung Investment Management Enterprise (L.P.) (深圳市倚鋒投資管理企業(有限合夥)), which is ultimately controlled by Zhu Jinqiao (朱晉橋). Efung Capital has five limited partners, including Hunan Jinfurong Industry Guidance Fund Partnership Enterprise (L.P.) (湖南省金芙蓉產業引導基金合夥企業(有限合夥)) which holds approximately 37.36% partnership interests therein and is in turn ultimately owned by Hunan Provincial People's Government (湖南省人民政府). None of the remaining four limited partners of Efung Capital holds 30% or more partnership interests therein.

To the best knowledge of the Company, each of these aforementioned individuals and entities is an Independent Third Party.

Yangzhou Industrial Investment

Yangzhou Industrial Investment is a limited partnership established under the laws of the PRC on November 8, 2023. The general partner of Yangzhou Industrial Investment is Yangzhou Guoyang Fund Management Co., Ltd. (揚州市國揚基金管理有限公司), which is ultimately controlled by Yangzhou Municipal Finance Bureau (揚州市財政局). Yangzhou City Park has 12 limited partners, none of which holds 30% or more partnership interests therein.

To the best knowledge of the Company, each of these aforementioned individuals and entities is an Independent Third Party.

Xingxiang Jintou

Xingxiang Jintou is a limited partnership established under the laws of the PRC on December 15, 2022. The general partner of Xingxiang Jintou is Hunan Xingxiang Emerging Industry Investment Fund Management Co., Ltd. (湖南興湘新興產業投資基金管理有限公司), which is ultimately controlled by the State-owned Assets Supervision and Administration Commission of the People's Government of Hunan Province (湖南省人民政府國有資產監督管理委員會). Xingxiang Jintou has four limited partners, including Jinshi Jiashan Industrial Development Investment Co., Ltd. (津市嘉山產業發展投資有限公司) which holds 40% partnership interests therein and is in turn ultimately wholly owned by Jinshi State-owned Assets Management Center (津市市國有資產經營管理中心), and three other limited partners, none of which holds 30% or more partnership interests therein.

To the best knowledge of the Company, each of these aforementioned individuals and entities is an Independent Third Party.

Zhanji Selection

Zhanji Selection is a limited partnership established under the laws of the PRC on September 29, 2022. The general partner of Zhanji Selection is Xiamen Jinyuan Equity Investment Co., Ltd. (廈門市金圓股權投資有限公司) ("**Xiamen Jinyuan Equity**"), which is ultimately controlled by Xiamen Municipal Finance Bureau (廈門市財政局). The sole limited partner of Zhanji Selection is Xiamen Jinyuan Zhanhong Phase II Equity Investment Partnership (Limited Partnership) (廈門金圓展鴻二期股權投資合夥企業(有限合夥)) which holds approximately 99.49% partnership interests therein and in turn ultimately owned by Xiamen Municipal Bureau of Finance (廈門市財政局).

To the best knowledge of the Company, each of these aforementioned individuals and entities is an Independent Third Party.

Jianyuan Boyi

Jianyuan Boyi is a limited partnership established under the laws of the PRC on June 5, 2015, which is engaged in management consulting and asset management. The general partner of Jianyuan Boyi is Jianyuan Tinhua Investment Management (Beijing) Co., Ltd. (建元天華投資管理(北京)有限公司), which is ultimately controlled by Zhao Jianguang (趙建光). The sole limited partner of Jianyuan Boyi is Zhao Jianguang (趙建光) who holds 99% partnership interests therein.

To the best knowledge of the Company, each of these aforementioned individuals and entities is an Independent Third Party.

Jiangbei Tunzhi

Jiangbei Tunzhi is a limited partnership established under the laws of the PRC on August 5, 2021, which is engaged in venture capital investment. The general partner of Jiangbei Tunzhi is Nanjing Jiangbei New Area Innovation Investment Fund Management Co., Ltd. (南京江北新區創新投資基金管理有限公司), a wholly-owned subsidiary of Nanjing Jiangbei New Area Technology Group Co. Ltd. (南京江北新區科技投資集團有限公司) ("**Jiangbei New Area Technology**"). Nanjing Yangtze State-owned Assets Investment Group Co., Ltd. (南京揚子國資投資集團有限責任公司) holds approximately 73.36% equity interests of Jiangbei New Area Technology and is in turn ultimately controlled by the Management Committee of Nanjing Jiangbei New Area Management Committee (Nanjing High-tech Industrial Development Zone, Management Committee of Nanjing Area of China (Jiangsu) Pilot Free-Trade Zone) (南京江北新區管理委員會(南京高新技術產業開發區管理委員會、中國(江蘇)自由貿易試驗區南京片區管理委員會)) ("**Jiangbei New Area Management Committee**").

Jiangbei Tunzhi has two limited partners including (i) Nanjing Biotech and Pharmaceutical Valley Construction and Development Co., Ltd. (南京生物醫藥谷建設發展有限公司) ("**Nanjing B&T Valley**"), holding 50% partnership interest therein, and Nanjing B&T Valley is a wholly-owned subsidiary of Nanjing Jiangbei New Area Industrial Investment Group Co., Ltd. (南京江北新區產業投資集團有限公司) and is in turn ultimately controlled by Jiangbei New Area Management Committee, and (ii) Nanjing Jiangbei Xingchuang Entrepreneurship Investment Fund Partnership Enterprise (L.P.) (南京江北星創創業投資基金合夥企業(有限合夥)) ("**Jiangbei Xingchuang**"), holding 49.50% partnership interest therein. The general partner of Jiangbei Xingchuang is Nanjing Jiangbei New District Innovation Investment Fund Management Co., Ltd. (南京江北新區創新投資基金管理有限公司), which is ultimately controlled by Jiangbei New Area Management Committee. The sole limited partner holding 99% interests of Jiangbei Xingchuang is Nanjing High-Tech Venture Capital Co., Ltd. (南京高新創業投資有限公司), which is in turn ultimately controlled by Jiangbei New Area Management Committee.

To the best knowledge of the Company, each of these aforementioned entities is an Independent Third Party.

Zhongshan Jintou

Zhongshan Jintou is a limited partnership established under the laws of the PRC on December 30, 2021, which is engaged in equity investment, investment management, and asset management. The general partner of Zhongshan Jintou is Zhongshan Venture Capital Co., Ltd. (中山創業投資有限公司) ("**Zhongshan Venture Capital**"), a wholly-owned subsidiary of Zhongshan Financial Investment Holding Co., Ltd. (中山金融投資控股有限公司), which is in turn wholly owned by Zhongshan Investment Holding Group Co., Ltd. (中山投資控股集團有限公司) ("**Zhongshan Investment**"). Zhongshan Investment is ultimately controlled by the State-owned Assets Supervision and Administration Commission of the People's Government of Zhongshan Municipality (中山市人民政府國有資產監督管理委員會) ("**Zhongshan SASAC**"). Zhongshan Jintou has four limited partners, including (i) Zhongshan Industrial Investment Master Fund (L.P.) (中山市產業投資母基金(有限合夥)) ("**Zhongshan Industrial Investment**") which holds 50% partnership interests therein and its general partner is Zhongshan Venture Capital, and (ii) Zhongshan Zhongyin Industry Invest Co., Ltd. (中山中盈產業投資有限公司) which holds 30.60% partnership interests therein, which is a wholly-owned subsidiary of Zhongshan Investment. None of the remaining two limited partners of Zhongshan Jintou holds 30% or more partnership interests therein.

To the best knowledge of the Company, each of these aforementioned entities is an Independent Third Party.

Triwise Jianteng

Triwise Jianteng is a limited partnership established under the laws of the PRC on June 21, 2024, which is engaged in venture capital investment. The general partner of Triwise Jianteng is Shenzhen Qianhai Triwise International Capital Management Co., Ltd. (深圳前海勤智國際資本管理有限公司) ("**Qianhai Triwise**"), which is ultimately controlled by Tang Dajie (湯大傑). Triwise Jianteng has 12 limited partners, none of which holds 30% or more partnership interests therein.

To the best knowledge of the Company, each of these aforementioned individuals and entities is an Independent Third Party.

PUBLIC FLOAT AND [REDACTED]

Following the conversion of the Unlisted Shares into H Shares and upon completion of the [**REDACTED**] (taking into account the [**REDACTED**] and assuming that the [**REDACTED**] is not exercised):

(a) our Single Largest Group of Shareholders, including Dr. Mao and Mr. Cao Guiping, being our executive Directors, and Jingning Noring and Lingxing Hainan, are our core connected persons and a total of [**REDACTED**] H Shares (taking into account the [**REDACTED**]) held by them will not be counted towards the public float, representing [**REDACTED**]% of our issued share capital in aggregate;

(b) Eaglenos Sciences is controlled by Dr. Yang Minmin. Nanjing Aoning is controlled by its general partner Dr. Yu Qin, who is the spouse of Dr. Yang Minmin. Nanjing Noyikang is controlled by its general partner Nanjing Aoning, which is ultimately controlled by Dr. Yu Qin. As such, Dr. Yang Minmin and Dr. Yu Qin are deemed to be interested in a total of [**REDACTED**] H Shares (taking into account the [**REDACTED**]) and will be regarded as the substantial shareholders of our Company and constitute core connected persons of our Company. The Shares held by Dr. Yang Minmin and Dr. Yu Qin will not be counted towards the public float, representing [**REDACTED**]% of our issued share capital in aggregate;

(c) The general partner of both InnoMed Advanced and InnoMed Innovation is InnoMed Investment, which is ultimately controlled by Mr. He Xing, our non-executive Director. Mr. He Xing also holds 63.90% limited partnership interests in InnoMed Advanced. As such, each of InnoMed Advanced and InnoMed Innovation is a close associate of Mr. He Xing. Therefore, the [**REDACTED**] H Shares (taking into account the [**REDACTED**]) held by InnoMed Advanced and InnoMed Innovation will not be counted towards the public float, representing [**REDACTED**]% of our issued share capital in aggregate;

(d) a total of [**REDACTED**] Unlisted Shares (taking into account the [**REDACTED**]) held by our Shareholders who are not our core connected persons (nor are accustomed to take instructions from core connected persons of the Company in relation to the acquisition, disposal, voting or other disposition of their shares, and their acquisition of shares were not financed directly or indirectly by core connected persons of the Company) will be converted into H Shares and [**REDACTED**] on the Stock Exchange, and therefore will be counted as part of the public float, representing [**REDACTED**]% of our issued share capital in aggregate; and

(e) a total of [**REDACTED**] H Shares (taking into account the [**REDACTED**]) issued pursuant to the [**REDACTED**] will be counted as part of the public float, representing [**REDACTED**]% of our issued share capital in aggregate.

Based on the above, it is expected that immediately following completion of the [**REDACTED**], a total of [**REDACTED**] H Shares (taking into account the [**REDACTED**]), representing [**REDACTED**]% of our total share capital upon the completion of the [**REDACTED**] (assuming that the [**REDACTED**] is not exercised) will be counted as part of the public float.

With respect to the indicative [**REDACTED**] of HK$[**REDACTED**], HK$[**REDACTED**] and HK$[**REDACTED**] per [**REDACTED**] (being the low end, mid-point and the high end of the [**REDACTED**], respectively), the expected market value of the Company's Shares would not exceed HK$[**REDACTED**]. Pursuant to Rule 19A.13A(1) of the Listing Rules, at least [**REDACTED**]% of the total number of issued Shares must at the time of the [**REDACTED**] be held by the [**REDACTED**]. Over [**REDACTED**]% of our Company's total issued Shares will be held by the [**REDACTED**] upon completion of the [**REDACTED**] and as a result, our Company will be able to meet the minimum public float requirement under Rule 19A.13A(1) immediately upon [**REDACTED**].

[**REDACTED**]

[REDACTED]

FULL CIRCULATION

Our Company has applied for H Share full circulation to convert an aggregate of [**REDACTED**] Unlisted Shares held by [**REDACTED**] Shareholders, representing [**REDACTED**]% of the total issued Shares of our Company as of the date of this document and approximately [**REDACTED**]% of the total issued Shares of our Company upon completion of the Conversion of Unlisted Shares into H Shares and the [**REDACTED**] (assuming the [**REDACTED**] is not exercised). For details, please refer to the section headed "Share Capital — Upon the Completion of the [**REDACTED**] and the [**REDACTED**]" in this document.

CAPITALIZATION OF OUR COMPANY

The table below is a summary of the capitalization of our Company as of the Latest Practicable Date and the [**REDACTED**]:

Name of Shareholder	Pre-[REDACTED] Investment Round	As of the Latest Practicable Date without taking into account the [REDACTED] — Number of Unlisted Shares Held	As of the Latest Practicable Date without taking into account the [REDACTED] — Approximate ownership percentage (%)	Immediately upon completion of the [REDACTED] (taking into account the [REDACTED] and assuming the [REDACTED] is not exercised) — Number of Unlisted Shares Held	Number of H Shares Held	Approximate ownership percentage (%)
Single Largest Group of Shareholders(Note 1)						
– Jingning Noring	–	1,799,117	21.41%	[REDACTED]	[REDACTED]	[REDACTED]%
– Dr. Mao	–	600,000	7.14%	[REDACTED]	[REDACTED]	[REDACTED]%
– Mr. Cao Guiping	–	450,000	5.35%	[REDACTED]	[REDACTED]	[REDACTED]%
– Lingxing Hainan	–	60,000	0.71%	[REDACTED]	[REDACTED]	[REDACTED]%
Subtotal		**2,909,117**	**34.61%**	[REDACTED]	[REDACTED]	[REDACTED]**%**
Suzhou Lirun	**Series B**	**1,014,988**	**12.08%**	[REDACTED]	[REDACTED]	[REDACTED]**%**
Northern Light Venture Capital						
– Jichuang Xinyuan	Series A	685,630	8.16%	[REDACTED]	[REDACTED]	[REDACTED]%
– Jichuang Fengyuan	Series A	274,580	3.27%	[REDACTED]	[REDACTED]	[REDACTED]%
Subtotal		**960,210**	**11.43%**	[REDACTED]	[REDACTED]	[REDACTED]**%**
Eaglenos Sciences(Note 2)	**–**	**494,860**	**5.89%**	[REDACTED]	[REDACTED]	[REDACTED]**%**

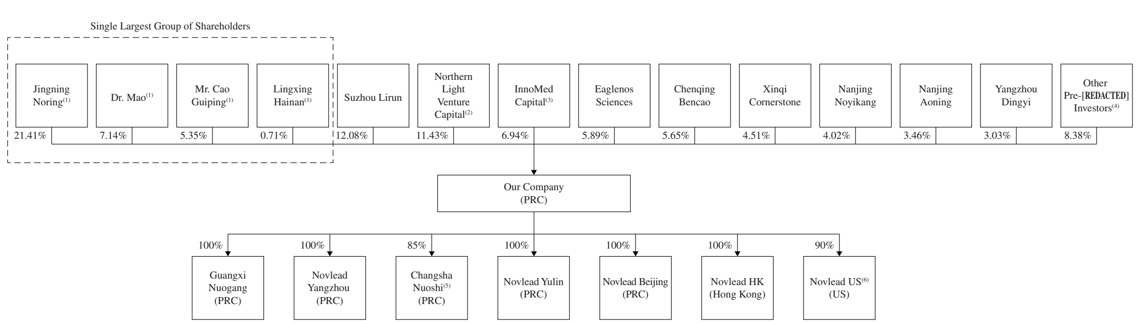
		As of the Latest Practicable Date without taking into account the [REDACTED]		Immediately upon completion of the [REDACTED] (taking into account the [REDACTED] and assuming the [REDACTED] is not exercised)		
Name of Shareholder	**Pre-[REDACTED] Investment Round**	**Number of Unlisted Shares Held**	**Approximate ownership percentage**	**Number of Unlisted Shares Held**	**Number of H Shares Held**	**Approximate ownership percentage**
			(%)			(%)
Chenqing Bencao	**Series B+**	**475,302**	**5.65%**	[REDACTED]	[REDACTED]	[REDACTED]%
InnoMed Capital(Note 3)						
– InnoMed Innovation	Series Angel	412,500	4.91%	[REDACTED]	[REDACTED]	[REDACTED]%
– InnoMed Advanced	Series A	170,455	2.03%	[REDACTED]	[REDACTED]	[REDACTED]%
Subtotal		**582,955**	**6.94%**	[REDACTED]	[REDACTED]	[REDACTED]%
Xinqi Cornerstone	**Series B+**	**378,730**	**4.51%**	[REDACTED]	[REDACTED]	[REDACTED]%
Nanjing Noyikang(Note 2)	**Series Angel**	**337,500**	**4.02%**	[REDACTED]	[REDACTED]	[REDACTED]%
Nanjing Aoning(Note 2)	**–**	**291,171**	**3.46%**	[REDACTED]	[REDACTED]	[REDACTED]%
Yangzhou Dingyi	**Series C**	**255,010**	**3.03%**	[REDACTED]	[REDACTED]	[REDACTED]%
Efung Capital	**Series C**	**153,006**	**1.82%**	[REDACTED]	[REDACTED]	[REDACTED]%
Yangzhou Industrial Investment	**Series C**	**153,006**	**1.82%**	[REDACTED]	[REDACTED]	[REDACTED]%
Xingxiang Jintou	**Series C**	**102,004**	**1.21%**	[REDACTED]	[REDACTED]	[REDACTED]%
Zhanji Selection	**Series B+**	**75,745**	**0.90%**	[REDACTED]	[REDACTED]	[REDACTED]%
Jianyuan Boyi	**Series B+**	**75,745**	**0.90%**	[REDACTED]	[REDACTED]	[REDACTED]%
Jiangbei Tunzhi	**Series B**	**53,969**	**0.64%**	[REDACTED]	[REDACTED]	[REDACTED]%
Zhongshan Jintou	**Series C**	**51,002**	**0.61%**	[REDACTED]	[REDACTED]	[REDACTED]%
Triwise Jianteng	**Series C**	**40,802**	**0.49%**	[REDACTED]	[REDACTED]	[REDACTED]%
Other [**REDACTED**] Shareholders	–	–	–	[REDACTED]	[REDACTED]	[REDACTED]%
Total		**8,405,122**	**100%**	[REDACTED]	[REDACTED]	**[100]%**

Notes:

1. Such Shareholders are close associates of Dr. Mao and Mr. Cao Guiping (our Directors and members of the Single Largest Group of Shareholders), and therefore are our core connected persons. Hence, Shares held by such Shareholders will not be counted towards the public float.
2. Such Shareholders are close associates of Dr. Yang Minmin and Dr. Yu Qin who will be deemed substantial shareholders of our Company, and therefore are our core connected persons. Hence, Shares held by such Shareholders will not be counted towards the public float.
3. Such Shareholders are close associates of Mr. He Xing, our non-executive Director, and therefore are our core connected persons. Hence, Shares held by such Shareholders will not be counted towards the public float.

CORPORATE STRUCTURE IMMEDIATELY BEFORE COMPLETION OF THE [REDACTED]

The chart below sets out the shareholding structure of our Company immediately before completion of the [**REDACTED**]:



Notes:

(1) As of the Latest Practicable Date, Jingning Noring is owned as to 21.12% by Dr. Mao as a limited partner and its general partner is Nanjing Miyu Technology Co., Ltd. (南京羃羽科技有限公司) ("**Nanjing Miyu**"), which is a company wholly owned by Dr. Mao. Further, Jingning Noring is owned as to 14.23% by Jingning Nuoming, which is owned as to 53.33% by Dr. Mao as a limited partner and the general partner of Jingning Nuoming is Nanjing Miyu. No other limited partner is holding 30% or more partnership interest in Jingning Noring. Dr. Mao therefore is entitled to full control over the voting rights of Jingning Noring in our Company. Lingxing Hainan is owned as to 45.14% by Dr. Mao as a limited partner and its general partner is Mr. Zhang Yuyan, our executive Director, who has entrusted the voting rights as a general partner in Lingxing Hainan to Dr. Mao pursuant to a voting proxy dated December 10, 2025, being the date on which Mr. Zhang Yuyan became the general partner of Lingxing Hainan. As such, Dr. Mao is entitled to full control over the voting rights of Lingxing Hainan in our Company. Dr. Mao, Mr. Cao Guiping, Jingning Noring and Lingxing Hainan entered into a concert party agreement on October 10, 2021, pursuant to which each of parties therein agreed to act in concert with respect to their voting rights as shareholders in our Company, with Dr. Mao's opinion prevailing in case of disagreement. Accordingly, as of the Latest Practicable Date, Dr. Mao, Jingning Noring Mr. Cao Guiping and Lingxing Hainan were our Single Largest Group of Shareholders and were entitled to exercise and control the voting rights of approximately 34.61% of our issued Shares. See "— Concert Party Agreement" above for details.

(2) Includes Shares held by Jichuang Xinyuan and Jichuang Fengyuan. See "— Pre-[**REDACTED**] Investments — Information about our Pre-[**REDACTED**] Investors — Northern Light Venture Capital" above for details.

(3) Includes Shares held by InnoMed Innovation and InnoMed Advanced. See "— Pre-[**REDACTED**] Investments — Information about our Pre-[**REDACTED**] Investors — InnoMed Capital" above for details.

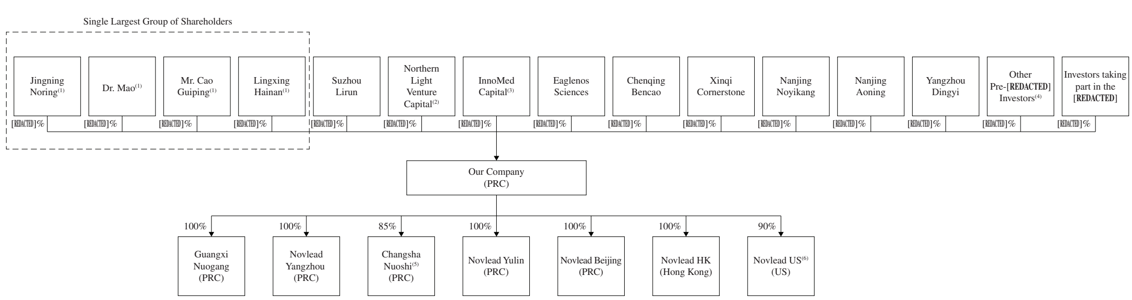
(4) Other Pre-[**REDACTED**] Investors include other Shareholders, each holding less than 2% shareholding interests in our Company immediately before completion of the [**REDACTED**]. See "— Pre-[**REDACTED**] Investments" and "— Capitalization of Our Company" above for details.

(5) Changsha Nuoshi is owned as to 85% by our Company and as to 15% by Nuoshi Team (Jingning) Biotechnology Partnership (Limited Partnership)* (諾什團隊(景寧)生物科技合夥企業(有限合夥)), which is owned as to 10% by Dr. Mao as a general partner and as to 90% by Mr. Cao Guiping as a limited partner.

(6) Novlead US is owned as to 90% by our Company and as to 10% by Zhang Qili, who is an independent investor and an Independent Third Party.

CORPORATE STRUCTURE IMMEDIATELY FOLLOWING COMPLETION OF THE [REDACTED]

The chart below sets out the shareholding structure of our Company immediately following completion of the [**REDACTED**] (assuming the [**REDACTED**] is not exercised):



Note: For notes (1) to (6), please see "— Corporate Structure Immediately Before Completion of the [**REDACTED**]" above.

OVERVIEW

Who We Are

We are a global leader in the gas-based cardiopulmonary therapeutic and diagnostic device market, with a focus on the development and commercialization of iNO therapy. We strive to make innovative technologies more accessible, available and affordable by developing and manufacturing convenient and cost-effective medical devices. We aim to expand patient access to clinically validated NO-based therapies and related cardiopulmonary solutions across hospital care settings and selected non-hospital settings. Leveraging our gas-liquid precision control technology platform, we have established comprehensive technical capabilities across the entire NO technology chain, covering NO generation, delivery, monitoring, storage and clinical application. According to Frost & Sullivan, we are one of the few companies globally with fully proprietary control over the entire NO technology chain, and the only company globally offering a full-spectrum product portfolio covering both therapeutic and diagnostic applications of NO.

As of the Latest Practicable Date, we had five approved products and four product candidates under development. Our product pipeline covers critical care, inpatient, outpatient and home-based disease management for cardiopulmonary care, and consists of three major product lines: (i) iNO therapy, (ii) cardiopulmonary circulatory support, and (iii) respiratory diagnostics, each anchored by innovative product:

- In the iNO therapy product line, our Core Product, iNOwill was approved by the NMPA in 2022 and received EU CE certification in 2025. According to Frost & Sullivan, iNOwill is the world's first approved electrochemical catalysis-based iNO therapy device and China's first approved portable iNO device. In 2024, it ranked first in iNO market in terms of market share by sales revenue in China, according to the same source.

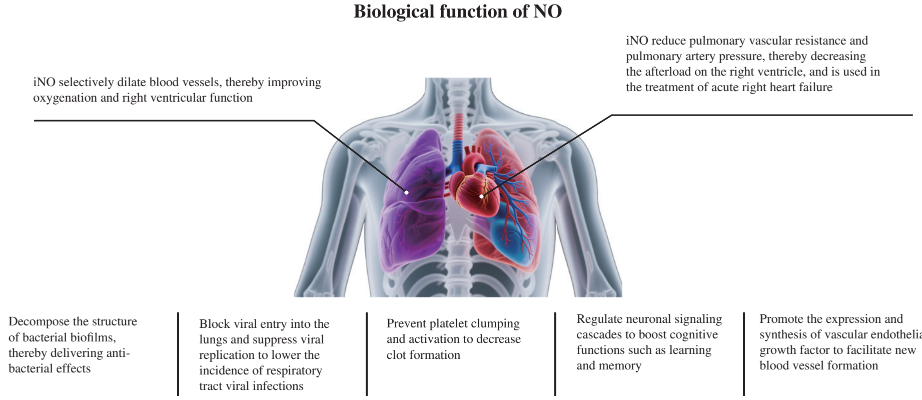
- In the cardiopulmonary circulatory support product line, our Key Product, NovaPulse IABP is the first domestically developed and approved pneumatic IABP in China, according to Frost & Sullivan.

- In the respiratory diagnostics product line, our eNOglow analyzer is the first domestically developed and approved chemiluminescence-based exhaled NO detection device in China, according to Frost & Sullivan.

Clinical Significance of NO and Unmet Needs in Global Cardiopulmonary Care

From fundamental physiology to critical care practice, NO is a clinically important molecule that underpins both normal cardiopulmonary homeostasis and life-support interventions in ICUs. The vasodilatory function of NO was formally recognized by the Nobel Prize in Physiology or Medicine in 1998, establishing the scientific foundation for the development of iNO therapy.

Biological function of NO

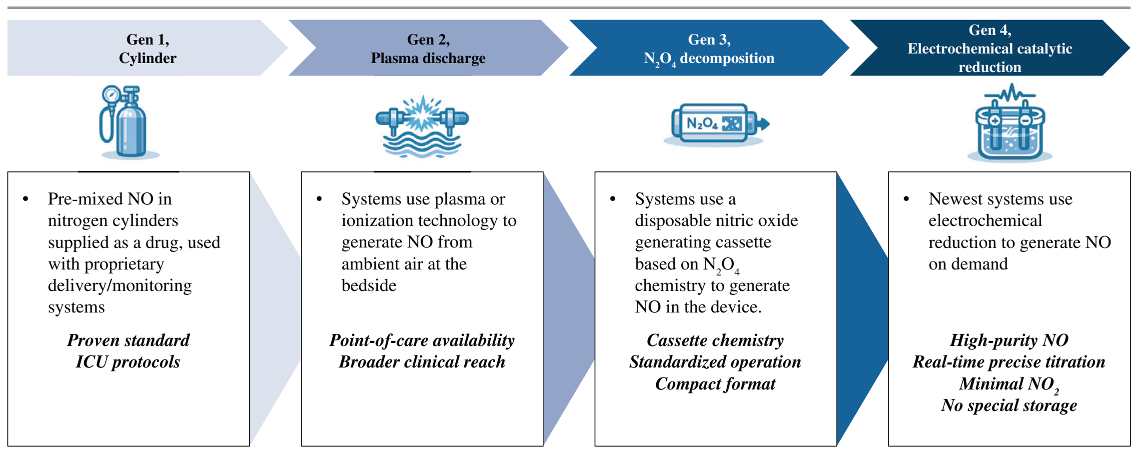


We operate in a large, underpenetrated and growing global market for NO therapy, driven by the physiological importance of NO and its established clinical utility. Over the past two decades, iNO has become an important therapeutic option across severe cardiopulmonary disease as it can selectively dilate pulmonary vessels and improve oxygenation, enabling lung selective hemodynamic control without compromising systemic blood pressure. A representative example is PPHN. iNO is widely used in NICUs and has been shown to reduce the need for ECMO without increasing mortality or neurodevelopmental impairment. Beyond PPHN, iNO has been increasingly recognized and applied in major indications, including PH, CAP, ARDS and COPD, where rapid, finely titratable and lung selective support is often needed but remains difficult to achieve with existing approaches, severe hypoxemia and respiratory failure, and high burden chronic disease with limited acute rescue and long term management options. According to Frost & Sullivan, in 2024, PH, CAP, ARDS and COPD affected approximately 82.8 million, 64.8 million, 4.1 million, and 254.6 million people globally. Together, these large patient populations highlight a substantial and growing need for accessible iNO therapy worldwide. In parallel, NO is also being explored in broader chronic respiratory conditions such as asthma, which affected over 400 million people globally in 2024, where exhaled NO may serve as a bio-marker to support diagnosis and longer-term disease management.

Despite its established clinical value, the widespread adoption of iNO therapy has historically depended on first-generation, cylinder-based delivery systems, which is resource-intensive and structurally cost-heavy, as it typically requires specialized cylinders, trained personnel, reliable supply chain and compliant storage infrastructure. These characteristics have limited the scalability of iNO therapy in emerging markets and in remote or underserved regions of developed countries, and have also constrained the extension of iNO beyond hospital-based care into outpatient pathways, inter-facility transport and home-based settings.

To overcome these structural constraints, the industry has evolved toward instant NO generation technologies, shifting from centralized supply to decentralized, point-of-care production. Second-generation systems, typically based on plasma discharge, are widely used in certain settings to enable bedside NO generation without reliance on cylinder logistics. Third-generation systems further advanced this evolution through N_2O_4 decomposition systems, enabling compact device formats and more standardized consumable-based operation. Fourth-generation electrochemical catalytic reduction generation has emerged to more fully integrate decentralization with clinical-grade control. Our iNOwill system utilizes proprietary fourth-generation technology to generate high-purity NO, combining a cylinder-free form factor with precise dose control and real-time modulation. This approach supports enhanced gas purity and safety assurance while enabling stable, millisecond-level NO delivery and high operational efficiency.

Evolution of iNO Delivery Generations

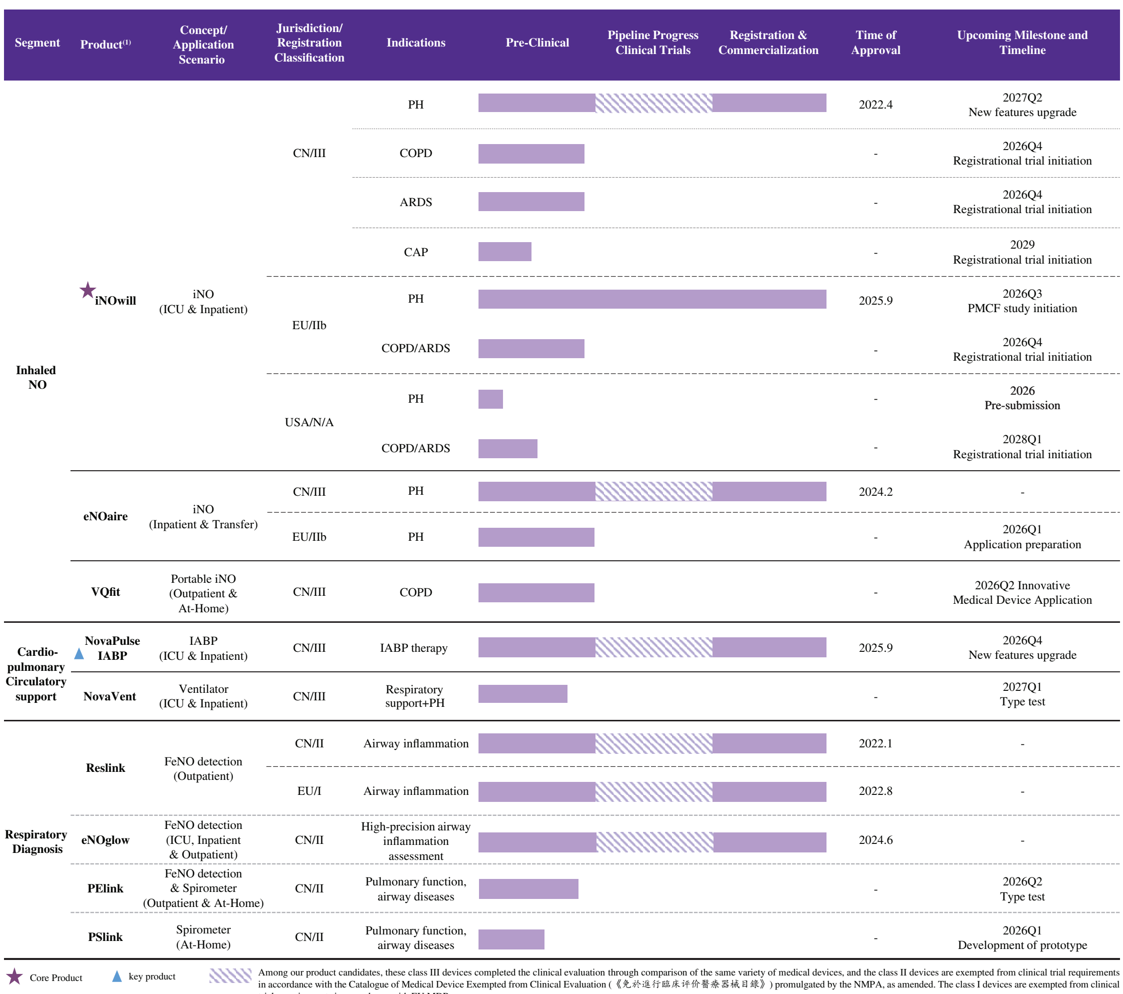


Source: Literature Review, Frost & Sullivan Analysis

Our Technology Platform and Product Pipeline

Our gas-liquid precision control technology platform is the cornerstone of our product innovation. It supports end-to-end, closed-loop control of target molecules in both gas and liquid media, spanning generation, real-time sensing and monitoring, and software-enabled regulation. Our platform comprises three integrated technical pillars: (i) NO generation technologies. We have established two NO generation approaches, electrochemical catalytic reduction and plasma discharge, to support different clinical requirements and device configurations; (ii) Gas sensing and molecular monitoring technologies. We have developed complementary sensing capabilities based on electrochemical detection and chemiluminescence to measure NO and other clinically relevant gases and to track respiratory gas composition and dynamics in real time; and (iii) Intelligent flowpath design and control technologies. We have built high-precision, fast-response gas/liquid circuit systems together with proprietary control algorithms to regulate gas release, mixing, flow and timing, supporting breath-synchronized delivery, stable concentration maintenance and safety-oriented fail-safe mechanisms.

Leveraging our gas-liquid precision control technology platform, we have established a product pipeline as illustrated below:



Abbreviations: FeNO=Fractional Exhaled Nitric Oxide. PH=Pulmonary Hypertension. COPD=Chronic Obstructive Pulmonary Disease. ARDS=Acute Respiratory Distress Syndrome. CAP=Community-Acquired Pneumonia.

Note:

(1) All of our products and product candidates are self-developed.

Our Commercialization

We possess full-spectrum execution capabilities across the end-to-end product lifecycle — from R&D and clinical development to manufacturing and commercialization — enabling us to implement tailored go-to-market strategies across diverse geographies. In the Chinese mainland, we have pioneered the iNO therapy market through clinical adoption leadership and a distribution sales model, achieving wide hospital coverage and market leadership. We pursue a two-pronged approach overseas: in emerging markets, we prioritize accessibility and rapid clinical adoption through localized training; in mature markets, such as Europe following our 2025 CE certification, we focus on increasing hospital penetration and engagement to drive the transition from traditional cylinder-based systems to our portable, instant-generation alternatives.

We recorded revenue of 45.5 million in 2024 and for the nine months ended September 30, 2024 and September 30, 2025, We recorded revenue of 35.4 million and 31.6 million, respectively. Looking ahead, we are well-positioned to capture significant growth opportunities in the gas-based cardiopulmonary therapeutic and diagnostic device market. For instance, following the EU CE certification of iNOwill in September 2025 we entered into an agreement with a France-based distributor for iNOwill in October 2025, with a contract value of US$768,000, equivalent of approximately RMB5.3 million. According to Frost & Sullivan, the global iNO market reached US$1.02 billion in 2024 and is expected to grow at a CAGR of 8.3% to reach US$1.64 billion by 2030; the global IABP market reached US$0.53 billion in 2024 and is expected to grow at a CAGR of 10.2% to reach US$0.96 billion by 2030; and the global FeNO market reached US$0.11 billion in 2024 and is expected to grow at a CAGR of 34.1% to reach US$0.65 billion by 2030.

OUR COMPETITIVE STRENGTHS

A Global Leader in the Gas-Based Cardiopulmonary Therapeutic and Diagnostic Device Market Centered on Instant-Generation iNO Therapy

We are a global leader in the gas-based cardiopulmonary therapeutic and diagnostic device market, with a strategic focus on NO therapy.

According to Frost & Sullivan, we are one of the few companies globally with proprietary control over the entire NO technology chain, spanning NO generation, delivery, monitoring, storage and clinical application. This end-to-end capability enables us to translate NO innovation into products that are safe, portable and scalable, and to deploy NO-based solutions across multiple cardiopulmonary care settings. It also provides a unified technical foundation for our product pipeline, allowing us to expand from core iNO therapy into adjacent critical care support and respiratory diagnostics while maintaining consistent standards of safety, precision and usability.

We have translated our technological advantages into a pipeline of pioneering products. According to Frost & Sullivan, we are the only company worldwide offering a full-spectrum product portfolio across both therapeutic and diagnostic NO applications. According to the same source, (i) our Core Product, iNOwill is the world's first approved electrochemical catalysis-based iNO therapy device and China's approved first portable iNO device; (ii) our Key Product, NovaPulse is the first domestically developed and approved pneumatic IABP in China; and (iii) the eNOglow analyzer is the first domestically developed and approved chemiluminescence-based exhaled NO detection device in China. In addition to achieving first-in-class regulatory approval, our products have demonstrated superior clinical performance and operational advantages. According to Frost & Sullivan, iNOwill delivers bedside nitric oxide therapy with a footprint approximately 1/5 that of traditional cylinder-based systems while providing up to five times the usable gas capacity per patient. It supports real-time NO output modulation with millisecond-level response time and maintains NO_2 concentration below 1 ppm, meeting stringent safety standards across both adult and neonatal use cases. Compared with plasma discharge and N_2O_4 decomposition systems, iNOwill achieves higher gas purity, more accurate dosing, and reduced system complexity — enabling more stable and scalable deployment across ICU, inpatient and outpatient settings. These advantages have translated into strong market acceptance. According to Frost & Sullivan, iNOwill ranked first in China's iNO therapy market in 2024, in terms of market share by sales revenue.

We dedicate to accelerating global adoption of Instant-Generation iNO Therapy. On the clinical front, we collaborated with leading industry associations to fill application gaps. For example, in 2024, we led the drafting of the Expert Consensus on the Clinical Application of Inhaled Nitric Oxide in Critical and Severe Disease, with our R&D staff contributing as authors and our CEO serving as a guest expert. Building on this clinical foundation, we have further led the development of technical and regulatory standards, notably participating in the revision of the NMPA's Registration Technical Guidelines for Inhaled Nitric Oxide Therapy Devices (《一氧化氮治療儀註冊審查指導原則》). Beyond China, we are promoting the global transition from traditional cylinder-based NO systems to portable, instant-generation technologies. According to Frost & Sullivan, we are the first company to obtain EU CE certification for an electrochemical-based NO therapy system. In emerging markets, we have supported clinical adoption by combining product deployment with academic outreach and clinician training. These efforts not only helped fill regulatory and technical gaps in China's iNO sector but also laid the groundwork for the widespread adoption of our products, supporting our long-term commercial expansion in both domestic and overseas markets.

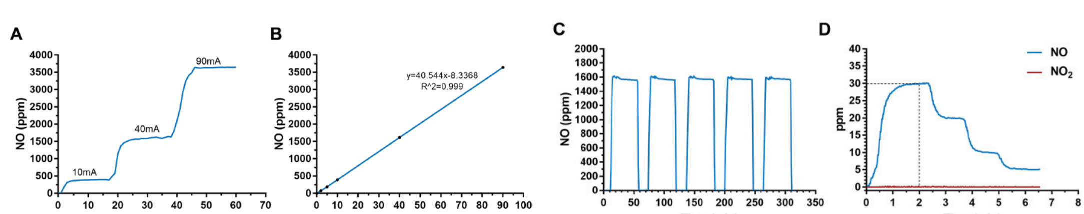
High entry barriers underpinned by Proprietary Technology Platform and Differentiated Products

Reliability, Safety and Scalability Enabled by Our Technology Platform

Our gas-liquid precision control technology platform underpins our core product lines and supports reliable, safe and scalable deployment across diverse care settings. On the reliability front, our electrochemical catalytic route supports on-demand, high-purity NO output with repeatable performance across a broad operating range. On the safety and dose-assurance front, we utilize electrochemical detection and chemiluminescence-based monitoring to measure patient-side gas composition and dynamics in real time, including breath-to-breath variability and delivered concentrations of NO, NO_2 and O_2. On the scalability and operational stability front, we integrate high-precision circuit engineering with proprietary control algorithms to regulate gas release, mixing, flow and timing, supporting breath-synchronized delivery, stable concentration maintenance and safety-oriented fail-safe mechanisms under variable operating conditions, including complex ICU environments. Advanced algorithms further enhance consistency and usability through real-time dose calculation, synchronized delivery control, signal processing and filtering, automated self-checks, intelligent alarm decisioning and consumable life management, supporting stable delivery toward prescribed targets in therapy and consistent measurement results in diagnostics.

Product Differentiation: iNOwill Setting a New Benchmark

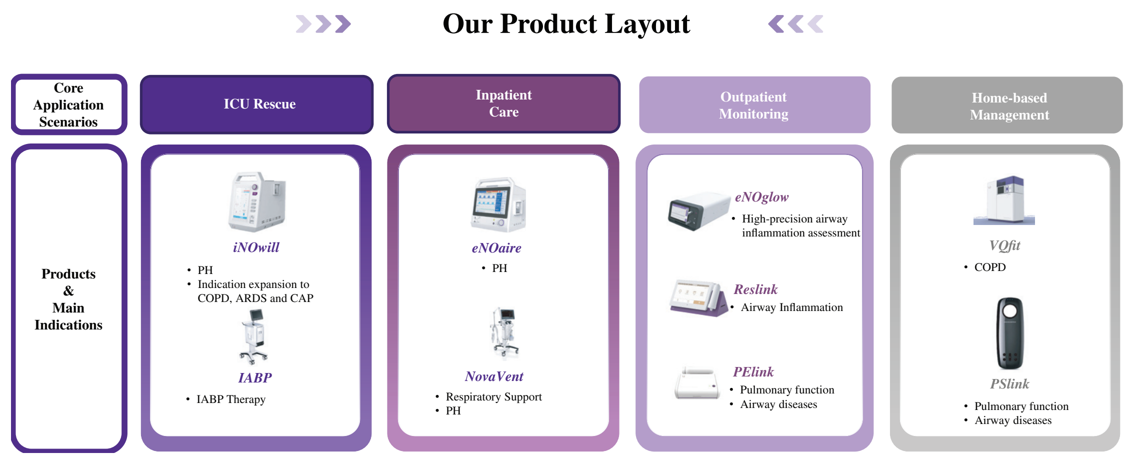
iNOwill offers superior dosing precision, enhanced gas purity, and greater operational safety, supporting more reliable and scalable clinical deployment. Key performance advantages include: (i) *Broad and precisely controllable NO generation range*, (ii) *High output stability and reliable concentration control*, (iii) *Favorable safety profile with rapid therapeutic readiness*, and (iv) *Operational convenience, portability and capacity*, as illustrated in charts below:



A. A wide range of NO concentrations from 390 to 3500 ppm, enabling high-concentration output
B. Linear relationship between NO concentration and applied current, enabling sustained and precise NO releasing
C. Consistent NO output for five consecutive time periods
D. Outstanding safety profile with extremely low NO_2 concentration (<1ppm)

Source: BMC Medicine

Broad Applications Across the Cardiopulmonary Care Continuum to Drive Sustainable Growth



Across the full continuum of cardiopulmonary care—from ICU rescue, inpatient care to outpatient monitoring and home-based management—we offer a portfolio of gas-based therapeutic and diagnostic devices designed to address unmet needs. In critical care, iNOwill delivers precision inhaled NO therapy for neonatal, pediatric and adult ICU patients who require rapid, lung-selective support for severe cardiopulmonary compromise, while NovaPulse IABP provides temporary mechanical circulatory support in ORs, ICUs and cath labs for patients with acute hemodynamic instability where prompt perfusion support is needed; we are also developing NovaVent to integrate mechanical ventilation, iNO delivery and electrical impedance tomography monitoring into a synergetic platform to improve respiratory management while reducing bedside device burden. Beyond the ICU, eNOaire extends cylinder-free iNO therapy to general wards and intra-/inter-hospital transport where portability and standardized deployment are critical. In diagnostics, eNOglow enables real-time chemiluminescence-based exhaled NO monitoring through tidal breathing, expanding FeNO use to populations such as neonates, children and ventilated ICU patients, while our Reslink series provides cost-effective FeNO testing for outpatient clinics to support routine airway inflammation assessment and broader access in lower-tier institutions. For home care, VQfit is being developed for chronic respiratory conditions such as COPD, and PElink and PSlink being development to support longitudinal monitoring and remote chronic disease management.

Comprehensive Execution Capabilities Across the End-to-End Product Lifecycle

We possess comprehensive capabilities across the full product lifecycle — from research and development, clinical study and registration, to supply chain management, manufacturing, and commercialization. These integrated capabilities form a strong foundation for our continued innovation and scalable market execution.

Strong In-House R&D Capabilities Enabling Sustained Innovation. As of the Latest Practicable Date, we had filed 154 patent applications, among which, 79 patents had been granted, covering key aspects of our technology platform and product portfolio. To date, we have independently or jointly published 18 peer-reviewed scientific articles, including multiple papers in SCI journals with impact factors above 5.

Robust Clinical Study and Registration Execution. We maintain a specialized clinical and regulatory team with global execution capabilities. In China, we have participated in or supported approximately 20 clinical studies, involving more than 50 hospitals. Internationally, we have established research collaborations in Europe and the U.S., with our flagship product iNOwill receiving EU CE certification and progressing through FDA registration. We are also actively involved in global multicenter research. For example, we are participating in a Phase III, double-blind, international multicenter randomized study evaluating perioperative iNO in adults undergoing cardiac surgery with cardiopulmonary bypass.

Integrated Supply Chain and Manufacturing Platform. We have built a multi-site manufacturing network covering different product categories, ensuring adequate capacity and compliance with global quality standards. We have internally developed a wide range of core components to reduce dependency on standardized imported parts and improve performance, stability, and cost control. These include NO-resistant coatings, humidity-controlled sampling tubes and electrochemical NO sensors. These components have been deployed commercially and also sold independently, particularly our ppb-level NO sensors which have broken the monopoly of multinational suppliers.

Effective Commercialization Strategy Across Domestic and Overseas Markets. In the Chinese mainland, we serve as both innovator and market pioneer. We adopt a hybrid academic promotion and distributor model, covering 31 provinces and almost 700 hospitals as of the Latest Practicable Date. Overseas, we pursue a differentiated strategy across emerging and mature markets. As of the Latest Practicable Date, our products had been commercialized in 10 overseas countries and regions, including France and Hungary.

Experienced Global Leadership Team Empowered by Strategic Investors

We are led by an experienced and highly complementary global management team with deep expertise across biomedical research, product innovation, and commercial execution. Dr. Wen Mao, our Chief Executive Officer, has nearly 20 years of experience across academic research and industry commercialization. Mr. Zhang Yuyan, our Chief Technology Officer, has nearly 20 years of experience in high-end medical device R&D and engineering management. Mr. Junlin Ou, our Vice President of Business, has over 20 years of experience across pharmaceuticals, medical devices, diagnostics, and healthcare media. Our management team's capabilities are further strengthened by the strong support of reputable institutional investors, including Suzhou Lirun and Northern Light Venture Capital. These shareholders provide not only long term capital support, but also strategic resources, industry insights, and access to global networks.

OUR GROWTH STRATEGIES

Our mission is "Nitric Oxide Inspires the Miracles of Life." We believe that our eight years of dedicated and independent exploration and accumulation in the field of iNO treatment, our comprehensive patent portfolio and independent intellectual property rights, and our globally unique, self-developed technology platform are designed to help address practical barriers associated with iNO therapy devices. We aim to bring iNO therapy to a wider population and make advanced cardiopulmonary care more convenient, inclusive and widely available. Building on these foundations, we intend to pursue the following strategies to further grow our business.

Building a Comprehensive iNO-Centric Ecosystem Covering Multiple Indications and Care Scenarios

We are committed to addressing critical clinical needs across cardiopulmonary, respiratory, and anti-infection settings. Central to this commitment is the continued expansion of our iNO therapy pipeline into a broad, multi-indication and multi-scenario clinical ecosystem.

Indication Expansion Across Respiratory Diseases. Leveraging our proprietary instant generation NO technology, we aim to extend the clinical application of iNO therapy from PH to additional high need respiratory conditions such as ARDS, CAP and COPD. We will pursue staged clinical development and regulatory filings for these additional indications, accelerating iNO therapy adoption across the spectrum of respiratory disease.

Multi-Scenario Commercial Penetration. We will prioritize a staged commercialization strategy aligned with indication expansion. Our initial focus will be on establishing clinical benchmarks in ICU and critical care settings, followed by systematic penetration into general hospital wards and outpatient clinics. Ultimately, we intend to support home-based treatment scenarios, adapting product forms and service models to meet the distinct needs of each care environment.

Product Candidate Development. For outpatient and home maintenance therapy, our portable iNO device VQfit will advance clinical research into COPD and other chronic respiratory conditions. These product indication strategies are designed to unlock sustained market uptake and expand the overall addressable patient population.

Market Outlook and Synergy. With domestic iNO therapy markets expected to grow rapidly in the coming years, the continued expansion of indications and care scenarios positions us to steadily increase market share and expand our coverage of clinical use cases. Our long term objective is to create a comprehensive iNO enabled clinical ecosystem underpinned by diversified indication and application portfolios, strengthening our leadership position in gas based cardiopulmonary care.

Advancing Product Innovation and Broadening the Cardiopulmonary Diagnostic and Therapeutic Pipeline

We will accelerate the development of subsequent innovative product lines to complete a diagnostic to therapy clinical continuum and expand our cardiopulmonary product matrix across care scenarios.

Strengthening Synergies Between iNOwill and cardiopulmonary circulatory support product line. Building on our medical device R&D and system integration capabilities, we are progressing our cardiopulmonary circulatory support product line and related consumables toward product launch. The cardiopulmonary circulatory support product line will be positioned as part of combined cardiovascular critical care solutions, generating strong clinical synergies with our iNO therapy systems and consolidating our presence in the critical care ecosystem.

Completing a Full Cycle Diagnostics and Therapy Loop — NO Breath Testing and Home Diagnostics. We plan to expand our respiratory diagnostics portfolio, including portable FeNO devices. This suite will enable continuous airway inflammation monitoring and directly link diagnostic insights to therapeutic planning, enabling a "detect-treat-follow up" management loop.

Extending to Home Settings. In alignment with our broader home care strategy, we will extend our product offerings into the at home space to support ongoing management of chronic respiratory conditions. This segment represents incremental business growth and further strengthens our multi-scenario coverage.

Expanding Our Global Business Footprint Through Targeted Overseas Commercialization

We will continue to strengthen our global presence, leveraging our leadership position in core Asian markets while progressively expanding into major Western markets with differentiated development and commercialization strategies. In North America, we will finalize a clear regulatory and registration roadmap for our iNO therapy to support subsequent FDA filings. Aligned with regulatory availability, we will coordinate regional commercialization efforts through "registration driven sales" strategies. iNO therapy products will be prioritized for market introduction, with diagnostic products trialed in select countries to build early adoption and clinical familiarity. In Asia Market, we have already established commercial presence in emerging markets. These early successes provide important footholds for broader regional expansion. In the EU market, we will initiate post-market clinical studies and multicenter collaborations with local key opinion leaders (KOLs) to develop region specific evidence packages. In North American market, we will finalize and implement a clear sales and partnership strategy of iNOwill for the U.S. market, once regulatory clearance is obtained.

Strengthening Commercial Execution to Solidify Regional Leadership

We will continue to deepen our commercialization capabilities and reinforce our leading positions in existing markets through targeted, data driven execution strategies.

End to End Hospital Coverage. We will extend coverage across hierarchical medical institutions — from tertiary hospitals to community level facilities — matching product specialization with institutional needs. In support of this effort, we will synchronize the rollout of digital chronic disease management tools to complement product use and enhance patient outcomes.

Academic and KOL Driven Market Penetration. Our commercialization strategy is anchored by academic engagement, robust KOL networks, and strategic hospital penetration. We will continue to establish clinical evidence, cultivate opinion leader support, and drive adoption across all care levels.

Expansion of Commercial Teams. In response to rapid business growth, we will continue to expand our marketing and sales teams, with a focus on refined distributor management, core hospital engagement, and deeper regional operational capacity. Key markets will be prioritized, with tailored local support to accelerate adoption.

Enhancing Our R&D Infrastructure and Manufacturing Capabilities to Support Sustainable Growth

We will invest in infrastructure and talent to support the next phase of technological innovation, capacity expansion, and operational excellence.

Frontier Technology Exploration. We will increase R&D investment in advanced technologies by exploring the integration of NO technology with artificial intelligence, patient self-management, and other frontier fields. This will enable the development of smarter, more precise gas-based diagnostic and therapeutic systems and deepen our intellectual property moat.

Production Capacity Optimization. To meet growing market demand, we will optimize production, introducing automated production lines and strengthening production capabilities. Concurrently, we will scale production teams to improve operational efficiency and ensure consistent product quality.

Talent Development and Organizational Capability Building. Leveraging the global vision of our founding team, we will recruit top R&D, manufacturing, and supply chain talent from around the world and build a professional talent pipeline. This approach will provide foundational support for technological upgrades, capacity expansion, and advanced supply chain execution.

OUR PRODUCT PIPELINE

As of the Latest Practicable Date, we had five approved products and four product candidates under development. Our product pipeline covers critical care, inpatient, outpatient and home-based disease management for cardiopulmonary care, and consists of three major product lines: (i) iNO therapy, (ii) cardiopulmonary circulatory support, and (iii) respiratory diagnostics.

All of our products and product candidates are developed in-house, and we retain global rights to them through active patent registrations and proprietary technical know-how. Our integrated R&D and manufacturing capabilities enable us to design core components such as electrochemical

NO sensors and gas flow sensors and to deploy them across multiple product lines. During the Track Record Period, we primarily generated revenue from the sale of hospital-use therapeutic products through distributors, who then supplied them to medical institutions. In addition, we recorded a small portion of revenue from contract development services where we conduct product development for customers based on our R&D capabilities and maintenance services provided to customers after the sales of products.

iNO THERAPY

As of the Latest Practicable Date, our iNO portfolio comprised two commercial-stage products, iNOwill (our Core Product) and eNOaire, and one product candidate, VQfit. iNOwill is positioned primarily for ICU and hospital bedside use, and has been registered as a Class III medical device in China for PH since 2022 and certified as a Class IIb medical device for PH under the EU MDR since 2025. eNOaire is designed for hospital and transfer scenarios where portability and simplified deployment are particularly relevant, and has been registered as a Class III medical device in China for PH since 2024; we expect to start preparing for CE certificate application in the first quarter of 2026. VQfit is our clinical-stage portable iNO product candidate for outpatient and at-home scenarios to address COPD; we expect to submit innovative medical device application in China in the second quarter of 2026.

Case Studies for application of our iNO Therapy products

#1 NICU. A newborn with PPHN secondary to meconium aspiration developed severe hypoxemia and required mechanical ventilation. The NICU team initiated iNO therapy using iNOwill for approximately 70 hours, after which the infant was successfully weaned off iNO and ventilatory support as oxygenation improved.

#2 Inter-hospital Transport. A 26-week premature infant with severe BPD and PH required an approximately six-hour transfer from Kunming to Guangdong. The transport team used eNOaire to maintain continuous iNO therapy with ventilatory support during the transfer, enabling continuity of care upon arrival at the receiving NICU.

#3 ICU. An adult patient developed severe respiratory failure with refractory hypoxemia. The ICU team added iNO therapy using iNOwill alongside prone positioning and standard ventilatory measures, with oxygenation improving within 24 hours and subsequent weaning from mechanical ventilation.

iNOwill — Our Core Product

iNOwill, our Core Product, is a portable iNO therapy device that generates medically usable NO on demand at the point of care and integrates NO generation, delivery and real-time monitoring into a single system. iNOwill is primarily positioned for ICU and hospital bedside use, including neonatal, pediatric and adult ICUs, and perioperative cardiac and respiratory care settings for the management of cardiopulmonary disease such as PPHN, PH, ARDS and COPD.

Product Structure

The following chart illustrates the product structure of iNOwill.

Operation Procedure

The following chart illustrates the operation procedure of iNOwill.

(i) Install NO generation reactor into its slot and connect iNOwill gas tubing into the ventilator circuit.

(ii) Set the target NO concentration and alarm concentration limits for NO, NO2 and O2 on the graphical interface.

Mechanism of Action

iNO acts as a selective pulmonary vasodilator. When delivered via the respiratory circuit, NO reaches ventilated alveoli and diffuses into the pulmonary vasculature, where it activates the guanylate cyclase-cGMP pathway, relaxes pulmonary vascular smooth muscle, reduces pulmonary vascular resistance and lowers pulmonary artery pressure. iNOwill is designed to apply this mechanism in a controlled and verifiable manner at the bedside. The device generates NO on demand via an electrochemical reduction process in the NO generation reactor, introduces the therapeutic gas into the inspiratory limb of the respiratory circuit, mixes it with the ventilator gas stream and deliver to the lung of the patients.

Competitive Advantages

Building on our electrochemical instant-generation NO technologies, the iNOwill series replaces the traditional "gas factory + cylinder logistics" paradigm with a "device + reactant" model and is designed to offer key competitive advantages, including: (i) broad, precisely controllable NO generation using a proprietary electrochemical reactor and integrated nitrogen module that produces approximately 390-3,500 ppm NO on demand, (ii) high output stability and reliable breath-by-breath concentration control through high-frequency flow sensing and embedded algorithms that synchronize NO injection with the inspiratory waveform across different ventilation modes, (iii) a favorable safety profile with rapid therapeutic readiness, reaching target NO levels in about two minutes while maintaining NO_2 typically <1 ppm at the delivery terminus, supported by gas-path purification, continuous $NO/NO_2/O_2$ monitoring and integrated alarm and purge logic, (iv) operational convenience and bedside portability through a disposable NO generation reactor that avoids cylinder replacement and, according to Frost & Sullivan, provides an approximate one-fifth bedside footprint and about five times the effective bedside gas capacity per replacement compared with traditional cylinder-based systems, and (v) improved logistics, economics and accessibility by reducing reliance on cylinder transport, storage and centralized gas plants and lowering total cost of ownership, thereby supporting wider adoption of iNO therapy in secondary and lower-tier hospitals and in regions with unstable cylinder supply.

Market Opportunity and Competitive Landscape

Globally, instant-generation iNO systems accounted for about US$0.10 billion in 2024 and are forecast to reach approximately US$0.55 billion by 2030 at a CAGR of 32.8%, far outpacing the low single-digit growth expected for cylinder-based workflows. In China, the iNO therapy market was approximately US$11.9 million in 2024 and is projected to grow to about US$106.3 million by 2030, at a CAGR of 44.1%, with instant-generation platforms already representing around 91% of market value. While the global market remains dominated by established cylinder-based drug-device franchises in the United States and European Union, instant-generation alternatives has gradually gained shares, and iNOwill is among the leading instant-generation iNO providers to capture the trend. For details, see "Industry Overview — Global iNO Therapy Market."

Development Timeline and Milestones

The table below summarizes the key development milestones of iNOwill.

Year	Key Milestones
2019	Initiated iNOwill R&D and technology validation
2020-2024 .	Filed core patents
2022	Obtained NMPA Class III medical device registration certificate Acted as sponsor for trial evaluating the effectiveness of iNOwill for patients with PPHN (ongoing)
2022-2023 .	Conducted two clinical trials for postoperative PH in pediatric and adult patient populations that support EU CE certification (collectively, the "**Clinical Trials**") in collaboration with collaborative hospitals, undertook sponsor equivalent obligations and was treated as the sponsor of the Clinical Trials by the UDEM for the purposes of the CE certification. Specifically: • July 2022 Initiated preparation for CE certification application, exploring both the Equivalence Route and the Clinical Investigation Route • October 2022 Commenced patient enrollment for pediatric postoperative PH clinical trial in collaboration with Shanghai Children's Medical Center (the "**Pediatric Trial**") • March 2023 — June 2023 Engaged in multiple rounds of communication with UDEM; UDEM concluded that the Equivalence Route was inapplicable. Revised our clinical evaluation strategy to adopt self-generated clinical investigations and submitted a draft clinical investigation plan to UDEM, covering both the ongoing Pediatric Trial and the proposed adult postoperative PH clinical trial in collaboration with Peking University International Hospital (the "Adult Trial); UDEM subsequently reviewed and confirmed that the proposed investigation plan. • June 2023 Adjusted Pediatric Trial enrollment plan per UDEM feedback and continued enrollment • July 2023 Initiated patient enrollment for Adult Trial in accordance with UDEM-reviewed plan • September 2023 Completed Pediatric Trial • November 2023 Completed Adult Trial
2023	Submitted application for CE certification application Registered with Indonesian Ministry of Health Acted as sole corporate participant for trial evaluating the effectiveness of iNOwill for patients with PPHN (completed in 2025)

Year	Key Milestones
	Acted as sole corporate participant for trial evaluating the effectiveness of iNOwill for neonatal hypoxic respiratory failure in premature infants (ongoing)
	Acted as sole corporate participant for trial evaluating the effectiveness of iNOwill in adult patients with ARDS (completed in 2024)
	Acted as sole corporate participant for trial evaluating the effectiveness of iNOwill following lung transplantation (ongoing)
	Acted as sole corporate participant for trial evaluating the effectiveness of iNOwill in patients with COPD (ongoing)
	Acted as sole corporate participant for trial evaluating the effectiveness of iNOwill for high altitude pulmonary edema (completed in 2025)
2024	Registered with Taiwan TFDA registration; developed and launched Taiwan-specific system variant
	Achieve cost reduction for the console and reaction module
	Extended the reaction module service life to 500 operating hours
	Acted as sole corporate participant for trial evaluating the effectiveness of iNOwill for adult patients with ARDS (completed in 2025)
	Acted as sole corporate participant for trial evaluating the effectiveness of iNOwill in patients undergoing surgery for aortic dissection with cardiopulmonary bypass (ongoing)
	Acted as sole corporate participant for trial evaluating the effectiveness of iNOwill in cardiac surgeries (ongoing)
2025	Obtained CE certification (Class IIb) under EU MDR via UDEM
	Submitted NMPA registration amendment to enhance oxygen concentration monitoring sensitivity
	Acted as sole corporate participant for trial evaluating the effectiveness of iNOwill in adult patients with ARDS (ongoing)
	Acted as sole corporate participant for trial evaluating the effectiveness of iNOwill in adult patients with ARDS (ongoing)
	Acted as sole corporate participant for trial evaluating the effectiveness of iNOwill in adult patients with ARDS (ongoing)

Material Communications with Competent Authorities

Chinese Mainland — The NMPA. In April 2021, we submitted a Class III medical device registration application for iNOwill to the NMPA. In April 2022, we obtained a Class III medical device registration certificate for PH for iNOwill. In May 2025, we submitted a registration amendment application to enhance the oxygen-concentration monitoring sensitivity and related specifications.

European Union — UDEM. We initiated preparation for CE certification of iNOwill in July 2022, submitted a Class IIb CE application to UDEM under the EU MDR in 2023 and received Class IIb CE certificate for PH in September 2025.

The table below summarizes the respective regulatory pathways and our corresponding communication responsibilities in China and EU.

Jurisdiction/ Regulatory Body	Clinical Trial Requirement	Our Role and Communication Responsibilities
China (NMPA) .	Not required for NMPA registration	The Clinical Trials did not involve communications with the NMPA, as they were not registrational trials required for the NMPA medical device approval. Prior to the commencement of the Clinical Trials, we prepared relevant materials, including research protocol, informed consent forms and the ethical review application, to the hospital ethics committee of the collaborating hospitals.
EU (UDEM) . .	Required by UDEM in accordance with EU MDR	Pre-trial phase: We engaged in multiple rounds of communication with UDEM regarding the necessity of clinical studies. UDEM concluded that the Equivalence Route was not applicable due to the novel technical features of the device, and that clinical trials would therefore be required to support CE certification.
		In response, we revised its clinical evaluation strategy to adopt self-generated clinical investigations and submitted a draft clinical investigation plan, covering both the ongoing Pediatric Trial and the proposed Adult Trial, to UDEM. UDEM subsequently reviewed and confirmed that the proposed investigation plan.
		Clinical phase: We led confirmation that the trial design and execution were in accordance with Annex XV of the MDR.
		Post-trial phase: We prepared the Clinical Evaluation Report (CER), responded to UDEM's review comments, and finalized the submission. UDEM expressly endorsed the Clinical Trials as "the manufacturer's own clinical studies," stating in its Clinical Evaluation Assessment Report that these "directly met the purpose of demonstrating the clinical performance and utility of the device," and confirming that the results were used to validate iNOwill's conformity with the applicable safety and performance requirements under the MDR.
		We are preparing to conduct PMCF in Europe, which serves as a part of the ongoing regulatory oversight measures for the UDEM to further validate the safety and performance of certified medical devices in a real-world setting. We will act as the sponsor of trials for PMCF and trials to support application of iNOwill for more indications, and will be responsible for their design, implementation and related regulatory communications.

United States — The FDA. We are exploring the clinical and regulatory pathway for iNOwill with a view to seeking marketing authorization from the FDA. Based on our current planning, we expect to make Pre-submission in 2026.

Other Jurisdictions. We also obtained regulatory approvals for iNOwill in Indonesia (2023), Taiwan China (2024) and Vietnam (2025).

Summary of Clinical Trials

As of the Latest Practicable Date, iNOwill had been or was being evaluated in 14 clinical studies at more than 50 hospitals. These studies cover PH, PPHN, ARDS, COPD, cardiovascular surgery requiring cardiopulmonary bypass, and additional critical-care indications such as high-altitude pulmonary edema, hypoxic respiratory failure in premature infants and lung transplantation.

Clinical Trials that Support EU CE certification

We conducted the Clinical Trials in collaboration with collaborative hospitals. Due to the public funding nature of the Clinical Trials, collaborative hospitals were designated as trial sponsors in China. We, despite not being a named sponsor in China, undertook sponsor-equivalent obligations in the Clinical Trials and were treated as the sponsor by UDEM for the purposes of the CE certification. For details of work allocation between us and collaborative hospitals, see " — Research and Development — Clinical Development — Collaborations Regarding the Clinical Trials for our Core Product iNOwill."

Peking University International Hospital Trial (The Adult Trial)

Overview

We conducted an adult clinical study at Peking University International Hospital (Cardiac Surgery Department) between July 2023 and November 2023 to evaluate the safety and effectiveness of iNOwill for postoperative iNO therapy. The study enrolled adult patients with congenital heart disease and pulmonary arterial hypertension who had undergone cardiac surgery. Primary efficacy assessments focused on changes in mean pulmonary artery pressure (mPAP) and oxygenation (PaO_2/FiO_2) from baseline to post-treatment timepoints, with interim observations during treatment, while safety assessments covered complications and adverse events during therapy and hypoxic rebound during withdrawal of iNO therapy.

Trial design

The Adult Trial was a prospective, open-label, single-arm clinical investigation conducted in adult patients undergoing cardiac surgery for congenital heart disease with pulmonary arterial hypertension. A total of 14 adult patients were planned to be enrolled, and 14 were actually enrolled and included in the analysis. Eligible patients had pulmonary artery pressure greater than 20 mmHg as measured at rest by right-heart catheterization and were assessed as requiring iNO therapy for at least six hours after surgery. Key exclusion criteria included, severe bleeding risk, confirmed methemoglobinemia, anticipated short-term risk of death that would preclude completion of treatment and missing system data preventing analysis.

In accordance with the trial protocol, iNO therapy using iNOwill generally commenced at 20 ppm approximately two hours after surgery, once systemic circulation was considered basically stable, and continued until the end of respiratory support as part of standard postoperative management. The Adult Trial assessed efficacy primarily through changes in mPAP and PaO_2/FiO_2 from baseline to post-treatment observation timepoints, with interim measurements during treatment. Secondary observations included the time course of hemodynamic and oxygenation changes at approximately two, four and six hours after treatment initiation and the presence or absence of hypoxic rebound during withdrawal of iNO. Safety evaluation covered the incidence and severity of adverse events ("**AE**"), serious adverse events ("**SAE**") and treatment-emergent adverse events ("**TEAE**"), monitoring of NO_2 and methemoglobin as markers of NO-related toxicity and observations of device performance or malfunction.

Trial status

The Adult Trial was conducted and completed within the planned study period from July 2023 to November 2023. All 14 enrolled patients received iNO therapy via iNOwill and completed the planned observation period in accordance with the protocol. The trial proceeded without suspension, early termination or any safety-related protocol amendments requested by regulators or the ethics committee, and all planned efficacy and safety endpoints were evaluated in the full analysis set.

Trial results and key observations

The Adult Trial observed statistically significant improvements in pulmonary hemodynamics and oxygenation following treatment with iNOwill: mPAP decreased from (40.71 ± 11.73) mmHg at baseline to (35.14 ± 12.56) mmHg ($p = 0.0012$), and PaO_2/FiO_2 increased from (157.6 ± 65.2)% to (221.8 ± 92.3)% ($p = 0.0395$). Interim assessments at approximately two, four and six hours indicated that these improvements developed during therapy and were sustained, with patients with baseline PaO_2/FiO_2 below 300 mmHg showing statistically significant improvement after six hours that was maintained through withdrawal.

No AE, TEAE or SAE attributable to iNO therapy via iNOwill were reported, and no hypoxic rebound was observed during NO withdrawal. NO_2 and methemoglobin levels remained within protocol-defined safety ranges, with no clinically meaningful NO_2 toxicity, methemoglobinemia, device defects or malfunctions identified. Overall, the investigators concluded that iNOwill demonstrated a favorable safety profile and provided clinically meaningful improvements in pulmonary hemodynamics and oxygenation in this adult postoperative population.

Shanghai Children's Medical Center Trial (The Pediatric Trial)

Overview

We conducted a pediatric clinical study at Shanghai Children's Medical Center between October 2022 and September 2023 to evaluate the safety, delivery stability and clinical performance of iNOwill in pediatric patients after surgery for congenital heart disease.

Trial design

The Pediatric Trial was a prospective, open-label, single-arm investigation enrolling pediatric patients aged 0 to 18 years with refractory PH following congenital heart disease surgery. A total of 18 patients were planned, and 18 patients were actually enrolled and analyzed. Inclusion criteria focused on patients with persistent elevation of pulmonary artery pressure and inadequate improvement in systemic circulation despite standard pharmacological therapy, consistent with the prevailing pediatric guidelines. Key exclusion criteria included severe left-heart hypoplasia or duct-dependent congenital heart disease, fatal congenital defects with congestive heart failure, congenital methemoglobinemia and severe active bleeding.

In accordance with the trial protocol, NO was delivered by iNOwill, with concentration generally starting at 3 ppm and titrated up to 80 ppm based on clinical need. As part of a structured withdrawal strategy, sildenafil was introduced one to two days prior to planned withdrawal at a dose of 0.3 to 0.5 mg/kg administered once every four to six hours. Primary efficacy assessments compared mPAP and PaO_2/FiO_2 before and after treatment, including evaluation at 24 hours after initiation, with additional indicators such as central venous pressure and NT-proBNP collected to assess postoperative cardiac function. Delivery stability was evaluated by examining NO concentration before and after changes in ventilator parameters, and safety was assessed through regular monitoring of NO_2 and methemoglobin every four hours and systematic recording of all AEs, SAEs and TEAEs, with causality assessment.

Trial status

The Pediatric Trial completed enrolment and follow-up within the planned study period from October 2022 to September 2023. All 18 enrolled patients received iNO therapy via iNOwill and completed the planned observation period in accordance with the protocol. There were no trial suspensions, premature terminations or protocol amendments required by regulators or ethics committees due to safety concerns or other reasons.

Trial results and key observations

The Pediatric Trial showed statistically significant improvements in pulmonary artery pressure and oxygenation following treatment with iNOwill: mPAP decreased from (50.2 ± 20.6) mmHg at baseline to (28.6 ± 10.5) mmHg after treatment ($p = 0.01$), and PaO_2/FiO_2 increased from (91.4 ± 35.9)% to (103.4 ± 39.9)% ($p < 0.001$), CVP decreased from (15.3 ± 2.1) mmHg to (13.8 ± 1.3) mmHg ($p < 0.001$), and NT-proBNP decreased from (10,583.9 ± 7,938.4) pg/ml to (9,866.0 ± 7,802.5) pg/ml ($p = 0.02$). These results suggest reduced right-ventricular load, improved hemodynamics and better oxygenation in this high-risk postoperative pediatric population.

Monitored NO concentration remained stable before and after changes in ventilator mode and tidal volume. During treatment, mean NO_2 concentration was approximately (0.1 ± 0.02) ppm, and methemoglobin averaged (0.9 ± 0.6)% (maximum 2.8%), all within predefined safety ranges. No cases of NO_2 toxicity, clinically significant methemoglobinemia or other treatment-related adverse reactions were observed. Three patients, representing approximately 16.7% of the study population, died during the observation period; investigators attributed these deaths to sepsis, right-heart failure and multiple organ dysfunction syndrome, related to underlying disease and postoperative complications rather than to iNOwill or iNO therapy. No device malfunctions or defects contributing to AEs or SAEs were identified. The investigators concluded that iNO therapy delivered via iNOwill had a favorable benefit-risk profile in this pediatric population.

Other Trials

We conducted the clinical evaluation of iNOwill for the treatment of PPHN, ARDS and COPD, for details, see "— Development Timeline and Milestones." For completed trials, reports show iNOwill therapy all met endpoints of the trials.

Further Development Plan

Post-Approval Study

Following the grant of CE certification for iNOwill as a Class IIb device under the EU MDR, we plan to sponsor PMCF trials in Europe, as required by UDEM under the MDR.

PMCF is a regulatory requirement applicable to all CE certified medical devices under the MDR. CE Mark certification obtained by us is not subject to any conditions, restrictions or other contingencies and is not dependent on the PMCF or the PMCF results. The purpose of PMCF is to proactively collect and evaluate clinical data generated from real-world use to (i) confirm the safety and performance of the device throughout its expected lifetime, (ii) identify unknown or emerging risks and adverse events, and (iii) ensure the continued acceptability of the benefit-risk profile, among others. PMCF is undertaken by the manufacturer in accordance with a documented PMCF plan, and results are summarized in periodic PMCF reports submitted to the Notified Body. These reports typically include clinical safety and performance metrics, analysis of adverse event rates, and, where applicable, investigation of device-related issues to assess root causes and support ongoing risk-benefit evaluation. PMCF serves as a part of ongoing regulatory oversight measures for the Notified Body over certified medical devices; while the Notified Body may engage with the manufacturer based on PMCF findings, PMCF does not automatically trigger revision or withdrawal of the CE certificate.

As set out in our PMCF plan submitted UDEM, PMCF implementation for iNOwill will comprise a multicenter, prospective, observational PMCF study in European clinical sites, initiated within 12 months after launch in the EU market, with participation from at least three healthcare centers over a three-year period, collecting patient demographics, disease and treatment characteristics, NO/NO_2 levels, adverse events and clinical outcomes to further validate electrochemical NO generation, confirm safety and performance under real-world conditions and analyze emerging risks, with interim data summaries planned approximately one and two years after study initiation and final analysis and reporting targeted within three years. A range of 50-87 patients are expected to be enrolled in first stage of PMCF. In addition to trials, we will also conduct a clinical user feed back survey, literature reviews and collect post-market surveillance data.

Product Improvement

We plan to continue advancing iNOwill through iterative product-generation upgrades, with a focus on improving performance consistency, usability, connectivity and cost efficiency in ICU and perioperative settings.

Indication Expansion

We plan to build on our ongoing and planned clinical studies in ARDS, COPD and CAP. Specifically, in China, we expect to initiate clinical trials for ARDS and COPD in the fourth quarter of 2026, and clinical trials for CAP in 2029. In the European Union, we are evaluating international multi-center clinical studies in COPD and ARDS, which we expect to commence in the fourth quarter of 2026. In the United States, we intend to seek FDA feedback on a PH development pathway through a Pre-submission in 2026 and expect to conduct clinical trials in COPD and ARDS in the first quarter of 2028. Across these indication-expansion studies, we plan to enroll approximately 300 to 500 patients for ARDS, 900 to 1,200 patients for COPD and 500 to 750 patients for CAP. We expect these studies to take approximately three to five years to complete.

WE MAY NOT BE ABLE TO ULTIMATELY DEVELOP AND MARKET iNOwill FOR NEW INDICATIONS OR COMMERCIALIZE IN NEW MARKETS SUCCESSFULLY.

eNOaire — Our iNO Therapy Device for Inpatient and Transfer Scenarios

eNOaire is our commercial-stage, cylinder-free iNO therapy device for hospital and patient-transfer scenarios where portability, simplified set-up and cost-efficiency are important. It integrates gas generation, dosing and monitoring in a compact unit with an LCD interface and combined touchscreen/knob/key controls that display ventilator flow waveform, NO delivery flow and real-time NO, NO_2 and O_2 concentrations. Using plasma discharge, eNOaire draws in dry air via an internal pump, generates NO and few NO_2, and then passes the gas stream through NO_2 adsorption media and particulate filters so that NO at the user-set concentration is injected into the ventilator inspiratory limb. A dual-pathway design with separate injection and sampling lines and a dedicated flow-monitoring module allows NO delivery to be synchronized with the inspiratory phase while electrochemical sensors continuously monitor NO, NO_2 and O_2, helping maintain stable and safe iNO concentrations across different ventilation modes and during patient transfers between ICU, operating room and wards. eNOaire has been registered as a Class III medical device with the NMPA for PH since 2024, and we plan to seek CE certification under the EU MDR with application preparation expected in 2026.

WE MAY NOT BE ABLE TO ULTIMATELY DEVELOP eNOaire FOR NEW INDICATIONS OR COMMERCIALIZE IN NEW MARKETS SUCCESSFULLY.

VQfit — Our iNO Therapy Product Candidate for Outpatient and At-home Use

VQfit is our portable iNO therapy product candidate designed for clinic and at-home scenarios. It is intended to provide supportive iNO therapy for moderate-to-severe patients with conditions such as COPD, interstitial lung disease, right heart failure and pulmonary-disease-and/or hypoxia-induced PH in medical environments such as monitored and general wards, outpatient and respiratory rehabilitation rooms, community rehabilitation facilities, as well as in home settings including indoor and outdoor home use and community elderly activity centers. As of the Latest Practicable Date, VQfit had completed key engineering development and pre-clinical testing. We currently expect to submit innovative medical device application to the NMPA in the second quarter of 2026.

WE MAY NOT BE ABLE TO ULTIMATELY DEVELOP AND MARKET VQfit SUCCESSFULLY.

CARDIOPULMONARY CIRCULATORY SUPPORT

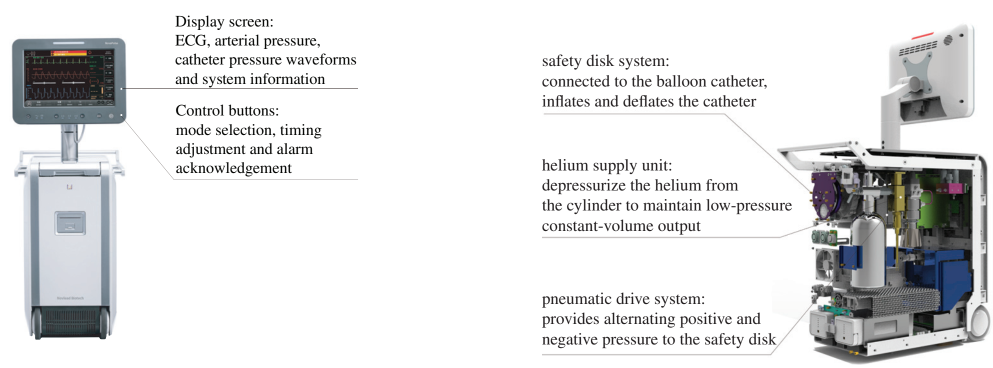
We are extending our product development from iNO therapy into broader cardiopulmonary circulatory support and life-support applications for cardiovascular and perioperative care in operating rooms, catheterization laboratories and intensive-care units. These environments demand stable performance, responsive control and robust safety management under continuous use. Within this segment, our portfolio comprises NovaPulse, our Key Product and commercial-stage IABP for temporary mechanical circulatory support in these settings, and NovaVent, our ventilator product candidate under development for critical-care respiratory support, designed to integrate mechanical ventilation, iNO therapy and electrical impedance tomography within a synergetic platform.

NovaPulse — Our Key Product

Our Key Product NovaPulse is an in-house developed IABP designed for cardiovascular and perioperative care in operating rooms, ICUs and catheter laboratories where temporary mechanical circulatory support is required. It is intended to provide circulatory support for indications including heart failure, cardiogenic shock and perioperative support for high-risk interventional and surgical procedures. NovaPulse has been registered as a Class III medical device with the NMPA since September 2025 and has since entered scaled commercial shipment in China, with 48 commercial units shipped by December 31, 2025, including 34 units in December 2025.

Product Structure

The following chart illustrates the product structure of NovaPulse.

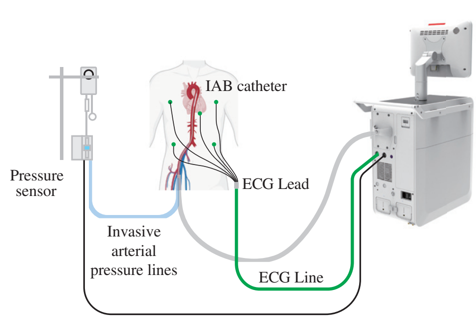


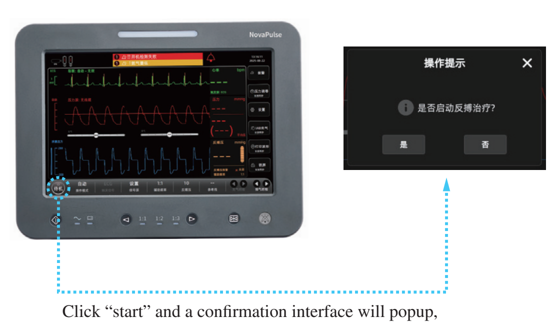
Operation Procedure

The following chart illustrates the operation procedure of NovaPulse.

(i) Insert intra-aortic balloon (IAB) catheter via an appropriate arterial access. Connect IABP console to ECG, invasive arterial pressure lines and the inserted IAB catheter.

(ii) Select trigger mode and the system will synchronize catheter inflation and deflation with the cardiac cycle at a targeted assist ratio.





Mechanism of Action

IABP therapy provides temporary support by augmenting coronary perfusion and reducing left ventricular afterload in settings such as acute coronary syndrome, perioperative support in cardiac and non-cardiac surgeries and selected complications of heart failure. It operates via counter-pulsation: a balloon catheter positioned in the descending aorta inflates during diastole to increase aortic diastolic pressure and enhance coronary perfusion, and deflates just before systole to reduce aortic end-diastolic pressure and left ventricular afterload, thereby lowering myocardial oxygen demand and improving cardiac output. Through these mechanisms, IABP can support hemodynamic stabilization and organ perfusion in patients with low cardiac output states, cardiogenic shock or perioperative hemodynamic compromise.

NovaPulse delivers IABP therapy by providing controlled pneumatic drive and timing support for balloon inflation and deflation synchronized with the cardiac cycle. The console generates and regulates positive and negative pressure for rapid inflation and deflation and supports assist ratios of 1:1, 1:2 and 1:3 for different levels of support and stepwise weaning. Embedded algorithms analyze ECG and arterial pressure signals to select trigger sources and determine inflation and deflation timing, with options for automatic optimization or user fine-tuning. Safety measures include structural isolation between the pneumatic and catheter systems, dehumidification of the pneumatic pathway and dual-battery-backed operation to support bedside and transport use.

Competitive Advantages

NovaPulse is designed to support efficient and reliable IABP use in clinical settings, with (i) Data management: convenient data entry, precise query and one-click export, enabling seamless traceability of patient history and secure storage; (ii) Dual interaction: an intuitive touchscreen for efficient operation, paired with physical confirmation controls for added safety; (iii) Smart assist adjustment: three assist ratios with intelligent switching to support smooth transitions and match different clinical states; (iv) One-click reporting: rapid export of therapy reports and operating logs to facilitate review and analysis; and (v) Real-time monitoring: continuous checks on sensors, cables and catheter connections with automated alerts to support safe use throughout the procedure.

Market Opportunity and Competitive Landscape

In China, the IABP market is expected to grow from RMB641.4 million in 2024 to RMB1,370.9 million in 2030, representing a CAGR of 13.5%, supported by cath-lab build-out, rising PCI penetration and broader recognition and treatment of severe ischemic events and acute heart failure. Our NovaPulse is the first domestically developed pneumatic-pump IABP aligned with the mainstream gas-driven technical route. For details, see "Industry Overview — China IABP Therapy Market."

Development Timeline and Milestones

Year	Milestone
2023	Initiated NovaPulse R&D and technology validation
2024	Submitted application for NMPA Class III medical device registration
	Completed animal studies
2025	Obtained NMPA Class III medical device registration
	Commenced commercial shipment
	Initiated a prospective first-in-man (FIM) clinical study of NovaPulse (ongoing)

Material Communications with Competent Authorities

We submitted a Class III medical device registration application for NovaPulse to the NMPA in May 2024. In September 2025 we obtained a Class III medical device registration certificate for NovaPulse. The clinical evaluation of NovaPulse was completed through comparison of the same variety of medical devices.

Summary of Clinical Trial

In November 2025, we initiated and sponsored a post-approval, single-arm FIM clinical study of NovaPulse to support marketing and sales efforts. In the trial, NovaPulse was used together with commercially available and investigational balloon catheters, in adult patients with hemodynamically unstable cardiovascular disease requiring IABP support. The study plans to enroll 11 adult patients who require IABP implantation due to hemodynamic instability. As of the Latest Practicable Date, the study was ongoing; two patients had been enrolled and completed treatment and both had been safely weaned without reported adverse events. As of the Latest Practicable Date, no CTCAE-defined adverse events or serious adverse events assessed as related to NovaPulse and no IABP-related adverse events had been reported in the enrolled subjects, and both patients had been successfully weaned from IABP support.

Further Development Plan

We plan to focus further development on upgrading NovaPulse with fiber-optic aortic pressure sensing and a compatible fiber-optic balloon catheter, while continuing routine post-market surveillance. The fiber-optic upgrade is intended to improve waveform fidelity and timing accuracy, reduce set-up complexity and susceptibility to artefact compared with conventional fluid-filled pressure lines, and enhance counter-pulsation performance in ICU, perioperative and catheter-lab workflows. Over time, we also expect to support further clinical evaluations of NovaPulse with the fiber-optic configuration to characterize safety, hemodynamic support performance and usability, and to inform subsequent product iterations within the existing intended use.

WE MAY NOT BE ABLE TO ULTIMATELY DEVELOP NovaPulse FOR NEW INDICATIONS OR COMMERCIALIZE IN NEW MARKETS SUCCESSFULLY.

NovaVent — Our Product Candidate for General Hospital Respiratory Support

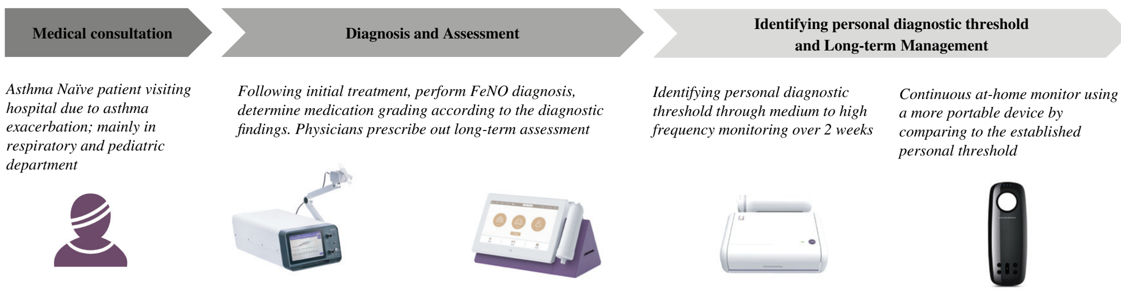
NovaVent is our product candidate being developed as a critical care and inpatient respiratory support system designed to synergytically combine three functions that are conventionally provided by separate devices — mechanical ventilation, iNO therapy and electrical impedance tomography monitoring — into a synergetic platform, with the aim of improving treatment effectiveness while reducing bedside complexity in hospital workflows. We expect to perform type test for NovaVent in the first quarter of 2027.

WE MAY NOT BE ABLE TO ULTIMATELY DEVELOP AND MARKET NovaVent SUCCESSFULLY.

RESPIRATORY DIAGNOSTICS

We are developing a portfolio of respiratory diagnostic products focused on exhaled nitric oxide (FeNO) and lung-function assessment to enable earlier detection and more refined management of chronic airway diseases across hospital, clinic, primary-care and at-home settings. FeNO is a non-invasive biomarker of airway inflammation used to support the diagnosis and monitoring of asthma, chronic cough, COPD and other airway diseases, while spirometry remains a core tool for assessing airflow limitation and treatment response. Within this segment, we have two commercial-stage FeNO analyzers — eNOglow, a chemiluminescence-based system designed for high-sensitivity, rapid and multi-mode FeNO measurement for tertiary hospitals, pediatric departments and ICU settings, and Reslink, an analyzer based on our self-developed electrochemical NO sensor targeted at respiratory outpatient clinics and lower-tier hospitals — as well as two portable product candidates: PElink, a outpatient and at-home device combining FeNO and selected lung-function parameters, and PSlink, an at-home spirometry device designed to support high-frequency monitoring of lung function against individualized "personal best" baselines between specialist visits.

The following chart illustrates the portfolio and main application of our respiratory diagnostic products portfolio.



Product Name	eNOglow	Reslink	PElink	PSlink
Function	FeNO Diagnosis carried out by physicians or technicians	FeNO Diagnosis carried out by physicians or technicians	FeNO Diagnosis & Spirometer	Spirometer
Usage Scenario	Mainly Outpatient, Also fit in ICU/Inpatient setting	Outpatient	Outpatient & At-Home	At-Home
Intended indication and population	Patients of all ages with airway Inflammatory disease, including neonates or ICU patients	School-age children and adults with airway inflammatory disease	Airway inflammatory disease and Lung function test for patient who can comply	Lung function test for patient who can comply
Competitive Edge	Diagnosis for high accuracy, Sensitivity and short response time	Affordable diagnostic solution for lower tier medical institution	Solution for long-term management and establishment of precision diagnosis basis	Solution for long-term management

WE MAY NOT BE ABLE TO ULTIMATELY DEVELOP AND/OR MARKET OUR RESPIRATORY DIAGNOSTIC PRODUCTS AND PRODUCT CANDIDATES SUCCESSFULLY.

OTHER PRODUCTS AND SERVICES

Our other products and services comprise (i) contract development services where we conduct product development for customers based on our R&D capabilities, (ii) others, primarily including maintenance services provided to customers after the sales of our medical devices.

OUR GAS-LIQUID PRECISION CONTROL TECHNOLOGY PLATFORM

Our intelligent gas-liquid precision control technology platform is the cornerstone of our product innovation. It supports end-to-end, closed-loop control of target molecules in both gas and liquid media, spanning generation, real-time sensing and monitoring, and software-enabled regulation. By integrating molecular generation, sensor-based detection, control algorithms and fluidic engineering, we are able to deliver medical gas and fluid solutions with high precision, reliability and scalability across different clinical settings.

Our platform comprises three integrated technical pillars:

NO generation technologies. We have established two NO generation approaches — electrochemical catalytic reduction and plasma discharge — allowing us to adapt NO supply to different clinical requirements and product configurations. Our electrochemical catalytic reduction approach enables NO generation and purification under mild conditions within an integrated process, supporting high-purity, high-concentration therapeutic NO output. Based on bench testing, NO concentration could be generated across a wide range (approximately 390 ppm to 3,500 ppm) under consecutive applied currents (10-90 mA). The electrolytic cell also demonstrated stable NO output at a fixed concentration over five consecutive time periods, supporting reliable dose control. In addition, the system could reach a target therapeutic NO level within approximately two minutes, while maintaining NO_2 < 1 ppm across therapeutic dosing ranges. These capabilities underpin our iNOwill series. Separately, our plasma discharge approach enables a compact generation module and flexible integration with portable or transport-oriented device architectures, supporting products designed for broader in-hospital and mobile use scenarios, including eNOaire, NovaVent and VQfit.

Gas sensing and molecular monitoring technologies. We have developed complementary sensing capabilities based on electrochemical detection and chemiluminescence, enabling measurement of NO and other clinically relevant gas components under different sensitivity and workflow requirements. By combining differentiated sensors, sampling modules and monitoring logic, our systems can track patient-side gas composition and dynamics in real time, including breath-to-breath variability and delivered concentrations of therapeutic NO, key by-products (such as NO_2), oxygen and other parameters, supporting dosing precision and safety management. Our monitoring solutions are embedded across our therapeutic products (including iNOwill and eNOaire) and are also applied in our diagnostic offerings and patient-side respiratory circuits.

Intelligent flowpath design and control technologies. We have built high-precision, fast-response and high-reliability gas/liquid circuit systems, together with proprietary fluid-control algorithms. These capabilities enable controlled gas release, mixing, flow and timing to match clinical therapy and diagnostic requirements, including breath-synchronized delivery, stable concentration maintenance and safety-oriented fail-safe mechanisms. Our control architecture is designed to maintain consistent performance across different care settings and operating conditions and serves as a common technical backbone across all of our core product lines.

Software, algorithms and practical AI-enabled functions are embedded in our technology platform and apply in our product lines to support controllability, verification and usability. In our iNO therapy systems, algorithms adjust NO output in real time based on inspiratory flow to maintain stable patient-side concentration, improve gas utilization and support automated workflow functions such as initiation, weaning and key-component life monitoring. In our IABP system, AI supports more robust triggering and clinical feedback by enhancing ECG signal recognition in noisy ICU environments, analyzing arterial pressure waveforms to provide objective indicators of counterpulsation effectiveness, and enabling predictive maintenance through monitoring of device pressure signatures. In our respiratory diagnostic products, intelligent sampling and signal-processing algorithms help standardize breath collection and improve measurement repeatability, and we are developing data-fusion approaches that link hospital and outpatient or at-home devices by combining parameters such as FeNO, lung function, CO_2 waveforms and symptom/medication logs to support longitudinal monitoring and earlier risk identification.

MAJOR RESEARCH COLLABORATIONS AND LICENSING ARRANGEMENTS

University of Michigan Licensing Arrangement

In March 2020, we entered into a patent license agreement with The Regents of the University of Michigan ("**Michigan**"), which was amended in December 2021 (together, the "**Michigan License Agreement**"). Michigan is the governing body of the University of Michigan, a leading public research university in the United States and an Independent Third Party. Under the Michigan License Agreement, Michigan grants us an exclusive license, with the right to grant sublicences, in the PRC and Hong Kong over certain Michigan-owned patents and patent applications relating to NO-releasing polymers and gas-delivery devices capable of generating and delivering NO-containing gas streams (the "**Licensed Michigan IP**"). Michigan retains customary rights to use the Licensed Michigan IP for academic research, teaching and publication and to license such non-commercial uses to other non-profit organizations. Under the Michigan License Agreement, we paid Michigan a one-off, non-refundable license issue fee and agreed to (i) pay an annual license maintenance fee before and after the first commercial sale of any product that utilizes the Licensed Michigan IP (which may be fully or partially creditable against running royalties), (ii) make development and regulatory milestone payments upon the achievement of specified clinical, regulatory and commercial milestones, and (iii) pay running royalties at a single-digit percentage rate on our net sales of products that use the Licensed Michigan IP, subject to customary adjustments and minimum-royalty provisions. Michigan retains ownership of all background intellectual property and patents comprised in the Licensed Michigan IP. We own intellectual property, data and know-how that we independently develop in connection with our products. The Michigan License Agreement may be terminated early by mutual agreement, by either party for uncured material breach or insolvency of the other party, or by us at will upon advance written notice.

RESEARCH AND DEVELOPMENT

We conduct our product research and development primarily in-house. Our R&D system covers the full product lifecycle from concept formation and feasibility assessment through design and development, pre-clinical testing, clinical evaluation, registration and post-market iteration.

Our R&D Team. Our R&D team are led by our chief executive officer, Dr. Mao Wen, and our chief technology officer, Mr. Zhang Yuyan. Several senior R&D members have previously participated in the development or industrialization of first-in-China devices such as ICU ventilators and anesthetic workstations. As of the Latest Practicable Date, our R&D team comprised 50 employees, representing approximately 31.7% of our total headcount, of whom approximately 46.0% held master's or doctoral degrees. Our R&D personnel cover disciplines including chemistry, pharmacy, material science, mechanic engineering, biomedical engineering and computer science. We have entered into confidentiality and non-compete arrangements with key employees and R&D staff, under which intellectual property conceived and developed during employment belongs to us. As of the Latest Practicable Date, we had not experienced any loss of key R&D personnel.

Our R&D Costs. We have devoted and expect to continue to devote a significant portion of our resources to R&D as we expand the indications and continue the clinical development of our Core Product, advance other pipeline candidates through clinical trials and conduct additional pre-clinical studies. For the year ended December 31, 2024 and the nine months ended September 30, 2025, our R&D expenses were approximately RMB33.0 million and RMB20.7 million, representing approximately 72.4% and 65.6% of our total revenue, respectively. Of these amounts, RMB12.3 million and RMB7.8 million were attributable to our Core Product, respectively, representing 37.4% and 37.4% of our total research and development costs, and 13.9% and 12.7% of our total operating expenses, in the corresponding periods.

Clinical Development. We conduct clinical trials as a core component of our product development, registration and post-market evidence generation strategy. Our clinical affairs function is led by Ms. Zhou Fang, who has approximately 10 years of experience in the medical device and pharmaceutical fields with a focus on device registration, multi-center clinical studies and global regulatory strategy, and is staffed by professionals with medical, pharmacy or biomedical engineering backgrounds. Our clinical team has led the design and execution of registration-enabling and post-market trials for our products. We also maintain a separate regulatory affairs team responsible for planning registration pathways and submitting product dossiers to the NMPA and other PRC authorities, as well as to overseas regulators. Our trials are designed to evaluate the safety and clinical performance of our devices under intended use conditions, with endpoints selected based on the clinical role of each device. Certain of our products are exempt from clinical trials in specific jurisdictions based on their classification and applicable laws and regulations; in those cases, we rely on non-clinical performance testing, literature-based evaluation and post-market surveillance to support regulatory submissions and ongoing safety and performance evaluation.

Collaboration with Clinical Trial Institutions. We select leading tertiary hospitals with appropriate expertise, patient resources, technology and equipment as our clinical trial institutions (our "**collaborating hospitals**"). As of the Latest Practicable Date, we had initiated or participated in an aggregate of 20 clinical trials and clinical studies, including 18 trials in China and 2 clinical studies in overseas markets.We typically enter into arrangements with the collaborating hospitals under which we and the investigators prepare a protocol and related documents (including, where applicable, informed consent forms and case report forms) for submission to the ethics committees of the participating institutions. Trials are conducted strictly in accordance with the approved protocol.

Collaborations Regarding the Clinical Trials for our Core Product iNOwill

For our Core Product iNOwill's clinical investigations, due to the funding and governance structure applicable to these trials, collaborative hospitals were designated as trial sponsors in China. We, despite not being a named sponsor in China, undertook sponsor-equivalent obligations in the Clinical Trials and were treated as the sponsor by UDEM for the purposes of the CE certification.

To demonstrate our key contributions in the clinical trials for our Core Prodcut iNOwill, a side-by-side comparison of typical sponsor functions as well as our and collaborative hospitals' responsibilities in the Pediatric and Adult Trials is provided in the following table.

Clinical Trial Stage	Typical Role in a Registrational Trial	Our Role	Collaborative Hospitals' Role
1. Product design and development	Sponsor designs and develops trial device	**In both Clinical Trials:** Independently designed and developed the iNOwill device and core components including NO generation module and monitoring system	**In both Clinical Trials:** N/A
2. Clinical trial design	Co-led by PI and sponsor with participating hospital reviewing clinical feasibility and ethical compliance, and confirming assessment parameters and outcome	**In the Pediatric Trial:** We co-led trial design with PI, focusing on device strategy and monitoring protocols. **In the Adult Trial:** We co-led trial design with PI including endpoints, parameters and monitoring protocols.	**In the Pediatric Trial:** Collaborative Hospital reviewed grouping logic, feasibility, and ethical compliance. **In the Adult Trial:** Collaborative Hospital confirmed feasibility and ethical compliance.
3. Patient enrollment, including consent collection and CRF completion	Participating hospital obtained informed consent, enrolled patients and completed CRF entries with support from Sponsor	**In both Clinical Trials:** We monitored inclusion/exclusion criteria, supported patient recruitment, including coordinating across hospital departments to identify eligible patients, specified key CRF data points and supervised CRF completion	**In both Clinical Trials:** Collaborative Hospital obtained informed consent, enrolled patients and completed CRF entries
4. Providing test product, trial site training and device installation	Sponsor provides devices, installs devices and trains personnel	**In both Clinical Trials:** We supplied full device systems and consumables; conducted site installation, calibration, and SOP-based training on alarm limits, $NO/NO_2/O_2$, settings and purging	**In both Clinical Trials:** Collaborative Hospital received training and implemented device operation accordingly in clinical setting
5. Testing of the device and examination of the patients	Sponsor provides equipment and oversight; participating hospital enrolls and treats patients	**In both Clinical Trials:** We maintained technical integrity of devices during treatment; provided ongoing technical support and compliance oversight	**In both Clinical Trials:** Collaborative Hospital enrolled patients, administered NO therapy using the iNOwill system per training

Clinical Trial Stage	Typical Role in a Registrational Trial	Our Role	Collaborative Hospitals' Role
6. Safety monitoring and data capture	Organized by the sponsor with participating hospital conducting patient evaluations and safety/efficacy assessments	**In both Clinical Trials:** We oversaw installation and system monitoring ($NO/NO_2/O_2$, concentrations, alarm settings) and ensured product compliance with regulatory and trial protocol.	**In both Clinical Trials:** Collaborative Hospital conducted patient exams and efficacy/safety evaluation, and logged data in CRFs
7. Data analysis and report drafting	Participating hospital (on provision of anonymized data, execution and preparation of the report) and sponsor (on coordination and assistance)	**In the Pediatric Trial:** We participated in data analysis and conducted final clinical report review. **In the Adult Trial:** We conducted data analysis and drafted clinical summary report.	**In the Pediatric Trial:** Collaborative Hospital recorded and anonymized data, and prepared draft report. **In the Adult Trial:** Collaborative Hospital recorded and anonymized data.

During the clinical phase of both Clinical Trials, we also assumed critical responsibilities in both the development of therapeutic protocol and the operation of therapeutic devices. These responsibilities ensured that physicians and clinical staff administered the therapy consistently, safely, and in accordance with trial requirements. The table below summarizes our lead roles across both dimensions:

Component	Our Responsibilities	Collaborative Hospitals' Responsibilities
Therapeutic Protocol	Developed and delivered therapeutic protocol training based on recognized clinical guidelines, including: • Recommended iNO dosing (e.g., 20 ppm for post-cardiac surgery patients) • Clinical indicators for weaning off therapy (e.g., PaO_2/FiO_2 thresholds) • iNO withdrawal procedures to mitigate hypoxic rebound	Assigned designated ICU physicians and respiratory care personnel to receive our training. Performed iNO therapy according to the provided protocol and guidelines.
Device Operation	Conducted device operation training, including: • System setup: gas source, power supply, circuit connections • Device integration with ventilators, high-flow systems, ECMO, anesthesia machines • Device boot-up and automatic system checks • NO concentration selection and adjustment • Alarm parameter configuration (NO, NO_2, O_2 limits) • Troubleshooting of typical alerts (e.g., source pressure, filter block) • Routine maintenance: component change, cleaning cycles	Assigned designated ICU physicians and respiratory care personnel to receive our training. Operated the iNOwill in accordance with our guidance during training sessions Performed routine maintenance and logged device usage data for trial records.

Relationship with CROs

We collaborate with contract research organizations (CROs) to support certain of our clinical trials, including the PMCF of iNOwill. Our CROs typically provide services including project implementation and management, trial site coordination and subject enrollment. When selecting CROs, we consider their qualifications, track record, the professional experience of their employees and industry reputation. Under these arrangements, we remain responsible for overall trial design and quality management and retain the right to use the clinical data and other deliverables generated from such studies for regulatory submissions and further product development. We monitor our CROs through regular communication and review of documentation and deliverables to help ensure that their performance complies with applicable laws, regulations and clinical standards as well as our internal protocols and to safeguard the integrity and reliability of the data arising from our clinical trials.

OUR COMMERCIALIZATION STRATEGIES

As of the Latest Practicable Date, our Core Product iNOwill was being developed independently and was not subject to any collaboration or out-licensing arrangements with third parties. We plan to continue developing iNOwill in-house, including product improvement, indication expansion and post-approval studies, and to expand its clinical adoption. As we obtain or pursue regulatory approvals overseas, we intend to introduce iNOwill into selected markets, primarily through registration-driven sales using a combination of our own commercial resources and qualified local distributors, depending on local market conditions.

As of the Latest Practicable Date, our Key Product NovaPulse was being developed independently and was not subject to any collaboration or out-licensing arrangements with third parties. We intend to further optimize NovaPulse through ongoing engineering refinements and post-marketing clinical evaluation, and to grow its installed base and utilization in cardiovascular centers and catheterization laboratories in the Chinese mainland through tenders, focused sales, marketing, training and service support.

For our other products and product candidates, we plan to advance product development, clinical evaluation and regulatory registration in line with their intended indications and care settings, with the aim of building an integrated "diagnosis — treatment — monitoring" offering from hospital to community and home use.

We expect to rely mainly on in-house development, supplemented by project-based collaborations with hospitals for clinical studies, and to adopt a commercial model that combines our own sales and medical teams with distributor networks, with most products marketed primarily through distributors supported by academic promotion, market-access activities and digital tools for physician education and patient follow-up.

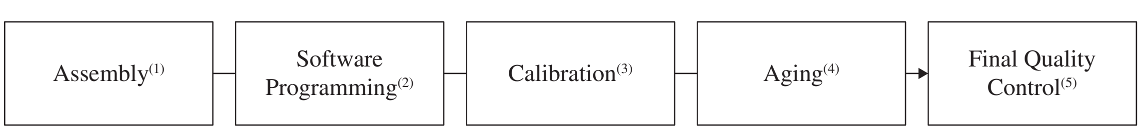
MANUFACTURING

As of December 31, 2025, we had two principal manufacturing facilities, which were separately located in Yangzhou, Jiangsu Province and Fangchenggang, Guangxi Zhuang Autonomous Region with aggregate areas of approximately 2,200.0 s.qm. and 1,400.0 s.qm., respectively. Our facility in Yangzhou is primarily used for the manufacture of Class III medical devices, including iNOwill, eNOaire, and NovaPulse IABP. Our facility in Fangchenggang is primarily used for the manufacture of Class II medical devices, including Reslink and eNOglow.

Manufacturing Process

In compliance with all applicable laws and regulations regarding the operation of our manufacturing facilities in all material respects, we have a rigorous, vertically integrated workflow designed to ensure absolute clinical safety and regulatory compliance. We require all personnel to strictly follow the operation protocols and implement quality management systems as part of our manufacturing processes, adhering strictly to both demotic and international standards, including the GMP standards, ISO 13485 quality management standards and ISO 14971 risk management protocols.

Based on current production planning for our medical devices, the manufacturing cycle from material allocation to finished-goods warehousing typically ranges from six hours to 48 hours. Set forth below is an illustrative flowchart for the manufacturing process of the medical devices.



Notes:

(1) Our trained assembly technicians integrate mechanical, electrical and sensor modules on dedicated workstations, following our Integrated Product Development framework.

(2) We flash assembled hardware with the proprietary firmware to ensure traceability of our software releases.

(3) We verify and adjust our products to ensure their measurements align with our established standards.

(4) We conduct controlled-environment aging to precipitate products' early-life failure.

(5) We conduct full functional verification, calibration verification and final visual inspection of each unit against design specifications.

We have implemented a comprehensive maintenance system for our machinery. During the Track Record Period, we had not experienced any material or prolonged interruptions of our machinery due to equipment or machinery failure.

Production Capacity, Production Volume and Utilization Rates

As of December 31, 2025, our commercialized products mainly included iNOwill, eNOaire, NovaPulse IABP, Reslink and eNOglow. The following table sets forth their production capacity, actual production volume and utilization rate for the year/period indicated:

	For the Year Ended December 31, 2024	For the Year Ended December 31, 2025
Production capacity (units)[1]		
iNO therapy devices (iNOwill/eNOaire)	689	1,311
Cardiopulmonary circulatory support devices (NovaPulse IABP)	N/A	80
Respiratory diagnostics devices (Reslink/eNOglow)	225	250
Actual production volume (units)		
iNO therapy devices (iNOwill/eNOaire)	465	939
Cardiopulmonary circulatory support devices (NovaPulse IABP)	N/A	55
Respiratory diagnostics devices (Reslink/eNOglow)[3]	218	133
Utilization rate (%)[2]		
iNO therapy devices (iNOwill/eNOaire)	67.6	71.6
Cardiopulmonary circulatory support devices (NovaPulse IABP)	N/A	68.9
Respiratory diagnostics devices (Reslink/eNOglow)[3]	96.9	53.2

Notes:

(1) Assuming that the relevant production lines operate 261 days per year and eight hours per day. The effective annual capacity is taking into account adjustment periods and the impact of production line upgrades.

(2) Utilization rate is calculated based on the actual production volume for the relevant years divided by the production capacity for the relevant year, multiplied by 100.0%.

(3) In connection with production line adjustments, we arranged advance production of the relevant products to ensure stable and timely supply in 2024. As a result, the production volume and capacity utilization for this product line were relatively higher in the same year.

The utilization rates for all our products' manufacturing facilities substantially increase from 2024 to 2025, primarily due to increases of sales volume of all our products. We conducted all manufacturing process of our major products in-house, except for the assembly of electrolytic cell modules used in medical devices. For more details, see "— Raw Materials and Suppliers — Raw Materials."

SALES AND MARKETING

We collaborate with leading institutions and top-tier hospitals to refine usage protocols, integrate our devices into real-world workflows and monitor usability, safety management and clinical operation. Our sales and marketing team engages physicians through frequent visits, on site product demonstrations and free educational sessions. We also collaborate with KOLs to introduce and recommend our products to physicians and hospitals.

Compliance of the Promotion Efforts

We conduct our marketing and promotion activities in accordance with applicable laws and regulations in the jurisdictions where we operate, as well as our internal compliance and control requirements. We have established internal policies and procedures designed to support compliant promotion practices, including employee codes of conduct and internal controls applicable to marketing and sales activities. We also maintain compliance and internal control functions to support training and oversight, including (i) compliance education and internal training for employees in relevant roles; (ii) internal review and approval practices for promotional materials and external facing communications; and (iii) requirements that distributors and other third-party partners comply with our compliance standards and applicable regulatory requirements. We prohibit improper benefits and other non-compliant practices in connection with marketing and sales activities.

Our Sales and Distribution Arrangement

We sell our products primarily to distributors under a buyer and seller relationship, who then sell the products to hospitals and medical institutions. According to Frost & Sullivan, our sales model is in line with industry practice. Our sales team collaborates with our distributors to identify market opportunities, participate in hospital procurement and tender process and design distribution strategies. We also advise our distributors on order management and aftersales. By working closely with our distributors, we gain valuable insights into the operations of local distributors and the demands of physicians, which help ensure the effectiveness of the marketing activities. During the Track Record Period, we only directly sold our products to one hospital per its request. For the year ended December 31, 2024, and for the nine months ended September 30, 2025, our sales to our distributors accounted for 91.7% and 96.0% of our revenue for the same year/period, respectively.

Sales through Distributors

We generally enter into distribution agreements directly with our tier-one distributors and manage channel coverage on a regional basis. In larger regions, we may appoint multiple regional tier-one distributors, each responsible for designated prefecture-level cities, based on their capability and willingness to undertake coverage and service obligations. Before we deliver products to our distributors, we generally require our distributors in the Chinese mainland to make full prepayment for our products. Our distributors are responsible for collecting payments from hospitals and medical institutions and assume exposure to operational risk that may arise with end-customers.

Two Invoice System

According to the Notice on Opinions on the Implementation of the "Two Invoice System" in Drug Procurement by Public Medical Institutions (for Trial Implementation) (《關於在公立醫療機構藥品採購中推行"兩票制"的實施意見(試行)的通知》), jointly issued by the Medical Reform Office of the State Council and other seven ministries and commissions on December 26, 2016, the Two Invoice System refers to the system that requires one invoice to be issued from pharmaceutical manufacturers to pharmaceutical distributors and the other invoice to be issued from pharmaceutical distributors to medical institutions. Although most provinces have issued relevant regulations for the Two Invoice System, only a few local provinces have published the adoption timeline and the implementation details of such system. To the extent that the provinces have published the implementation details, the Two Invoice System only applied to specific medical devices and the adoption of the system is often voluntary. To date, only a few local competent authorities of the provinces have published the implementation details of the Two Invoice System for IVD products. To the best of our knowledge, our products sold were not subject to the Two Invoice System in the regions where they were distributed. During the Track Record Period and as of the Latest Practicable Date, we (i) had not been deemed to have violated or circumvented any laws, regulations, rules or policies in relation to the Two Invoice System, (ii) were not subject to any administrative fines or penalties by the competent authorities in relation to the Two Invoice System, and (iii) had not received any warning or notice from any competent authorities in relation to the compliance of the Two Invoice System.

Our Contracts with Distributors

We entered into distribution agreements with our tier-one distributors, which are essentially sales and purchase agreements. Key terms are summarized below:

Term. The durations of the distribution agreements are typically one year, subject to annual review and renewal.

Designated geographical regions. We designate distribution areas for our distributors and prohibit cross-regional sales unless obtaining prior written consent from us.

Minimum purchase commitment. We set annual sales targets, which can be adjusted through mutual agreement based on market conditions.

Pricing. We determine product prices and may adjust them in response to changes in cost or market environment.

Logistics. We deliver products to distributors' designated sites. Title and risk transfer to the distributor upon delivery and acknowledgment of receipt.

Exclusivity. We do not allow distributors to sell or promote competing products without our authorization during the agreement term. Within each of the designated distribution scope, we only engage one distributor to conduct sales.

Sub-distribution. Distributors may authorize sub-distributors within their designated areas upon our authorization. See "— Selection and Management of Distributors — Sub-distributors" for more details.

Compliance and confidentiality. Distributors are required to comply with our anti-bribery, fair competition and confidentiality policies, and refrain from disclosing commercial terms or pricing.

Return policy. In line with industry practice, we generally do not accept product returns unless there is a quality issue attributable to us.

After-sales service. During the warranty period, we provide maintenance if required and perform quality inspection at least twice a year.

Termination. We reserve the right to terminate agreements if distributors violate contract terms, including but not limited to unauthorized cross-regional sales, violation of quality requirements, underperformance or misrepresentation.

For overseas distributors, we entered into similar distribution agreements as distributors in the Chinese mainland, except for the following: (i) the credit terms, we grant them credit terms up to 30 working days; (ii) logistics, we are only responsible for delivering the goods to the domestic ports; and (iii) sub-distribution, we do not require our overseas distributors to get our authorization when engaging with sub-distributors.

During the Track Record Period, we were not aware of any material breach of distribution agreements, and we did not have any material disputes with our distributors or sub-distributors. As of the Latest Practicable Date, we were not aware of any potential abuse or improper use of our name by our distributors or sub-distributors that could adversely affect our reputation, business operations or financial condition. During the Track Record Period and up to the Latest Practicable Date, we were not aware of any customer settled payments with us through accounts belonging to parties other than the contractual counterparties under the corresponding distribution agreements.

Movements of Distributors

The following table sets forth the changes in the number of our tier-one distributors for the year/period indicated:

	For the Year Ended December 31,	For the Nine Months Ended September 30,
	2024	2025
Number of Distributors		
As of the beginning of the year/period	106	146
Additions of new distributors	82	73
Terminated*	42	63
As of the end of the year/period	146	156

Note:

* Referring to distributors who did not purchase medical devices from us during the specified year/period.

We annually renew the distribution agreements with selected distributors in accordance with their performances, which primarily leads to the fluctuation in the number of our distributors during the Track Record Period. During the Track Record Period and up to the Latest Practicable Date, we did not have any material unresolved disputes or lawsuits with these departing distributors.

Selection and Management of Distributors

We have established a structured distributor management system, focusing on the following key areas:

Strict admission and exit mechanism. We select our distributors based on their qualifications and experience in the medical device industry, particularly their established relationships with hospitals, medical institutions and physicians within their designated regions. Our exit mechanism includes evaluation, communication, project and regional handover and follow-up arrangements with the aim of maintaining market order and ensuring continuity of service for end customers.

Support and supervision. We provide support to capable distributors and aim to cultivate a group of regionally leading distributors with strong execution capability in the iNO therapy, cardiopulmonary circulatory support and respiratory diagnostics. We also require tier-one distributors to deliver consistent training to their sub-distributors.

Ongoing monitoring. We track distributors' sales performance and may from time to time review compliance with our distribution policies. We regularly collect feedbacks from the physicians and monitor tender status to assess the performance of our distributors. We review the qualifications of our distributors when our agreements with them are due to be renewed.

Regional control. We control our tier-one distributors and sub-distributors by authorizing them to sell designated products to designated hospitals and medical institutions which are specified in their respective authorization letters. We also implement a unified pricing policy, prohibit unauthorized cross-regional sales.

Channel Inventory Control. We manage our network of tier-one distributors by regularly reviewing their sales performances, inventory levels and product delivery status. Considering that (i) we generally do not accept product returns unless there is a quality issue attributable to us; (ii) we keep ongoing monitoring, including inventory level tracking of both our tier-one distributors and sub-distributors; and (iii) during the Track Record Period and up to the Latest Practicable Date, we had not observed any material inventory buildup among our distributors, we believe that we are subject to a low risk of channel stuffing.

Sub-distributors. While we do not enter into distribution agreements with sub-distributors, we exercise indirect management through our distributors. We review sub-distributors' requisite business licenses and permits before issuing authorization letters to them. We require oversee their sales practices, quality control and compliance performance, and to promptly report any irregularities. We had not identified any cases of unauthorized sales, price manipulation or misuse of our brand by sub-distributors during the Track Record Period.

As of December 31, 2024, one of our former distributors were our connected persons (the "**Related Distributor**"). The revenue contribution from the Related Distributor was RMB60.0 thousands, which was immaterial to our total revenue in 2024. When onboarding distributors who were our connected persons we applied the same selection criteria and procedures as those for the other distributors. The distribution agreement that we entered into with the Related Distributor had the same terms as those in the distribution agreements with the other distributors. Save as disclosed above, during the Track Record Period, to the best of our knowledge, our distributors were Independent Third Parties and they did not have any past or present relationships (business, trust, family, financing or otherwise) with us or our subsidiaries, shareholders, directors or senior management, or any of their respective associates.

Direct Sales

In addition to the sales through our distributors, during the Track Record Period, we only recorded one direct sales for the nine months ended September 30, 2025, due to the expedient request from one hospital. The sales revenue from the hospital accounted for approximately 4.0% of our sales revenue for the nine months ended September 30, 2025. We may, from time to time, have limited direct sales required by specific procurement arrangements or project execution needs while primarily selling our products through distributors.

Pricing

Our products are generally commercialized under a "device plus consumables" model, where the installed device supports recurring consumable usage during therapy and pricing aligns with utilization patterns in high-acuity settings. For the prices of our products sold to distributors, we determine the pricing of each product taking into account prevailing market conditions, including comparable product pricing, hospital affordability and expected channel margins. We from time to time consider adjusting the prices sold to distributors according to the market conditions and competition. We typically do not provide commissions, rebates or other sales incentive arrangements to distributors. For prices of our products sold to end-customers, distributors are generally expected to price at or above the relevant guidance price (or an agreed minimum price level), subject to limited case-by-case adjustments in certain price-sensitive key hospitals. When a patient receives medical services using our products, the associated costs are typically covered by the medical insurance reimbursement in the patient's local region. As of the Latest Practicable Date, there was no price guidance set by the PRC government on our commercialized products.

OUR CUSTOMERS

Our customers are primarily distributors in the Chinese mainland and overseas who purchase our products and sell them directly or indirectly to hospitals or medical institutions. For the year ended December 31,2024 and the nine months ended September 30, 2025, the aggregate sales to our five largest customers were RMB11.7 million and RMB6.6 million, representing 25.6% and 21.0% of our revenue, respectively. During the same period, sales to our largest customer were RMB3.4 million and RMB1.9 million, representing 7.4% and 6.0% of our revenue, respectively. For each year/period during the Track Record Period, all our top five medical devices customers require our distributors to make full prepayment for our products, except for the contract development customer whom we provided services to.

The following table sets forth a summary of the sales to our five largest customers for the year/period indicated.

For the year ended December 31, 2024

No.	Customer	Year of Commencement of Business Relationship	Products/Services Provided	Payment Method	Revenue	Percentage of Revenue
					(RMB in thousands)	*(%)*
1 . .	Customer A[(1)]	2023	iNOwill	Bank transfer	3,388	7.4
2 . .	Customer B[(2)]	2024	contract development services	Bank transfer	2,830	6.2
3 . .	Customer C[(3)]	2023	iNOwill and Reslink	Bank transfer	1,836	4.0
4 . .	Customer D[(4)]	2024	iNOwill and Reslink	Bank transfer	1,825	4.0
5 . .	Customer E[(5)]	2023	iNOwill and Reslink	Bank transfer	1,825	4.0
	Total				**11,704**	**25.6**

Notes:

(1) A medical instrument company specializing in the import and distribution of physiological monitors, medical imaging systems, and respiratory care equipment, headquartered in Taiwan China, incorporated in 1979.

(2) A medical device company specializing in the agency and sales of second and third-class medical equipment and consumables, headquartered in Shanghai, PRC, incorporated in 2014.

(3) A medical device company specializing in the import and distribution of advanced international medical systems and clinical solutions, headquartered in Shanghai, PRC, incorporated in 2017.

(4) A company specializing in the distribution and wholesale of medical instruments and respiratory healthcare products, headquartered in Guangxi, PRC, incorporated in 2021.

(5) A leading biopharmaceutical company specializing in the R&D and production of gene-engineered drugs and diagnostic solutions, headquartered in Shandong, PRC and incorporated in 2008.

For the nine months ended September 30, 2025

No.	Customer	Year of Commencement of Business Relationship	Products/Services Provided	Payment Method	Revenue	Percentage of Revenue
					(RMB in thousands)	*(%)*
1 . .	Customer F[(1)]	2024	iNOwill	Bank transfer	1,896	6.0
2 . .	Customer G[(2)]	2023	iNOwill and Reslink	Bank transfer	1,425	4.5
3 . .	Customer H[(3)]	2025	iNOwill	Bank transfer	1,256	4.0
4 . .	Customer I[(4)]	2024	iNOwill and Reslink	Bank transfer	1,161	3.7
5 . .	Customer J[(5)]	2025	iNOwill and IABP	Bank transfer	867	2.8
	Total				**6,605**	**21.0**

Notes:

(1) A company specializing in domestic trading, including medical devices and other healthcare products, headquartered in Guangdong, PRC and incorporated in 2017.

(2) A professional medical distributor specializing in the agency and promotion of high-end imported medical equipment and consumables from international brands, headquartered in Zhejiang, PRC and incorporated in 2000.
(3) A comprehensive hospital located in Tibet, PRC, providing high-quality clinical healthcare, specialized medical research, and emergency medical security.
(4) A company specializing in the wholesale of medical devices and other related products, headquartered in Gansu, PRC and incorporated in 2018.
(5) A medical technology and equipment service provider, headquartered in Shandong, PRC and incorporated in 2019.

For each year/period during the Track Record Period, all of our five largest customers were Independent Third Parties. During the Track Record Period, none of our Directors or any Shareholders, who, to the knowledge of our Directors, would own more than 5.0% of our issued share capital immediately following the completion of the [**REDACTED**], nor any of their respective associates had any interest in any of our five largest customers. There were no five largest customers in each year/period during the Track Record Period who were also our suppliers during the Track Record Period.

Customer Services

Our customer service team provides training and technical support to distributors and end customers to handle inquiries, technical questions and feedback regarding our products. Once our products are installed onsite and installation reports are returned and recorded, our customer service team coordinates after-sales services to the relevant hospitals and medical institutions. Our customer service team also provides channels for complaints regarding our products, including complaints on the quality of our products and adverse events after relevant procedures are performed on the patients. They investigate the cause of issue raised by our customers and refer the issue to our relevant responsible teams for resolution and correction. During the Track Record Period and up to the Latest Practicable Date, we had not experienced any material product recalls due to quality issues.

RAW MATERIALS AND SUPPLIERS

Raw Materials

We procure raw materials to be used in the manufacture of our medical devices. For manufacture of our iNO therapy devices, our raw materials include parker nitrogen membrane, flow sensor, solenoid valve. For manufacture of our cardiopulmonary circulatory support devices, our principal raw materials are vacuum pump, pressure relief valve, combination valve. For manufacture of our respiratory diagnostics devices, our principal raw materials are stepper motor, flow sensor, nafion tube.

During the Track Record Period, our raw materials and equipment primarily include mould, injection mold component, sheet metal machine, printed circuit board assembly (PCBA), sensor pumps and valves. Some raw materials and equipment, such as certain sensors and valves are of overseas origin and are primarily purchased through domestic agents, with a small portion directly imported. We purchased raw materials from these suppliers on a rolling monthly basis, taking into account our production schedule, logistics arrangements and our business strategies. Most of our raw material prices remain relatively stable during the Track Record Period. To manage and mitigate the impact caused by the possible fluctuations of raw material prices, we enter into framework agreements with our suppliers and maintain a list of alternative suppliers available for our key raw materials.

Suppliers

We select our suppliers based on a variety of factors, including their qualification, reputation, pricing, and overall services. We perform thorough due diligence on our suppliers, regularly monitor and review their performance.

For the year ended December 31, 2024 and the nine months ended September 30, 2025, the aggregate purchases from our five largest suppliers were RMB8.6 million and RMB11.1 million, representing 30.4% and 46.8% of our total purchases, respectively. Our purchases from our largest supplier for the same year/period were RMB2.6 million and RMB3.3 million, representing 9.2% and 14.1% of our total purchases, respectively. We generally have a credit term up to 30 days for certain suppliers.

The following table sets forth a summary of purchases from our five largest suppliers for the periods indicated.

For the year ended December 31, 2024

No.	Supplier	Year of Commencement of Business Relationship	Products/Services Purchased or Obtained	Payment Method	Purchase Amount	Percentage of Total Purchases
					(RMB in thousands)	*(%)*
1 . .	Supplier A[(1)]	2020	equipment	Bank transfer	2,597	9.2
2 . .	Supplier B[(2)]	2021	equipment and raw materials	Bank transfer	1,929	6.8
3 . .	Supplier C[(3)]	2021	raw materials	Bank transfer	1,500	5.3
4 . .	Supplier D[(4)]	2023	equipment and raw materials	Bank transfer	1,432	5.1
5 . .	Supplier E[(5)]	2023	equipment and raw materials	Bank transfer	1,133	4.0
	Total				**8,591**	**30.4**

Notes:

(1) An automation equipment company specializing in automation system design, installation, commissioning, and related technical services, headquartered in Jiangsu, PRC and incorporated in 2004.

(2) A precision manufacturing and technology company specializing in automotive component manufacturing, IoT equipment R&D, and the production of plastic products and medical equipment, headquartered in Anhui, PRC and incorporated in 2019.

(3) An electronic engineering company specializing in printed circuit board design, headquartered in Nanjing, PRC, incorporated on October 10, 2009.

(4) A precision machinery manufacturing company specializing in the production of precision components, processing and sales, and international trade, headquartered in Jiangsu, PRC, incorporated in 2006.

(5) A high-tech manufacturing and R&D company specializing in injection molding, mold design and manufacturing, polymer material R&D, and electronic assembly, headquartered in Shanghai, PRC and incorporated in September 2001.

For the nine months ended September 30, 2025

No.	Supplier	Year of Commencement of Business Relationship	Products/Services Purchased or Obtained	Payment Method	Purchase Amount	Percentage of Total Purchases
					(RMB in thousands)	*(%)*
1 . .	Supplier E[(1)]	2023	equipment and raw materials	Bank transfer	3,333	14.1
2 . .	Supplier B[(2)]	2021	equipment and raw materials	Bank transfer	2,656	11.2
3 . .	Supplier A[(3)]	2020	raw materials	Bank transfer	2,574	10.9
4 . .	Supplier D[(4)]	2023	equipment and raw materials	Bank transfer	1,358	5.8
5 . .	Supplier F[(5)]	2024	raw materials	Bank transfer	1,136	4.8
	Total				**11,057**	**46.8**

Notes:

(1) A high-tech manufacturing and R&D company specializing in injection molding, mold design and manufacturing, polymer material R&D, and electronic assembly, headquartered in Shanghai, PRC and incorporated in 2001.

(2) A precision manufacturing and technology company specializing in automotive component manufacturing, IoT equipment R&D, and the production of plastic products and medical equipment, headquartered in Anhui, PRC and incorporated in 2019.

(3) An automation equipment company specializing in automation system design, installation, commissioning, and related technical services, headquartered in Jiangsu, PRC and incorporated in 2004.

(4) A precision machinery manufacturing company specializing in the production of precision components, processing and sales, and international trade, headquartered in Jiangsu, PRC, incorporated in 2006.

(5) A technology services company specializing in PCB fabrication and PCBA production, headquartered in Shenzhen, PRC, incorporated on March 2003, and listed on the Shenzhen Stock Exchange.

Key terms of the supplier agreements we entered into including: (i) quality specifications, where we list quality specifications for the raw materials in each agreement and/or purchase order; (ii) price and pricing policy, where price or pricing policy is specified in each agreement and/or purchase order; (iii) raw materials return/exchange, where we examine raw materials when we receive them and may return any raw materials that do not meet our requirements within specified periods after receipt; (iv) transportation and delivery, where suppliers are responsible for transportation and delivery method is specified in each agreement or purchase order; and (v) confidentiality, where our suppliers shall keep confidential of the information acquired in the performance of the agreement.

During the Track Record Period, all of our five largest suppliers were Independent Third Parties. During the Track Record Period, none of our Directors or any Shareholders, who, to the knowledge of our Directors, would own more than 5.0% of our issued share capital immediately following the completion of the [**REDACTED**], nor any of their respective associates had any interest in any of our five largest suppliers. In each year/period during the Track Record Period, none of our five largest suppliers was also our customer.

During the Track Record Period and up to the Latest Practicable Date, we did not have any material disputes with our suppliers or experience any material breach of our supply agreements. We had not experienced any material fluctuations in the pricing of our supplies during the Track Record Period. To the best of our knowledge, as of the Latest Practicable Date, there was no information or arrangement that would lead to termination of our relationships with any of our major suppliers. During the Track Record Period, we did not experience any significant shortages or major quality issues in relation to our key raw materials or components.

INVENTORY

Our inventories consist primarily of raw materials, intermediate goods and finished goods. For raw materials supplied by our suppliers, we generally keep an inventory that would satisfy our production needs, which may vary according to the demand of our customers, sales and production plans. Intermediate goods are products that are used in the production process to make finished goods, which are ultimately sold to end-customers. For details about our inventory control measures policy, see "Financial Information — Discussion of Certain Selected Items from the Consolidated Statements of Financial Position — Assets — Inventories and Contract Costs."

QUALITY CONTROL

We have a dedicated quality management team, focusing on the establishment, implementation and maintenance of our quality management system. We execute a strict quality control system through certifications to ISO13485, ISO14971, ISO13485 and GB9706 in accordance with regulations in China, EU, the U.S. and any other applicable region. We maintain quality documentation and records and implement controls intended to ensure traceability and timely handling of quality-related events across the product lifecycle.

We maintain a comprehensive quality control and management system that is designed to cover key aspects of our product life cycle.

Raw Material Supply. Prior to entering into any formal supply agreement, we perform comprehensive due diligence on potential suppliers, evaluating their operating history, track record, and market reputation. Our quality management team conducts stringent inspections and testing on product samples, complemented by on-site visits to assess production facilities and ensure alignment with our quality requirements.

Manufacture. Design inputs are translated into detailed production specifications, and all manufacturing procedures are documented in controlled work instructions and validated process parameters. Raw-material receipt, storage, and handling are subject to strict verification, including traceability recording, quarantine controls and release testing.

Inventory. Our quality management team is tasked with the inspection, examination, approval of all incoming finished products and the accurate recording of inventory movements. Any deviations identified will be promptly reported to the quality management team for corrective action.

After-sales. Feedback received from our distributors and hospital customers was systematically collected, analyzed, and any quality-related concerns were addressed in accordance with our established procedures.

As of the Latest Practical Date, we had not experienced any significant product quality issues. We have from time to time received customer feedback and complaints primarily relating to usage habits. We have not had any product recalls due to product quality issues, nor have we been subject to any investigations or administrative penalties arising from product quality issues.

Product Liability

Under applicable PRC laws and regulations, a medical institution will be liable for any damage caused to a patient in the course of diagnosis or treatment if the medical institution or any practicing physician is at fault, or if the physician fails to perform diagnosis and treatment obligations in accordance with prevailing medical standards. If any injury to a patient is caused by the defect of a medical device, the patient may claim compensation from the manufacturer or the seller of the medical device.

We would not generally be legally liable for physicians' misuse of our products unless any injury results from a defect in our products. We have procured product liability insurance and other insurances that we consider appropriate for our operations. During the Track Record Period and as of the Latest Practicable Date, we were not involved in any material lawsuits, arbitrations or other legal proceedings relating to product liability, and we had not been subject to any administrative penalties due to quality issues in our products.

PROPERTIES AND FACILITIES

As of the Latest Practicable Date, we had five leased properties in the PRC, with a total aggregate gross floor area of approximately 9,500 sq.m.. We are headquartered in Nanjing, Jiangsu Province, with an aggregate leased area of approximately 4,000 sq.m., primarily using for research and development and office use. Our current manufacturing facilities are located in Yangzhou, Jiangsu Province and Fangchenggang, Guangxi Zhuang Autonomous Region. Our Yangzhou manufacturing facility has a leased area of approximately 2,200 sq.m. and our Fangchenggang manufacturing facility has a leased area of approximately 1,400 sq.m..

The relevant lease agreements were valid and legally binding as of the Latest Practicable Date and generally provide a duration of up to ten years. However, as of the Latest Practicable Date, we had not completed the relevant property leasing registrations for four of our leased properties and did not obtain construction permits or complete the final acceptance filing for certain decoration projects. See "Risk Factors — Risks Relating to Our General Operations." for details.

We consider our current facilities to be sufficient to meet our near-term needs, and additional space can be obtained on commercially reasonable terms to meet our future needs. We do not anticipate undue difficulty in renewing our leases upon their expiration. As of the Latest Practicable Date, we did not have any self-owned properties.

As of September 30, 2025, we had no single property with a carrying amount of 15% or more of our total assets, and on this basis, we are not required by Rule 5.01A of the Hong Kong Listing Rules to include in this document any valuation report. Pursuant to section 6(2) of the Companies Ordinance (Exemption of Companies and Prospectuses from Compliance with Provisions) Notice, this document is exempted from compliance with the requirements of section 342(1)(b) of the Companies (Winding Up and Miscellaneous Provisions) Ordinance in relation to paragraph 34(2) of the Third Schedule to the Companies (Winding Up and Miscellaneous Provisions) Ordinance, which requires a valuation report with respect to all of our interests in land or buildings.

COMPETITION

We compete in three segments of the gas-based cardiopulmonary therapeutic and diagnostic device market. In iNO therapy, we participate in a global market that was approximately US$1,020.0 million in 2024 and is expected to reach US$1,642.2 million by 2030, representing a CAGR of 8.3%, with instant-generation systems driving growth at a CAGR of 32.8%. In China, our cardiopulmonary circulatory support products mainly compete in the IABP market, which is projected to grow from RMB641.4 million in 2024 to RMB1,370.9 million in 2030, representing a CAGR of 13.5%, supported by broader adoption of mechanical circulatory support in cardiac procedures. Our respiratory diagnostics line targets the FeNO diagnostic device market in China, which is expected to expand from RMB242.9 million in 2024 to RMB1,589.9 million in 2030 at a CAGR of 36.8%, underpinned by increasing recognition of chronic airway inflammatory diseases and growing demand for outpatient and home-based monitoring.

EMPLOYEES

As of the Latest Practicable Date, we had 158 employees in total, which were all located in the Chinese mainland. The following table sets forth the number of our employees categorized by function as of the Latest Practicable Date.

Function	Number	% of Total
Research and development	50	31.7
Manufacturing and supply chain	24	15.2
Sales and marketing	37	23.4
Administrative and management	47	29.7
Total	**158**	**100.0**

We generally enter into standard confidentiality and employment agreements with our key management and research staff. We believe that we maintain a good working relationship with our employees. As of the Latest Practical Date, we had not experienced any significant labor disputes or any significant difficulty in recruiting staff for our operations. As at the Latest Practicable Date, we had not established a labour union.

We are committed to attracting, training and retaining talent. We maintain a training system that includes periodic technical training and regular sharing of industry insights. We also conduct compliance training for employees, including training relating to anti-bribery and anti-corruption requirements and other applicable laws and regulations, to mitigate compliance risks in our operations.

In compliance with the relevant PRC labor laws, we are required under PRC law to make contributions to employee benefit plans at a certain percentage of our employees' salaries, including bonus and allowances, up to a maximum amount specified by the local government. We made full social insurance and housing provident fund contributions for our employees during the Track Record Period, except that we engage third-party human resources agencies to do so for employees whose work locations differed from our main operating entities, which involves potential risks. "Risk Factors — Risks Relating to Our General Operations — We may be subject to penalties if we are not in compliance with the PRC's regulations relating to social insurance and housing funds."

INTELLECTUAL PROPERTY RIGHTS

As of the Latest Practicable Date, we had 79 patents and 174 registered trademarks, as well as 75 patent applications and three trademark applications in the Chinese mainland and 13 jurisdictions overseas, such as Canada, United States, Indonesia, Israel, Brazil and South Korea. Our patents, patent applications, registered trademarks and pending trademark applications cover key technology areas including instant NO generation, electrochemical catalytic reduction, plasma discharge, gas sensing and gas and fluid-path control. We believe there is no material legal impediment for us to obtain the approvals for these patent applications and trademarks applications. As of the Latest Practicable Date, all of our 154 patents and patent applications were self-developed. Among these patents and patent applications, 44 of them were related to our Core Product, and five patents and patent applications related to our Key Product. Besides the patents and patent applications we owned, as of the Latest Practicable Date, we also in-licensed a total of six patents and patent applications.

The table below lists the material patents and patent applications directly in relation to our Core Product and Key Product, as of the Latest Practicable Date:

Number	Related Product	Patent/Application Number	Patent Type	Jurisdiction	Date of Application	Status	Patent Expration for Granted Patent(s)
1	INOwill	AU2021401099;	Invention	Australia;	12/17/2021	Australia (Granted);	12/17/2041
		JP2023537262;		Japan;	12/17/2021	Japan (Granted);	12/17/2041
		2021800279304;		China;	12/17/2021	China (Granted);	12/17/2041
		HK62023070244.6;		Hong Kong;	03/20/2021	Hong Kong (Granted);	12/17/2041
		SG11202304263P;		Singapore;	12/17/2021	Singapore (Granted);	12/17/2041
		CA3201125;		Canada;	12/17/2021	Canada (Allowed);	NA
		US18/043,900;		United States;	12/17/2021	United States (Pending);	NA
		EP21844628.4;		Europe;	12/17/2021	Europe (Pending);	NA
		IDP00202305659;		Indonesia;	12/17/2021	Indonesia (Pending);	NA
		IL303679;		Israel;	12/17/2021	Israel (Pending);	NA
		BR1120230120322;		Brazil;	12/17/2021	Brazil (Pending);	NA
		KR1020237024202		South Korea	12/17/2021	South Korea (Pending)	NA

Number	Related Product	Patent/Application Number	Patent Type	Jurisdiction	Date of Application	Status	Patent Expration for Granted Patent(s)
2	INOwill	2023800578663;	Invention	China;	12/27/2023	China; (Pending)	N/A
		US19/144,448;		United States;		United States; (Pending)	N/A
		EP23910732.9;		Europe;		Europe; (Pending)	N/A
		CA3278315;		Canada;		Canada; (Pending)	N/A
		JP2025538636;		Japan;		Japan; (Pending)	N/A
		AU2023416236;		Australia;		Australia; (Pending)	N/A
		HK62025113562.5		Hong Kong		Hong Kong (Pending)	N/A
3	INOwill	2025109566268	Invention	China	7/11/2025	Pending	N/A
4	NovaPulse	2025203225566	Utility Model	China	2/26/2025	Pending	N/A
5	NovaPulse	2025116486802	Invention	China	11/12/2025	Granted	11/12/2045

We also own a number of patents, patent applications, trademarks and trademark applications. For more details, see Appendix VI to this document.

The term of an individual patent may vary based on the countries or regions in which it is granted. We cannot provide any assurance that patents will be issued with respect to any of our owned or licensed patent applications or any such patent applications that may be filed in the future.

We rely, in some circumstances, on trade secrets and/or confidential information to protect aspects of our technology and enter into confidentiality arrangements to seek protection for our proprietary technology. We enter into confidentiality and non-competition agreements with our key employees and employees involved in research and development. During the Track Record Period and up to the Latest Practicable Date, none of our employees breached the confidentiality obligations under their employment contracts in a material aspect. We also seek to preserve the integrity and confidentiality of our data and trade secrets by maintaining the physical security of our premises.

During the Track Record Period and up to the Latest Practicable Date, we were not subject to, nor were we a party to, any intellectual property rights infringement claims or litigations and were not aware of any material infringement of our intellectual property rights that had or could have a material adverse effect on our business. We had complied with all applicable intellectual property laws and regulations in all material respects during the Track Record Period and up to the Latest Practicable Date. Based on the freedom-to-operate analysis, there is no substantial risk of infringement of valid and enforceable issued patents of any third party in the Chinese mainland, Europe and the U.S. that may impact the development and commercialization of our Core Product in the Chinese mainland, Europe and the U.S. and there is no substantial risk of infringement of valid and enforceable issued patents of any third party in the Chinese mainland that may impact the development and commercialization of our Key Product in the Chinese mainland.

LICENSES AND PERMITS

As of the Latest Practicable Date, we had obtained all requisite licenses, approvals and permits from relevant authorities that are material to our operations. We did not experience any material difficulties in renewing such certificates, permits and licenses during the Track Record Period and up to the Latest Practicable Date, and do not expect to face any material difficulties in renewing them upon their expiry. See "Regulatory Overview" for more information about the material certificates, permits and licenses required for our business operations.

In addition to the registration certificates for our medical devices, the table below sets forth the relevant details of the material licenses required for our operations in the PRC and overseas.

Certificate	Product/Scope	Issue Authority	Certificate Number	Expiration Date
Medical Device Manufacturing License	Class III: 08-03 emergency equipment; 09-08 other physical therapy equipment	Jiangsu MPA	20220174	Until May 2027
Medical Device Operation License	Wholesale of medical devices	Nanjing Municipal Administration for Market Regulation	20220206	Until April 2027
Certificate for Exportation of Medical Products of the PRC.	Nitric Oxide Therapy Device	Jiangsu MPA	20252838	Until April 2027
Medical Device Manufacturing Licence	Class III: 01-10 Other surgical equipment; 08-03 Emergency equipment; 09-08 Other physical therapy equipment	Jiangsu MPA	20250098	Until May 2030

ENVIRONMENTAL, WORKPLACE SAFETY AND SOCIAL RESPONSIBILITY MATTERS

We are committed to complying with ESG reporting requirements following our [**REDACTED**]. In line with the standards set out in Appendix C2 of the Listing Rules, we have established a three-tiered sustainable development management system with the Board at its core. At the management level, we have established an ESG Working Group that reports to the Board. This group is responsible for leading and organizing the day-to-day management of the Company's various sustainability-related matters and reports its progress to the Board regularly.

Compliance Management and Anti-Corruption

Bribery and corruption remain strictly prohibited throughout our operations. We require all mid- to senior-level management and employees to strictly adhere to relevant laws, industry norms and standards, professional ethics, and company policies. This fosters a culture of integrity and diligence while preventing actions that could harm the interests of the Company and its shareholders.

We have set up the Compliance and Internal Control Department as a standing body directly under the Board's Audit Committee to carry out anti-fraud and anti-corruption efforts. We have also established and disclosed reporting channels, allowing all employees and any external parties with direct or indirect economic relationships with the Company to report actual or suspected acts of fraud or corruption via email.

Environmental Sustainability

We regard environmental protection as a matter of particular importance. To ensure the effective implementation of our environmental protection measures and the proper management of emissions and waste, we engage qualified third-party testing agencies annually to inspect and assess wastewater, exhaust emissions, and noise generated by our production facilities.

Climate-related issues pose a degree of potential risk to our operations. Following the risk management principles of "prevention first, rapid response, and continuous monitoring", we assess the likelihood and impact of environmental and climate-related threats to our business and take prompt action to mitigate potential losses. The principal climate risks we have identified can be categorized as (i) physical risks, defined as the physical impacts on us resulting from extreme weather events or long-term chronic changes in climate patterns, and (ii) transition risks, defined as risks associated with the transition to a low-carbon economy, which may include policy, legal, technological, market, and reputational risks.

Physical Risk

We believe that climate-related issues may bring an increased risk of severe extreme weather events, such as the effects of more frequent and intense thunderstorms, torrential rain, strong winds, and high temperatures. Extreme weather may disrupt the receipt of raw materials or the delivery of finished products, while climate-related disasters could lead to power outages, or equipment malfunctions, potentially causing production halts or delivery delays. To mitigate such risks, our ESG Working Group is responsible for monitoring weather conditions on a regular basis and developing appropriate contingency plans to minimize operational disruptions. We have implemented backup and redundancy measures for critical facilities to ensure a rapid recovery of operations in the event of disaster. In addition, we maintain a diversified supply chain to reduce dependency on any single supplier.

Transition Risk

With the implementation of the "dual-carbon" strategy, local governments have increasingly focused on controlling fossil-fuel consumption and moving toward a "dual-control" mechanism that regulates both the total volume and intensity of carbon emissions. In this process, power rationing and production restrictions have intensified for high-energy-consuming enterprises, while outdated production capacity is being phased out. These changes could create uncertainty for our supply chain and R&D activities. In addition, medical institutions (particularly Grade A Tertiary hospitals) may, in the future, adopt low-carbon certification as a key procurement criterion, giving preference to environmentally friendly medical devices. In response, we have strengthened ESG training and education to raise awareness company-wide. We will also deepen cooperation with upstream and downstream partners to build a sustainable and competitive ecosystem. Moreover, the tightening of environmental regulations may require us to increase investment in business and operational transformation — for example, by adopting more advanced processes and technologies to reduce production energy consumption.

Social Responsibility

We recognize that corporate development is closely intertwined with social responsibility and believe it is our duty to actively fulfill such responsibilities. We also actively call upon our employees to participate in public welfare and charitable activities beyond their daily work. In 2024, the Company's cumulative donations of medical devices reached a total value of RMB885,000, including Nitric Oxide Therapy Systems and Exhaled Nitric Oxide Detectors.

Occupational Health and Safety

We are subject to the PRC laws and regulations related to employee health and safety. We have established comprehensive internal policies and measures on environmental and occupational health and safety and provide production staff with adequate protective equipment. Qualified third-party institutions are engaged to conduct occupational hazard assessments of our production environment, identifying potential occupational risks and ensuring they are effectively prevented and controlled. This allows us to meet national laws, regulations, standards, and specifications for the prevention and control of occupational diseases. We conduct occupational health examinations for relevant positions at least once a year and arrange regular physical checkups for all employees. In 2024 and 2025, the number of working days lost by the Company's employees due to work-related injuries is 0 days and 0 days.

Employee Management

Adhering to a "people-oriented" management philosophy, we regard our employees as our most valuable resource and asset. We strictly comply with national and regional laws and regulations. Our human resources management adheres to the principles of equal opportunity, fair competition, comprehensive evaluation, and role-fit matching. We have zero tolerance for all forms of discrimination — including gender, sexual orientation, disability, age, race, nationality, family status, or other legally protected characteristics — and are committed to fostering diversity. We ensure all employees are treated equally and respectfully in recruitment, training, health, and professional and personal development.

Supplier Management

Supply chain management is directly associated with product quality and corporate operations. In view of this, we actively establish stable, long-term partnerships with suppliers from diverse regions to ensure supply chain stability and achieve mutual success. Throughout this process, we have established a series of management systems and procedures, such as the *Supplier Management Control Procedure*, *Contract Manufacturing Control Procedure*, and *Procurement Bidding and Tendering Management Regulations*, to specify management requirements for different categories of suppliers.

Over the years, we have maintained partnerships with suppliers of varying regional, ethnic, cultural, and professional backgrounds to build a diversified supply chain. At the same time, we emphasize collaboration with local suppliers to promote regional economic development and reduce logistics costs. As of December 2025, the Company had established cooperative relationships with 732 suppliers across 25 provinces, countries, and regions.

Performance Indicators (Social Responsibility)

Adhering to the principles of diversity and inclusion, we are committed to fostering an equal and diverse employment environment while continuously optimizing our workforce structure to maintain our competitiveness both within the Company and in the broader market.

The Group recorded an average monthly employee turnover rate of approximately 3.47%. By gender, the turnover rate for male employees was 3.06%, while that for female employees was 3.10%. By age group, the turnover rate was highest among employees under 30 (4.05%), followed by those aged over 45 (2.78%) and those aged 30 to 45 (2.53%).

Identification, Assessment, and Management of Environmental, Social, and Climate-related Risks and Opportunities

We identify material environmental, social, and climate-related issues closely related to our business. Such issues may present certain risks and opportunities to the Company.

Identified Risks and Opportunities and Their Impact on Our Business Strategy and Financial Planning

- **Emissions Management:** The Company generates wastewater, exhaust gas and hazardous waste from operations and R&D. Exhaust gas includes nitric oxide, nitrogen dioxide, methanol and tetrahydrofuran. We employ fume hoods, activated carbon adsorption and exhaust gas treatment for compliant discharge. Wastewater is treated on-site or via municipal networks, and hazardous waste is disposed by licensed third parties.

- **Extreme Weather Response:** Extreme weather may cause outages, facility damage, logistics and delivery disruptions. We have adopted business continuity policies, emergency plans and regular drills to manage risks.

- **Protection of Employment Rights:** We maintain lawful labor relations, while natural turnover increases costs and knowledge loss. We promote an inclusive workplace with performance-based remuneration, training and career paths, and safeguard employees' rights through regular communication.

Metrics and Targets

We have established environmental protection indicators to quantify our conservation efforts and actively monitor our environmental impact. The table below sets out the quantitative data[1] of the Company's environmental performance over the past two years.

Category		Unit	2024	2025
Total Greenhouse Gas (GHG) Emissions and Intensity . . .	Scope 1 – Direct emissions	Tons	0.29	0.41
	Scope 2 – Energy indirect emissions	Tons	458.04	1,963.18
	Scope 3 – Other indirect emissions	Tons	171.07	153.14
	Total emissions[2]	Tons	629.41	2,116.73
	Total emissions intensity	Tons/RMB million revenue	13.82	31.72
Waste	Hazardous waste	Tons	5.42	3.75
	Hazardous waste intensity	Tons/RMB million revenue	0.12	0.06
	Non-hazardous waste	Tons	10.76	8.52
	Non-hazardous waste intensity	Tons/RMB million revenue	0.24	0.13
Energy Consumption	Direct energy consumption			
	Gasoline	Litres	110	154
	Indirect energy consumption			
	Purchased electricity	'000 kWh	751	3,218
	Total energy consumption	'000 kWh	752	3,219
	Total energy consumption intensity	'000 kWh/RMB million revenue	16.51	48.24
Water Consumption	Total water consumption	Tons	5,200	4,202
	Total water consumption intensity	Tons/RMB million revenue	114.17	62.97
Packaging Materials	Total packaging materials used	Tons	1.10	1.34
	Total packaging material intensity	Tons/RMB million revenue	0.024	0.020

Notes:

1. The data covers the Group's major business operations.
2. The Scope 3 emissions include available data arising from Category 6: business travel and Category 7: employee commuting.

As our business grows and further commercialization progresses, we anticipate increased resource consumption and emissions. Nevertheless, we are committed to implementing multiple measures to optimize resource utilization and reduce environmental impact. We also foster a corporate culture that prioritizes environmental protection and collaborating closely with business partners to build an eco-friendly ecosystem. Our commitments include enhancing environmental performance across the entire value chain, encompassing office operations, supplier selection, laboratory activities, and waste management. We expect our energy consumption intensity in 2026 will remain at 95% of the 2025 level.

LEGAL PROCEEDINGS AND COMPLIANCE

During the Track Record Period and up to the Latest Practicable Date, we had not been involved in any actual or pending legal, arbitration, or administrative proceedings (including any bankruptcy or receivership proceedings) that we believe would have a material adverse effect on our business, results of operations, financial condition, or reputation and compliance.

The business operations we engaged in had been carried out in compliance with applicable PRC laws and regulations in all material respects during the Track Record Period and up to the Latest Practicable Date.

INSURANCE

We maintain insurance policies that are required under PRC laws and regulations as well as based on our assessment of our operational needs and industry practice. Our insurance coverage includes (i) social welfare insurance for our employees in accordance with relevant PRC laws and regulations; (ii) workers' compensation insurance covering work-related death or injury of employees; (iii) medical insurance; (iv) commercial insurance; (v) property insurance and (vi) business disruption insurance, which cover, among other things, public liability and product liability. In connection with our sales through distributors, we do not purchase cargo insurance for goods. As of the Latest Practicable Date, we did not have any outstanding insurance claims. Consistent with industry norm, we do not maintain life insurance for any member of our senior management. In the future, to the extent that any of the foregoing types of insurances becomes mandatory due to changes of law or other reasons, we will acquire such insurance in compliance with law. Our Directors consider that our existing insurance coverage is sufficient for our present operations and in line with the industry practice in the PRC.

DATA PRIVACY AND PROTECTION

We have instituted a comprehensive data-protection framework that governs the collection, use, storage, transmission and disclosure of information in line with applicable laws, regulations and prevailing industry standards across all jurisdictions of operation. The framework includes a formal data-classification scheme and life-cycle management standards that ensure clinical and operational data are handled in accordance with requirements on healthcare-information security, while keeping end-customers and data subjects fully informed of how their information is managed throughout the process.

We have established an integrated information security management system built in accordance with international and domestic cybersecurity standards, such as ISO/IEC 27001 and the PRC Multi-Level Protection Scheme (MLPS 2.0), and continue to invest significantly in data security and privacy protection. Our information systems apply multiple layers of safeguards, including role-based access control, web application firewalls, and intrusion detection and prevention systems. We adopt technical measures such as data encryption, desensitization, verification and regular backup to ensure the confidentiality, integrity and availability of the data we process. In addition, we maintain a tiered internal authentication and authorization system to ensure that confidential and proprietary data can only be accessed by authorized personnel. We have also obtained information security and privacy compliance certifications for certain business systems in both domestic and overseas operations, reflecting our ongoing commitment to maintaining high standards of data protection and regulatory compliance.

During the Track Record Period and up to the Latest Practicable Date, we were in compliance in all material respects with all applicable PRC laws and regulations with respect to data privacy and protection. During the Track Record Period and up to the Latest Practicable Date, we had not received any claim from any third party against us alleging any violation of such party's data privacy rights, and we have not experienced any material data loss or breach incidents.

RISK MANAGEMENT AND INTERNAL CONTROL

We have established and maintain comprehensive risk management and internal control systems, consisting of policies and procedures that we consider appropriate for our business operations. These systems are designed to ensure that major risks arising from our operations are properly identified, evaluated and mitigated in a timely manner.

Our Board and its committees serve as the decision-making and supervisory bodies responsible for overseeing the effective operation of the risk management and internal control systems. The Board regularly reviews reports from management and the internal audit department on our operational performance and internal control evaluation results. The management team is responsible for implementing the risk management and internal control policies in daily operations and is subject to periodic evaluation and supervision by our Compliance and Internal Control Department.

Risk Management

The Audit Committee of our Board studies macroeconomic, industry, technological and market trends that may affect our medium- to long-term growth, and advises the Board on strategic planning and major industrial opportunities. Our management is responsible for formulating and executing our strategic plans, conducting annual reviews of progress, and organizing quarterly business management meetings to monitor execution.

At the operational level, under the guidance of our management team, each functional department performs its respective duties while coordinating with others to supervise overall operations.

Internal Control

We have established a robust internal control framework in accordance with our corporate governance and internal control policy, and continuously refine our business processes covering, among others, corporate social responsibility, human resources, treasury, investment, procurement, asset management, sales, R&D, project management, related party transactions, financial reporting, information disclosure, budgeting and IT system management. Our Board holds ultimate responsibility for the establishment and effective implementation of our internal control system.

Anti-Bribery, Anti-Corruption and Compliance Controls

We strictly comply with all applicable anti-bribery, anti-corruption, anti-monopoly and fair competition laws and standards in the jurisdictions where we operate.

The Compliance and Internal Control Department serves as the permanent body for our anti-corruption/anti-fraud efforts, responsible for organizing and executing company-wide anti-corruption/anti-fraud initiatives. We have set up a dedicated whistleblowing email address, which is managed by the Compliance and Internal Control Department.

AWARDS AND RECOGNITION

The table below sets forth a summary of the major awards and recognition that our Company had received as of the Latest Practicable Date:

Year	Awards	Awarding Organization/Authority
2025	Jiangsu Province Potential Unicorn Enterprise (江蘇省潛在獨角獸企業)	Jiangsu Provincial Productivity Center (江蘇省生產力促進中心)
2024	Jiangsu Province Innovative Product (江蘇省創新產品)	Department of Industry and Information Technology of Jiangsu Province (江蘇省工信廳)
2023	National High-tech Enterprise (國家高新技術企業)	Torch High Technology Industry Development Center, Ministry of Science and Technology (科學技術部火炬高技術產業開發中心)

OUR SINGLE LARGEST GROUP OF SHAREHOLDERS

As of the Latest Practicable Date, (i) Dr. Mao directly held approximately 7.14% of our issued Shares, (ii) Jingning Noring directly held approximately 21.41% of our issued Shares; (iii) Mr. Cao Guiping directly held approximately 5.35% of our issued Shares; and (iv) Lingxing Hainan directly held approximately 0.71% of our issued Shares. Jingning Noring is owned as to 21.12% by Dr. Mao as a limited partner and its general partner is Nanjing Miyu Technology Co., Ltd. (南京冪羽科技有限公司) ("**Nanjing Miyu**"), which is a company wholly owned by Dr. Mao. Further, Jingning Noring is owned as to 14.23% by Jingning Nuoming, which is owned as to 53.33% by Dr. Mao as a limited partner and the general partner of Jingning Nuoming is Nanjing Miyu. No other limited partner is holding 30% or more partnership interest in Jingning Noring. Dr. Mao therefore is entitled to full control over the voting rights exercisable by Jingning Noring in our Company. Lingxing Hainan is owned as to 45.14% by Dr. Mao as a limited partner and its general partner is Mr. Zhang Yuyan, our executive Director, who has entrusted the voting rights as a general partner in Lingxing Hainan to Dr. Mao pursuant to a voting proxy dated December 10, 2025. As such, Dr. Mao is entitled to full control over the voting rights exercisable by Lingxing Hainan in our Company. Dr. Mao, Mr. Cao Guiping, Jingning Noring and Lingxing Hainan entered into a concert party agreement on October 10, 2021, pursuant to which each of parties therein agreed to act in concert with respect to their voting rights as shareholders in our Company, with Dr. Mao's opinion prevailing in case of disagreement. Accordingly, as of the Latest Practicable Date, Dr. Mao, Jingning Noring Mr. Cao Guiping and Lingxing Hainan were our Single Largest Group of Shareholders and was entitled to exercise and control the voting rights of approximately 34.61% of our issued Shares.

Upon the completion of the [**REDACTED**] (assuming the [**REDACTED**] is not exercised), our Single Largest Group of Shareholders will be entitled to exercise and control the voting rights of an aggregate of approximately [**REDACTED**]% of the total issued share capital of our Company.

For the biographical details of each of Dr. Mao and Mr. Cao Guiping, see "Directors and Senior Management" of this document.

INTERESTS OF OUR SINGLE LARGEST GROUP OF SHAREHOLDERS IN OTHER BUSINESSES

As of the Latest Practicable Date, save for the interest in our Group, our Single Largest Group of Shareholders did not have any interest in a business which competes or is likely to compete, directly or indirectly, with the business of our Group, and which requires disclosure under Rule 8.10 of the Listing Rules.

INDEPENDENCE OF OUR BUSINESS

Our Directors consider that we are capable of carrying on our business independently of our Single Largest Group of Shareholders and their close associates after the [**REDACTED**], taking into consideration the factors below.

Management Independence

Our Board comprises nine Directors, including three executive Directors, three non-executive Directors and three independent non-executive Directors. We believe that our Board as a whole, together with our senior management, is able to perform the managerial role in our Group independently from our Single Largest Group of Shareholders for the following considerations:

(a) each of our Directors is aware of his/her fiduciary duties as a Director which require, among others, that he/she acts for the benefit of and in the best interests of our Company and does not allow any conflict between his/her duties as a Director and his/her personal interests;

(b) our daily management and operation decisions are primarily made by all our executive Directors and senior management, all of whom have substantial experience in the industry in which we are engaged and will be able to make business decisions that are in the best interest of our Group. For details of the industry experience of our senior management, see "Directors and Senior Management" in this document;

(c) we have appointed three independent non-executive Directors with a view to bringing independent judgment to the decision-making process of our Board;

(d) in the event that there is a potential conflict of interest arising out of any transaction to be entered into between our Group and a Director and/or his/her associate, he/she shall abstain from voting and shall not be counted towards the quorum for the voting; and

(e) we have adopted a series of corporate governance measures to manage conflicts of interest, if any, between our Group and our Single Largest Group of Shareholders, which would support our independent management. For further details, see "— Corporate Governance Measures" in this section.

Operational Independence

We have full rights to make all decisions on, and to carry out, our own business operations independently. We have our own departments specializing in these respective areas which have been in operation and are expected to continue to operate independently from our Single Largest Group of Shareholders and their close associates. We hold the licenses, intellectual property rights and qualifications necessary to carry on our principal business. We also have independent access to suppliers, and have sufficient capital, facilities and employees to operate our business independently from our Single Largest Group of Shareholders and their close associates.

Based on the above, our Directors believe that we will be able to operate independently from our Single Largest Group of Shareholders and their close associates.

Financial Independence

We have an independent financial system. We make financial decisions according to our own business needs, and neither our Single Largest Group of Shareholders nor their close associates intervene with our use of funds. We have established an independent finance department with a team of finance staff and an independent audit, accounting and financial management system.

In addition, we are capable of obtaining equity and debt financings from third parties without relying on any guarantee or security provided by our Single Largest Group of Shareholders or their close associates. As of the Latest Practicable Date, there was no loan, advance or guarantee provided by our Single Largest Group of Shareholders or their close associates.

Based on the above, our Directors believe that we are capable of carrying on our business independently of, and do not place undue reliance on, our Single Largest Group of Shareholders and their close associates after the [**REDACTED**].

CORPORATE GOVERNANCE MEASURES

Our Directors recognize the importance of good corporate governance in protecting our Shareholders' interests. We have adopted the following measures to safeguard good corporate governance standards and to avoid potential conflicts of interests between our Group and our Single Largest Group of Shareholders:

(a) under the Articles of Association, where a Shareholders' meeting is to be held for considering proposed transactions in which our Single Largest Group of Shareholders or any of their respective associates is interested, our Single Largest Group of Shareholders and their associates will not vote on the relevant resolutions and shall not be counted in the quorum for the voting;

(b) our Company has established internal control mechanisms to identify connected transactions. Upon [**REDACTED**], if our Company enters into connected transactions with our Single Largest Group of Shareholders or any of their associates, our Company will comply with the applicable Listing Rules;

(c) our Board consists of a balanced composition of our executive Directors, non-executive Directors and independent non-executive Directors, with independent non-executive Directors representing not less than one-third of our Board to ensure that our Board is able to effectively exercise independent judgment in its decision-making process and provide independent advice to our Shareholders. Our independent non-executive Directors individually and collectively possess the requisite knowledge and experience to perform their duties. They will review whether there is any conflict of interests between our Group and our Single Largest Group of Shareholders and provide impartial and professional advice to protect the interests of our minority Shareholders;

(d) where our Directors reasonably request the advice of independent professionals, such as financial advisors, for our Company, the appointment of such independent professionals will be made at our Company's expenses; and

(e) we have appointed Rainbow Capital (HK) Limited as our Compliance Advisor to provide advice and guidance to us in respect of compliance with the applicable laws in Hong Kong and the Listing Rules, including various requirements relating to corporate governance. Based on the above, our Directors believe that sufficient corporate governance measures have been put in place to manage conflicts of interests that may arise between our Group and our Single Largest Group of Shareholders and to protect our Shareholders' interests as a whole after the [**REDACTED**].

BOARD OF DIRECTORS

Our Board consists of nine Directors, comprising three executive Directors, three non-executive Directors and three independent non-executive Directors. Pursuant to the Articles of Association, our Directors are elected and appointed by our Shareholders at a Shareholders' meeting for a term of three years, which is renewable upon re-election and re-appointment.

The following table sets forth general information regarding our Directors:

Name	Age	Position(s)	Date of joining our Group	Date of first appointment as Director	Role and responsibilities
Dr. MAO Wen (毛雯)	42	Executive Director, chairperson of our Board, chief executive officer	May 2019	April 22, 2020	Responsible for overseeing all core-product R&D, registration, manufacturing, and commercialization
Mr. ZHANG Yuyan (張煜彥)	42	Executive Director and chief technology officer	November 2020	September 30, 2021	Responsible for overseeing group level strategy for technology and product development
Mr. CAO Guiping (曹貴平)	49	Executive Director	November 2019	December 28, 2020	Responsible for strategy development
Mr. DENG Feng	62	Non-executive Director	September 2021	September 30, 2021	Responsible for providing strategic advice and making recommendation on the operation and management of our Group
Dr. CAO Yu (曹宇)	39	Non-executive Director	September 2021	September 30, 2021	Responsible for providing strategic advice and making recommendation on the operation and management of our Group
Mr. HE Xing (何邢)	46	Non-executive Director	April 2020	April 22, 2020	Responsible for providing strategic advice and making recommendation on the operation and management of our Group
Mr. LI Shu Pai (李書湃)	49	Independent Non-executive Director	February 2026	February 5, 2026	Responsible for providing independent opinions and judgment to the Board
Mr. Liu Feng (劉峰)	41	Independent Non-executive Director	February 2026	February 5, 2026	Responsible for providing independent opinions and judgment to the Board

Name	Age	Position(s)	Date of joining our Group	Date of first appointment as Director	Role and responsibilities
Ms. XIAO Yun (肖雲)	42	Independent Non-executive Director	February 2026	February 5, 2026	Responsible for providing independent opinions and judgment to the Board

The following sets forth the biographies of our Directors:

Executive Directors

Dr. MAO Wen (毛雯), aged 42, is chairperson of our Board, an executive Director and chief executive officer of our Company. She is responsible for overseeing all core-product R&D, registration, manufacturing, and commercialization. Dr. Mao has served as the executive director of Changsha Nuoshi since June 2021, the executive director of Novlead US since July 2021, Novlead Beijing since January 2022, the executive director of Guangxi Nuogang since August 2023 and the executive director of Novlead Yangzhou since February 2024.

Dr. Mao has more than 14 years of experience in biological research and medical-device industry. Dr. Mao served as the R&D director of Abbott Diabetes Care Inc. in diabetes care division from 2011 to 2016, overseeing product development and project management. From 2018 to 2019, she served as project lead of precision medicine at the World Economic Forum.

Dr. Mao received her bachelor's degree in science majoring in biological science from Peking University (北京大學) in the PRC in July 2005. She then received her master's degree in economics and management majoring in regulatory science from the University of Southern California in the USA in May 2010, and subsequently her doctorate degree in neuroscience at the same university in May 2011.

Mr. ZHANG Yuyan (張煜彥), aged 42, is our executive Director and chief technology officer. He is responsible for overseeing group level strategy for technology and product development. Mr. Zhang served as the supervisor of Changsha Nuoshi and Novlead Yangzhou since February 2026, respectively.

Mr. Zhang has over 17 years of experience in medical-device systems engineering and R&D management. He successively served as head of systems design at GE Medical System (China) Co., Ltd. (通用電氣醫療系統(中國)有限公司) from July 2008 to June 2020. From June 2020 to November 2020, Mr. Zhang worked at Suzhou Hengrui Hongyuan Medical Technology Co., Ltd. (蘇州恒瑞宏遠醫療科技有限公司) as R&D department manager.

Mr. Zhang received his bachelor's degree of engineering in automation from Zhejiang University (浙江大學) in the PRC in June 2006, and his master's degree of engineering in control theory and control engineering from Tianjin University (天津大學) in the PRC in June 2008.

Mr. CAO Guiping (曹貴平), aged 49, is our executive Director and senior strategic operations advisor and is responsible for the strategy development of our Group. Mr. Cao served as our chief business officer from November 2019 to October 2025.

Mr. Cao has more than 22 years of experience in clinical medicine and pharmaceutical industry. Prior to joining our Group, from February 2004 to May 2012, he progressed from front-line sales to associate sales director at Xi'an Janssen Pharmaceutical Ltd. (西安楊森製藥有限公司). From September 2013 to November 2019, Mr. Cao served as the vice general manager at Micropoint Biotechnologies Co., Ltd. (深圳微點生物技術股份有限公司).

Mr. Cao received his bachelor's degree in clinical medicine from Inner Mongolia University of Science and Technology (內蒙古科技大學) in the PRC in July 2000. Mr. Cao obtained his clinical physician license issued by the Beijing Fengtai Health Bureau (北京市豐臺衛生局) in 2002.

Non-executive Directors

Mr. DENG Feng, aged 62, is our non-executive Director and is responsible for providing strategic advice and making recommendation on the operation and management of our Group.

Mr. Deng has over 24 years of experience in venture capital, computer science and telecommunication industry. He founded Northern Light Venture Capital in January 2006 and served as its founding managing partner. Northern Light Venture Capital focuses on investment in technology, media and telecom, clean technology, healthcare and consumer sectors. Mr. Deng served as director in New Hope Group (新希望集團有限公司), a company listed on the Shenzhen Stock Exchange (stock code: 000876.SZ), from September 2016 to May 2022. Mr. Deng also served as director in iRay Technology Company Limited (上海奕瑞光電子科技股份有限公司) from July 2017 to March 2022. Mr. Deng has been serving as director in Burning Rock Biotech Ltd., a company listed on Nasdaq (stock ticker: BNR) since August 2016. He also served as director in Hillstone Network Communication Technology Co. (山石網科通信技術股份有限公司), a company listed on the Shanghai Stock Exchange (stock code: 688030.SH), from December 2018 to January 2022. He served as director in Cytek Biosciences Inc., a company listed on Nasdaq (stock ticker: CTKB). He also served as non-executive director in BrainAurora Medical Technology Limited (腦動極光醫療科技有限公司), a company listed on the Main Board of the Stock Exchange (stock code: 6681.HK) from July 2023.

Mr. Deng received his bachelor's and a master's degree in electronic and communication engineering from Tsinghua University (清華大學) in the PRC in July 1986 and December 1988, respectively, a master's degree in computer engineering from the University of Southern California in the USA in August 1993, and a master of business administration degree from the Wharton School of the University of Pennsylvania in the USA in May 2005.

Dr. CAO Yu (曹宇), aged 39, is our non-executive Director and is responsible for providing strategic advice and making recommendation on the operation and management of our Group.

Dr. Cao has more than a decade of years of experience in healthcare investment and technology consulting, with a specialized focus on the medtech sector for over eight years. She has been working at Lilly Asia Ventures, a venture capital firm focused on healthcare investment, since February 2021. From April 2018 to January 2021, Dr. Cao worked at Microport Scientific Corporation, a company principally engaged in innovating, manufacturing and marketing high-end medical devices globally and listed on the Main Board of the Stock Exchange (stock code: 853.HK). Dr. Cao's early career, from April 2015 to March 2018, was with Saint Gobain Group, a French company.

Dr. Cao received her bachelor's degree of engineering in mechanical engineering and automation from Tsinghua University (清華大學) in the PRC in July 2008, her master's degree of engineering in instrumentation science and technology from the same university in July 2010, and her doctorate degree in industrial engineering from École Centrale Paris in France in February 2015.

Mr. HE Xing (何邢), aged 46, is our non-executive Director and is responsible for providing strategic advice and making recommendation on the operation and management of our Group.

Prior to joining our Company, from 2004 to 2010, Mr. He worked at Huatai Securities Co., Ltd., a securities company listed on the Main Board of the Stock Exchange (stock code: 6886.HK) and Shanghai Stock Exchange (stock code: 601688.SH). From June 2010 to June 2018, Mr. He worked at Essence Securities Co., Ltd. (安信證券股份有限公司) (currently known as SDIC Securities Co., Ltd (國投證券股份有限公司)) and was responsible for investment banking business. Mr. He has served as the manager partner of Nanjing Yingmeng Investment Management Center (Limited Partnership) (南京鷹盟投資管理中心(有限合夥)) since May 2018.

Mr. He received his bachelor's degree in economic law from Nanjing University of Finance and Economics (南京財經大學) in the PRC in June 2001, and his master's degree in accounting and finance from the University of Manchester in the United Kingdom in November 2002.

Independent Non-Executive Directors

Mr. LI Shu Pai (李書湃), former name LEE Shu Paai (李書湃), aged 49, was appointed as our independent non-executive Director on February 5, 2026. He is responsible for providing independent opinions and judgment to the Board.

Mr. Li has more than 20 years of experience in the accounting and finance industry. From September 2001 to October 2006, Mr. Li worked consecutively at PricewaterhouseCoopers with his last position as audit manager. From August 2007 to July 2009, he worked as an associate at BOCI Asia Limited (中銀國際亞洲有限公司). He worked as an associate at BNP Paribas Capital (Asia Pacific) Limited from July 2010 to August 2011. Mr. Li served as the deputy chief financial officer of Beijing Tong Ren Tang Chinese Medicine Company Limited (北京同仁堂國藥有限公司), a company listed on the Stock Exchange (stock code: 3613.HK) from September 2011 to December 2013. He served as the chief financial officer of R2Game Co., Limited from August 2014 to June 2015. He served as the chief financial officer and joint company secretary of Chutian Dragon Corporation Limited (楚天龍股份有限公司) from July 2015 to December 2016. From December 2016 to September 2018, he served as the chief financial officer and company secretary of Perfectech International Holdings Limited (威發國際集團有限公司), a company listed on the Stock Exchange (stock code: 0765.HK). He served as an independent non-executive director of Comtec Solar Systems Group Limited (卡姆丹克太陽能系統集團有限公司), a company listed on the Stock Exchange (stock code: 712.HK) from February 2021 to March 2021. He served as the chief financial officer and company secretary of Meilleure Health International Industry Group Limited (美瑞健康國際產業集團有限公司), a company listed on the Stock Exchange (stock code: 2327.HK) from July 2019 to December 2025.

Mr. Li currently serves as an independent non-executive director of TransThera Sciences (Nanjing), Inc. (藥捷安康(南京)科技股份有限公司), a company listed on the Stock Exchange (stock code: 2617.HK) since June 2021. Since June 14, 2025, he has been serving as an independent non-executive Director of Beijing Haizhi Technology Group Co., Ltd. (北京海致科技集團股份有限公司), a company listed on the Stock Exchange (stock code: 2706.HK).

Mr. Li received his bachelor's degree in business administration from City University of Hong Kong (香港城市大學) in November 2001 in Hong Kong. He received his master's degree in business administration from the Hong Kong University of Science and Technology (香港科技大學) in June 2014 in Hong Kong. He was admitted as Certified Public Accountant and fellow of the Hong Kong Institute of Certified Public Accountants in October 2004 and February 2012, respectively. Mr. Li was also admitted as member and fellow of Association of Chartered Certified Accountants in July 2012 and July 2017, respectively.

Mr. LIU Feng (劉峰), aged 41, was appointed as our independent non-executive Director on February 5, 2026. He is responsible for providing independent opinions and judgment to the Board.

Mr. Liu has over seventeen years of experience in mergers and acquisitions (M&A), equity investments, corporate finance and business development. From December 2009 to June 2013, he worked at Deloitte Corporate Finance LLC (德勤諮詢). He previously worked at Lincoln International (林肯國際), a U.S. headquartered investment bank. From November 2017 to May 2018, he worked at Houlihan Lokey Investment Consulting (Beijing) Co., Ltd. (華利安諾基投資諮詢(北京)有限公司). From June 2018 to April 2021, he served at Goetzpartners Business Consultants (Shanghai) Co., Ltd. (嘉茨商務顧問(上海)有限公司). Since May 2021, he has served at Shanghai WSD Management Consulting Co., Ltd. (上海韋世德管理諮詢有限公司) as managing director.

Mr. Liu received his bachelor's degree in international accounting from Shanghai University of Finance and Economics (上海財經大學) in the PRC in July 2008, his Master of Business Administration (MBA) degree from the Booth School of Business of the University of Chicago in the USA in June 2023 and his Master of Science (MSc) degree in major programme management from the University of Oxford in the United Kingdom in December 2025. Mr. Liu was admitted as a member of the Hong Kong Securities and Investment Institute in August 2013, a fellow of the Association of Chartered Certified Accountants (ACCA and FCCA) in September 2014, and a Chartered Professional Accountant (CPA) of Canada in June 2015.

Ms. XIAO Yun (肖雲), aged 42, was appointed as our independent non-executive Director on February 5, 2026. She is responsible for providing independent opinions and judgment to the Board.

Ms. Xiao has over 20 years of experience in medical-device marketing and business strategy. Prior to joining our Group, from October 2005 to July 2007, she worked at Beijing Wantai Biological Medicine Co., Ltd. (北京萬泰生物藥業股份有限公司). From October 2008 to August 2009, she worked at Abbott Laboratories Trading (Shanghai) Co., Ltd. (雅培貿易(上海)有限公司) as sales specialist and was responsible for Abbott's blood-bank products. From January 2010 to August 2011, she worked at Fresenius Kabi (China) Investment Co., Ltd. (費森尤斯卡比(中國)投資有限公司). She worked at Beijing Stago Diagnostic Products Trading Co., Ltd. (北京思塔高診斷產品貿易有限責任公司). From August 2018 to May 2019, she worked at Beijing Mega-Robot Technology Co., Ltd. (北京鎂伽機器人科技有限公司). Since July 2019, she has served at DeepKinase Biotechnologies (Zhuhai) Co., Ltd. (嘉華藥鋭科技(珠海)有限公司) as director, co-founder and chief business officer and is responsible for corporate strategy and financing.

Ms. Xiao received her bachelor's degree in life science from Peking University (北京大學) in the PRC in July 2005, and her Master of Business Administration (MBA) degree from Tsinghua University (清華大學) in the PRC in June 2020.

SENIOR MANAGEMENT

Our senior management is responsible for the day-to-day management and operation of our business. The table below sets forth certain information in respect of the senior management of our Company:

Name	Age	Position(s)	Date of joining our Group	Date of appointment as senior management	Role and responsibilities
Dr. MAO Wen (毛雯)	42	Executive Director, chairperson of our Board, chief executive officer	May 2019	May 2019	Responsible for overseeing all core-product R&D, registration, manufacturing, and commercialization
Mr. ZHANG Yuyan (張煜彥)	42	Executive Director and chief technology officer	November 2019	November 2020	Responsible for overseeing group level strategy for technology and product development
Mr. OU Junlin (歐軍林)	46	Vice general manager	April 2023	April 2023	Responsible for overseeing departments of medical marketing, market access, and branding
Mr. Guo Zhong (郭眾)	35	Secretary to the Board and joint company secretary	January 2026	February 5, 2026*(Note)*	Supervision of financing and investment related matters of our Group

Note: The appointment will become effective upon the [**REDACTED**].

The following sets forth the biographies of our senior management:

For biographical details of Dr. Mao and Mr. Zhang Yuyan, see "— Executive Directors" in this section. The details of the other senior management member are set out below:

Mr. OU Junlin (歐軍林), aged 46, joined our Group as vice general manager in April 2023. He is responsible for overseeing departments of medical marketing, market access, and brand. Mr. Ou has also assumed various positions in our subsidiaries. He has served as the executive director and general manager of Guangxi Nuogang since August 2023, the supervisor of Novlead Beijing since October 2023, the director of Novlead Yulin since March 2025, and the manager of Changsha Nuoshi since February 2026.

Prior to joining our Group, Mr. Ou worked at Xi'an Janssen Pharmaceutical Ltd. (西安楊森製藥有限公司) as project manager from February 2008 to April 2010. From April 2010 to July 2013, he worked at Beijing Novartis Pharma Co., Ltd. (北京諾華製藥有限公司) as regional sales manager and was responsible for sales management. From July 2017 to April 2023, he worked at Hunan Youan Medical Technology Co., Ltd. (湖南優安醫學科技有限公司) as general manager and was responsible for company's business and strategy.

Mr. Ou received his bachelor's degree in clinical medicine from the University of South China (南華大學) in the PRC in July 2002, and his master's degree in social medicine and health service management from the same university in June 2019.

Mr. GUO Zhong (郭眾), aged 35, joined our Group in January 2026 and was appointed as the secretary of our Board and the joint company secretary in February 2026 effective upon the [**REDACTED**].

Prior to joining our Group, from October 2015 to July 2016, Mr. Guo worked at Ernst & Young (China) Advisory Limited Tianjin Branch (安永(中國)企業諮詢有限公司天津分公司) and provided tax advisory services. From October 2016 to January 2021, Mr. Guo worked at Deloitte Touche Tohmatsu Certified Public Accountants LLP Nanjing Branch (德勤華永會計師事務所(特殊普通合夥)南京分所) as a senior auditor, where he was responsible for providing auditing service. From January 2021 to January 2026, Mr. Guo worked at Shenwan Hongyuan Financing Services Co., Ltd (申萬宏源證券承銷保薦有限責任公司) as senior vice president (SVP), where he was responsible for initial public offering filings and listings.

Mr. Guo received his bachelor's degree in economics from Yangzhou University (揚州大學) in the PRC in June 2012, and his master's degree in regional economics from Nanjing Normal University (南京師範大學) in the PRC in June 2015. Mr. Guo was admitted as a Chinese Certified Public Accountant by the Chinese Institute of Certified Public Accountants in December 2019 and as Chinese Tax Advisor by the China Certified Tax Agents Association in November 2019. Mr. Guo obtained the securities professional qualification issued by the Securities Association of China in September 2014.

GENERAL

Save as otherwise disclosed in this document, none of our Directors or senior management members of our Company holds and has held any other directorships in public companies the securities of which are listed on any securities market in Hong Kong or overseas in the three years prior to the Latest Practicable Date and as of the Latest Practicable Date.

None of our Directors or senior management members of our Company has any relationship with any Directors or senior management members of our Company.

Save as disclosed in this section, to the best knowledge, information and belief of our Directors having made all reasonable inquiries, there was no other matter with respect to the appointment of our Directors that needs to be brought to the attention of the Shareholders and there was no information relating to our Directors that is required to be disclosed pursuant to Rules 13.51(2)(h) to 13.51(2)(v) of the Listing Rules as of the Latest Practicable Date.

CONFIRMATION FROM OUR DIRECTORS

Rule 8.10 of the Listing Rules

Each of our Directors confirms that as of the Latest Practicable Date, he/she did not have any interest in a business which competes or is likely to compete, directly or indirectly, with our business, and requires disclosure under Rule 8.10 of the Listing Rules.

Rule 3.09D of the Listing Rules

Each of our Directors confirms that he/she (i) obtained the legal advice referred to under Rule 3.09D of the Listing Rules in February 2026, and (ii) understands his/her obligations as a director of a [**REDACTED**] under the Listing Rules.

Rule 3.13 of the Listing Rules

Each of our proposed independent non-executive Directors has confirmed (i) his/her independence after taking into account each of the factors referred to in Rules 3.13(1) to 3.13(8) of the Listing Rules, (ii) that he/she has no past or present financial or other interest in the business of the Company or its subsidiaries or any connection with any core connected person of our Company, and (iii) that there are no other factors that may affect his/her independence at the time of his/her appointment.

JOINT COMPANY SECRETARIES

Mr. GUO Zhong (郭眾) was appointed as our joint company secretary in February 2026, see "— Senior Management" for his biographical details.

Mr. POON Ping Yeung (潘秉揚) was appointed as one of our joint company secretaries in February 2026.

Mr. Poon is the senior manager of the listed & fiduciary corporate services of Trident Corporate Services (Asia) Limited, a global professional services firm. He has over ten years of professional experience in company secretarial field. He is currently a joint company secretary of each of Boyaa Interactive International Limited (a company listed on the Stock Exchange (stock code: 434.HK)), Zhejiang Taimei Medical Technology Co., Ltd. (a company listed on the Stock Exchange (stock code: 2576.HK)) and Shanghai REFIRE Group Limited (a company listed on the Stock Exchange (stock code: 2570.HK)).

Mr. Poon received his bachelor's degree in arts (major in social policy and administration) from The Hong Kong Polytechnic University in Hong Kong in October 2012. He received his master's degree in corporate governance from Hong Kong Metropolitan University (formerly known as The Open University of Hong Kong) in Hong Kong in October 2019.

Mr. Poon is an associate member (a holder of practitioner's endorsement) of The Hong Kong Chartered Governance Institute (formerly known as The Hong Kong Institute of Chartered Secretaries) and The Chartered Governance Institute (formerly known as The Institute of Chartered Secretaries and Administrators) in the United Kingdom.

BOARD COMMITTEES

Our Board delegates certain responsibilities to various committees. In accordance with the relevant PRC laws and regulations and the Corporate Governance Code as set out in the Appendix C1 to the Listing Rules, our Company has formed three Board committees, namely the Audit Committee, the Remuneration and Appraisal Committee and the Nomination Committee. The committees operate in accordance with the terms of reference established by our Board.

Audit Committee

We have established an audit committee with written terms of reference in compliance with Rule 3.21 of the Listing Rules and paragraph D.3 of part 2 of the Corporate Governance Code as set out in Appendix C1 to the Listing Rules (the "**Corporate Governance Code**"). The Audit Committee consists of Mr. Li Shu Pai, Mr. Liu Feng and Mr. He Xing, with Mr. Li Shu Pai being the chairperson of the committee. Mr. Li Shu Pai and Mr. Liu Feng hold the appropriate accounting or related financial management expertise as required under Rules 3.10(2) and 3.21 of the Listing Rules.

The primary duties of the Audit Committee are to assist our Board in providing an independent view of the effectiveness of our financial reporting process, internal control and risk management systems, overseeing the audit process, and performing other duties and responsibilities as assigned by our Board, which include amongst other things:

- proposing to our Board the appointment and replacement of external audit firms;
- supervising the implementation of our internal audit system;
- liaising between our internal audit department and external auditors;
- reviewing our financial information and related disclosures; and
- other duties conferred by our Board.

Remuneration and Appraisal Committee

We have established a remuneration and appraisal committee with written terms of reference in compliance with Rule 3.25 of the Listing Rules and paragraph E.1 of part 2 of the Corporate Governance Code. The Remuneration and Appraisal Committee consists of Mr. Liu Feng, Dr. Mao and Ms. Xiao Yun, with Mr. Liu Feng being the chairperson of the committee.

The primary duties of the Remuneration and Appraisal Committee are to develop remuneration and appraisal policies of our Directors, evaluate the performance, make recommendations on the remuneration packages of our Directors and senior management and evaluate and make recommendations on employee benefits, which include, amongst other things:

- establishing, reviewing and making recommendations to our Board on our policy and structure concerning remuneration and appraisal of Directors and senior management and on the establishment of a formal and transparent procedure for developing policy on such remuneration and appraisal;
- determining the terms of the specific remuneration package of each Director and members of senior management;
- reviewing and approving performance-based remuneration by reference to corporate goals and objectives resolved by our Directors from time to time;
- reviewing and/or approving matters relating to share schemes under Chapter 17 of the Listing Rules; and
- other duties conferred by our Board.

Nomination Committee

We have established a nomination committee with written terms of reference in compliance with Rule 3.27A of the Listing Rules and paragraph B.3 of part 2 of the Corporate Governance Code. The Nomination Committee consists of Dr. Mao, Ms. Xiao Yun and Mr. Li Shu Pai, with Dr. Mao being the chairperson of the committee.

The primary duties of the Nomination Committee are to make recommendations to our Board in relation to the appointment and removal of our Directors which include, amongst other things:

- reviewing the structure, size and composition of our Board on a regular basis, assisting our Board in maintaining a board skills matrix, and making recommendations to our Board regarding any proposed changes;

- identifying, selecting or making recommendations to our Board on the selection of individuals nominated for directorships;

- assessing the independence of independent non-executive Directors;

- making recommendations to our Board on relevant matters relating to the appointment, re-appointment and removal of our Directors;

- supporting our Company's regular evaluation of our Board's performance; and

- other duties conferred by our Board.

CORPORATE GOVERNANCE

Our Company aims to achieve high standards of corporate governance which are crucial to our development and safeguard the interests of our Shareholders. To accomplish this, we expect to comply with the Corporate Governance Code set out in Appendix C1 to the Listing Rules and the Model Code for Securities Transactions by Directors of Listed Issuers as set out in Appendix C3 to the Listing Rules after the [**REDACTED**], except for Code Provision C.2.1 of Part 2 of the Corporate Governance Code, which provides that the roles of chairman of the board and chief executive officer should be separate and should not be performed by the same individual.

The roles of chairperson of the Board and chief executive officer are currently performed by Dr. Mao. In view of Dr. Mao's substantial contribution to our Group and her extensive experience in the industry and corporate management, we consider that having Dr. Mao acting as both our chairperson of the Board and chief executive officer will provide strong and consistent leadership to our Group and facilitate the efficient execution of our business strategies. We consider it appropriate and beneficial to our business development and prospects that Dr. Mao continues to act as both our chairperson of the Board and chief executive officer after the [**REDACTED**], and therefore currently do not propose to separate the functions of chairperson of the Board and chief executive officer of the Company.

While this would constitute a deviation from Code Provision C.2.1 of Part 2 of the Corporate Governance Code, the Board believes that this structure will not impair the balance of power and authority between the Board and the management of our Company, given that: (i) there are sufficient checks and balances in the Board, as a decision to be made by our Board requires approval by at least a majority of our Directors, and our Board comprises three independent non-executive Directors, which is in compliance with the requirement under the Hong Kong Listing Rules; (ii) Dr. Mao and the other Directors are aware of and undertake to fulfil their fiduciary duties as Directors, which require, among other things, that they act for the benefit and in the best interests of our Group and the Shareholders; and (iii) the balance of power and authority is ensured by the operations of the Board which comprises experienced and high calibre individuals who meet regularly to discuss issues affecting the operations of our Company. Moreover, the overall strategic development and other key business, financial, and operational policies of our Group are made collectively after thorough discussion at both Board and senior management levels. The Board will continue to review the effectiveness of the corporate governance of our Group in order to assess whether separation of the roles of chairperson of the Board and chief executive of the Company is necessary.

BOARD AND WORKPLACE DIVERSITY POLICY

We are committed to promoting diversity development in the Company. In order to maintain a robust corporate governance structure and to achieve sustainable and balanced corporate development, we have adopted a Board and workplace diversity policy (the "**Diversity Policy**") which sets out the objectives for and approaches to achieving and maintaining diversity at the Company.

Pursuant to the Diversity Policy, we seek to achieve Board diversity through the consideration of a number of factors when selecting the candidates to our Board, including but not limited to gender, age, cultural and educational background, and professional experience. The ultimate decision of each appointment will be based on merit and the contribution which the selected candidates are expected to bring to our Board.

Our Directors have a balanced mix of knowledge and skills, including but not limited to depth of experience in the areas of overall management and strategic development, finance, accounting and corporate governance in addition to industry experience. Upon [**REDACTED**], we have three independent non-executive Directors with different industry backgrounds, with solid professional experiences in the fields of medical device, finance and accounting, representing one-third of the members of our Board.

Our Company has evaluated the structure, size and composition of our Board, taking into account the skills matrix of our Board, and is of the opinion that the structure of our Board is reasonable, and the experience and skills of the Directors will enable our Company to maintain a high standard of operations. This is evidenced by the fact that our Directors range in age from 39 to 62 years old, and our Board comprises three female Director(s) and six male Director(s) upon [**REDACTED**]. Taking into account our existing business model and specific needs, as well as the different backgrounds of our Directors, the composition of our Board satisfies our Diversity Policy. Our Nomination Committee is responsible for ensuring the diversity of our Board, and will continue to be responsible for the same after the [**REDACTED**].

Apart from diversity within our Board, we recognize the importance of gender diversity, which we have taken, and will continue to take, steps to promote at all levels of our Company, including at the Board, senior management and workforce (excluding senior management) level. Going forward, in accordance with the Diversity Policy, we will have at least one female Director at all times, we will ensure that a female Director serves on the Nomination Committee at all times, and we will continue to work to enhance gender diversity when selecting and recommending suitable candidates across the Board, senior management and workforce (excluding senior management) levels. We will strive to enhance female representation within the Company and will maintain a non-single gender Board at all times with reference to stakeholders' expectations and international standards and best practices. In particular, we aim to develop a pipeline of female employees from the workforce to reach senior management level and become potential successors to the Board by implementing comprehensive programs aimed at identifying and training our female employees who display leadership and potential, and ensuring that our female management members have equal opportunities to develop and perform so as to be equipped to step up as a member of our Board.

After the [**REDACTED**], our Nomination Committee will, among its other duties, review the Diversity Policy and its implementation from time to time to ensure its continued effectiveness, and we will disclose the Diversity Policy or a summary thereof in the corporate governance report of the Company on an annual basis.

REMUNERATION OF DIRECTORS

Our Directors receive remuneration in the form of salaries, allowances, discretionary bonuses, share-based compensation and retirement benefit scheme contributions. For more information on the remuneration of the Directors and chief executive during the Track Record Period as well as information on the five highest paid individuals, please see Notes 11 and 13 of the Accountants' Report set out in Appendix I.

For the financial year ended December 31, 2024 and the nine months ended September 30, 2025, the aggregate amount of remuneration paid or payable to our Directors amounted to RMB3.6 million and RMB1.7 million, respectively. Under the current arrangement, we estimate the total remuneration to be paid to our Directors for the year ending December 31, 2026 to be approximately RMB4.4 million.

During the Track Record Period, no remuneration was paid by our Company to, or receivable by, our Directors or the five highest paid individuals as an inducement to join or upon joining our Company or as compensation for loss of office in connection with the management positions of our Company or any of our subsidiaries.

During the Track Record Period, none of our Directors waived any remuneration. Save as disclosed above, no other payments have been paid, or are payable, by our Company or any of our subsidiaries to our Directors or the five highest paid individuals during the Track Record Period.

COMPLIANCE ADVISOR

We have appointed Rainbow Capital (HK) Limited as our Compliance Advisor pursuant to Rules 3A.19 and 3A.23 of the Listing Rules. The Compliance Advisor will provide us with guidance and advice as to compliance with the Listing Rules and other applicable laws, rules, codes and guidelines. Pursuant to Rule 3A.23 of the Listing Rules, the Compliance Advisor will advise our Company in certain circumstances including:

- before the publication of any announcements, circulars or financial reports;
- where a transaction, which might be a notifiable or connected transaction, is contemplated, including share issues and share repurchases;
- where we propose to use the [**REDACTED**] of the [**REDACTED**] in a manner different from that detailed in this document or where our business activities, developments or results deviate from any forecast, estimate or other information in this document; and
- where the Hong Kong Stock Exchange makes an inquiry to our Company regarding unusual movements in the price or [**REDACTED**] of its [**REDACTED**] securities or any other matters in accordance with Rule 13.10 of the Listing Rules.

Pursuant to Rule 3A.24 of the Listing Rules, the Compliance Advisor will, on a timely basis, inform our Company of any amendment or supplement to the Listing Rules that are announced by the Hong Kong Stock Exchange. The Compliance Advisor will also inform our Company of any new or amended law, regulation or code in Hong Kong applicable to us, and advise us on the continuing requirements under the Listing Rules and applicable laws and regulations.

The term of the appointment will commence on the [**REDACTED**] and is expected to end on the date on which our Company complies with Rule 13.46 of the Listing Rules in respect of our financial results for the first full financial year commencing after the [**REDACTED**].

SUBSTANTIAL SHAREHOLDERS

So far as our Directors are aware, immediately following the completion of the [**REDACTED**] (assuming the [**REDACTED**] is not exercised), the following persons will have an interest or short position in the Shares or the underlying Shares which would fall to be disclosed to our Company and the Stock Exchange under the provisions of Divisions 2 and 3 of Part XV of the SFO or, will be, directly or indirectly, interested in 10% or more of the nominal value of any class of share capital carrying rights to vote in all circumstances at general meetings of our Company or any other member of our Group:

		As of the Latest Practicable Date without taking into account the [REDACTED]		Immediately following completion of the [REDACTED] (taking into account the [REDACTED] and assuming the [REDACTED] is not exercised)(1)	
Name of Shareholder	**Capacity/Nature of interest**	**Number of Shares held**	**Approximate percentage of shareholding in the total issued share capital of our Company**	**Number of H Shares held(1)**	**Approximate percentage of shareholding in the total issued share capital of our Company**
			(%)		*(%)*
Dr. Mao(3)	Beneficial owner	600,000	7.14%	[REDACTED]	[REDACTED]%
	Controlled corporations	1,859,117	22.12%	[REDACTED]	[REDACTED]%
Jingning Noring(3)	Beneficial owner	1,799,117	21.41%	[REDACTED]	[REDACTED]%
Dr. Yang Minmin(4)	Controlled corporations	907,360	10.80%	[REDACTED]	[REDACTED]%
	Interest of spouse	628,671	7.48%	[REDACTED]	[REDACTED]%
Dr. Yu Qin(4)	Controlled corporations	628,671	7.48%	[REDACTED]	[REDACTED]%
	Interest of spouse	907,360	10.80%	[REDACTED]	[REDACTED]%
Mr. Cao Guiping	Beneficial owner	450,000	5.35%	[REDACTED]	[REDACTED]%
Eaglenos Sciences(4)	Beneficial owner	494,860	5.89%	[REDACTED]	[REDACTED]%
InnoMed Innovation	Beneficial owner	412,500	4.91%	[REDACTED]	[REDACTED]%
Nanjing Noyikang(4)	Beneficial owner	337,500	4.02%	[REDACTED]	[REDACTED]%
Nanjing Aoning(4)	Beneficial owner	291,171	3.46%	[REDACTED]	[REDACTED]%
Lingxing Hainan(3)	Beneficial owner	60,000	0.71%	[REDACTED]	[REDACTED]%

Notes:

(1) The letter "L" denotes the person's long position in the Shares.

(2) The calculation is based on the total number of [**REDACTED**] H Shares in issue immediately after completion of the [**REDACTED**] since [**REDACTED**] Unlisted Shares will be converted into H Shares and [**REDACTED**] H Shares will be issued pursuant to the [**REDACTED**], taking into account the [**REDACTED**] and assuming that the [**REDACTED**] is not exercised.

(3) As of the Latest Practicable Date, (i) Dr. Mao directly held approximately 7.14% of our issued Shares, (ii) Jingning Noring directly held approximately 21.41% of our issued Shares; and (iii) Lingxing Hainan directly held approximately 0.71% of our issued Shares. Jingning Noring is owned as to 21.12% by Dr. Mao as a limited partner and its general partner is Nanjing Miyu Technology Co., Ltd. (南京幂羽科技有限公司) ("**Nanjing Miyu**"), which is a company wholly owned by Dr. Mao. Further, Jingning Noring is owned as to 14.23% by Jingning Nuoming, which is owned as to 53.33% by Dr. Mao as a limited partner and the general partner of Jingning Nuoming is Nanjing Miyu. No other limited partner is holding 30% or more partnership interest in Jingning Noring. Dr. Mao therefore is entitled to full control over the voting rights exercisable by Jingning Noring in our Company. Lingxing Hainan is owned as to 45.14% by Dr. Mao as a limited partner and its general partner is Mr. Zhang Yuyan, our executive Director, who has entrusted the voting rights as a general partner in Lingxing Hainan to Dr. Mao pursuant to a voting proxy dated December 10, 2025. As such, Dr. Mao is entitled to full control over the voting rights exercisable by Lingxing Hainan in our Company. Therefore, under the SFO, Dr. Mao is deemed to be interested in the Shares held by Jingning Noring and Lingxing Hainan.

(4) As of the Latest Practicable Date, (i) Eaglenos Sciences is controlled by its general partner Dr. Yang Minmin, who ultimately controls approximately 74.7% in Eaglenos Sciences, (ii) Nanjing Aoning is controlled by its general partner Dr. Yu Qin, (iii) Nanjing Noyikang is controlled by its general partner Nanjing Aoning, which is ultimately controlled by Dr. Yu Qin, and (iv) Dr. Yang Minmin holds approximately 33.33% partnership in InnoMed Innovation. Dr. Yang Minmin and Dr. Yu Qin are spouses. Therefore, under the SFO, Dr. Yang Minmin and Dr. Yu Qin are deemed to be interested in the Shares held by Eaglenos Sciences, InnoMed Innovation, Nanjing Aoning and Nanjing Noyikang.

SUBSTANTIAL SHAREHOLDERS

Save as disclosed herein, our Directors are not aware of any persons who will, immediately following completion of the [**REDACTED**] (assuming the [**REDACTED**] is not exercised), without taking into account the [**REDACTED**] that may be taken up under the [**REDACTED**], have any interests or short positions in the Shares or underlying Shares which would fall to be disclosed to our Company and the Stock Exchange under the provisions of Divisions 2 and 3 of Part XV of the SFO or, will be, directly or indirectly, interested in 10% or more of the nominal value of any class of share capital carrying rights to vote in all circumstances at general meetings of our Company or any other member of our Group.

SHARE CAPITAL

This section presents certain information regarding our share capital before and upon completion of the [**REDACTED**].

BEFORE THE COMPLETION OF THE [REDACTED]

As of the Latest Practicable Date, the issued share capital of our Company was RMB8,405,122, comprising 8,405,122 Unlisted Shares of nominal value RMB1.0 each.

UPON THE COMPLETION OF THE [REDACTED] AND THE [REDACTED]

Immediately after the [**REDACTED**], the registered share capital of the Company will be RMB8,405,122 with [**REDACTED**] Shares in a nominal value of RMB[**REDACTED**] each. Assuming the [**REDACTED**] is not exercised, the share capital of our Company immediately following completion of the [**REDACTED**] (taking into account the [**REDACTED**]) will be as follows:

Description of Shares	Number of Shares	Approximate percentage of the total share capital of our Company
		(%)
H Shares to be converted from Unlisted Shares	[REDACTED]	[REDACTED]%
H Shares to be issued under the [**REDACTED**]	[REDACTED]	[REDACTED]%
Total	[REDACTED]	**100.00%**

Assuming the [**REDACTED**] is fully exercised, the share capital of our Company immediately following completion of the [**REDACTED**] (taking into account the [**REDACTED**]), will be as follows:

Description of Shares	Number of Shares	Approximate percentage of the total share capital of our Company
		(%)
H Shares to be converted from Unlisted Shares	[REDACTED]	[REDACTED]%
H Shares to be issued under the [**REDACTED**]	[REDACTED]	[REDACTED]%
Total	[REDACTED]	**100.00%**

RANKING

The H Shares in issue upon completion of the [**REDACTED**] and the Unlisted Shares are ordinary Shares in the share capital of our Company and are considered as one class of Shares. However, apart from certain qualified domestic institutional [**REDACTED**] in the PRC, the qualified PRC [**REDACTED**] under the Shanghai- Hong Kong Stock Connect or the Shenzhen-Hong Kong Stock Connect and other persons who are entitled to hold our H Shares pursuant to relevant PRC laws and regulations or upon approvals of any competent authorities, H Shares generally cannot be subscribed for by or [**REDACTED**] between legal or natural persons of the PRC.

Unlisted Shares and H Shares will rank pari passu with each other in all respects and, in particular, will rank equally for all dividends or distributions declared, paid or made after the date of this document. All dividends in respect of the H Shares are to be paid by us in Hong Kong dollars or in the form of H Shares.

CONVERSION OF OUR UNLISTED SHARES INTO H SHARES

According to the regulations issued by the CSRC, the holders of our Unlisted Shares may, at their own option, authorize the Company to apply to the CSRC for conversion of their respective Unlisted Shares to H Shares, and such converted Shares may be [**REDACTED**] and [**REDACTED**] on an overseas stock exchange provided that the required filings with the securities regulatory authorities of the State Council for the conversion, [**REDACTED**] and [**REDACTED**] of such converted Shares have been completed. Additionally, such conversion, [**REDACTED**] and [**REDACTED**] shall meet any requirement of internal approval process and in all respects comply with the regulations prescribed by the securities regulatory authorities of the State Council and the regulations, requirements and procedures prescribed by the relevant overseas stock exchange.

If any of the Unlisted Shares are to be converted, [**REDACTED**] and [**REDACTED**] as H Shares on the Stock Exchange, the filings and approvals with the relevant PRC regulatory authorities, including the CSRC, and the approval of the Stock Exchange are necessary for such conversion. Based on the procedures for the conversion of Unlisted Shares into H Shares as set forth below, we will apply for the [**REDACTED**] of all or any portion of the Unlisted Shares on the Stock Exchange as H Shares in advance of any proposed conversion after the [**REDACTED**] to ensure that the conversion process can be completed promptly upon notice to the Stock Exchange and delivery of Shares for entry on the [**REDACTED**]. As the [**REDACTED**] of additional Shares after the [**REDACTED**] on the Stock Exchange is ordinarily considered by the Stock Exchange to be a purely administrative matter, it does not require such prior [**REDACTED**] for [**REDACTED**] at the time of our [**REDACTED**] in Hong Kong. No class Shareholder voting is required for the conversion of such Shares or the [**REDACTED**] and [**REDACTED**] of such converted Shares on an overseas stock exchange. Any [**REDACTED**] for [**REDACTED**] of the converted shares on the Stock Exchange after our initial [**REDACTED**] is subject to prior notification by way of announcement to inform our Shareholders and the public of any proposed conversion.

After all the requisite filings have been completed and approvals have been obtained, the relevant Unlisted Shares will be withdrawn from the Unlisted Share register, and our Company will re-register such Shares on the [**REDACTED**] maintained in Hong Kong and instruct the [**REDACTED**] to issue [**REDACTED**]. Registration on the [**REDACTED**] of our Company will be on the conditions that (i) the [**REDACTED**] lodges with the Stock Exchange a letter confirming the entry of the relevant H Shares on the [**REDACTED**] and the due dispatch of [**REDACTED**]; and (ii) the admission of the H Shares to be [**REDACTED**] on the Stock Exchange complies with the Listing Rules and the [**REDACTED**] and [**REDACTED**] in force from time to time. Until the converted Shares are [**REDACTED**] on the [**REDACTED**] of our Company, such Shares would not be [**REDACTED**] as H Shares.

TRANSFER OF SHARES ISSUED PRIOR TO THE [REDACTED]

Pursuant to the PRC Company Law, our Shares issued prior to the [**REDACTED**] shall not be transferred within one year from the [**REDACTED**].

Shares transferred by our Directors and members of the senior management each year during their term of office shall not exceed 25% of their total respective shareholdings in our Company unless otherwise permitted by applicable laws and regulations. The Shares that the aforementioned persons hold in our Company cannot be transferred within half a year after they leave their positions as Directors and members of the senior management in our Company.

CIRCUMSTANCES UNDER WHICH GENERAL MEETINGS ARE REQUIRED

Pursuant to the PRC Company Law and the terms of the Articles of Association, our Company may from time to time by special resolution of shareholders, among others, increase its capital or decrease its capital or repurchase of shares. See "Summary of Articles of Association" in Appendix III to this document.

PRE-[REDACTED] EMPLOYEE INCENTIVE SCHEME

Our Company adopted the Pre-[**REDACTED**] Employee Incentive Scheme. For further details, see "Statutory and General Information — D. Pre-[**REDACTED**] Employee Incentive Scheme" in Appendix IV to this document.

SHAREHOLDERS' GENERAL MEETING

See "Summary of Articles of Association" in Appendix III to this document for details of circumstances under which our general meeting is required.

GENERAL MANDATES TO ISSUE SHARES AND REPURCHASE SHARES

Subject to the completion of the [**REDACTED**], pursuant to the Shareholders resolutions of the Company, the Board was granted with (a) a general mandate to allot and issue Shares at any time within a period up to the date of the conclusion of the next annual general meeting of the Shareholders or the date on which the Shareholders pass a special resolution to revoke or change such mandate, whichever is earlier, upon such terms and conditions and for such purposes and to such persons as the Board in their absolute discretion deem fit, and to make necessary amendments to the Articles of Association, provided that, the number of Shares to be issued shall not exceed 20% of the number of the H Shares in issue as at the date of the completion of the [**REDACTED**] (excluding additional H Shares which may be issued pursuant to the exercise of the [**REDACTED**] and treasury shares, if any); and (b) a general mandate to repurchase H Shares [**REDACTED**] on the Stock Exchange with an aggregate number of not exceeding 10% of the number of the H Shares in issue as at the date of the completion of the [**REDACTED**] (excluding additional H Shares which may be issued pursuant to the exercise of the [**REDACTED**] and treasury shares, if any). For details of the general mandates to issue and repurchase Shares, see "Appendix IV – Statutory and General Information – Further Information about Our Company – Resolutions of our Shareholders."

You should read the following discussion and analysis with our consolidated financial information, including the notes thereto, included in Appendix I and Appendix IA to this Document. Our consolidated financial information has been prepared in accordance with Hong Kong Financial Reporting Standards, which may differ in material aspects from generally accepted accounting principles in other jurisdictions. You should read the entire Accountants' Report and not merely rely on the information contained in this section.

The following discussion and analysis contain forward-looking statements that reflect our current views with respect to future events and financial performance. These statements are based on our assumptions and analysis in light of our experience and perception of historical trends, current conditions and expected future developments, as well as other factors we believe are appropriate under the circumstances. However, whether actual outcomes and developments will meet our expectations and predictions depends on a number of risks and uncertainties. In evaluating our business, you should carefully consider the information provided in the section headed "Risk Factors" and "Business" in this Document.

For the purpose of this section, unless the context otherwise requires, references to the year of 2024 refer to our financial year ended December 31 of such year. Unless the context otherwise requires, financial information described in this section is described on a consolidated basis. Discrepancies between totals and sums of amounts listed in this section in any table or elsewhere in this document may be due to rounding.

OVERVIEW

Incorporated in 2018, we are a global leader in the gas-based cardiopulmonary therapeutic and diagnostic device market, with a focus on the development and commercialization of iNO therapy. Leveraging our intelligent gas-liquid precision control technology platform, we have established full-chain technical capabilities covering nitric oxide (NO) generation, delivery, monitoring, storage and clinical application. According to Frost & Sullivan, we are one of the few companies globally with fully proprietary control over the entire NO technology chain, and the only company globally offering a full-spectrum product portfolio covering both therapeutic and diagnostic applications of NO. As of the Latest Practicable Date, we had five approved products and four product candidates under development, spanning three major product lines addressing cardiopulmonary care across critical care, inpatient, outpatient and home-based disease management — (i) iNO therapy, (ii) cardiopulmonary circulatory support, and (iii) respiratory diagnostics. All our products are independently developed in-house, and we own the global rights of all of our products and product candidates exclusively. Our Core Product, iNOwill, was approved by the NMPA in 2022 and received EU CE certification in 2025, and is used primarily in acute and critical care settings for severe cardiopulmonary disease such as pulmonary hypertension. According to Frost & Sullivan, iNOwill is the world's first approved electrochemical catalysis-based iNO therapy device and China's first approved portable iNO device, and it ranked first in China's iNO therapy market in 2024 in terms of market share by sales revenue. According to the same source, our Key Product, NovaPulse IABP, is the first domestically developed and approved pneumatic IABP in China, and is used in cardiovascular and perioperative care in operating rooms, ICUs and catheter laboratories where temporary mechanical circulatory support is required.

BASIS OF PRESENTATION AND PREPARATION

Our historical financial information has been prepared based on the accounting policies which conform with IFRS Accounting standards ("**IFRSs**") issued by International Accountings Standards Board ("**IASB**"). For details of the basis of preparation, see Note 2 to the Accountants' Report included in Appendix I to this document.

No statutory financial statements of the Company have been prepared since its date of incorporation as it is incorporated in the jurisdiction where there are no statutory audit requirements.

MAJOR FACTORS AFFECTING OUR RESULTS OF OPERATIONS

Our financial condition and results of operations have been, and are expected to continue to be, materially affected by the following company-specific factors:

Growth of Gas-based Cardiopulmonary Therapeutic and Diagnostic Device Market

Our financial performance and future growth are dependent on the overall growth of gas-based cardiopulmonary therapeutic and diagnostic device market, especially the iNO market. According to Frost & Sullivan, the global iNO market reached US$1,020.0 million in 2024 and is expected to grow at a CAGR of 8.3% to reach US$1,642.2 million in 2030. While China's iNO therapy market is currently small, it has experienced rapid growth and shown strong potential. The market size expanded from US$3.5 million in 2020 to US$11.9 million in 2024, representing a CAGR of 36.0%, and is expected to increase to US$106.3 million in 2030 at a CAGR of 44.1%, according to the same source. The growth in both global and Chinese market are primarily driven by large patient pool, broader dissemination of guidelines and expert consensus that improves appropriate patient identification, rapid expansion of critical-care infrastructure, and the technology shift from traditional heavy high-pressure NO cylinders to instant-generation systems which remove many logistical burdens for iNO therapy.

Our ability to successfully capture the rapidly growing market opportunities in iNO therapy market is critical to our business development. According to Frost & Sullivan, our Core Product, iNOwill, is the world's first approved electrochemical catalysis-based iNO therapy device and China's first approved portable NO inhalation device. With the strong growth prospects of iNO therapy market, we expect our results of operations and financial performance to improve in the future.

Our Ability to Increase Sales and Market Penetration of Our Products

Our ability to successfully increase the sales volume of our approved products is critical to our business and results of operations. As of the Latest Practicable Date, we have five commercialized products. In 2024, the nine months ended September 30, 2024 and 2025, our revenue from sales of medical devices amounted to RMB41.1 million, RMB31.4 million and RMB30.7 million, accounting for 90.2%, 88.7% and 97.1% of our total revenue, respectively. Revenue from our Core Product amounted to RMB27.1 million, RMB20.8 million and RMB17.3 million, accounting for 59.6%, 58.7% and 54.9% of our total revenue during the same periods, respectively. We expect that sales of our medical devices will continue to account for a substantially portion of our total revenue. Leveraging our leading position in electrochemical instant-generation NO technologies, we are well positioned to expand market adoption of our iNOwill products through deepened relationships with key opinion leaders, clinical experts across multiple departments and top-tier hospitals.

Our Ability to Develop and Commercialize our Product Candidates

Our business and operating results rely on our ability to effectively develop and commercialize our product candidates. Demonstrating positive outcomes in clinical trials and procedures, and obtaining regulatory approvals timely are critical to our success. We plan to continue to advance our product pipeline, which we believe will enable us to capture more market opportunities and expand the overall addressable patient population. Our results of operations also depend on our ability to successfully commercialize our product candidates upon approval. We plan to further deepen the penetration of our products in different scenarios, For details about our plans and strategies, see "Business — Our Growth Strategies." However, our ability to successfully develop and commercialize new cardiopulmonary therapeutic and diagnostic device products in the manner we contemplate and to achieve the sales we expect is subject to a number of risks, many of which are beyond our control. For further details of the risks relating to the development and commercialization of new products, see "Risk Factors — Risks Relating to the Development and Commercialization of Our Products and Product Candidates."

Our Ability to Manage Research and Development of Our Products and Product Candidates

We devote significant resources on R&D activities, including conducting concept formation, feasibility assessment, and design and development through pre-clinical testing, clinical evaluation, registration and post-market iteration. Our R&D activities are key to develop new pipeline products, bring pipeline products to market, commercialize our products upon obtaining regulatory approval and expand indication for existing products and product candidates.

In 2024, as well as the nine months ended September 30, 2024 and 2025, our R&D expenses amounted to RMB33.0 million, RMB23.7 million and RMB20.7 million, respectively, accounting for 72.4%, 67.0% and 65.6% of our total revenue during the same periods, respectively. As we expect to further expand our product pipeline, we expect that our R&D expenses to increase in the absolute amount. At the same time, our ability to balance the need to invest in R&D activities and control our operating expenses is key to our ability to reach sustainable growth and profitability.

Our Ability to Manage Costs and Improve Operating Efficiency

Our effective control of cost of sales and our ability to improve operating efficiency have significant impacts on our results of operations. In 2024 as well as the nine months ended September 30, 2024 and 2025, our cost of sales was RMB18.5 million, RMB13.9 million and RMB15.8 million, respectively, accounting for 40.7%, 39.2% and 50.1% of our total revenue during the same periods, respectively. In 2024 as well as the nine months ended September 30, 2024 and 2025, the total of our selling expenses and administrative expenses amounted to RMB57.3 million, RMB41.3 million and RMB37.5 million, respectively, accounting for 125.7%, 116.8% and 118.9% of our total revenue during the same periods, respectively. As we recruit more experienced sales and marketing staff along with our market expansion after the product candidates' commercialization, we expect our selling and administrative expenses to increase in the future. We also plan to improve our operation efficiency to keep our operating expenses at a reasonable level relative to our achievements.

Our ability to Obtain Funding for Our Operations

During the Track Record Period and up to the Latest Practicable Date, we funded our operations primarily through capital contributions by our shareholders and bank borrowings. Going forward, we expect to further fund our operations with revenue generated from sales of our products and other financing sources. Any changes in our ability to fund our operations may affect our cash flow and liquidity position, limit our ability to carry out expansion strategies as planned, and otherwise affect our business operations, results of operations, and financial position.

MATERIAL ACCOUNTING POLICIES AND SIGNIFICANT ACCOUNTING JUDGEMENTS AND ESTIMATES

Some of our accounting policies require us to apply estimates, assumptions, and complex judgments related to accounting items. These estimates, assumptions, and judgments have a significant impact on our financial position and results of operations. The preparation of consolidated financial statements requires the use of accounting estimates which, by definition, will seldom equal the actual results. Management also needs to exercise judgment in applying our accounting policies.

Estimates and judgments are continually evaluated. They are based on historical experience and other factors, including expectations of future events that may have a financial impact on the entity and that are believed to be reasonable under the circumstances. Our material accounting policy information, estimates and judgments, which are important for understanding our financial condition and results of operations, are set forth in further detail in Note 4 to the Accountants' Report included in Appendix I and Appendix IA to this document.

SUMMARY OF OUR CONSOLIDATED STATEMENTS OF PROFIT OR LOSS

The table below sets forth our consolidated statements of profit or loss for the periods indicated derived from the Accountants' Report included in Appendix I to this document:

	For the Year Ended December 31,		For the Nine Months Ended September 30,			
	2024		2024		2025	
	RMB	*% of Revenue*	*RMB*	*% of Revenue*	*RMB*	*% of Revenue*
			(unaudited)			
	(RMB in thousands, except for percentages)					
Revenue	45,547	100.0	35,394	100.0	31,565	100.0
Cost of sales	(18,535)	(40.7)	(13,878)	(39.2)	(15,818)	(50.1)
Gross profit	**27,012**	**59.3**	**21,516**	**60.8**	**15,747**	**49.9**
Selling expenses	(31,197)	(68.5)	(22,148)	(62.6)	(20,294)	(64.3)
Administrative expenses	(26,067)	(57.2)	(19,187)	(54.2)	(17,245)	(54.6)
Research and development expenses	(32,982)	(72.4)	(23,714)	(67.0)	(20,719)	(65.6)
Other income	7,748	17.0	5,551	15.7	4,318	13.7
Other gains and losses	(867)	(1.9)	(1,226)	(3.5)	124	0.4
Share of results of an associate	(93)	(0.2)	–	–	(119)	(0.4)
Impairment losses under expected credit loss model, net of reversal	(129)	(0.3)	30	0.1	–	–
Finance costs	(29,671)	(65.1)	(20,789)	(58.7)	(29,621)	(93.8)
Loss before tax	**(86,246)**	**(189.4)**	**(59,967)**	**(169.4)**	**(67,809)**	**(214.8)**
Income tax expenses	–	–	–	–	–	–
Loss for the year/period	**(86,246)**	**(189.4)**	**(59,967)**	**(169.4)**	**(67,809)**	**(214.8)**
Other comprehensive income						
Items that will not be reclassified to profit or loss:						
Exchange differences on translation from functional currency to presentation currency	13	0.0	(9)	(0.0)	(11)	(0.0)
Loss and total comprehensive expense for the year/period	**(86,233)**	**(189.3)**	**(59,976)**	**(169.5)**	**(67,820)**	**(214.9)**

Non-IFRS Measures

To supplement our consolidated statements of profit or loss which are presented in accordance with IFRS, we use adjusted net profit (Non-IFRS measure) and adjusted net profit margin (Non-IFRS measure) as non-IFRS measures, which are not required by, or presented in accordance with, IFRS.

We define adjusted net profit (Non-IFRS measure) as profit for the periods adjusted by adding back share-based payment expenses, interest expense on redemption liabilities and [**REDACTED**] expenses. Share-based payment expenses relate to our share incentive plan and are non-cash in nature. Interest expense on redemption liabilities is a non-cash accounting charge arising from the accretion of redemption amounts over time. [**REDACTED**] expense primarily relates to the expense incurred in relation to this [**REDACTED**], which is one-off and does not reflect our operating performance. We define adjusted net profit margin as adjusted net profit (Non-IFRS measure) divided by corresponding revenue of the year/period. We believe that Non-IFRS measures facilitate the comparisons of operating performance and provide useful information to [**REDACTED**] in understanding and evaluating our operating performance in the same manner as it helps our management. However, our presentation of Non-IFRS measures for the periods may not be comparable to similarly titled measures presented by other companies. The use of Non-IFRS measures has limitations as an analytical tool, and [**REDACTED**] should not consider it in isolation from, or as a substitute for analysis of, our results of operations or financial condition as reported under IFRS Accounting Standards.

The following tables reconcile Non-IFRS measures for the periods presented with the nearest measures prepared in accordance with IFRS Accounting Standards.

	For the Year Ended December 31,	For the Nine Months Ended September 30,	
	2024	2024	2025
		(unaudited)	
	(RMB in thousands, except for percentages)		
Loss for the year/period	**(86,246)**	**(59,967)**	**(67,809)**
add back:			
Share-based payment expenses	1,493	1,144	1,028
Interest expense on redemption liabilities	28,679	20,075	29,040
[**REDACTED**] expense	[REDACTED]	[REDACTED]	[REDACTED]
Adjusted net loss (Non-IFRS measure)	**(56,074)**	**(38,748)**	**(37,741)**
Adjusted net loss margin (Non-IFRS measure)	**(123.1%)**	**(109.5%)**	**(119.6%)**

DESCRIPTION OF KEY COMPONENTS OF CONSOLIDATED STATEMENTS OF PROFIT OR LOSS

Revenue

For the year ended December 31, 2024 and the nine months ended September 30, 2024 and 2025, we recorded revenue of RMB45.5 million, RMB35.4 million and RMB31.6 million, respectively.

Revenue by Segment

The following table sets forth a breakdown of our revenue by segment, in absolute amounts and as percentages of total revenue, for the periods indicated.

	For the Year Ended December 31,		For the Nine Months Ended September 30,			
	2024		2024		2025	
	RMB	*%*	*RMB*	*%*	*RMB*	*%*
			(unaudited)			
	(RMB in thousands, except for percentages)					
Medical devices						
iNO therapy devices	38,070	83.6	29,147	82.4	26,833	85.0
iNOwill	27,140	59.6	20,769	58.7	17,336	54.9
Cardiopulmonary circulatory support devices	–	–	–	–	283	0.9
Respiratory diagnosis devices	2,992	6.6	2,232	6.3	3,543	11.2
Subtotal	**41,062**	**90.2**	**31,379**	**88.7**	**30,659**	**97.1**
Others[(1)]	**4,485**	**9.8**	**4,015**	**11.3**	**906**	**2.9**
Total	**45,547**	**100**	**35,394**	**100**	**31,565**	**100**

Note:

(1) Consist of (i) contract development services where we conduct product development for customers based on our R&D capabilities, (ii) others, primarily including maintenance services provided to customers after the sales of our medical devices. From time to time, we provide contract development services to customers when their demands align with our available R&D resources and overall development plans. Therefore, the contract development services we provided and revenue derived from it may subject to periodic changes.

For details of period-to-period changes of revenue, see "— Period-to-period Comparison of Results of Operations."

Revenue by Geographical Area

The following table sets forth a breakdown of our revenue by geographical location in absolute amount and as a percentage of our total revenue, for the years/periods indicated:

	For the Year Ended December 31,		For the Nine Months Ended September 30,			
	2024		2024		2025	
	RMB	*%*	*RMB*	*%*	*RMB*	*%*
			(unaudited)			
	(RMB in thousands, except for percentages)					
Chinese mainland	41,649	91.4	32,859	92.8	30,602	96.9
Overseas[(1)]	3,898	8.6	2,535	7.2	963	3.1
Total	**45,547**	**100.0**	**35,394**	**100.0**	**31,565**	**100.0**

Note:

(1) Mainly include Taiwan China, Mongolia and Indonesia.

Revenue by Sales Channel

The following table sets forth a breakdown of our revenue by sales channel, in absolute amounts and as percentages of revenue, for the years/periods indicated.

	For the Year Ended December 31,		For the Nine Months Ended September 30,			
	2024		2024		2025	
	RMB	*%*	*RMB*	*%*	*RMB*	*%*
			(unaudited)			
	(RMB in thousands, except for percentages)					
Distributors	41,773	91.7	31,620	89.3	30,308	96.0
Direct sales	–	–	–	–	1,257	4.0
Others[(1)]	3,774	8.3	3,774	10.7	–	–
Total	**45,547**	**100.0**	**35,394**	**100.0**	**31,565**	**100.0**

Note:

(1) Consist of contract development services.

Cost of Sales

The following table sets forth a breakdown of our cost of sales by nature in absolute amounts and as percentages of our total cost of sales for the periods indicated:

	For the Year Ended December 31,		For the Nine Months Ended September 30,			
	2024		2024		2025	
	RMB	*%*	*RMB*	*%*	*RMB*	*%*
			(unaudited)			
	(RMB in thousands, except for percentages)					
Raw materials and consumables	14,560	78.5	10,670	76.9	12,184	77.0
Manufacturing costs	2,014	10.9	1,478	10.6	1,391	8.8
Labor costs	968	5.2	750	5.4	931	5.9
Others[(1)]	993	5.4	980	7.1	1,312	8.3
Total	**18,535**	**100.0**	**13,878**	**100.0**	**15,818**	**100.0**

Note:

(1) Primarily consist of tax expenses, impairment losses of assets and delivery costs.

The following table sets forth a breakdown of our cost of sales by segment in absolute amounts and as percentages of our total cost of sales for the periods indicated:

	For the Year Ended December 31,		For the Nine Months Ended September 30,			
	2024		2024		2025	
	RMB	*%*	*RMB*	*%*	*RMB*	*%*
				(unaudited)		
	(RMB in thousands, except for percentages)					
Medical devices						
iNO therapy devices	13,757	74.2	10,486	75.6	9,839	62.2
Cardiopulmonary circulatory support devices	–	–	–	–	149	0.9
Respiratory diagnosis devices	2,735	14.8	1,923	13.9	2,378	15.0
Subtotal	**16,492**	**89.0**	**12,409**	**89.4**	**12,366**	**78.2**
Others	**2,043**	**11.0**	**1,469**	**10.6**	**3,452**	**21.8**
Total	**18,535**	**100.0**	**13,878**	**100.0**	**15,818**	**100.0**

For details of period-to-period changes of cost of sales, see "— Period-to-period Comparison of Results of Operations."

Gross Profit and Gross Profit Margin

The table below sets forth the breakdown of our gross profit and gross profit margin by product categories for the years indicated:

	For the Year Ended December 31,		For the Nine Months Ended September 30,			
	2024		2024		2025	
	RMB	*%*	*RMB*	*%*	*RMB*	*%*
				(unaudited)		
	(RMB in thousands, except for percentages)					
Medical devices						
iNO therapy devices	24,313	63.9	18,661	64.0	16,994	63.3
Cardiopulmonary circulatory support devices	–	–	–	–	134	47.3
Respiratory diagnosis devices	257	8.6	309	13.8	1,165	32.9
Subtotal	**24,570**	**59.8**	**18,970**	**60.5**	**18,293**	**59.7**
Others	**2,442**	**54.4**	**2,546**	**63.4**	**(2,546)**	**(281.0)**
Total	**27,012**	**59.3**	**21,516**	**60.8**	**15,747**	**49.9**

For details of period-to-period changes of gross profit and gross profit margin, see "— Period-to-period Comparison of Results of Operations."

Selling Expenses

The following table sets forth a breakdown of our selling expenses for the periods indicated.

	For the Year Ended December 31,		For the Nine Months Ended September 30,			
	2024		2024		2025	
	RMB	*%*	*RMB*	*%*	*RMB*	*%*
				(unaudited)		
			(RMB in thousands, except for percentages)			
Employee expenses	16,568	53.1	12,733	57.6	14,085	69.4
Marketing and other expenses	10,717	34.4	6,832	30.8	3,645	18.0
Travel expenses	2,528	8.1	1,533	6.9	1,630	8.0
Depreciation and amortization	728	2.3	537	2.4	703	3.5
Others[(1)]	656	2.1	513	2.3	231	1.1
Total	**31,197**	**100.0**	**22,148**	**100.0**	**20,294**	**100.0**

Note:

(1) Mainly consist of logistic expenses in connection with trainings and meetings of sales and marketing team, and office expenses.

Administrative Expenses

The following table sets forth a breakdown of our administrative expenses for the periods indicated.

	For the Year Ended December 31,		For the Nine Months Ended September 30,			
	2024		2024		2025	
	RMB	*%*	*RMB*	*%*	*RMB*	*%*
				(unaudited)		
			(RMB in thousands, except for percentages)			
Employee expenses	13,335	51.2	10,332	53.8	10,063	58.4
Depreciation and amortization	5,406	20.7	3,988	20.8	2,809	16.3
Office expenses	2,724	10.4	1,804	9.4	1,319	7.6
Professional service fees	1,488	5.7	761	4.0	1,273	7.4
Travel expenses	1,707	6.5	1,369	7.1	913	5.3
Others[(1)]	1,407	5.4	933	4.9	868	5.0
Total	**26,067**	**100**	**19,187**	**100**	**17,245**	**100**

Note:

(1) Mainly consist of reception fees and general operation expenses.

Research and Development Expenses

The following table sets forth a breakdown of our research and development expenses for the periods indicated.

	For the Year Ended December 31,		For the Nine Months Ended September 30,			
	2024		2024		2025	
	RMB	*%*	*RMB*	*%*	*RMB*	*%*
				(unaudited)		
			(RMB in thousands, except for percentages)			
Employee expenses	17,328	52.5	13,576	57.2	11,608	56.0
Material costs	6,487	19.7	4,436	18.7	3,881	18.7
Depreciation and amortization	2,068	6.3	1,589	6.7	1,657	8.0
Clinical trial fees	1,087	3.3	940	4.0	1,049	5.1
Registration and inspection fees	1,281	3.9	567	2.4	777	3.8
Patent fees	1,038	3.1	834	3.5	501	2.4
Travel expenses	553	1.7	412	1.7	325	1.6
Others[1]	3,140	9.5	1,360	5.7	921	4.4
Total	**32,982**	**100.0**	**23,714**	**100.0**	**20,719**	**100.0**

Note:

(1) Mainly consist of consultant fee in connection with our applications for IP and registered trials and office expenses.

In 2024 and the nine months ended September 30, 2024 and 2025, we recorded research and development costs attributable to our Core Product of RMB12.3 million, RMB8.5 million and RMB7.8 million, respectively, representing 37.4%, 35.7% and 37.4% of our total research and development costs, and 13.9%, 13.3% and 12.7% of our total operating expenses in the corresponding periods, respectively.

Other Income

The following table sets forth a breakdown of our other income and gains for the periods indicated.

	For the Year Ended December 31,	For the Nine Months Ended September 30,	
	2024	2024	2025
		(unaudited)	
		(RMB in thousands)	
Government grants	2,969	2,253	1,217
Interest income from time deposits and bank balances	3,948	2,968	2,683
Interest income from structured deposits	644	264	363
Others[1]	187	66	55
Total	**7,748**	**5,551**	**4,318**

Note:

(1) Mainly consist of the refund in connection with individual income tax.

Other Gains and Losses

The following table sets forth a breakdown of our other gains and losses for the periods indicated.

	For the Year Ended December 31,	For the Nine Months Ended September 30,	
	2024	2024	2025
		(unaudited)	
	(RMB in thousands)		
Net losses on disposals of property and equipment	(514)	(507)	–
Net losses on disposals of intangible asset	(694)	(694)	–
Net losses on termination of lease	(2)	–	–
Net foreign exchange gains/(losses)	27	(39)	(39)
Others[1]	316	14	163
Total	**(867)**	**(1,226)**	**124**

Note:

(1) Mainly consist of VAT deductions.

Share of Results of an Associate

Share of result of an associate reflects loss resulted from our equity investment in a medical company. Our share of losses of an associate was RMB93 thousand and RMB0.1 million in 2024 and for the nine months ended September 30, 2025, respectively. We recorded no share of profits and losses of an associate for the nine months ended September 30, 2024, as we made the investment in the fourth quarter of 2024.

Impairment Losses under Expected Credit Loss Model, Net of Reversal

Our impairment losses represent the impairment losses on trade receivables due from our customers, or reversal of impairment losses if we expect our credit loss to decrease. We incurred impairment losses of RMB0.1 million and nil for the year ended December 31, 2024 and the nine months ended September 30, 2025, respectively. For the nine months ended September 30, 2024, we recorded a net reversal of impairment losses of RMB30 thousand.

Finance Costs

The following table sets forth the components of our finance costs for the periods indicated.

	For the Year Ended December 31,	For the Nine Months Ended September 30,	
	2024	2024	2025
		(unaudited)	
	(RMB in thousands)		
Interest expense on:			
Redemption liabilities	28,679	20,075	29,040
Bank borrowings	837	620	450
Lease liability	155	94	131
Total	**29,671**	**20,789**	**29,621**

Loss for the Year/Period

As a result of the foregoing, our net loss in 2024 and the nine months ended September 30, 2024 and 2025 was RMB86.2 million, RMB60.0 million and RMB67.8 million, respectively.

TAXATION

Under the Law of the PRC on Enterprise Income Tax (the "**EIT Law**") and Implementation Regulation of the EIT Law, the statutory tax rate of the Company and its PRC subsidiaries is 25%.

We have been accredited as a "high and new technical enterprise" (the "**HNTE**") on November 6, 2023. We are entitled to a preferential income tax rate of 15% during the Track Record Period. Our PRC subsidiaries were subject to "small and thin-profit enterprises" and would benefit from a preferential tax rate of 20% under the EIT Law and enjoyed 75% reduction on annual taxable income during the Track Record Period.

According to the relevant laws and regulations promulgated by the State Administration of Taxation of the PRC that have been effective from 2018 onwards, enterprise engaging in research and development activities are entitled to claim 200% of their research and development expenditures incurred as tax deductible expenses when determining their assessable profits during the Track Record Period.

Novlead INC. was incorporated in the United States ("**U.S.**") and was subject to the federal statutory income tax at the rate of 21% and subject to the corporate income tax of the State of California at the rate of 8.84% on any estimated assessable profits arising in the US during the Track Record Period. No US profits tax was provided for as we did not have any assessable profits arising in the US during the Relevant Periods.

PERIOD-TO-PERIOD COMPARISON OF RESULTS OF OPERATIONS

Nine Months Ended September 30, 2025 Compared to Nine Months Ended September 30, 2024

Revenue

Our revenue decreased by 10.7% from RMB35.4 million for the nine months ended September 30, 2024 to RMB31.6 million for the nine months ended September 30, 2025.

- ***Medical devices***. Our revenue derived from medical devices decreased by 2.2% from RMB31.4 million in the nine months ended September 30, 2024 to RMB30.7 million in the same period in 2025, for the following reasons: (i) *iNO therapy devices.* Our revenue derived from decreased by 16.8% from RMB20.8 million in the nine months ended September 30, 2024 to RMB17.3 million in the same period in 2025, primarily due to a decrease in sales volume of our iNOwill and eNOaire products. Beginning in the second quarter of 2025, we optimized our distributorship network by establishing or deepening cooperation with distributors with stronger sales capabilities and ceasing cooperation with those that no longer align with our channel strategies. As the assessment and onboarding of new distributors took time, our sales volume was temporarily affected during the transition period. The sales volumes of our iNOwill and eNOaire products has increased in the full year 2025 compared to 2024. (ii) *Cardiopulmonary circulatory support devices.* We recorded revenue from cardiopulmonary circulatory support devices of RMB283 thousand in the nine months ended September 30, 2025, which was contributed by sales of our NovaPulse IABP. (iii) *Respiratory diagnosis devices.* Our revenue derived from respiratory diagnosis devices increased by 59.1% from RMB2.2 million in the nine months ended September 30, 2024 to RMB3.5 million in the same period in 2025, primarily due to (i) an increase in sales volume of eNOglow products, for which we completed registration in 2024 and started sales in 2025 and (ii) an increase in sales volume of Reslink products.

- ***Other products and services***. Our revenue derived from other products and services decreased by 77.5% from RMB4.0 million in the nine months ended September 30, 2024 to RMB0.9 million in the nine months ended September 30, 2025, primarily due a decrease of revenue from contract development services from RMB3.8 million to nil during the same periods. The decrease was primarily because we completed the milestone of relevant research and development services in the fourth quarter of 2025, and therefore only recognized revenue in the fourth quarter.

Cost of Sales

Our cost of sales increased by 13.7% from RMB13.9 million for the nine months ended September 30, 2024 to RMB15.8 million in the same period in 2025.

- ***Medical devices***. Our cost of sales for medical devices decreased by 0.3% from RMB12.41 million in the nine months ended September 30, 2024 to RMB12.37 million in the same period in 2025, for the following reasons: (i) *iNO therapy devices.* Our cost of sales for iNO therapy devices remained relatively stable at RMB10.5 million and RMB9.8 million in the nine months ended September 30, 2024 and 2025, respectively. (ii) *Cardiopulmonary circulatory support devices.* We recorded cost of sales for cardiopulmonary circulatory support devices of RMB149 thousand in the nine months ended September 30, 2025, in connection with our sales of NovaPulse IABP. (iii) *Respiratory diagnosis devices.* Our cost of sales for respiratory diagnosis devices increased by 26.3% from RMB1.9 million in the nine months ended September 30, 2024 to RMB2.4 million in the same period in 2025, which was in line with the revenue growth.

- ***Other products and services***. Our cost of sales for other products and services increased by 135.1% from RMB1.5 million in the nine months ended September 30, 2024 to RMB3.5 million in the same period in 2025, primarily due to an increase in costs for research and development services from RMB1.4 million to RMB2.8 million during the same periods. While the milestone was completed in the fourth quarter of 2025, we have engaged in the relevant services and therefore incurred costs in the first three quarters of 2025.

Gross Profit and Gross Profit Margin

As a result of the foregoing, our gross profit decreased by 27.0% from RMB21.5 million for the nine months ended September 30, 2024 to RMB15.7 million for the nine months ended September 30, 2025. Our gross profit decreased from 60.8% to 49.9% during the same periods.

- ***Medical devices***. Our gross profit for medical devices decreased by 3.7% from RMB19.0 million in the nine months ended September 30, 2024 to RMB18.3 million in the same period in 2025, for the following reasons: (i) *iNO therapy devices*. Our gross profit for iNO therapy devices decreased by 9.1% from RMB18.7 million in the nine months ended September 30, 2024 to RMB17.0 million in the same period in 2025, primarily due to a decrease in revenue. Our gross profit margin of iNO therapy devices decreased from 64.0% for the nine months ended September 30, 2024 to 63.3% for the nine months ended September 30, 2025, mainly due to changes in product mix. (ii) *Cardiopulmonary circulatory support devices*. We recorded gross profit of RMB134 thousand from cardiopulmonary circulatory support devices in the nine months ended September 30, 2025, in connection with our initial sales of NovaPulse IABP. (iii) *respiratory diagnosis devices*. Our gross profit from respiratory diagnosis devices increased from RMB309 thousand with a gross profit margin of 13.8% in the nine months ended September 30, 2024 to RMB1.2 million with a gross profit margin of 32.9% in the same period in 2025, which was in line with sales of our eNOglow products.

- ***Other products and services***. As a result of foregoing, we recorded a gross profit of RMB2.5 million in the nine months ended September 30, 2024 and a gross loss of RMB2.5 million in the same period in 2025.

Selling Expenses

Our selling expenses decreased by 8.1% from RMB22.1 million for the nine months ended September 30, 2024 to RMB20.3 million for the nine months ended September 30, 2025, primarily due to a decrease in marketing development expenses, as we incurred relatively higher sales and marketing expenses in 2024 during the early-stage commercialization of our iNO therapy devices, partially offset by an increase in employee expenses, primarily due to recruitment of experienced sales and marketing staff.

Administrative Expenses

Our administrative expenses decreased by 11.4% from RMB19.2 million for the nine months ended September 30, 2024 to RMB17.2 million for the nine months ended September 30, 2025, primarily due to (i) a decrease in depreciation and amortization expenses as we primarily made the provision of depreciation and amortization in 2024 and (ii) a decrease in employee expenses, as we consolidate certain administrative functions of our subsidiaries and thereby reduced the number of administrative employees, partially offset by an increase in professional service fees.

Research and Development Expenses

Our research and development expenses decreased by 12.7% from RMB23.7 million for the nine months ended September 30, 2024 to RMB20.7 million for the nine months ended September 30, 2025, primarily due to a decrease in employee expenses, as we reallocated a few R&D personnel after they completed the development eNOglow to providing contract development services to customers, and accordingly recorded the related labor costs under cost of sales rather than research and development expenses, partially offset by (i) an increase in registration and inspection fees in connection with domestic and overseas registration of our products and (ii) an increase in clinical trial fees in connection with clinical trials of our NovaPulse IABP.

Other Income

Our other income decreased by 23.2% from RMB5.6 million for the nine months ended September 30, 2024 to RMB4.3 million for the nine months ended September 30, 2025, as the government grants in the form of lease subsidies ended in August 2024.

Other Gains and Losses

We recorded other gains of RMB0.1 million for the nine months ended September 30, 2025, as compared to other losses of RMB1.2 million for the nine months ended September 30, 2024, primarily due to (i) a decrease in net losses on disposals of property and equipment and net losses on disposals of intangible asset, in connection with our disposal of assets of certain subsidiaries and (ii) an increase in other income due to reduction in value-added tax in the nine months ended September 30, 2025.

Share of Results of an Associate

Our share of results of an associate amounted to nil and RMB0.1 million for the nine months ended September 30, 2024 and 2025, respectively, primarily due to losses of the associate in which we made the investment in the fourth quarter of 2024.

Impairment Losses under Expected Credit Loss Model, Net of Reversal

We recorded reversal of impairment losses of RMB30 thousand for the nine months ended September 30, 2024 in connection with our trade receivables. We did not incur impairment losses under expected credit loss model, net of reversal in the same period in 2025.

Finance Costs

Our finance costs increased by 42.3% from RMB20.8 million for the nine months ended September 30, 2024 to RMB29.6 million for the nine months ended September 30, 2025. The increase was primarily attributable to an increase in interest expense on redemption liabilities in relation to our redemption obligations arising from the redemption rights granted to certain Shareholders.

Loss for the Period

For the reasons described above, our loss for the period increased by 13.0% from RMB60.0 million for the nine months ended September 30, 2024 to RMB67.8 million for the nine months ended September 30, 2025.

DISCUSSION OF CERTAIN SELECTED ITEMS FROM THE CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

The following table sets forth our consolidated statements of financial position as of the dates indicated.

	As of December 31,	As of September 30,
	2024	2025
		(unaudited)
	(RMB in thousands)	
Total non-current assets	103,641	124,805
Total current assets	119,432	109,892
Total assets	**223,073**	**234,697**
Total non-current liabilities	434,112	513,161
Total current liabilities	44,192	43,559
Total liabilities	**478,304**	**556,720**
Net liabilities	**(255,231)**	**(322,023)**

The following table sets forth our current assets and current liabilities as of the dates indicated.

	As of December 31,	As of September 30,	As of January 31,
	2024	2025	2026
		(unaudited)	
		(RMB in thousands)	
Current assets			
Inventories and contract costs	11,535	15,716	16,828
Trade and other receivables	4,910	7,704	18,150
Financial assets at FVTPL	–	10,000	–
Value-added tax recoverable	1,673	2,469	2,559
Time deposits-current	32,214	43,985	44,428
Cash and cash equivalents	69,100	30,018	40,362
Total current asset	**119,432**	**109,892**	**122,327**

	As of December 31, 2024	As of September 30, 2025	As of January 31, 2026
			(unaudited)
	(RMB in thousands)		
Current liabilities			
Trade and other payables	16,138	9,941	19,243
Bank borrowings	23,018	27,000	20,006
Lease liabilities-current	2,475	2,243	2,003
Provisions	1,336	2,431	3,130
Contract liabilities	1,225	1,944	2,396
Total current liabilities	**44,192**	**43,559**	**46,778**
Net current assets	**75,240**	**66,333**	**75,549**

During the Track Record Period, we had a net current assets position. The decrease of net current assets from RMB75.2 million as of December 31, 2024 to RMB66.3 million as of September 30, 2025 was primarily due to (i) a decrease of cash and cash equivalents by RMB39.1 million and (ii) a decrease in trade and other payables by RMB2.8 million; which was partially offset by (i) an increase of time deposits-current by RMB11.8 million, and (ii) an increase of financial assets at FVTPL by RMB10.0 million.

The increase of net current asset from RMB66.3 million as of September 30, 2025 to RMB75.5 million as of January 31, 2026 was primarily due to (i) an increase in cash and cash equivalents from RMB30.0 million to RMB40.4 million and (ii) a decrease in bank borrowings from RMB27.0 million to RMB20.0 million, partially offset by an increase in trade and other payables, primarily due to payables due to professional parties in connection with the [**REDACTED**].

Assets

Property and Equipment

Our property and equipment primarily consists of (i) leasehold improvements, (ii) machinery equipment, (iii) office equipment, (iv) electronic and other equipment, and (v) construction in progress. The following table sets forth a breakdown of the net carrying amount of our property and equipment as of the dates indicated.

	As of December 31, 2024	As of September 30, 2025
		(unaudited)
	(RMB in thousands)	
Leasehold improvements	5,962	5,687
Machinery equipment	11,742	11,745
Office equipment	1,327	887
Electronic and other equipment	398	303
Construction in progress	–	2,288
Total	**19,429**	**20,910**

Our property and equipment increased from RMB19.4 million as of December 31, 2024 to RMB20.9 million as of September 30, 2025. This increase was primarily attributable to an increase in construction in progress, in connection with our construction in progress and IT system to be launched, and was partially offset by a decrease in leasehold improvements, machinery equipment, office equipment, electronic and other equipment, primarily due to depreciation expenses in connection with their usage.

Right-of-use Assets

Our right-of-use assets are primarily related to our leased properties for office premises and manufacturing facilities. Lease contracts are entered into for fixed term from 1 to 3 years. Our right-of-use assets decreased from RMB5.9 million as of December 31, 2024 to RMB4.2 million as of September 30, 2025, primarily due to the amortization of our right-of-use assets over the lease terms.

Intangible Assets

Our intangible assets include computer software related to our business operations. The net carrying amount of our intangible assets remained relatively stable at RMB0.6 million as of December 31, 2024 to RMB0.5 million as of September 30, 2025.

Interests in an Associate

Our interests in an associate represent our 30% equity interest in a medical company. The net carrying amount of our interests in an associate decreased from RMB0.5 million as of December 31, 2024 to RMB0.4 million as of September 30, 2025, primarily attributable to the net loss position of the medical company.

Other Non-current Assets

Our other non-current assets primarily consist of (i) rental deposits, and (ii) prepayments for the acquisition of property and equipment. Our other non-current assets decreased from RMB3.8 million as of December 31, 2024 to RMB2.2 million as of September 30, 2025, primarily attributable to a decrease in prepayments for the acquisition of property and equipment.

Time Deposits

Our time deposits consist of current and non-current components. Our total time deposits increased from RMB105.6 million as of December 31, 2024 to RMB140.6 million as of September 30, 2025, primarily due to an increase in both current and non-current time deposits, as we deposit more cash at banks.

Inventories and Contract Costs

Our inventories and contract costs primarily consist of (i) raw materials and consumables used in our product development and manufacture, (ii) work in progress, (iii) finished goods, and (iv) contract fulfilment costs. Our inventories and contract costs increased from RMB11.5 million as of December 31, 2024 to RMB15.7 million as of September 30, 2025, primarily due to an increase in finished goods, raw materials and consumables, which were in line with the growing demand of our product. The following table sets forth a breakdown of our inventories and contract costs as of the dates indicated:

	As of December 31,	As of September 30,
	2024	2025
		(unaudited)
	(RMB in thousands)	
Raw materials and consumables	6,807	7,667
Work in progress	571	1,011
Finished goods	4,157	5,151
Contract fulfilment costs[1]	–	1,887
Total	**11,535**	**15,716**

Note:

(1) The costs directly relate to the contract development services, generate resources that will be used in satisfying the contract and are expected to be recovered.

The following table sets forth an aging analysis of our inventories, based on the invoice date and net of provision, as of the periods indicated.

	As of December 31,	As of September 30,
	2024	2025
		(unaudited)
	(RMB in thousands)	
Less than one year	11,216	15,136
One year to two years	286	533
Two years to three years	33	47
Total	**11,535**	**15,716**

The following table sets forth the turnover days of our inventory for the periods indicated:

	For the Year Ended December 31,	For the Nine Months Ended September 30,
	2024	2025
		(unaudited)
Inventory turnover days(1)	204	235

Note:

(1) Inventory turnover days for each year/period is calculated as the average inventory balance, derived from the beginning and ending inventory balances of the year/period, divided by the cost of sales for the same corresponding year/period, and then multiplied by the number of days in that year. For 2024 and the nine months ended September 30, 2025, the number of days was 366 and 273, respectively.

During the Track Record Period, we have procured raw materials and consumables in relatively large quantities for lower prices as our cost optimization measures. In addition, some of our products require longer lead time for stocking and preparing. These two factors contribute to a relatively longer inventory turnover days. Our inventory turnover days were primarily affected by our sales forecasts and procurement cycle. Our inventory turnover days increased from 204 days in 2024 to 235 days for the nine months ended September 30, 2025, primarily due to increased stock preparation needs for the production of our NovaPulse IABP and increased contract fulfilment costs for our contract development services.

We have established a robust inventory management system governed by our warehouse management policies to ensure that the raw materials and finished goods remain intact and traceable. Our planning and distribution department oversees receipt, storage, and dispatch, while the quality and regulatory department conducts rigorous inspections and final releases to ensure all materials meet safety standards. To safeguard our assets, we utilize designated, color-coded storage areas and perform daily temperature and humidity monitoring. We strictly adhere to the first-in-first-out (FIFO) principle and conduct quarterly spot checks alongside comprehensive annual physical counts.

As of January 31, 2026, RMB11.2 million, or 71.0% of inventories outstanding as of September 30, 2025 had been subsequently utilized or sold.

Trade and Other Receivables

Our trade and other receivables primarily consisted of (i) trade receivables, (ii) advances to suppliers, (iii) deposits, and (iv) others. The following table sets forth a breakdown of our trade and other receivables as of the dates indicated:

	As of December 31,	As of September 30,
	2024	2025
		(unaudited)
	(RMB in thousands)	
Trade receivables	–	242
Advances to suppliers	4,280	6,580
Deposits	263	341
Others	367	541
Total	**4,910**	**7,704**

Our trade and other receivables increased from RMB4.9 million as of December 31, 2024 to RMB7.7 million as of September 30, 2025, mainly due to an increase in advances to suppliers by RMB2.3 million, as we increased our procurement of raw materials to support production of medical devices.

The following table sets forth an aging analysis of our trade receivables as of the dates indicated:

	As of December 31,	As of September 30,
	2024	2025
		(unaudited)
	(RMB in thousands)	
Within 90 days	–	152
91-180 days	–	90
Total	**–**	**242**

The following table sets forth our trade receivables turnover days during the periods indicated.

	For the Year Ended December 31,	For the Nine Months Ended September 30,
	2024	2025
		(unaudited)
Trade receivables turnover days(1)	3	1

Note:

(1) Trade receivables turnover days for a period are calculated as the average of the opening and closing trade receivables balances divided by the revenue for the relevant period, and then multiplied by the number of days in that period. For 2024 and the nine months ended September 30, 2025, the number of days was 366 and 273, respectively.

During the Track Record Period, we require all our domestic distributors to pay for our products before delivery and only grant credit terms to our overseas distributors. As a result, we maintain a relatively shorter trade receivable turnover days.

As of January 31, 2026, RMB6.2 million, or 80.7% of our trade and other receivables as of September 30, 2025 had been subsequently settled.

Financial Assets at FVTPL

Our financial assets measured at FVTPL during the Track Record Period represent the structured deposits purchased from banks. As of December 31, 2024 and September 30, 2025, we had financial assets measured at FVTPL consisting of structured deposits of nil and RMB10.0 million, respectively.

Value-added Tax Recoverable

Our value-added tax recoverable increased from RMB1.7 million as of December 31, 2024 to RMB2.5 million as of September 30, 2025, which primarily arose from our procurement of raw materials and equipment.

Cash and Cash Equivalents

Our cash and cash equivalents decreased from RMB69.1 million as of December 31, 2024 to RMB30.0 million as of September 30, 2025, which is in line with our use of cash for business operations. For an analysis on cash flows during the Track Record Period, see "— Liquidity and Capital Resources."

Liabilities

Trade and Other Payables

Our trade and other payables primarily consisted of (i) trade payables for raw materials and equipment in support of our production of medical devices, (ii) accrued staff costs and benefits, (iii) accrued royalty fee in connection with royalties paid under our research collaboration agreements, (iv) other taxes payables, (v) accrued service fee in connection with professional service fees paid to third-party service providers such as intellectual property agencies and legal advisers, (vi) deposits from customers, and (vii) other payables. Our trade and other payables decreased from RMB16.1 million as of December 31, 2024 to RMB9.9 million as of September 30, 2025, primarily due to a decrease in trade payables as we settled certain professional service fees.

	As of December 31,	As of September 30,
	2024	2025
		(unaudited)
	(RMB in thousands)	
Trade payables	1,193	1,137
Accrued staff costs and benefits	7,536	7,270
Accrued royalty fee	583	476
Other taxes payables	321	254
Accrued service fee	4,440	420
Deposits from customers	170	170
Payables to staff	1,733	42
Other payables	162	172
Total	**16,138**	**9,941**

The following table sets forth an aging analysis of our trade payables based on the goods or services receipt date as of the dates indicated:

	As of December 31,	As of September 30,
	2024	2025
		(unaudited)
	(RMB in thousands)	
Within 90 days	974	712
91-180 days	103	187
181-365 days	36	129
1 to 2 years	77	36
2 to 3 years	3	73
Total	**1,193**	**1,137**

The following table sets forth our trade payables turnover days for the periods indicated.

	For the Year Ended December 31,	For the Nine Months Ended September 30,
	2024	2025
		(unaudited)
Trade payables turnover days(1)	29	20

Note:

(1) Trade payables turnover days for a period are calculated as the average of the opening and closing trade payables balances divided by total cost of sales for the relevant period, and then multiplied by the number of days in that period. For 2024 and the nine months ended September 30, 2025, the number of days was 366 and 273, respectively.

Our trade payables turnover days decreased from 29 days in 2024 to 20 days in the nine months ended September 30, 2025, primarily due to we settled certain payables to our suppliers in the third quarter of 2025.

As of January 31, 2026, RMB9.2 million, or 92.7% of our trade and other payables as of September 30, 2025 had been subsequently settled.

Contract Liabilities

Our contract liabilities mainly arise from the advance payments made by customers for our commercialized products, while the underlying products or services are yet to be provided. Our contract liabilities increased from RMB1.2 million as of December 31, 2024 to RMB1.9 million as of September 30, 2025, which was primarily due to an increase in advancement payments from our customers.

As of January 31, 2026, RMB1.6 million, or 81.7% of our contract liabilities as of September 30, 2025 had been subsequently recognized as revenue.

Lease Liabilities

Lease liabilities represent the present value of outstanding lease payments under our lease agreements. Our lease liabilities, including current and non-current portions, decreased from RMB6.7 million as of December 31, 2024 to RMB6.4 million as of September 30, 2025, which was in line with our lease payments.

Bank Borrowings

As of December 31, 2024 and September 30, 2025, we had bank borrowings of RMB23.0 million and RMB27.0 million, respectively, all of which were classified as current liabilities. Our bank borrowings were unsecured and unguaranteed. As of September 30, 2025, the effective interest rates for our bank borrowings ranged from 2.2% to 2.6%. As of January 31, 2026, we had bank facilities of RMB60.0 million which remained unutilized. Such bank facilities were all committed facilities, meaning that, subject to the satisfaction of the relevant drawdown conditions and in the absence of any event of default, the lenders are required to make the relevant loan amounts available to us.

Provisions

Our provisions increased from RMB1.3 million as of December 31, 2024 to RMB2.4 million as of September 30, 2025, primarily due to provisions recorded for longer-than-expected development time under our contract development services.

Redemption liabilities

Our redemption liabilities are in relation to our redemption obligations arising from the redemption rights granted to certain Shareholders. We recognized these redemption liabilities initially at the present value of the redemption amount and subsequently measured them at amortized cost using the effective interest method. Our redemption liabilities increased from RMB429.9 million as of December 31, 2024 to RMB509.0 million as of September 30, 2025. For details, see Note 30 of Appendix I and Note 19 of Appendix IA to this document.

LIQUIDITY AND CAPITAL RESOURCES

During the Track Record Period, we relied on capital contributions by our shareholders and bank borrowings as the major sources of liquidity. We also generate cash from sales of our medical devices, provision of research and development services and provision of maintenance services. During the Track Record Period, we incurred negative cash flows from our operations. Our operating cash outflows resulted from investments in research and development of our cardiopulmonary diagnostic and therapeutic devices, selling activities for commercialization of our products, and administrative activities, which are essential for our business development. As we complete registration and commercialization of more pipeline products, expand our distributor network and further enhance our operating efficiency, we expect to generate more net cash from our operating activities.

Cash Flows

The following table presents our consolidated cash flow data for the periods indicated.

	For the Year Ended December 31,	For the nine months ended September 30,	
	2024	2024	2025
		(unaudited)	
		(RMB in thousands)	
Net cash used in operating activities	(52,776)	(41,319)	(46,013)
Net cash used in investing activities	(9,329)	(83,454)	(46,590)
Net cash from financing activities	92,077	97,276	53,532

	For the Year Ended December 31,	For the nine months ended September 30,	
	2024	2024	2025
		(unaudited)	
		(RMB in thousands)	
Net increase (decrease) in cash and cash equivalents	**29.972**	**(27,497)**	**(39,071)**
Cash and cash equivalents at the beginning of the year/period	39,115	39,115	69,100
Cash and cash equivalents at the end of the year/period	**69,100**	**11,609**	**30,018**

Operating Activities

For the nine months ended September 30, 2025, our net cash used in operating activities was RMB46.0 million, which was primarily attributable to our loss before tax of RMB67.8 million, primarily adjusted for (i) decrease in trade and other payables of RMB6.2 million, and (ii) increase in inventories of RMB6.1 million; partially offset by (i) finance costs of RMB29.6 million, and (ii) depreciation of property and equipment of RMB4.6 million.

For the nine months ended September 30, 2024, our net cash used in operating activities was RMB41.3 million, which was primarily attributable to our loss before tax of RMB60.0 million, primarily adjusted for (i) decrease in trade and other payables of RMB3.8 million, (ii) interest income of RMB3.2 million, and (iii) increase in inventories of RMB3.0 million; partially offset by (i) finance costs of RMB20.8 million, and (ii) depreciation of property and equipment of RMB4.7 million.

In 2024, our net cash used in operating activities was RMB52.8 million, which was primarily attributable to our loss before tax of RMB86.2 million, primarily adjusted for (i) interest income of RMB4.6 million, and (ii) increase in inventories of RMB2.6 million; partially offset by (i) finance costs of RMB29.7 million, (ii) depreciation of property and equipment of RMB6.2 million, and (iii) decrease in trade and other receivables of RMB4.2 million.

Investing Activities

For the nine months ended September 30, 2025, our net cash used in investing activities was RMB46.6 million, primarily as a result of (i) purchase of financial assets measured at FVTPL of RMB172.0 million, and (ii) placement of time deposits of RMB65.0 million; partially offset by withdrawal of time deposits of RMB30.0 million.

For the nine months ended September 30, 2024, our net cash used in investing activities was RMB83.5 million, primarily as a result of (i) purchase of financial assets measured at FVTPL of RMB130.0 million, and (ii) placement of time deposits of RMB40.0 million; partially offset by (i) redemption of financial assets at FVTPL of RMB75.0 million, and (ii) withdrawal of time deposits of RMB20.0 million.

In 2024, our net cash used in investing activities was RMB9.3 million, primarily as a result of (i) purchase of financial assets at FVTPL of RMB154.0 million, (ii) placement of time deposits of RMB40.0 million, and (iii) purchases of property and equipment of RMB11.2 million; partially offset by (i) redemption of financial assets at FVTPL of RMB154.0 million, and (ii) withdrawal of time deposits of RMB40.0 million.

Financing Activities

For the nine months ended September 30, 2025, we had RMB53.5 million of net cash inflow from financing activities, primarily attributable to our (i) proceeds from issuance of redeemable shares of RMB50.0 million, and (ii) bank borrowings raised of RMB33.0 million; partially offset by repayment of bank borrowings of RMB29.0 million.

For the nine months ended September 30, 2024, we had RMB97.3 million of net cash inflow from financing activities, primarily attributable to our (i) proceeds from issuance of redeemable shares of RMB98.0 million, and (ii) bank borrowings raised of RMB18.0 million; partially offset by repayment of bank borrowings of RMB18.0 million.

In 2024, we had RMB92.1 million of net cash inflow from financing activities, primarily attributable to our (i) proceeds from issuance of redeemable shares of RMB98.0 million, and (ii) bank borrowings raised of RMB23.0 million; partially offset by repayment of bank borrowings of RMB28.0 million.

WORKING CAPITAL

The Directors are of the opinion that, taking into account of the following financial resources available to us described below, we have sufficient working capital to cover at least 125% of our costs, including R&D expenses, selling and distribution expenses, administrative expenses, finance costs and other expenses for at least the next 12 months from the date of this document: our future operating cash flows and cash and cash equivalents as of September 30, 2025, available equity and debt financing, and the estimated net [**REDACTED**] from the [**REDACTED**].

Our cash burn rate refers to the average monthly amount of net cash used in operating activities and capital expenditures. We had cash and cash equivalents of RMB30.0 million and time deposits of RMB140.6 million as of September 30, 2025. We estimate that we will receive net [**REDACTED**] of approximately RMB[**REDACTED**] after deducting the [**REDACTED**] fees and expenses payable by us in the [**REDACTED**], at the [**REDACTED**] of HK$[**REDACTED**] per [**REDACTED**].

Assuming an average cash burn rate going forward of [**REDACTED**] the level in nine months ended September 30, 2025, we estimate that our cash and cash equivalents and time deposits as of September 30, 2025 will be able to maintain our financial viability for [**REDACTED**] or, if we take into account the estimated net [**REDACTED**] from the [**REDACTED**], [**REDACTED**]. We will continue to monitor our cash flows from operations closely and expect to raise our next round of financing, if needed, with a minimum buffer of 12 months.

CASH OPERATING COSTS

The following table sets forth information on our cash operating costs for the periods indicated.

	For the Year Ended December 31,	For the nine months ended September 30,	
	2024	2024	2025
		(unaudited)	
	(RMB in thousands)		
R&D expenses			
R&D expenses for our Core Product			
Trial and testing expenses	1,506	741	924
Staff costs[1]	6,135	4,620	3,838
CMC costs and others	5,171	3,328	3,032

	For the Year Ended December 31,	For the nine months ended September 30,	
	2024	2024	2025
		(unaudited)	
	(RMB in thousands)		
R&D expenses for our other product candidates			
Trial and testing expenses	1,553	1,348	1,441
Staff costs[1]	10,279	8,266	7,189
CMC costs and others	7,327	4,281	3,873
Workforce employment costs[2]	**31,542**	**24,645**	**24,782**
Product marketing	**6,883**	**4,649**	**2,790**
Direct production costs[3]	**15,502**	**11,655**	**12,413**
Non-income taxes, royalties and other governmental charges	**2,467**	**2,046**	**2,245**
Other significant costs[4]	**19,919**	**17,956**	**22,293**
Total	**108,284**	**83,535**	**84,820**

Notes:

(1) Represent staff cost excluding share-based payment expenses.

(2) Represent non-research and development staff costs mainly including staff cost under administrative expenses and selling expenses.

(3) Direct production costs including raw materials and consumables used, labor costs and manufacturing costs.

(4) Represent non-research and development costs, mainly including procurement of cost of raw materials and consumables, utility fees and lease expenses.

[**REDACTED**]

[**REDACTED**]

CAPITAL EXPENDITURES

The following table sets forth our capital expenditures for the periods indicated.

	For the Year Ended December 31,	For the Nine Months Ended September 30,	
	2024	2024	2025
		(unaudited)	
	(RMB in thousands)		
Machinery	4,504	3,200	2,684
Office furniture	29	29	–
Electronic and other equipment	212	169	46
Construction in progress	1,376	1,376	2,660
Leasehold improvement	5,320	4,998	655
Total	**11,441**	**9,772**	**6,045**

Our capital expenditures represent addition in property and equipment during each period, amounted to RMB11.4 million, RMB9.7 million and RMB6.0 million in 2024, and the nine months ended September 30, 2024 and 2025, respectively. We intend to fund our future capital expenditures with financial resources available to us, including our existing cash balance, cash generated from our operation activities, our available banking facilities and [**REDACTED**] from the [**REDACTED**]. We will continue to make capital expenditures to meet the expected growth of our business. See "Future Plans and Use of [**REDACTED**] — Use of [**REDACTED**]."

COMMITMENTS

As of December 31, 2024 and September 30, 2025, our material commitments are shown in the table below.

	As of December 31,	As of September 30,
	2024	2025
		(unaudited)
	(RMB in thousands)	
Capital expenditure in respect of acquisition of property and equipment contracted for but not provided in the condensed consolidated financial statements	2,223	606

CONTINGENT LIABILITIES

As of December 31, 2024 and September 30, 2025, we did not have any significant contingent liabilities and were not involved in any legal proceedings pending or threatened against us which could have a material adverse effect on our business or operations.

OFF-BALANCE SHEET ARRANGEMENTS

As of the Latest Practicable Date, we had not entered into any off-balance sheet transactions.

RELATED PARTY TRANSACTIONS

During the Track Record Period, we had transactions with related parties in accordance with the terms agreed with the counterparties. Details of our transactions with related parties during the Track Record Period are set out in Note 36 of Appendix I and Note 25 of Appendix IA to this document. Our Directors confirm that the material related party transactions during the Track Record Period were conducted on an arm's length basis, and would not distort our results of operations over the Track Record Period or make our historical results over the Track Record Period not reflective of our expectations for our future performance.

KEY FINANCIAL RATIO

The following table sets forth some of our key financial ratio for the periods indicated.

	As of/For the Year Ended December 31,	As of/For the Nine Months Ended September 30,
	2024	2025
		(unaudited)
Gross profit margin(1)	59.3%	49.9%

Note:

(1) Gross profit margin is calculated using gross profit for the year/period divided by revenue for the year/period and multiplied by 100%.

MARKET RISK DISCLOSURE

We are exposed to a variety of financial risks, including market risk (including interest rate risk), credit risk and liquidity risk, as set out below. We manage and monitor these risks to ensure that appropriate measures can be implemented in a timely and effective manner. For further details, see Note 34 to the Accountants' Report in Appendix I to this Document. The discussion below provides a summary of our market risks.

DIVIDEND

No dividend was paid or declared by us or any of our subsidiaries since our incorporation. After the Track Record Period and as of the date of this document, we did not declare any dividends to our Shareholders.

As of the Latest Practicable Date, we did not have a formal dividend policy or a fixed dividend distribution ratio. PRC laws require that dividends be paid only out of distributable profits. Distributable profits are our after-tax profits, less appropriations to statutory and other reserves that we are required to make. Pursuant to our Articles of Association, our Shareholders' meetings may declare dividends in the future. Any declaration and payment as well as the amount of dividends will be subject to our constitutional documents, applicable PRC laws and approval by our Shareholders. After the [**REDACTED**], we may declare and pay dividends mainly by cash or by stock that we consider appropriate. Decisions to declare or to pay any dividends in the future will depend on, among other things, our Group's profitability, operations and development plans, external financing environment, costs of capital, our Group's cash flows, and other factors that our Directors may consider relevant. Our ability to distribute dividends in the future also depends on whether we can receive dividends from our subsidiaries. As advised by the PRC Legal Advisor, we may not pay dividends in view of our net loss position.

DISTRIBUTABLE RESERVES

As of September 30, 2025, our deficits were RMB340.5 million, which represent no distributable reserve as of the same date.

[REDACTED] EXPENSES

Our [**REDACTED**] expenses mainly include (i) [**REDACTED**] expenses, such as [**REDACTED**] and [**REDACTED**], and (ii) non-[**REDACTED**] expenses, comprising professional fees paid to our legal advisors and reporting accountants for their services rendered in relation to the [**REDACTED**] and the [**REDACTED**], and other fees and expenses. Assuming full payment of the discretionary incentive fee, the estimated total [**REDACTED**] (based on the mid-point of the [**REDACTED**] and assuming that the [**REDACTED**] is not exercised) for the [**REDACTED**] are approximately HK$[**REDACTED**], accounting for approximately [**REDACTED**]% of our gross [**REDACTED**]. Among such estimated total [**REDACTED**] expenses, we expect to pay [**REDACTED**] expenses of HK$[**REDACTED**], professional fees for our legal advisors and reporting accountants of HK$[**REDACTED**] and other fees and expenses of HK$[**REDACTED**]. An estimated amount of HK$[**REDACTED**] for our [**REDACTED**] expenses, accounting for approximately [**REDACTED**]% of our gross [**REDACTED**], is expected to be expensed through the statement of profit or loss and an estimated amount of HK$[**REDACTED**] is expected to be recognized directly as a deduction from equity upon the [**REDACTED**]. We did not recognize any [**REDACTED**] expenses in 2024 and the nine months ended September 30, 2025.

[**REDACTED**]

NO MATERIAL ADVERSE CHANGE

Our Directors confirm that, as of the date of the document, there has been no material adverse change in our financial or trading position, indebtedness, mortgage, contingent liabilities, guarantees or prospects since September 30, 2025, the end of the period reported on the Accountants' Report included in Appendix I to this document; and there has been no event since September 30, 2025 which would materially affect the information presented in the Accountants' Report set out in Appendix I and the Condensed Consolidated Financial Statements in Appendix IA to this document.

DISCLOSURE REQUIRED UNDER THE LISTING RULES

We confirm that, as of the Latest Practicable Date, there were no circumstances that would give rise to disclosure required under Rules 13.13 to 13.19 of the Listing Rules.

FUTURE PLANS

See "Business — Our Growth Strategies" for a detailed description of our future plans.

USE OF [REDACTED]

We estimate that we will receive net [**REDACTED**] of approximately HK$[**REDACTED**] from the [**REDACTED**], after deducting [**REDACTED**], [**REDACTED**] and other estimated expenses in connection with the [**REDACTED**] to be paid and payable by us, assuming that the [**REDACTED**] is not exercised and an [**REDACTED**] of HK$[**REDACTED**] per H Share, being the mid-point of the indicative [**REDACTED**] of HK$[**REDACTED**] to HK$[**REDACTED**] per share.

In line with our strategies, we intend to use the net [**REDACTED**] for the following purposes:

(a) ***Core Product iNOwill R&D and Registration.*** iNOwill is our core iNO therapy device for ICU and hospital bedside use. It has been approved in the Chinese mainland as a Class III medical device for the treatment of PH and has obtained CE certification as a Class IIb medical device for PH under the EU MDR. We plan to expand indications, complete clinical and regulatory work in the Chinese mainland, the European Union and the United States, and further enhance product performance of iNOwill. Approximately [**REDACTED**]%, or HK$[**REDACTED**], will be used for such purposes, of which:

(i) Approximately [**REDACTED**]%, or HK$[**REDACTED**], will be used to fund ongoing and planned indication-expansion clinical studies of iNOwill, including clinical studies in ARDS, CAP and COPD, of which: (1) approximately [**REDACTED**]%, or HK$[**REDACTED**], will be used to fund clinical studies of iNOwill in ARDS patients; (2) approximately [**REDACTED**]%, or HK$[**REDACTED**], will be used to fund clinical studies of iNOwill in CAP patients; and (3) approximately [**REDACTED**]%, or HK$[**REDACTED**], will be used to fund clinical studies of iNOwill in COPD patients. The [**REDACTED**] will primarily cover CRO and site management costs and labor costs of our clinical development activities.

(ii) Approximately [**REDACTED**]%, or HK$[**REDACTED**], will be used for planned PMCF and indication-expansion clinical studies in the European Union, of which: (1) approximately [**REDACTED**]%, or HK$[**REDACTED**], will be used to fund PMCF; and (2) approximately [**REDACTED**]%, or HK$[**REDACTED**], will be used to fund clinical studies of iNOwill in COPD and ARDS patients. The [**REDACTED**] will primarily cover CRO and site management costs and labor costs of our clinical development activities.

(iii) Approximately [**REDACTED**]%, or HK$[**REDACTED**], will be used for clinical validation and registration of iNOwill for indications including PH, COPD and ARDS in the United States, of which: (1) approximately [**REDACTED**]%, or HK$[**REDACTED**], will be used for PH, and (2) approximately [**REDACTED**]%, or HK$[**REDACTED**], will be used for COPD and ARDS. The [**REDACTED**] will primarily cover CRO and site management costs and labor costs of our clinical development activities and registration costs.

(iv) Approximately [**REDACTED**]%, or HK$[**REDACTED**], will be used for iterative upgrades of iNOwill, including engineering and system optimization to enhance continuous gas supply, upgrades to information systems and development of intelligent decision-support features, primarily covering software development and testing costs.

For details of our development plan for iNOwill, see "Business — iNO Therapy — iNOwill — Our Core Product — Further Development Plan."

(b) ***R&D and Registration of Other Pipeline Products and Product Candidates.*** Approximately [**REDACTED**]%, or HK$[**REDACTED**], will be used for the development and registration of our other products and product candidates targeting different care settings, of which:

(i) Approximately [**REDACTED**]%, or HK$[**REDACTED**], will be used for the R&D, clinical studies and registration in the Chinese mainland of VQfit, our iNO therapy product candidate for outpatient and at-home use.

(ii) Approximately [**REDACTED**]%, or HK$[**REDACTED**], will be used for the R&D, clinical studies and registration in the Chinese mainland of PElink and PSlink, our respiratory diagnostics product candidates for outpatient and at-home monitoring of chronic airway inflammatory diseases, and for the development of their intelligent data-diagnostic platform, including cloud-based data services and AI-enabled analysis to support outpatient and home management of respiratory diseases.

(iii) Approximately [**REDACTED**]%, or HK$[**REDACTED**], will be used for the R&D and registration in the Chinese mainland of NovaVent, our ventilator product candidate that integrates iNO therapy and electrical impedance tomography monitoring for ICU and perioperative use.

(iv) Approximately [**REDACTED**]%, or HK$[**REDACTED**], will be used for the clinical validation and registration in the European Union of eNOaire, our iNO therapy device based on electrical-arc technology for hospital and transfer scenarios.

For further details of these products and product candidates, see "Business — Our Product Pipeline."

(c) ***Domestic and Overseas Commercialization.*** We plan to strengthen our commercialization capabilities in the Chinese mainland and overseas by expanding our distribution network, building dedicated sales and marketing teams and rolling out digital customer-management and service systems to support the launch and scaling of iNOwill and our other products. Approximately [**REDACTED**]%, or HK$[**REDACTED**], will be used for this purpose, of which:

(i) Approximately [**REDACTED**]%, or HK$[**REDACTED**], will be used for the development of our distributor network and sales-support systems, including recruitment and onboarding of domestic and overseas distributors, establishment of a global distributor training and support system, and implementation and upgrade of our customer-management and global customer-service systems.

(ii) Approximately [**REDACTED**]%, or HK$[**REDACTED**], will be used for sales and marketing personnel recruitment and their on-board training.

(iii) Approximately [**REDACTED**]%, or HK$[**REDACTED**], will be used for marketing in the Chinese mainland and overseas, including participation in high-level academic conferences for iNOwill, overseas expert consultancy fees and training and preceptorship programs for KOL physicians.

For details of our commercialization strategies, see "Business — Our Commercialization Strategies."

(d) ***R&D Infrastructure and Production Line Automation.*** We plan to upgrade our R&D infrastructure and product line automation to support continuous innovation and enhance our capability to manufacture high-quality products at scale. Approximately [**REDACTED**]%, or HK$[**REDACTED**], will be used for this purpose, of which:

(i) Approximately [**REDACTED**]%, or HK$[**REDACTED**], will be used for general R&D infrastructure and system upgrades across our product portfolio, including laboratory equipment, computer-aided design and manufacturing tools, processing, assembly and packaging equipment, and digital quality-management tools such as manufacturing execution systems and electronic batch-recording systems.

(ii) Approximately [**REDACTED**]%, or HK$[**REDACTED**], will be used to upgrade dedicated R&D infrastructure and automated production lines specific to iNOwill including sterilization, quality-testing and precision processing equipment, in order to improve development efficiency, product consistency and manufacturing scalability.

(iii) Approximately [**REDACTED**]%, or HK$[**REDACTED**], will be used to recruit production management personnel.

(e) ***Working Capital, Business Development and General Corporate Purpose.*** Approximately [**REDACTED**]%, or HK$[**REDACTED**], will be used for working capital, business development and general corporate purposes, providing financial flexibility to support day-to-day operations and advance our pipeline. These funds will enable us to forge strategic partnerships that accelerate development, expand market reach, and mitigate risk.

The above allocation of the net [**REDACTED**] from the [**REDACTED**] will be adjusted on a pro rata basis in the event that the [**REDACTED**] is fixed at a higher or lower level compared to the mid-point of the indicative [**REDACTED**] stated in this document. If the [**REDACTED**] is fixed at the high-end or low-end of the [**REDACTED**], the net [**REDACTED**] will increase or decrease by approximately HK$[**REDACTED**]. We intend to apply the additional or reduced net [**REDACTED**] to the above uses on a pro rata basis.

If the [**REDACTED**] is fully exercised, we will receive additional net [**REDACTED**] of approximately HK$[**REDACTED**] from the allotment and issue of [**REDACTED**] Shares, based on an [**REDACTED**] of HK$[**REDACTED**] per Share (the mid-point of the indicative [**REDACTED**]) and after deducting the [**REDACTED**] fees and [**REDACTED**] payable by our Company. We intend to apply such additional net [**REDACTED**] to the uses described above on a pro rata basis.

To the extent that the net [**REDACTED**] from the [**REDACTED**] are not immediately required for the above purposes and to the extent permitted by the relevant law and regulations, we will only place the net [**REDACTED**] from the [**REDACTED**] in short-term interest-bearing accounts at licensed commercial banks and/or other authorized financial institutions as defined under the Securities and Futures Ordinance or applicable laws and regulations in other jurisdictions.

We will make an appropriate announcement if there is any change to the above proposed use of [**REDACTED**].

[**REDACTED**]

[**REDACTED**]

[REDACTED]

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The following is the text of a report set out on pages I-[●] to I-[●], received from the Company's reporting accountants, [Deloitte Touche Tohmatsu], Certified Public Accountants, Hong Kong, for the purpose of incorporation in this [document].

ACCOUNTANTS' REPORT ON HISTORICAL FINANCIAL INFORMATION TO THE DIRECTORS OF NANJING NOVLEAD BIOTECHNOLOGY CO., LTD. AND CCB INTERNATIONAL CAPITAL LIMITED

Introduction

We report on the historical financial information of Nanjing Novlead Biotechnology Co., Ltd. ("南京諾令生物科技股份有限公司") (previously known as Nanjing Novlead Biotechnology Co., Ltd. ("南京諾令生物科技有限公司") and Nanjing Noquan Biomedical Technology Co., Ltd. ("南京諾全生物醫療科技有限公司") (the "Company") and its subsidiaries (together, the "Group") set out on pages I-[●] to I-[●], which comprises the consolidated statement of financial position of the Group as at December 31, 2024, the statement of financial position of the Company as at December 31, 2024, and the consolidated statement of profit or loss and other comprehensive income, the consolidated statement of changes in equity and the consolidated statement of cash flows for the year ended December 31, 2024 (the "Track Record Period") and material accounting policy information and other explanatory information (together, the "Historical Financial Information"). The Historical Financial Information set out on pages I-[●] to I-[●] forms an integral part of this report, which has been prepared for inclusion in the document of the Company dated [**REDACTED**] (the "document") in connection with the initial [**REDACTED**] of [**REDACTED**] of the Company on the Main Board of The Stock Exchange of Hong Kong Limited (the "Stock Exchange").

Directors' responsibility for the Historical Financial Information

The directors of the Company are responsible for the preparation of the Historical Financial Information that gives a true and fair view in accordance with the basis of preparation set out in Note 2 to the Historical Financial Information, and for such internal control as the directors of the Company determine is necessary to enable the preparation of the Historical Financial Information that is free from material misstatement, whether due to fraud or error.

Reporting accountants' responsibility

Our responsibility is to express an opinion on the Historical Financial Information and to report our opinion to you. We conducted our work in accordance with Hong Kong Standard on Investment Circular Reporting Engagements 200 "Accountants' Reports on Historical Financial Information in Investment Circulars" issued by the Hong Kong Institute of Certified Public Accountants (the "HKICPA"). This standard requires that we comply with ethical standards and plan and perform our work to obtain reasonable assurance about whether the Historical Financial Information is free from material misstatement.

Our work involved performing procedures to obtain evidence about the amounts and disclosures in the Historical Financial Information. The procedures selected depend on the reporting accountants' judgment, including the assessment of risks of material misstatement of the Historical Financial Information, whether due to fraud or error. In making those risk assessments, the reporting accountants consider internal control relevant to the entity's preparation of the Historical Financial Information that gives a true and fair view in accordance with the basis of preparation set out in Note 2 to the Historical Financial Information in order to design procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Our work also included evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors of the Company, as well as evaluating the overall presentation of the Historical Financial Information.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Opinion

In our opinion the Historical Financial Information gives, for the purposes of the accountants' report, a true and fair view of the Group's financial position as at December 31, 2024, of the Company's financial position as at December 31, 2024, and of the Group's financial performance and cash flows for the Track Record Period in accordance with the basis of preparation set out in Note 2 to the Historical Financial Information.

Report on matters under the Rules Governing the Listing of Securities on the Stock Exchange and the Companies (Winding Up and Miscellaneous Provisions) Ordinance

Adjustments

In preparing the Historical Financial Information, no adjustments to the Underlying Financial Statements as defined on page I-[●] have been made.

Dividends

We refer to Note [14] to the Historical Financial Information which states that no dividend was declared or paid by the Company in respect of the Track Record Period.

[Deloitte Touche Tohmatsu]
Certified Public Accountants
Hong Kong
[**REDACTED**]

HISTORICAL FINANCIAL INFORMATION OF THE GROUP

Preparation of Historical Financial Information

Set out below is the Historical Financial Information which forms an integral part of this accountants' report.

The consolidated financial statement of the Group for the Track Record Period, on which the Historical Financial Information is based, have been prepared in accordance with the accounting policies which conform with IFRS Accounting Standards issued by the International Accounting Standards Board (the "IASB") and were audited by us in accordance with Hong Kong Standards on Auditing issued by the HKICPA (the "Underlying Financial Statements").

The Historical Financial Information is presented in Renminbi ("RMB") and all values are rounded to the nearest thousand (RMB'000) except when otherwise indicated.

CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

	NOTES	Year ended December 31, 2024
		RMB'000
Revenue	*6*	45,547
Cost of sales		(18,535)
Gross profit		27,012
Other income	*7*	7,748
Other gains and losses	*8*	(867)
Impairment losses under expected credit loss ("ECL") model, net of reversal	*9*	(129)
Selling expenses		(31,197)
Administrative expenses		(26,067)
Research and development expenses		(32,982)
Share of results of an associate		(93)
Finance costs	*10*	(29,671)
Loss before tax	*11*	(86,246)
Income tax expense	*12*	–
Loss for the year		(86,246)
Other comprehensive income		
Items that may be reclassified subsequently to profit or loss:		
Exchange differences arising on translation of foreign operations		13
Total comprehensive expense for the year attributable to the owners of the Company		(86,233)
Loss per share (RMB)	*15*	
Basic and diluted		1.08

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	NOTES	As at December 31, 2024
		RMB'000
Non-current assets		
Property and equipment	*16*	19,429
Right-of-use assets	*17*	5,921
Intangible assets	*18*	560
Interest in an associate	*19*	507
Other non-current assets	*21*	3,826
Time deposits	*24*	73,398
		103,641
Current assets		
Inventories	*22*	11,535
Prepayments, deposits and other receivables	*23*	4,910
Value-added tax recoverable		1,673
Time deposits	*24*	32,214
Cash and cash equivalents	*24*	69,100
		119,432
Current liabilities		
Trade and other payables	*25*	16,138
Bank borrowings	*26*	23,018
Lease liabilities	*27*	2,475
Provisions	*28*	1,336
Contract liabilities	*29*	1,225
		44,192
Net current assets		75,240
Total assets less current liabilities		178,881
Non-current liabilities		
Lease liabilities	*27*	4,179
Redemption liabilities	*30*	429,933
		434,112
Net liabilities		(255,231)
Capital and reserves		
Equity attributable to owners of the Company		
Paid-in capital	*31*	7,809
Reserves		(263,040)
Total equity		(255,231)

STATEMENT OF FINANCIAL POSITION OF THE COMPANY

	NOTES	As at December 31, 2024
		RMB'000
Non-current assets		
Property and equipment	*16*	10,410
Right-of-use assets	*17*	5,078
Intangible assets	*18*	560
Interests in an associate	*19*	507
Investments in subsidiaries	*20*	34,187
Other non-current assets	*21*	1,881
Time deposits-non current	*24*	73,398
		126,021
Current assets		
Inventories	*21*	7,472
Trade and other receivables	*22*	3,784
Amounts due from subsidiaries		787
Time deposits	*24*	32,214
Cash and cash equivalents	*24*	59,926
		104,183
Current liabilities		
Trade and other payables	*25*	14,186
Bank borrowings	*26*	23,018
Lease liabilities	*27*	2,003
Amount due to subsidiaries		3,484
Provisions	*28*	1,237
Contract liabilities	*29*	1,145
		45,073
Net current assets		59,110
Total assets less current liabilities		185,131
Non-current liabilities		
Lease liabilities	*27*	3,789
Redemption liabilities	*30*	429,933
		433,722
Net liabilities		(248,591)
Capital and reserves		
Paid-in capital	*31*	7,809
Reserves	*39*	(256,400)
Total equity		(248,591)

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Paid-in capital	Capital reserve	Other reserve	Share-based payments	Accumulated losses	Translation reserve	Total
	RMB'000	*RMB'000*	*RMB'000*	*RMB'000*	*RMB'000*	*RMB'000*	*RMB'000*
At January 1, 2024	**7,309**	**266,099**	**(260,000)**	**2,514**	**(186,472)**	**59**	**(170,491)**
Loss for the year	–	–	–	–	(86,246)	–	(86,246)
Other comprehensive income for the year	–	–	–	–	–	13	13
Total comprehensive (expense) income for the year	–	–	–	–	(86,246)	13	(86,233)
Issue of Series C shares *(Note 31)*	500	97,500	–	–	–	–	98,000
Equity-settled share-based payments *(Note 32)*	–	–	–	1,493	–	–	1,493
Redemption liabilities *(Note 30)*	–	–	(98,000)	–	–	–	(98,000)
At December 31, 2024	**7,809**	**363,599**	**(358,000)**	**4,007**	**(272,718)**	**72**	**(255,231)**

CONSOLIDATED STATEMENT OF CASH FLOWS

	Year ended December 31,
	2024
	RMB'000
OPERATING ACTIVITIES	
Loss before tax	(86,246)
Adjustments for:	
Finance costs	29,671
Interest income	(4,592)
Depreciation of property and equipment	6,218
Depreciation of right-of-use assets	2,343
Amortization of intangible assets	630
Write-down of inventories, net of reversal	180
Impairment loss, net of reversal – financial assets under ECL model	(129)
Loss on disposal of property and equipment	514
Loss on disposal of intangible assets	694
Loss on termination of lease contract	2
Share of results of an associate	93
Release of lease-related government subsidies	(1,785)
Share-based payment expenses	1,493
Operating cash flow before movements in working capital	(50,914)
Increase in inventories	(2,618)
Decrease in trade and other receivables	4,174
Decrease in trade and other payables	(2,200)
Decrease in provisions	(245)
Decrease in contract liabilities	(45)
Increase in value-added tax recoverable	(880)
Decrease in deferred income-current	(48)
Cash used in operations	(52,776)
Income taxes paid	–
Net cash used in operating activities	(52,776)
INVESTING ACTIVITIES	
Interest received	2,715
Proceeds on disposal of property and equipment	5
Purchase of financial assets at fair value through profit or loss ("FVTPL")	(154,000)
Redemption of financial assets at FVTPL	154,000
Placement of time deposits	(40,000)
Withdrawal of time deposits	40,000
Purchases of property and equipment	(11,239)
Purchases of intangible assets	(210)
Investment in an associate	(600)
Net cash used in investing activities	(9,329)

	Year ended December 31, 2024
	RMB'000
FINANCING ACTIVITIES	
Interest paid	(840)
Repayments of bank borrowings	(28,000)
Repayments of lease liabilities	(83)
Bank borrowings raised	23,000
Proceeds from issuance of shares	98,000
Net cash from financing activities	92,077
Net increase from cash and cash equivalents	29,972
Effect of foreign exchange rate changes	13
Cash and cash equivalents at the beginning of the year	39,115
Cash and cash equivalents at the end of the year	69,100

NOTES TO THE HISTORICAL FINANCIAL INFORMATION

1. GENERAL INFORMATION

The Company, formerly known as Nanjing Noquan Biomedical Technology Co., Ltd. ("南京諾全生物醫療科技有限公司") and Nanjing Novlead Biotechnology Co., Ltd. ("南京諾令生物科技有限公司") was established and registered in the People's Republic of China (the "PRC") on April 16, 2018, as a limited liability company. On January 8, 2026, the Company was converted into a joint stock company with limited liability. The respective addresses of the registered office and the principal place of business of the Company are stated in the section headed "Corporate Information" of the document.

The Group is principally engaged in the business of development and commercialization of gas-based cardiopulmonary therapeutic and diagnostic devices. Particulars and principal activities of the subsidiaries are disclosed in Note 40.

The Historical Financial Information is presented in Renminbi ("RMB"), which is also the functional currency of the Company.

2. BASIS OF PREPARATION OF HISTORICAL FINANCIAL INFORMATION

The Historical Financial Information has been prepared based on the accounting policies set out in Note 4 which conform with IFRS Accounting Standards issued by the IASB.

The Historical Financial Information has been prepared on a going concern basis notwithstanding that, as at December 31, 2024, the Group had net liabilities of RMB255,231,000, primarily due to the significant amount of the redemption liabilities of RMB429,944,000. Pursuant to a shareholders' agreements entered into among the Company and the Shareholders of the Company dated February 2, 2026, which superseded the previous shareholders agreements, the redemption rights granted by the Company were suspended before the first filing of the [**REDACTED**] by the Company with the Stock Exchange, while all other special rights will be terminated upon. The special rights shall be automatically reinstated upon the earliest of the occurrence of any of the following redemption right restoring events: (i) the [**REDACTED**] was not approved within 24 months by the regulatory authority or before December 31, 2027; (ii) the Company withdrew the [**REDACTED**], (iii) the [**REDACTED**] was returned or rejected, or (iv) the Company did not refile the [**REDACTED**] within six months after the lapse of the initial [**REDACTED**]. In this regard, the directors of the Company are of the opinion that the Company is not probable to settle the redemption liabilities in next twelve months from December 31, 2024.

The directors have reviewed the Group's cash flow projections, which cover a period of at least twelve months from December 31, 2024. The directors are of the opinion that the Group will have sufficient working capital to meet its financial liabilities and obligations as and when they fall due and to sustain its operations for at least the next twelve months from December 31, 2024.

3. APPLICATION OF NEW AND AMENDMENTS TO IFRS ACCOUNTING STANDARDS

For the purpose of preparing and presenting the Historical Financial Information for the Track Record Period, the Group has consistently applied the accounting policies which conform with IFRS Accounting Standards, which are effective for the accounting periods beginning on January 1, 2025, throughout the Track Record Period.

New and amendments to IFRS Accounting Standards in issue but not yet effective

At the date of this report, the following new and amendments to IFRS Accounting Standards have been issued but are not yet effective:

Amendments to IAS 21	Translation to a Hyperinflationary Presentation Currency[3]
Amendments to IFRS 9 and IFRS 7	Amendments to the Classification and Measurement of Financial Instruments[2]
Amendments to IFRS 9 and IFRS 7	Contracts Referencing Nature – dependent Electricity[2]

Amendments to IFRS 10 and IAS 28	Sale or Contribution of Assets between an Investor and its Associate or Joint Venture[1]
Amendments to IFRS Accounting Standards	Annual Improvements to IFRS Accounting Standards – Volume 11[2]
IFRS 18	Presentation and Disclosure in Financial Statements[3]

1 Effective for annual periods beginning on or after a date to be determined

2 Effective for annual periods beginning on or after January 1, 2026

3 Effective for annual periods beginning on or after January 1, 2027

IFRS 18 *Presentation and Disclosure in Financial Statements*, which sets out requirements on presentation and disclosures in financial statements, will replace IAS 1 *Presentation of Financial Statements* ("**IAS1**"). This new IFRS Accounting Standard, while carrying forward many of the requirements in IAS 1, introduces new requirements to present specified categories and defined subtotals in the statement of profit or loss; provide disclosures on management-defined performance measures in the Notes to the financial statements and improve aggregation and disaggregation of information to be disclosed in the financial statements. In addition, some IAS 1 paragraphs have been moved to IAS 8 and IFRS 7. Minor amendments to IAS 7 *Statement of Cash Flows* and IAS 33 *Earnings per Share* are also made.

IFRS 18, and amendments to other standards, will be effective for annual periods beginning on or after January 1, 2027, with early application permitted. The application of the new standard is expected to affect the presentation of the statement of profit or loss and disclosures in the future financial statements but no impact on the Group's financial positions and performance.

Except for the IFRS 18, the directors of the Company anticipate that the application of these amendments to IFRS Accounting Standards will have no material impact on the Group's consolidated financial statements in the foreseeable future.

4. MATERIAL ACCOUNTING POLICY INFORMATION

The Historical Financial Information has been prepared in accordance with the following accounting policies which conform with IFRS Accounting Standards issued by the IASB. For the purpose of preparation of the Historical Financial Information, information is considered material if such information is reasonably expected to influence decisions made by primary users. In addition, the Historical Financial Information includes applicable disclosures required by the Rules Governing the Listing of Securities on the Stock Exchange of Hong Kong Limited and by the Hong Kong Companies Ordinance.

Basis of consolidation

The Historical Financial Information incorporates the financial statements of the Company and its subsidiaries. Control is achieved when the Company:

- has power over the investee;
- is exposed, or has rights, to variable returns from its involvement with the investee; and
- has the ability to use its power to affect its returns.

The Group reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control listed above.

Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary.

Profit or loss and each component of other comprehensive income are attributed to the owners of the Company. Total comprehensive income of the subsidiaries is attributed to the owners of the Company and to the non-controlling interests even if this results in the non-controlling interests having a deficit balance.

When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with the Group's accounting policies.

All intragroup assets and liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

Investments in subsidiaries

Investments in subsidiaries are included in the statement of financial position of the Company at cost less any identified impairment loss, if any.

Investments in associates

An associate is an entity over which the Group has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee but is not control or joint control over those policies.

The results and assets and liabilities of associates are incorporated in these consolidated financial statements using the equity method of accounting. The financial statements of associates used for equity accounting purposes are prepared using uniform accounting policies as those of the Group for like transactions and events in similar circumstances. Under the equity method, an investment in an associate is initially recognized in the consolidated statement of financial position at cost and adjusted thereafter to recognize the Group's share of the profit or loss and other comprehensive income of the associate. When the Group's share of losses of an associate exceeds the Group's interest in that associate (which includes any long-term interests that, in substance, form part of the Group's net investment in the associate), the Group discontinues recognising its share of further losses. Additional losses are provided for, and a liability is recognized only to the extent that the Group has incurred legal or constructive obligations or made payments on behalf of the associate.

An investment in an associate is accounted for using the equity method from the date on which the investee becomes an associate.

The Group assesses whether there is an objective evidence that the interest in an associate may be impaired. When any objective evidence exists, the entire carrying amount of the investment is tested for impairment in accordance with IAS 36 as a single asset by comparing its recoverable amount (higher of value in use and fair value less costs of disposal) with its carrying amount. Any impairment loss recognized is not allocated to any asset, including goodwill, that forms part of the carrying amount of the investment. Any reversal of that impairment loss is recognized in accordance with IAS 36 to the extent that the recoverable amount of the investment subsequently increases.

When the Group ceases to have significant influence over an associate, it is accounted for as a disposal of the entire interest in the investee with a resulting gain or loss being recognized in profit or loss.

When a group entity transacts with an associate, profits and losses resulting from the transactions with the associate are recognized in the consolidated financial statements only to the extent of interests in the associate that are not related to the Group.

Revenue from contracts with customers

Information about the Group's accounting policies relating to revenue from contracts with customers is provided in Notes 6, 22 and 29.

Leases

The Group assesses whether a contract is or contains a lease based on the definition under IFRS 16 *Leases* at inception of the contract. Such contract will not be reassessed unless the terms and conditions of the contract are subsequently changed.

The Group as a lessee

Allocation of consideration to components of a contract

For a contract that contains a lease component and one or more additional lease or non-lease components, the Group allocates the consideration in the contract to each lease component on the basis of the relative stand-alone price of the lease component and the aggregate stand-alone price of the non-lease components.

Non-lease components are separated from lease component and are accounted for by applying other applicable standards.

Short-term leases

The Group applies the short-term lease recognition exemption to leases of office premises that have a lease term of 12 months or less from the commencement date and do not contain a purchase option. Lease payments on short-term leases are recognized as expense on a straight-line basis over the lease term.

Right-of-use assets

The cost of right-of-use assets includes:

- the amount of the initial measurement of the lease liability; and
- any lease payments made at or before the commencement date.

Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities.

Right-of-use assets are depreciated on a straight-line basis over the shorter of its estimated useful life and the lease term.

The Group presents right-of-use assets as a separate line item on the consolidated statement of financial position.

Refundable rental deposits

Refundable rental deposits paid are accounted under IFRS 9 Financial Instruments and initially measured at fair value. Adjustments to fair value at initial recognition are considered as additional lease payments and included in the cost of right-of-use assets.

Lease liabilities

At the commencement date of a lease, the Group recognizes and measures the lease liability at the present value of lease payments that are unpaid at that date. In calculating the present value of lease payments, the Group uses the incremental borrowing rate at the lease commencement date if the interest rate implicit in the lease is not readily determinable.

The lease payments include fixed payments (including in-substance fixed payments).

After the commencement date, lease liabilities are adjusted by interest accretion and lease payments.

The Group remeasures lease liabilities (and makes a corresponding adjustment to the related right-of-use assets) whenever the lease term has changed, in which case the related lease liability is remeasured by discounting the revised lease payments using a revised discount rate at the date of reassessment.

The Group presents lease liabilities as a separate line item on the consolidated statement of financial position.

Foreign currencies

In preparing the financial statements of each individual group entity, transactions in currencies other than the functional currency of that entity (foreign currencies) are recognized at the rates of exchanges prevailing on the dates of the transactions. At the end of the reporting period, monetary items denominated in foreign currencies are retranslated at the rates prevailing at that date. Non-monetary items that are measured in terms of historical cost in a foreign currency are not retranslated.

Exchange differences arising on the settlement of monetary items, and on the retranslation of monetary items, are recognized in profit or loss in the period in which they arise.

For the purposes of presenting the consolidated financial statements, the assets and liabilities of the Group's operations are translated into the presentation currency of the Group (i.e. RMB) using exchange rates prevailing at the end of each reporting period. Income and expenses items are translated at the average exchange rates for the period, unless exchange rates fluctuate significantly during that period, in which case the exchange rates at the date of transactions are used. Exchange differences arising, if any, are recognized in other comprehensive income and accumulated in equity under the heading of translation reserve.

Borrowing costs

All borrowing costs are recognized in profit or loss in the period in which they are incurred.

Government grants

Government grants are not recognized until there is reasonable assurance that the Group will comply with the conditions attaching to them and that the grants will be received.

Government grants related to income that are receivable as compensation for expenses or losses already incurred or for the purpose of giving immediate financial support to the Group with no future related costs are recognized in profit or loss in the period in which they become receivable. Such grants are presented under "other income".

Employee benefits

Retirement benefit costs

The Group participates in state-managed retirement benefit schemes, which are defined contribution schemes, pursuant to which the Group pays a fixed percentage of its staff's wages as contributions to the plans. Payments to such retirement benefit schemes are recognized as an expense when employees have rendered service entitling them to the contributions.

Short-term employee benefits

Short-term employee benefits are recognized at the undiscounted amount of the benefits expected to be paid as and when employees rendered the services. All short-term employee benefits are recognized as an expense unless another IFRS requires or permits the inclusion of the benefit in the cost of an asset.

A liability is recognized for benefits accruing to employees (such as wages and salaries) after deducting any amount already paid.

Share-based payments

Equity-settled share-based payments transactions

Restricted shares ("RS")/share option granted to employees

Equity-settled share-based payments to employees are measured at the fair value of the equity instruments at the grant date.

The fair value of the equity-settled share-based payments determined at the grant date without taking into consideration all non-market vesting conditions is expensed on a straight-line basis over the vesting period, based on the Group's estimate of equity instruments that will eventually vest, with a corresponding increase in equity (share-based payments reserves). At the end of each reporting period, the Group revises its estimate of the number of equity instruments expected to vest based on assessment of all relevant non-market vesting conditions. The impact of the revision of the original estimates, if any, is recognized in profit or loss such that the cumulative expense reflects the revised estimate, with a corresponding adjustment to share-based payments reserve.

When share options are exercised or RS granted are vested, the amount previously recognized in share-based payments reserve will be transferred to capital reserve.

RS/share options granted to non-employees

Equity-settled share-based payment transactions with parties other than employees are measured at the fair value of the goods or services received, except where that fair value cannot be estimated reliably, in which case they are measured at the fair value of the equity instruments granted, measured at the date the entity obtains the goods or the counterparty renders the service. The fair values of the goods or services received are recognized as expenses (unless the goods or services qualify for recognition as assets).

Modification to the terms and conditions of the share-based payment arrangements

When the terms and conditions of an equity-settled share-based payment arrangement are modified, the Group recognizes, as a minimum, the services received measured at the grant date fair value of the equity instruments granted, unless those equity instruments do not vest because of failure to satisfy a vesting condition (other than a market condition) that was specified at grant date. In addition, if the Group modifies the vesting conditions (other than a market condition) in a manner that is beneficial to the employees, for example, by reducing the vesting period, the Group takes the modified vesting conditions into consideration over the remaining vesting period.

The incremental fair value granted, if any, is the difference between the fair value of the modified equity instruments and that of the original equity instruments, both estimated as at the date of modification.

If the modification occurs during the vesting period, the incremental fair value granted is included in the measurement of the amount recognized for services received over the period from modification date until the date when the modified equity instruments are vested, in addition to the amount based on the grant date fair value of the original equity instruments, which is recognized over the remainder of the original vesting period.

If the modification reduces the total fair value of the share-based arrangement, or is not otherwise beneficial to the employee, the Group continues to account for the original equity instruments granted as if that modification had not occurred.

Taxation

Income tax expense represents the sum of current and deferred income tax expense.

The tax currently payable is based on taxable profit for the year. Taxable profit differs from 'loss before tax' because of income and expense that are taxable or deductible in other years and items that are never taxable or deductible. The Group's liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the end of the reporting period.

Deferred tax is recognized on temporary differences between the carrying amounts of assets and liabilities in the Historical Financial Information and the corresponding tax bases used in the computation of taxable profit. Deferred tax liabilities are generally recognized for all taxable temporary differences. Deferred tax assets are generally recognized for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilized. Such deferred tax assets and liabilities are not recognized if the temporary difference arises from the initial recognition (other than in a business combination) of assets and liabilities in a transaction that affects neither the taxable profit nor the accounting profit and at the time of the transaction does not give rise to equal taxable and deductible temporary differences.

Deferred tax liabilities are recognized for taxable temporary differences associated with investments in subsidiaries and associates, except where the Group is able to control the reversal of the temporary difference and it is probable that the temporary difference will not reverse in the foreseeable future. Deferred tax assets arising from deductible temporary differences associated with such investments are only recognized to the extent that it is probable that there will be sufficient taxable profits against which to utilize the benefits of the temporary differences and they are expected to reverse in the foreseeable future.

The carrying amount of deferred tax assets is reviewed at the end of the reporting period and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset is realized, based on tax rate (and tax laws) that have been enacted or substantively enacted by the end of the reporting period.

The measurement of deferred tax liabilities and assets reflects the tax consequences that would follow from the manner in which the Group expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

For the purposes of measuring deferred tax for leasing transactions in which the Group recognizes the right-of-use assets and the related lease liabilities, the Group first determines whether the tax deductions are attributable to the right-of-use assets or the lease liabilities.

For leasing transactions in which the tax deductions are attributable to the lease liabilities, the Group applies IAS 12 *Income Taxes* requirements to the lease liabilities and the related assets separately. The Group recognizes a deferred tax asset related to lease liabilities to the extent that it is probable that taxable profit will be available against which the deductible temporary difference can be utilized and a deferred tax liability for all taxable temporary differences.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to set off current tax assets against current tax liabilities and when they relate to income taxes levied to the same taxable entity by the same taxation authority.

Current and deferred tax are recognized in profit or loss, except when they relate to items that are recognized in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognized in other comprehensive income or directly in equity respectively.

Property and equipment

Property and equipment are tangible assets that are held for use in the production or supply of goods or services, or for administrative purposes (other than construction in progress as described below). Property and equipment are stated in the consolidated statement of financial position at cost less subsequent accumulated depreciation and subsequent accumulated impairment losses, if any.

Property and equipment in the course of construction for production, supply or administrative purposes are carried at cost, less any recognized impairment loss. Costs include any costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management, including costs of testing whether the related assets is functioning properly and, for qualifying assets, in accordance with the Group's accounting policy. Depreciation of these assets, on the same basis as other property assets, commences when the assets are ready for their intended use.

Depreciation is recognized so as to write off the cost of assets other than construction in progress less their residual values over their estimated useful lives, using the straight-line method. The estimated useful lives, residual values and depreciation method are reviewed at the end of each reporting period, with the effect of any changes in estimate accounted for on a prospective basis.

An item of property and equipment is derecognized upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on the disposal or retirement of an item of property and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognized in profit or loss.

Intangible assets

Intangible assets acquired separately

Intangible assets with finite useful lives that are acquired separately are carried at costs less accumulated amortization and any accumulated impairment losses. Amortization for intangible assets with finite useful lives is recognized on a straight-line basis over their estimated useful lives. The estimated useful life and amortization method are reviewed at the end of each reporting period, with the effect of any changes in estimate being accounted for on a prospective basis.

Internally-generated intangible assets – research and development expenditure

Expenditure on research activities is recognized as an expense in the period in which it is incurred.

An internally-generated intangible asset arising from development activities (or from the development phase of an internal project) is recognized if, and only if, all of the following have been demonstrated:

- the technical feasibility of completing the intangible asset so that it will be available for use or sale;

- the intention to complete the intangible asset and use or sell it;

- the ability to use or sell the intangible asset;
- how the intangible asset will generate probable future economic benefits;
- the availability of adequate technical, financial and other resources to complete the development and to use or sell the intangible asset; and
- the ability to measure reliably the expenditure attributable to the intangible asset during its development.

The amount initially recognized for internally-generated intangible asset is the sum of the expenditure incurred from the date when the intangible asset first meets the recognition criteria listed above. Where no internally generated intangible asset can be recognized, development expenditure is recognized in profit or loss in the period in which it is incurred.

Subsequent to initial recognition, internally-generated intangible assets are reported at cost less accumulated amortization and accumulated impairment losses (if any), on the same basis as intangible assets that are acquired separately.

Impairment on property and equipment, right-of-use assets and intangible assets

At the end of the reporting period, the Group reviews the carrying amounts of property and equipment, right-of-use assets and intangible assets with finite useful lives to determine whether there is any indication that these assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the relevant asset is estimated in order to determine the extent of the impairment loss (if any).

The recoverable amount of property and equipment, right-of-use assets and intangible assets are estimated individually. When it is not possible to estimate the recoverable amount individually, the Group estimates the recoverable amount of the cash-generating unit (the "CGU") to which the asset belongs.

In testing a CGU for impairment, corporate assets are allocated to the relevant CGU when a reasonable and consistent basis of allocation can be established, or otherwise they are allocated to the smallest group of cash generating units for which a reasonable and consistent allocation basis can be established. The recoverable amount is determined for the CGU or group of CGUs to which the corporate asset belongs, and is compared with the carrying amount of the relevant CGU or group of CGUs.

Recoverable amount is the higher of fair value less costs of disposal and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset (or a CGU) for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or a CGU) is estimated to be less than its carrying amount, the carrying amount of the asset (or a CGU) is reduced to its recoverable amount. For corporate assets or portion of corporate assets which cannot be allocated on a reasonable and consistent basis to a cash-generating unit, the Group compares the carrying amount of a group of CGUs, including the carrying amounts of the corporate assets or portion of corporate assets allocated to that group of CGUs, with the recoverable amount of the CGUs. In allocating the impairment loss, the impairment loss is allocated to the assets on a pro-rata basis based on the carrying amount of each asset in the unit or the group of CGUs. The carrying amount of an asset is not reduced below the highest of its fair value less costs of disposal (if measurable), its value in use (if determinable) and zero. The amount of the impairment loss that would otherwise have been allocated to the asset is allocated pro rata to the other assets of the unit or the group of CGUs. An impairment loss is recognized immediately in profit or loss.

Where an impairment loss subsequently reverses, the carrying amount of the asset (or CGU or the group of CGUs) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognized for the asset (or a CGU or the group of CGUs) in prior years. A reversal of an impairment loss is recognized immediately in profit or loss.

Cash and cash equivalents

Cash and cash equivalents presented on the consolidated statement of financial position include:

(a) cash, which comprises of cash on hand and demand deposits, excluding bank balances that are subject to regulatory restrictions that result in such balances no longer meeting the definition of cash; and

(b) cash equivalents, which comprises of short-term (generally with original maturity of three months or less), highly liquid investments that are readily convertible to a known amount of cash and which are subject to an insignificant risk of changes in value. Cash equivalents are held for the purpose of meeting short-term cash commitments rather than for investment or other purposes.

Inventories

Inventories are stated at the lower of cost and net realizable value. Costs of inventories are determined on a weighted average method. Net realizable value represents the estimated selling price for inventories less all estimated costs of completion and costs necessary to make the sale. Costs necessary to make the sale include incremental costs directly attributable to the sale and non-incremental costs which the Group must incur to make the sale.

Contract fulfilment cost

The Group incurs costs to fulfil a contract in the contract development services and maintenance services. The Group first assesses whether these costs qualify for recognition as an asset in terms of other relevant standards, failing which it recognises an asset for these costs only if they meet all of the following criteria:

(a) the costs relate directly to a contract or to an anticipated contract that the Group can specifically identify;

(b) the costs generate or enhance resources of the Group that will be used in satisfying (or in continuing to satisfy) performance obligations in the future; and

(c) the costs are expected to be recovered.

The asset is subsequently recognized to profit or loss at a point in time when results of research and development services are accepted by the customers.

Provisions

Provisions are recognized when the Group has a present obligation (legal or constructive) as a result of a past event, it is probable that the Group will be required to settle that obligation, and a reliable estimate can be made of the amount of the obligation.

The amount recognized as a provision is the best estimate of the consideration required to settle the present obligation at the end of the reporting period, taking into account the risks and uncertainties surrounding the obligation. When a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is the present value of those cash flows (when the effect of the time value of money is material).

Provisions for the expected cost of assurance-type warranty obligations under the relevant contracts with customers for sales of equipments are recognized at the date of sale of the relevant products, at the directors' best estimate of the expenditure required to settle the Group's obligation.

Present obligations arising under onerous contracts are recognised and measured as provisions. An onerous contract is considered to exist where the Group has a contract under which the unavoidable costs of meeting the obligations under the contract exceed the economic benefits expected to be received from the contract. The unavoidable costs under a contract reflect the least net cost of exiting from the contract, which is the lower of the net cost of fulfilling it and any compensation or penalties arising from failure to fulfil it.

When assessing whether a contract is onerous or loss-making, the Group includes costs that relate directly to the contract, consisting of both the incremental costs (to specify, e.g. direct labour and materials) and an allocation of other costs (to specify, e.g. an allocation of the depreciation charge for an item of property and equipment used in fulfilling that contract) that relate directly to fulfilling contracts.

Financial instruments

Financial assets and financial liabilities are recognized when an entity becomes a party to the contractual provisions of the instrument. All regular way purchases or sales of financial assets are recognized and derecognized on a trade date basis.

Financial assets and financial liabilities are initially measured at fair value except for trade receivables arising from contracts with customers which are initially measured in accordance with IFRS 15 *Revenue from Contracts with Customers*. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than for financial assets at FVTPL) are added to or deducted from the fair value of the financial assets, as appropriate, on initial recognition. Transaction costs directly attributable to the acquisition of financial assets at FVTPL are recognized immediately in profit or loss.

The effective interest method is a method of calculating the amortized cost of a financial asset or financial liability and of allocating interest income and interest expense over the Track Record Period. The effective interest rate is the rate that exactly discounts estimated future cash receipts and payments (including all fees and points paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) through the expected life of the financial asset or financial liability, or, where appropriate, a shorter period, to the net carrying amount on initial recognition.

Financial assets

Regular way purchases or sales are purchases or sales of financial assets that require delivery of assets within the time frame established by regulation or convention in the market place concerned.

All recognized financial assets are measured subsequently in their entirety at either amortized cost or fair value depending on the classification of the financial assets.

Classification and subsequent measurement of financial assets

Financial assets that meet the following conditions are subsequently measured at amortized cost:

- the financial asset is held within a business model whose objective is to collect contractual cash flows; and

- the contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

All other financial assets are subsequently measured at FVTPL.

(i) Amortized cost and interest income

Interest income is recognized using the effective interest method for financial assets measured subsequently at amortized cost. Interest income is calculated by applying the effective interest rate to the gross carrying amount of a financial asset, except for financial assets that have subsequently become credit-impaired (see below). For financial assets that have subsequently become credit-impaired, interest income is recognized by applying the effective interest rate to the amortized cost of the financial asset from the next reporting period. If the credit risk on the credit- impaired financial instrument improves so that the financial asset is no longer credit-impaired, interest income is recognized by applying the effective interest rate to the gross carrying amount of the financial asset from the beginning of the reporting period following the determination that the asset is no longer credit impaired.

(ii) Financial assets at FVTPL

Financial assets that do not meet the criteria for being measured at amortized cost are measured at FVTPL.

Financial assets at FVTPL are measured at fair value at the end of each reporting period, with any fair value gains or losses recognized in profit or loss. The net gain or loss recognized in profit or loss excludes any dividend earned on the financial asset and is included in the "other gains and losses" line item.

Impairment of financial assets subject to impairment assessment under IFRS 9

The Group performs impairment assessment under expected credit loss ("ECL") model on financial assets (including trade receivables, other receivables, amounts due from subsidiaries, time deposits and cash and cash equivalents) which are subject to impairment assessment under IFRS 9. The amount of ECL is updated at the reporting date to reflect changes in credit risk since initial recognition.

Lifetime ECL represents the ECL that will result from all possible default events over the expected life of the relevant instrument. In contrast, 12-month ECL ("12m ECL") represents the portion of lifetime ECL that is expected to result from default events that are possible within 12 months after the reporting date. Assessment are done based on the Group's historical credit loss experience, adjusted for factors that are specific to the debtors, general economic conditions and an assessment of both the current conditions at the reporting date as well as the forecast of future conditions.

The Group always recognizes lifetime ECL for trade receivables.

For all other instruments, the Group measures the loss allowance equal to 12m ECL, unless when there has been a significant increase in credit risk since initial recognition, in which case the Group recognizes lifetime ECL. The assessment of whether lifetime ECL should be recognized is based on significant increases in the likelihood or risk of a default occurring since initial recognition.

(i) Significant increase in credit risk

In assessing whether the credit risk has increased significantly since initial recognition, the Group compares the risk of a default occurring on the financial instrument as at the reporting date with the risk of a default occurring on the financial instrument as at the date of initial recognition. In making this assessment, the Group considers both quantitative and qualitative information that is reasonable and supportable, including historical experience and forward-looking information that is available without undue cost or effort.

In particular, the following information is taken into account when assessing whether credit risk has increased significantly:

- an actual or expected significant deterioration in the financial instrument's internal credit rating;
- significant deterioration in external market indicators of credit risk;
- existing or forecast adverse changes in business, financial or economic conditions that are expected to cause a significant decrease in the debtor's ability to meet its debt obligations;
- an actual or expected significant deterioration in the operating results of the debtor; or
- an actual or expected significant adverse change in the regulatory, economic, or technological environment of the debtor that results in a significant decrease in the debtor's ability to meet its debt obligations.

Irrespective of the outcome of the above assessment, the Group presumes that the credit risk has increased significantly since initial recognition when contractual payments are more than 30 days past due, unless the Group has reasonable and supportable information that demonstrates otherwise.

Despite the foregoing, the Group assumes that the credit risk on a debt instrument has not increased significantly since initial recognition if the debt instrument is determined to have low credit risk at the reporting date. A debt instrument is determined to have low credit risk if (i) it has a low risk of default, (ii) the borrower has a strong capacity to meet its contractual cash flow obligations in the near term and (iii) adverse changes in economic and business conditions in the longer term may, but will not necessarily, reduce the ability of the borrower to fulfil its contractual cash flow obligations.

The Group regularly monitors the effectiveness of the criteria used to identify whether there has been a significant increase in credit risk and revises them as appropriate to ensure that the criteria are capable of identifying significant increase in credit risk before the amount becomes past due.

(ii) Definition of default

For internal credit risk management, the Group considers an event of default occurs when information developed internally or obtained from external sources indicates that the debtor is unlikely to pay its creditors, including the Group, in full (without taking into account any collaterals held by the Group).

Irrespective of the above, the Group considers that default has occurred when a financial asset is more than 90 days past due unless the Group has reasonable and supportable information to demonstrate that a more lagging default criterion is more appropriate.

(iii) Credit-impaired financial assets

A financial asset is credit-impaired when one or more events of default that have a detrimental impact on the estimated future cash flows of that financial asset have occurred. Evidence that a financial asset is credit-impaired includes observable data about the following events:

(a) significant financial difficulty of the issuer or the borrower;

(b) a breach of contract, such as a default or past due event;

(c) the lender(s) of the borrower, for economic or contractual reasons relating to the borrower's financial difficulty, having granted to the borrower a concession(s) that the lender(s) would not otherwise consider; or

(d) it is becoming probable that the borrower will enter bankruptcy or other financial reorganization.

(iv) Write-off policy

The Group writes off a financial asset when there is information indicating that the counterparty is in severe financial difficulty and there is no realistic prospect of recovery, for example, when the counterparty has been placed under liquidation or has entered into bankruptcy proceedings. Financial assets written off may still be subject to enforcement activities under the Group's recovery procedures, taking into account legal advice where appropriate. A write-off constitutes a derecognition event. Any subsequent recoveries are recognized in profit or loss.

(v) Measurement and recognition of ECL

The measurement of ECL is a function of the probability of default, loss given default (i.e. the magnitude of the loss if there is a default) and the exposure at default. The assessment of the probability of default and loss given default is based on historical data and forward-looking information. Estimation of ECL reflects an unbiased and probability-weighted amount that is determined with the respective risks of default occurring as the weights. The Group uses a practical expedient in estimating ECL on trade receivables using a provision matrix taking into consideration historical credit loss experience, adjust for factors that are specific to the debtors, general economic conditions and forward looking information including time value of money where appropriate that is available without undue cost or effort.

Generally, the ECL is the difference between all contractual cash flows that are due to the Group in accordance with the contract and the cash flows that the Group expects to receive, discounted at the effective interest rate determined at initial recognition.

Lifetime ECL for third party trade receivables (except for trade receivables from customers with high credit risk, which are assessed individually) and amounts due from subsidiaries are considered on a collective basis taking into consideration past due information and relevant credit information such as forward looking macroeconomic information.

For collective assessment, the Group takes into consideration the following characteristics when formulating the grouping:

- Past-due status;
- Nature, size and industry of debtors; and
- External credit ratings where available.

The grouping is regularly reviewed by management to ensure the constituents of each group continue to share similar credit risk characteristics.

Interest income is calculated based on the gross carrying amount of the financial asset unless the financial asset is credit-impaired, in which case interest income is calculated based on amortized cost of the financial asset.

The Group recognizes an impairment gain or loss in profit or loss for all financial instruments by adjusting their carrying amount, with the exception of trade receivables and other receivables and amounts due from subsidiaries where the corresponding adjustment is recognized through a loss allowance account.

Foreign exchange gains and losses

The carrying amount of financial assets that are denominated in a foreign currency is determined in that foreign currency and translated at the spot rate at the end of each reporting period.

Derecognition of financial assets

The Group derecognizes a financial asset only when the contractual rights to the cash flows from the asset expire, or when it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another entity.

On derecognition of a financial asset measured at amortized cost, the difference between the asset's carrying amount and the sum of the consideration received and receivable is recognized in profit or loss.

Financial liabilities and equity

Classification as debt or equity

Debt and equity instruments are classified as either financial liabilities or as equity in accordance with the substance of the contractual arrangements and the definitions of a financial liability and an equity instrument.

Equity instruments

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by the Company are recognized at the proceeds received, net of direct issue costs.

Repurchase of the Company's own equity instruments is recognized and deducted directly in equity. No gain or loss is recognized in profit or loss on the purchase, sale, issue or cancellation of the Company's own equity instruments.

Financial liabilities at amortized cost

All financial liabilities including trade and other payables, bank borrowings and redemption liabilities and are subsequently measured at amortised cost using the effective interest method.

Foreign exchange gains and losses

For financial liabilities that are denominated in a foreign currency and are measured at amortized cost at the end of each reporting period, the foreign exchange gains and losses are determined based on the amortized cost of the instruments. These foreign exchange gains and losses are recognized in the 'Other gains and losses', line item in profit or loss (note 8) as part of net foreign exchange gains (losses) for financial liabilities.

Derecognition of financial liabilities

The Group derecognises financial liabilities when, and only when, the Group's obligations are discharged, canceled or have expired. The difference between the carrying amount of the financial liability derecognized and the consideration paid and payable, is recognized in profit or loss.

Derivative financial instruments

Derivatives are initially recognized at fair value at the date when derivative contracts are entered into and are subsequently remeasured to their fair value at the end of the reporting period. The resulting gain or loss is recognized in profit or loss.

Embedded derivatives

Derivatives embedded in hybrid contracts that contain financial asset hosts within the scope of IFRS 9 are not separated. The entire hybrid contract is classified and subsequently measured in its entirety as either amortised cost or fair value as appropriate.

Offsetting a financial asset and a financial liability

A financial asset and a financial liability are offset and the net amount presented in the consolidated statement of financial position when, and only when, the Group currently has a legally enforceable right to set off the recognized amounts; and intends either to settle on a net basis, or to realise the asset and settle the liability simultaneously.

5. CRITICAL ACCOUNTING JUDGMENT AND KEY SOURCES OF ESTIMATION UNCERTAINTY

In the application of the Group's accounting policies, which are described in Note 4, the directors of the Company are required to make estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and underlying assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an on-going basis. Revisions to accounting estimates are recognized in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods if the revision affects both current and future periods.

Critical judgment in applying accounting policies

The following is the critical judgment, apart from those involving estimations (see below), that the Directors have made in the process of applying the Group's accounting policies and that have the most significant effect on the amounts recognized in the Historical Financial Information.

Research and development expenditures

Development costs incurred on the Group's projects to develop new products are capitalized and deferred only when the Group can demonstrate the technical feasibility of completing the intangible asset so that it will be available for use or sale, the Group's intention to complete and use or sell the asset, how the asset will generate probable future economic benefits, the availability of adequate technical, financial and other resources to complete the projects, the Group's ability to use or sell the asset and the ability to measure reliably the expenditure during the development. Development costs which do not meet these criteria are expensed when incurred.

The Directors assess the progress of each of the research and development projects and determine whether the criteria are met for capitalization. During the Track Record Period, all development costs are expensed when incurred.

Key sources of estimation uncertainty

The following are the key assumptions concerning the future, and other key sources of estimation uncertainty at the end of the reporting period that have a significant risk of causing a material adjustment to the carrying amounts of assets within the next financial year.

Useful lives of property and equipment

The Directors determines the estimated useful lives and residual values in determining the related charges for its property and equipment. This estimate is referenced to useful lives of property and equipment of similar nature and functions in the industry. The information about useful lives of property and equipment are disclosed in Note 16.

6. REVENUE AND SEGMENT INFORMATION

(i) Disaggregation of revenue from contracts with customers

	Year ended December 31, 2024
	RMB'000
Types of goods or services	
Sales of medical devices	
Inhaled Nitric Oxide (iNO) therapy devices	38,070
Respiratory diagnosis devices	2,992
	41,062
Other products and services	
Contract development services	3,774
Others *(Note i)*	711
	45,547
Timing of revenue recognition	
A point in time	45,448
Over time	99
	45,547
Sales Channel	
Distributors	41,773
Others	3,774
	45,547

Notes:

(i) Others are mainly generated from maintenance services and sales of consumer health products.

(ii) Overseas markets mainly include Taiwan China, Mongolia and Indonesia.

(ii) Performance obligations for contracts with customers and revenue recognition policies

Sales of medical devices

The Group sells medical devices to distributors in the PRC and overseas.

For sales of medical devices to customers in the PRC, revenue is recognized when control of the goods has transferred, being when the goods have been delivered and accepted by the customers. For sales of medical devices to customers in the overseas, revenue is recognized when control of the goods has been transferred to the carriers for shipment, being at the point the goods are delivered to the customer's specific location.

Following the customer' acceptance, the customer has ability to direct the use of the products and bears the risks of obsolescence and loss in relation to the products. The Group mainly requires 100% prepayment from customers for sales of medical devices before goods been delivered, except for sales of consumer health products, the Group offers a credit period of 0 to 90 days upon delivery. This will give rise to contract liabilities at the start of a contract, until the goods been accepted by the customers. A contract liability represents the Group's obligation to transfer goods to a customer for which the Group has received consideration from the customer.

Sales-related warranties associated with medical devices cannot be purchased separately and they serve as an assurance type of warranty that the products sold comply with agreed-upon specifications. Accordingly, the Group accounts for warranties in accordance with IAS 37. Please refer to Note 28 for details.

Contract development services

The Group provides contract development services to third party customers. The contract development services are usually in the form of provision of technical design report. Revenue related to contract development services is recognized when the customers obtain the control of the deliverables, which occur at a point in time, upon delivery based on the contracts.

(iii) Transaction price allocated to the remaining performance obligation for contracts with customers

The Group applies the practical expedient of not disclosing the transaction price allocated to performance obligations that were unsatisfied as the Group's contract has an original expected duration of less than one year.

(iv) Segment information

Information reported to the executive directors of the Company, being the chief operating decision maker (the "CODM"), for the purposes of resource allocation and assessment focuses on revenue analysis by products. During the Track Record Period, the CODM assesses the operating performance and allocates resources of the Group as a whole. No other discrete financial information is provided to the CODM other than the Group's results and financial position as a whole. In this regard, no segment information is presented.

Geographic information

Information of the Group's revenue, determined based on geographical location of customers, during the Track Record Period is as follows:

	Year ended December 31,
	2024
	RMB'000
Geographical markets	
Chinese mainland	41,649
Overseas *(Note ii)*	3,898
	45,547

Substantially all of the Group's non-current assets are located in the PRC as of December 31, 2024.

Information about major customers

No revenue amounting to 10% or more of the Group's total revenue was derived from sales to one customer.

7. OTHER INCOME

	Year ended December 31,
	2024
	RMB'000
Government grant *(Note)*	2,969
Interest income from time deposits and bank balances	3,948
Interest income from structured deposits	644
Others	187
	7,748

Note: The government grants related to income mainly represent unconditional government subsidies received from relevant government bodies as incentives for the research and development activities and compensation of rental expenses. The government grants are accounted for as immediate financial support with no future related costs expected to be incurred and are not related to any assets.

8. OTHER GAINS AND LOSSES

	Year ended December 31, 2024
	RMB'000
Losses on disposals of property and equipment	(514)
Losses on disposals of intangible asset	(694)
Losses on termination of lease	(2)
Net foreign exchange gains	27
Others	316
	(867)

9. IMPAIRMENT LOSSES UNDER EXPECTED CREDIT LOSS MODEL, NET OF REVERSAL

	Year ended December 31, 2024
	RMB'000
Impairment losses recognized on:	
– trade receivables	(129)

Details of impairment assessment are set out in Note 34.

10. FINANCE COSTS

	Year ended December 31, 2024
	RMB'000
Interest expense on:	
– redemption liabilities *(Note 30)*	(28,679)
– bank borrowings	(837)
– lease liabilities	(155)
	(29,671)

11. LOSS BEFORE TAX

Loss before tax for the year during the Track Record Period has been arrived at after charging:

	Year ended December 31, 2024
	RMB'000
Depreciation of property and equipment	6,218
Depreciation of right-of-use assets	2,343
Amortization of intangible assets	630
Total depreciation and amortization	9,191
Directors' and supervisors' remuneration *(Note 13)*	3,480
Other staff costs	
– salaries and other benefits	40,798
– retirement benefit scheme contributions	3,750
– equity-settled share-based payments expenses	1,493
Total staff costs	49,521
Cost of inventories recognized as an expense (including write-down of inventories amounting to RMB180,000)	16,864
Research and development costs recognized as an expense	32,982

12. INCOME TAX EXPENSE AND DEFERRED TAXATION

Under the Law of the PRC on Enterprise Income Tax (the "EIT Law") and Implementation Regulation of the EIT Law, the statutory tax rate of the Company and its PRC subsidiaries is 25%.

The Company has been accredited as a "high and new technical enterprise" (the "HNTE") on November 6, 2023. The Company is entitled to a preferential income tax rate of 15% during the Track Record Period.

PRC subsidiaries of the Company were subject to "small and thin-profit enterprises" and would benefit from a preferential tax rate of 20% under the EIT Law and enjoyed 75% reduction on annual taxable income during the Track Record Period.

According to the relevant laws and regulations promulgated by the State Administration of Taxation of the PRC that have been effective from 2018 onwards, enterprise engaging in research and development activities are entitled to claim 200% of their research and development expenditures incurred as tax deductible expenses when determining their assessable profits during the Track Record Period.

No provision for PRC income tax has been provided in the financial statements as the Group has no assessable profit during the Track Record Period.

The income tax expense for the Track Record Period can be reconciled to the loss before tax per the consolidated statement of profit or loss and other comprehensive income as follows:

	Year ended December 31,
	2024
	RMB'000
Loss before tax	(86,246)
Tax at the PRC EIT rate of 25%	(21,562)
Tax effect of expenses not deductible for tax purposes	4,722
Tax effect of extra deduction of research and development expenses	(4,195)
Tax effect of deductible temporary differences not recognized	68
Utilisation of tax losses previously not recognized	(69)
Tax effect of tax losses not recognized	14,690
Income tax at concessionary rate	6,346
	–

As at 31 December 2024, the Group has unused tax losses of RMB289,553,000 available for offset against future profits. The deferred tax assets and the deferred tax liabilities arising from lease contracts of the same subsidiary amounted to RMB954,000 have been offset in the statements of financial position for presentation purposes. Except the deferred tax assets that have been offset, the Group has deductible temporary differences for which deferred tax assets are not recognized of RMB1,109,000 as at 31 December 2024.

Deferred tax assets have not been recognized in respect of these losses as these have been arisen by the Company and its subsidiaries that have been loss-making for certain period of time, and it is not considered probable that taxable profits in the foreseeable future will be available against which the tax losses.

The unrecognized tax losses of the Group will be carried forward and expire in years as follows:

	As at December 31, 2024
	RMB'000
2026	639
2027	4,907
2028	5,121
2029	15,234
2030	6,394
2031	36,496
2032	67,067
2033	78,185
2034	75,510
	289,553

13. DIRECTORS', SUPERVISORS', CHIEF EXECUTIVE'S AND EMPLOYEES' EMOLUMENTS

(a) Directors', Supervisors', and chief executive's emoluments

During the Track Record Period, directors', supervisors' and chief executive's remuneration disclosed pursuant to the applicable Listing Rules and Hong Kong Companies Ordinance are as follows:

	Salaries and other benefits	Retirement benefit scheme contributions	Discretionary bonuses	Total
	RMB'000	*RMB'000*	*RMB'000*	*RMB'000*
For the year ended December 31, 2024				
Executive director and chief executive officer:				
Dr. Mao Wen (毛雯) *(Note i)*	600	134	75	809
Executive directors:				
Mr. Zhang Yuyan (張煜彥) *(Note ii)*	722	108	150	980
Mr. Cao Guiping (曹貴平) *(Note iii)*	600	108	75	783
Non-executive directors:				
Ms. Qin Yu *(Note iv)*	–	–	–	–
Mr. Deng Feng *(Note v)*	–	–	–	–
Ms. Cao Yu (曹宇) *(Note vi)*	–	–	–	–
Mr. He Xing (何邢) *(Note vii)*	–	–	–	–
Supervisor:				
Mr. Ou Junlin (歐軍林) *(Note viii)*	600	83	225	908
	2,522	433	525	3,480

Notes:

i. Dr. Mao Wen was appointed as the executive director and chief executive officer of the Group on April 22, 2020.

ii. Mr. Zhang Yuyan was appointed as the executive director of the Group on September 30, 2021.

iii. Mr. Cao Guiping was appointed as the executive director of the Group on December 28, 2020.

iv. Ms. Qin Yu was appointed as the non-executive director of the Group on December 29, 2020. And she was resigned as the non-executive director of the Group on December 18, 2025.

v. Mr. Deng Feng was appointed as the non-executive director of the Group on September 30, 2021.

vi. Ms. Cao Yu was appointed as the non-executive director of the Group on September 30, 2021.

vii. Mr. He Xing was appointed as the non-executive director of the Group on April 22, 2020.

viii. Mr. Ou Junlin was appointed as the supervisor of the Group on April 6, 2023. And he was resigned as the supervisor of the Group on December 18, 2025.

The executive directors' emoluments shown above were for their services in connection with the management of the affairs of the Company and the Group during the Track Record Period. The supervisors' emoluments shown above were paid for their services as supervisors of the Company during the Track Record Period. None of the directors or supervisors of the Company waived or agreed to waive any emoluments during the Track Record Period.

(b) Five highest paid employees

The five highest paid individuals of the Group included three directors of the Company during the year ended December 31, 2024, details of whose remuneration are set out above. Details of the remuneration for the remaining two highest paid individuals during the year ended December 31, 2024 are as follows:

	Year ended December 31,
	2024
	RMB'000
Salaries and other benefits	1,640
Retirement benefit scheme contributions	285
Discretionary bonuses	386
	2,311

The number of the five highest paid individuals fell within the following bands is as below:

	Year ended December 31,
	2024
HK$500,001 to HK$1,000,000	3
HK$1,000,001 to HK$1,500,000	2
	5

During the Track Record Period, no emoluments were paid by the Group to any of the executive director, non-executive directors, supervisors or the five highest paid individuals as an inducement to join or upon joining the Group or as compensation for loss of office.

14. DIVIDENDS

No dividend was paid nor declared by the Company during the Track Record Period.

15. LOSS PER SHARE

The calculation of basic loss per share attributable to owners of the Company is based on the following data:

	Year ended December 31, 2024
Loss (RMB'000)	
Loss for the purpose of basic loss per share attributable to owners of the Company	(86,246)
Number of shares ('000)	
Weighted average number of ordinary shares for the purpose of basic loss per share calculation	79,710
RMB	(1.08)

No diluted loss per share for the Track Record Period as the conversion of the Company's outstanding redemption liabilities would result in a decrease in loss per share.

The weighted average number of ordinary shares for the purpose of calculating basic loss per share for the Track Record Period has been determined on the assumptions that the [**REDACTED**] as set out in Note 42 and "Share Capital" section of the document had been effective since January 1, 2024.

16. PROPERTY AND EQUIPMENT

The Group

	Leasehold improvement	Machinery	Office furniture	Electronic and other equipment	Construction in progress	Total
	RMB'000	*RMB'000*	*RMB'000*	*RMB'000*	*RMB'000*	*RMB'000*
COST						
At January 1, 2024	6,575	12,944	3,113	1,516	–	24,148
Additions	5,320	4,504	29	212	1,376	11,441
Transfers	1,376	–	–	–	(1,376)	–
Disposals	(637)	(11)	(24)	(29)	–	(701)
At December 31, 2024	12,634	17,437	3,118	1,699	–	34,888
DEPRECIATION						
At January 1, 2024	4,367	2,919	1,202	935	–	9,423
Provided for the year	2,456	2,780	595	387	–	6,218
Eliminated on disposals	(151)	(4)	(6)	(21)	–	(182)
At December 31, 2024	6,672	5,695	1,791	1,301	–	15,459
CARRYING AMOUNTS						
At December 31, 2024	5,962	11,742	1,327	398	–	19,429

The Company

	Leasehold improvement	Machinery	Office furniture	Electronic and other equipment	Construction in progress	Total
	RMB'000	*RMB'000*	*RMB'000*	*RMB'000*	*RMB'000*	*RMB'000*
COST						
At January 1, 2024	5,600	10,661	3,033	1,505	–	20,799
Additions	184	2,678	–	43	–	2,905
Disposals	–	–	–	(29)	–	(29)
At December 31, 2024	5,784	13,339	3,033	1,519	–	23,675
DEPRECIATION						
At January 1, 2024	4,009	2,572	1,195	929	–	8,705
Provided for the year	1,461	2,174	576	370	–	4,581
Eliminated on disposals	–	–	–	(21)	–	(21)
At December 31, 2024	5,470	4,746	1,771	1,278	–	13,265
CARRYING AMOUNTS						
At December 31, 2024	314	8,593	1,262	241	–	10,410

The above items of property and equipment are depreciated on a straight-line basis, after taking into account their estimated residual value, at the following periods:

Leasehold improvement	Shorter of their useful lives and the lease term
Machinery	5-7 years
Office furniture	5 years
Electronic and other equipment	3 years

17. RIGHT-OF-USE ASSETS

The Group

	Leasehold properties
	RMB'000
At December 31, 2024	
Carrying amount	5,921
For the year ended December 31, 2024	
Depreciation charge	2,343

	Leasehold properties
	RMB'000
Expense relating to short-term leases	72
Total cash outflow for leases	155
Additions to right-of-use assets	6,401
Termination of lease contract	619

During the Track Record Period, the Group leased various properties for its operations. Lease contracts are entered into for fixed term from 3 to 5 years. The lease terms are negotiated on an individual basis and contain different terms and conditions. In determining the lease term and assessing the length of the non-cancellable period, the Group applies the definition of a contract and determines the period for which the contract is enforceable.

During the Track Record Period, the Group regularly entered into short-term leases for office premises. As at December 31, 2024, the portfolio of short-term leases is similar to the portfolio of short-term leases to which the short-term lease expense disclosed above.

Restrictions or covenants on leases

In addition, lease liabilities of RMB6,654,000 are recognized with related right-of-use assets of RMB5,921,000 as at December 31, 2024. The lease agreements do not impose any covenants other than the security interests in the leased assets that are held by the lessor.

Details of the lease maturity analysis of lease liabilities are set out in Notes 27 and 34.

The Company

	Leasehold properties
	RMB'000
At December 31, 2024	
Carrying amount	5,078
For the year ended December 31, 2024	
Depreciation charge	1,801

	Leasehold properties
	RMB'000
Additions to right-of-use assets	5,713

Restrictions or covenants on leases

In addition, lease liabilities of RMB5,792,000 are recognized with related right-of-use assets of RMB5,078,000 as at December 31, 2024. The lease agreements do not impose any covenants other than the security interests in the leased assets that are held by the lessor.

18. INTANGIBLE ASSETS

The Group and the Company

	Software	Patent	Total
	RMB'000	*RMB'000*	*RMB'000*
COST			
At January 1, 2024	1,259	1,000	2,259
Additions	210	–	210
Disposals	–	(1,000)	(1,000)
At December 31, 2024	1,469	–	1,469
AMORTIZATION			
At January 1, 2024	502	83	585
Charge for the year	407	223	630
Disposals	–	(306)	(306)
At December 31, 2024	909	–	909
CARRYING VALUES			
At December 31, 2024	560	–	560

The above intangible assets have finite useful lives. Such intangible assets are amortized on a straight-line basis over the following periods:

Software	2-3 years
Patent	3 years

19. INTEREST IN AN ASSOCIATE

The Group and the Company

Associate	As at December 31, 2024
	RMB'000
Cost of investments, unlisted	600
Share of loss	(93)
	507

Details of the Group's associate at the end of the reporting period are as follows:

Name of entity	Country of incorporation/ registration	Principal place of business	Proportion of ownership interest and voting rights held by the Group 2024	Principle activities
Suzhou Yingchuang Medical Technology Co., Ltd.* (蘇州影創醫療科技有限公司) *(note)*	The PRC	Suzhou	30%	Research, development and sales of medical devices

Note: Suzhou Yingchuang Medica Technology Co., Ltd. was registered on September 19, 2024.

* English name is for identification purpose only

20. INVESTMENTS IN SUBSIDIARIES

The Company

Subsidiaries	As at December 31, 2024
	RMB'000
Cost of investments, unlisted	40,237
Impairment loss of an subsidiary *(Note)*	(6,050)
	34,187

Note: The investments in subsidiaries are assessed for impairment loss whenever there is an indication that maybe impaired. The Company recognized full impairment loss related to investment in Changsha Novlead Biotechnology Co., Ltd.* (長沙諾什生物科技有限公司), one of its subsidiaries, during the year ended December 31, 2024.

* English name is for identification purpose only

21. OTHER NON-CURRENT ASSETS

	The Group	The Company
	As at December 31,	As at December 31,
	2024	2024
	RMB'000	*RMB'000*
Rental deposits	400	360
Prepayment for acquisition of property and equipment	3,426	1,521
	3,826	1,881

22. INVENTORIES

	The Group	The Company
	As at December 31,	As at December 31,
	2024	2024
	RMB'000	*RMB'000*
Raw materials and consumables	6,807	4,250
Work in progress	571	120
Finished goods	4,157	3,102
	11,535	7,472

23. PREPAYMENTS, DEPOSITS AND OTHER RECEIVABLES

	The Group	The Company
	As at December 31,	As at December 31,
	2024	2024
	RMB'000	*RMB'000*
Prepayments to suppliers	4,280	3,194
Deposits	241	257
Others	389	333
	4,910	3,784

24. CASH AND CASH EQUIVALENTS/TIME DEPOSITS

	The Group	The Company
	As at December 31,	As at December 31,
	2024	2024
	RMB'000	*RMB'000*
Cash on hand	17	17
Bank balances	47,115	37,941
Time deposits	127,580	127,580
	174,712	165,538
Cash and cash equivalents	69,100	59,926
Time deposits with maturity over three months	105,612	105,612
	174,712	165,538
Time deposits and bank balances and cash		
Analysed as:		
Non-current	73,398	73,398
Current	101,314	92,140

The carrying amounts of the Group's and the Company's bank balances and cash denominated in currencies other than functional currencies of the relevant group entities at the end of each reporting period are as follows:

	The Group	The Company
	As at December 31,	As at December 31,
	2024	2024
	RMB'000	*RMB'000*
USD	4,367	4,367

The Group's and the Company's cash and cash equivalents and time deposits carry interest at market rates per annum ranging as follows:

	The Group	The Company
	As at December 31,	As at December 31,
	2024	2024
Time deposits	2.7%-4.1%	2.7%-4.1%
Cash and cash equivalents	0.05%-1.15%	0.05%-0.1%

25. TRADE AND OTHER PAYABLES

	The Group	The Company
	As at December 31,	As at December 31,
	2024	2024
	RMB'000	*RMB'000*
Trade payables	1,092	792
Accrued staff costs and benefits	7,536	6,382
Accrued service fee	4,440	4,401
Payables to staff	1,733	1,326
Accrued royalty fee	583	583
Other taxes payables	321	269
Deposits from customers	170	170
Other payables	263	263
	16,138	14,186

The credit period on purchases of goods or services of the Group and the Company is generally within 90 days. The following is an aged analysis of trade payables presented based on goods or services receipt date at the end of the reporting period:

	The Group	The Company
	As at December 31,	As at December 31,
	2024	2024
	RMB'000	*RMB'000*
Within 90 days	845	560
91-180 days	141	126
180-365 days	35	35
1 to 2 years	69	69
2 to 3 years	2	2
	1,092	792

The carrying amounts of the Group's and the Company's trade and other payables denominated in currencies other than functional currencies of the relevant group entities at the end of each reporting period are as follows:

	The Group	The Company
	As at December 31,	As at December 31,
	2024	2024
	RMB'000	*RMB'000*
USD	12	12

26. BANK BORROWINGS

The Group and the Company

	As at December 31,
	2024
	RMB'000
Bank borrowings	
– Unsecured and unguaranteed	23,018
The carrying amounts of the above borrowings are repayable*:	
– within one year	23,018

* The amounts due are based on scheduled repayment dates set out in the loan agreements.

The exposure of the Group and the Company's borrowings are as follows:

	As at December 31,
	2024
	RMB'000
Fixed-rate borrowings	23,018

The range of effective interest rates per annum (which are also equal to contracted interest rates) on the Group and the Company's borrowings are as follows:

	As at December 31,
	2024
	%
Effective interest rates:	
Fixed-rate borrowings	2.50-2.90

27. LEASE LIABILITIES

	The Group	The Company
	As at December 31,	As at December 31,
	2024	2024
	RMB'000	*RMB'000*
Lease liabilities payable:		
– Within one year	2,475	2,003
– Within a period of more than one year but not exceeding two years	2,393	2,003
– Within a period of more than two years but not exceeding five years	1,786	1,786
	6,654	5,792
Less: Amounts due for settlement within 12 months shown under current liabilities	2,475	2,003
Amounts due for settlement after 12 months shown under non-current liabilities	4,179	3,789

During the Track Record Period, the incremental borrowing rates applied to lease liabilities from 3.85% to 4.75%, respectively.

28. PROVISIONS

The Group

	Warranty provision
	RMB'000
At January 1, 2024	1,581
Additional provision for the year	1,138
Utilisation of provision	(1,383)
At December 31, 2024	1,336

The Company

	Warranty provision
	RMB'000
At January 1, 2024	1,535
Additional provision in the year	1,002
Utilisation of provision	(1,300)
At December 31, 2024	1,237

The warranty provision represents management's best estimate of the Group's liability under 1-year assurance-type warranty granted on medical devices, based on prior experience and industry averages for defective products.

29. CONTRACT LIABILITIES

	The Group	The Company
	As at December 31,	As at December 31,
	2024	2024
	RMB'000	*RMB'000*
Contract liabilities	1,225	1,145

Contract liabilities of the Group mainly arise from the advance payments made by customers while the underlying products or services are yet to be provided.

As at January 1, 2024, the Group's and the Company's contract liabilities amounted to RMB1,270,000 and RMB1,187,000, respectively.

The contract liabilities of the Group and the Company as at January 1, 2024, amounted to RMB1,270,000 and RMB1,187,000 were recognized as revenue during the year ended December 31, 2024, respectively.

30. REDEMPTION LIABILITIES

The Company was established in the PRC in April 2018, with an initial registered capital of RMB3,000,000.

In February 2020, the Company entered into an investment agreement with series Angel investors, pursuant to which the Company issued and allotted approximately 750,000 shares, to series Angel investors, at a consideration of RMB10,000,000.

In December 2020, the Company entered into an investment agreement with series A investors, pursuant to which the Company issued and allotted approximately 1,022,728 shares at a consideration of RMB30,000,000.

In October 2021, the Company entered into an investment agreement with series B investors, pursuant to which the Company issued and allotted approximately 1,703,509 shares at a consideration of RMB120,000,000.

In September 2022, the Company entered into an investment agreement with series B+ investors, pursuant to which the Company issued and allotted 1,174,054 Shares at a consideration of RMB110,000,000.

From February 2024 to August 8, 2024, the Company entered into investment agreements with series C investors, pursuant to which the Company issued and allotted an aggregate of 754,830 shares at a total consideration of RMB148,000,000.

As of December 31, 2024. The cash consideration was fully settled, except for the remaining 255,010 shares with a consideration of RMB50,000,000, which were registered and settled in March 2025.

The agreements granted the following special rights to series A to C investors.

Redemption right

Investors have a right to require the Company to redeem their investment if (i) the Company failed to Qualified an [**REDACTED**] (the "[**REDACTED**]"). before a specific date; (ii) the Company and its existing shareholders have committed a major breach to the agreements (iii) the Company and its existing shareholders have committed a significant violation of laws and regulations, which has an adverse impact on the Company or results in the Company being unable to complete the [**REDACTED**].

The redemption amount is calculated as the original investment principal from investors, plus an annual simple rate of 10% of the original investment principal for a period of time commencing from the delivery date to the actual payments date of the settlement (calculated as 365 days in a calendar year).

Anti-dilution right

If the Company increases its new shares at a price lower than the price paid by the pre-registered investors who are eligible for the anti-dilution rights as stipulated in relevant investment agreements (the "**Anti-Dilution Right Holder**") on a per share capital basis prior to the [**REDACTED**], the Anti-Dilution Right Holder has a right to require the Company and the founding shareholder of the Company to take necessary actions, so that the total amount paid by the Anti-Dilution Right Holder divided by the total amount of share capital obtained is equal to the price per share capital in the new issuance.

The directors of the Company considered that the fair value of the anti-dilution right was immaterial and therefore no liability was recognized by the Company.

Liquidation preferences

In the event of any liquidation, dissolution or winding up of the Company, the Investors shall be entitled to receive the liquidation preference amount, prior and in preference to any distribution of any of the assets or surplus funds of the Company to the holders of ordinary shares. The liquidation price shall be including: (i) the original investment from the Investors plus a yield at 8% per annum (the "priority liquidation amount"); and (ii) the remaining distributable assets after the payment of the priority liquidation amount shall distribute in accordance with the share ratios to Investors.

Upon the closure of the investment, at the Group's consolidated statements of the financial position, the Group recognized the contractual obligation to the investors as financial liabilities measured at amortized cost using the effective interest rate method over the period from the closure date to the maturity date of December 31, 2027.

The Group and the Company

The movements of this redemption liabilities are as follows:

	Total
	RMB'000
At January 1, 2024	303,254
Recognition of financial instruments with preferred rights at amortized cost	98,000
Charged to finance costs	28,679
At December 31, 2024	429,933

31. PAID-IN CAPITAL

The Group and the Company

	Paid-in capital
	RMB'000
Issued and fully paid	
At January 1, 2024	7,309
Issue of Series C shares *(Note)*	500
At December 31, 2024	7,809

Note: From February 2024 to August 8, 2024, the Company entered into investment agreements with series C investors, pursuant to which the Company issued and allotted an aggregate of 754,830 shares at a total consideration of RMB148,000,000. As at December 31, 2024, 500,000 shares with a total consideration of RMB98,000,000 were registered and received, among which RMB500,000 was credited to the Company's paid-in capital and the remaining balance was credited as capital reserve. The remaining 225,000 shares with a total consideration of RMB50,000,000 were registered and received in March 2025.

Upon approval by the shareholders' general meeting held on December 18, 2025, the shareholders of the Company agreed to convert the Company into a joint stock limited liability company. The net assets of the Company as at the conversion base date, which is October 31, 2025, including paid-in capital, capital reserves, and accumulated losses were converted into 8,405,122 ordinary shares with a par value of RMB1 each. The excess of the net assets converted over the nominal value of the ordinary shares was credited to the Company's share premium.

Pursuant to the resolutions of the Shareholders dated February 5, 2026, the Shares was [**REDACTED**] on a [**REDACTED**] basis immediately prior to the [**REDACTED**], and the nominal value of the Shares was changed from RMB1.0 each to RMB[**REDACTED**] each. Immediately after the [**REDACTED**], the registered share capital of the Company was RMB8,405,122 with [**REDACTED**] Shares in a nominal value of RMB[**REDACTED**] each.

32. SHARE-BASED PAYMENT TRANSACTIONS

A share incentive plan (the "2020 Share Incentive Plan") was approved on December 10, 2020 and became effective on the same day. The purpose of the Share Incentive Plan was to provide incentives to employees and directors (the "Restricted Person") in order to promote the success of the business of the Group.

The 2020 Share Incentive Plan was implemented through a employee stock ownership platform (the "Shareholding Platforms") named Jingning Noring Team Biotechnology Partnership Enterprise (Limited Partnership) ("Jingning Noring") (景寧諾令團隊生物科技合夥企業(有限合夥). Pursuant to the 2020 Share Incentive Plan, certain employees were granted share options to acquire ordinary shares of the Company via Jingning Noring, while certain directors and senior management were granted restricted shares comprising the Company's ordinary shares held by Jingning Noring, which are subject to applicable restrictions.

(1) Share options under 2020 Share Incentive Plan

Subject to the terms and conditions as set out in the 2020 Share Incentive Plan, the share options shall vest in four equal tranches of 25% each, on the first, second, third and fourth anniversaries of the relevant grant date, respectively. Exercise of vested share options is subject to the grantee's continued employment with the Group, compliance with the Company's rules and policies, and achievement of the Company's prescribed performance targets.

Details of the share options outstanding throughout the Track Record Period are as follows:

	Number of share options	Weighted average exercise price
		RMB
Employees:		
Outstanding at 1 January 2024	220,376	15.19
Granted during the period	36,132	56.41
Outstanding at 31 December 2024	256,508	21.00
Exercisable at the end of the year	51,627	14.75

Fair value of share options granted

The Group used back-solve method to determine the underlying equity fair value of the Company. Binomial Option Pricing Model was used to determine the fair value of share options at the date of grant under ESOP Plan. The fair value of share options was determined to be in the range from RMB9.40 to RMB48.93 by referring to the equity fair value of the Company ranged from RMB14.31 to RMB80.83. The foresaid fair value of the share options at date of grant was valued by directors of the Company with reference to valuation carried out by AVISTA Valuation Advisory Limited ("AVISTA"), an independent qualified valuer. The address of AVISTA is Suites 2401-06, 24/F, Everbright Centre, No 108 Gloucester Road, Wan Chai, Hong Kong. Key assumptions into the model for share options were exercise price ranged from RMB2.67 to RMB92.41, expected volatility ranged from 41.90% to 45.26%, risk-free rate ranged from 1.63% to 3.28%, expected life of 10 years and expected dividend yield of 0.00%.

The directors of the Company estimated the risk-free interest rate based on the yield of the China Corporate Bonds with a maturity life close to the life of the share options. Volatility was estimated at grant date based on average of historical volatilities of the comparable companies with length commensurable to the time to maturity of the share options. Expected dividend yield is based on management estimation at the grant date.

At the end of each period, the Group revises its estimates of the number of options that are expected to vest ultimately. The impact of the revision of the estimates, if any, is recognized in profit and loss, with a corresponding adjustment to the share-based payments reserve.

For the year ended 31 December 2024, the Group's total share-based payment expenses recognized in the consolidated statement of profit or loss and other comprehensive income in relation to share option granted by the Company is RMB1,493,000.

(2) Restricted shares under 2020 Share Incentive Plan

Subject to the terms and conditions as set out in the 2020 Share Incentive Plan, the vesting of the RSs granted is conditional upon the fulfillment of requisite service conditions and the lapse of one year after the completion of a qualified [**REDACTED**]. If an employee's employment is terminated during the vesting period, such employee shall transfer all unvested RSs to the person or entity designated by the general partner of Jingning Noring at the original grant price plus 8% per annum simple interest.

The number of restricted shares outstanding remained unchanged during the year ended 31 December 2024.

The following table summarized the movement of the Group's unvested restricted shares:

	Number of restricted shares	Weighted average exercise price
		RMB
As at January 1, 2024 and December 31, 2024	1,468,643	1.71

Fair value of restricted shares granted

The Group used back-solve method to determine the underlying equity fair value of the Company. The fair value of RS at date of grant was determined to be in the range from RMB4.31 to RMB56.95 by taking into account of the fair value of the equity of the Company ranged from RMB14.31 to RMB57.95 per share and the purchase price of RS ranged from RMB1.00 to RMB10.00. The foresaid fair value of RS at date of grant was valued by directors of the Company with reference to valuation reports carried out by AVISTA. Major inputs used for the determination of the fair value of ordinary shares were expected volatility ranged from 43.28% to 48.58% and risk-free rate ranged from 2.31% to 3.08%.

During year ended December 31, 2024, the Group has recognized Nil expenses in respect of the restricted shares, as the [**REDACTED**]-related vesting conditions had not been satisfied.

33. CAPITAL RISK MANAGEMENT

The Group manages its capital to ensure that the Group will be able to continue as a going concern while maximising the return to its equity holders through the optimization of the debt and equity balance. The Group's overall strategy remains unchanged throughout the Track Record Period.

The capital structure of the Group consists of debt which includes borrowings and lease liabilities, net of cash and cash equivalents and equity, comprising paid-in/share capital, reserves and retained profits.

The management of the Group review the capital structure on an ongoing basis. As part of this review, the management consider the cost of capital and the risks associated with each class of capital. Based on recommendations of the management, the Group will balance its overall capital structure through the issue of new capital, as well as the issue of new debt or the redemption of existing debt.

34. FINANCIAL INSTRUMENTS

A. Categories of financial instruments

	The Group	The Company
	As at December 31,	As at December 31,
	2024	2024
	RMB'000	*RMB'000*
Financial assets		
Amortized cost	175,342	166,915
Financial liabilities		
Amortized cost	456,306	459,083

B. Financial risk management objectives and policies

The Group's and the Company's major financial instruments include trade and other receivables, amounts due from subsidiaries, time deposits, cash and cash equivalents, trade and other payables, redemption liabilities, bank borrowings and amount due to subsidiaries. Details of the financial instruments are disclosed in respective notes.

The risks associated with these financial instruments include market risk (including interest rate risk), credit risk and liquidity risk. The policies on how to mitigate these risks are set out below. The management of the Group manages and monitors these exposures to ensure appropriate measures are implemented on a timely and effective manner.

Market risk

(a) Currency risk

Most of the Group's revenue, expenditures as well as capital expenditures are also denominated in RMB, which is the functional currency of the Company and relevant subsidiaries. The Company has purchases denominated in USD other than the functional currency which expose the Company to foreign currency risk. The Group's exposure to foreign currency risk is arising mainly from certain bank balances and certain trade payables which are denominated in foreign currencies. Except for the below items denominated in foreign currencies, the group entities did not have any other monetary assets or liabilities denominated in foreign currencies as at the end of the reporting period.

The carrying amounts of the Group's foreign currencies denominated monetary assets and monetary liabilities at the end of reporting date are as follows:

The Group and the Company

	Assets	Liabilities
	As at December 31,	As at December 31,
	2024	2024
	RMB'000	*RMB'000*
USD	4,367	12

Sensitivity analysis

The following table details the Group's sensitivity to a 5% increase and decrease in RMB against the relevant foreign currencies. 5% represents management's assessment of the reasonably possible change in foreign exchange rate. The sensitivity analysis includes only outstanding foreign currency denominated monetary items as a base and adjusts their translation at the end of the reporting period for a 5% change in foreign currency rates. A positive number below indicates a decrease in loss where RMB strengthens 5% against the relevant currency. For a 5% weakening of RMB against relevant currency, there would be an equal and opposite impact on pre-tax loss for the year.

The Group and the Company

	Increase in post-tax loss
	For the year ended December 31, 2024
	RMB'000
USD	218

(b) Interest rate risk

The Group and the Company are primarily exposed to fair value interest rate risk in relation to fixed-rate bank borrowings (Note 26), lease liabilities (Note 27) and redemption liabilities (Note 30). The Group currently does not have an interest rate hedging policy. The management of the Group monitors the Group's exposures on an on-going basis and will consider hedging interest rate risk should the need arises.

The Group is also exposed to cash flow interest rate risk in relation to bank balances and time deposits.

Sensitivity analysis

The Group considers that the exposure of cash flow interest rate risk arising from variable-rate cash and cash equivalents is insignificant because the current market interest rates are relatively low and stable. Therefore no sensitivity analysis on such risk has been prepared.

Credit risk and impairment assessment

Credit risk refers to the risk that the Group' counterparties default on their contractual obligations resulting in financial losses to the Group. The Group's credit risk exposures are primarily attributable to trade and other receivables, time deposits and cash and cash equivalents. The Group does not hold any collateral or other credit enhancements to cover its credit risks associated with its financial assets.

The Group performed impairment assessment for financial assets under ECL model. Information about the Group's credit risk management, maximum credit risk exposures and the related impairment assessment, if applicable, are summarised as below:

Trade receivables and amounts due from subsidiaries

In order to minimize the credit risk, the management has delegated a team responsible for monitoring procedures to ensure that follow-up action is taken to recover overdue debts. In addition, receivable balances are monitored on an ongoing basis. In this regard, the directors of the Company consider that the Group's credit risk is significantly reduced.

Trade receivables relating to debtors are assessed individually for impairment. The management reviews the recoverable amount of each individual debt at the end of each reporting period to ensure that adequate impairment loss allowance is made for irrecoverable amounts on trade receivables. The remaining trade receivables are grouped and collectively assessed for impairment. Impairment of Nil is recognized during the Track Record Period. Details of the quantitative disclosures are set out below in this note.

The Group writes off trade receivables and amounts due from subsidiaries when there is information indicating that the debtor is in severe financial difficulty and there is no realistic prospect of recovery, e.g. when the debtor has been placed under liquidation or has entered into bankruptcy proceedings.

Other receivables

For other receivables, the management makes periodic individual assessment on the recoverability of other receivables based on historical settlement records, past experience, and also quantitative and qualitative information that is reasonable and supportive forward-looking information. The management believes that there are no significant increase in credit risk of these amounts since initial recognition and the Group provided impairment based on 12m ECL.

Time deposits and cash and cash equivalents

The credit risk on time deposits and cash and cash equivalents are limited because the counterparties are reputable banks with high credit ratings assigned by credit-rating agencies.

The table below detail the credit risk exposures of the Group's financial assets which are subject to ECL assessment:

The Group

			December 31, 2024
	Notes	12-month or lifetime ECL	Gross carrying amount
Financial assets at amortized cost			
Other receivables	*23*	12m ECL	4,910
Cash and cash equivalents	*24*	12m ECL	69,100
Time deposits	*24*	12m ECL	105,612

The Company

			December 31, 2024
	Notes	12-month or lifetime ECL	Gross carrying amount
Financial assets at amortized cost			
Other receivables	*23*	12m ECL	3,784
Amounts due from subsidiaries		lifetime ECL (note credit-impaired)	787
Cash and cash equivalents	*24*	12m ECL	59,926
Time deposits with maturity over three months	*24*	12m ECL	105,612

Note: For trade receivables and amounts due from subsidiaries, the Group has applied the simplified approach in IFRS 9 to measure the loss allowance at lifetime ECL.

The following table shows the movement in lifetime ECL that has been recognized for trade receivables under the simplified approach.

The Group and the Company

	Lifetime ECL not credit-impaired	Lifetime ECL credit-impaired	Total
	RMB'000	*RMB'000*	*RMB'000*
As at January 1, 2024	30	–	30
Impairment losses recognized (reversed), net	(6)	135	129
Transfer to credit-impaired	(24)	24	–
Write-offs	–	(159)	(159)
As at December 31, 2024	–	–	–

Liquidity Risk

In the management of the liquidity risk, the Group and the Company monitors and maintains a level of cash and cash equivalents deemed adequate by the management to finance the Group's and the Company's operations and mitigate the effects of fluctuations in cash flows. The management monitors the utilization of borrowings and ensures compliance with loan covenants.

The following is the maturity analysis for financial liabilities held by the Group which is based on undiscounted remaining contractual obligations:

The Group

	Weighted average interest rate	On demand or less than 1 year	1 to 2 years	2 to 5 years	Total undiscounted balances	Carrying amounts
	%	*RMB'000*	*RMB'000*	*RMB'000*	*RMB'000*	*RMB'000*
At December 31, 2024						
Trade and other payables	N/A	3,355	–	–	3,355	3,355
Redemption liabilities	8.36	–	–	546,915	546,915	429,933
Bank borrowings	2.68	23,312	–	–	23,312	23,018
Lease liabilities	4.08	3,543	2,379	993	6,915	6,654
		30,210	2,379	547,908	580,497	462,960

The Company

	Weighted average interest rate	On demand or less than 1 year	1 to 2 years	2 to 5 years	Total undiscounted balances	Carrying amounts
	%	*RMB'000*	*RMB'000*	*RMB'000*	*RMB'000*	*RMB'000*
At December 31, 2024						
Trade and other payables	N/A	2,648	–	–	2,648	2,648
Amount due to subsidiaries	N/A	3,484	–	–	3,484	3,484
Redemption liabilities	8.36	–	–	546,915	546,915	429,933
Bank borrowings	2.68	23,312	–	–	23,312	23,018
Lease liabilities	3.85	3,013	2,003	993	6,009	5,792
		32,457	2,003	547,908	582,368	464,875

C. Fair value measurements of financial instruments

The directors of the Company consider that the carrying amount of the Group's and the Company's financial assets and financial liabilities recorded at amortized cost in the Historical Financial Information approximate their fair values. Such fair values have been determined in accordance with generally accepted pricing models based on a discounted cash flow analysis.

35. RECONCILIATION OF LIABILITIES ARISING FROM FINANCING ACTIVITIES

	Bank borrowings	Lease liabilities	Redemption liabilities	Total
	RMB'000	*RMB'000*	*RMB'000*	*RMB'000*
As at January 1, 2024	28,021	2,583	303,254	333,858
Financing cash flows	(5,840)	(83)	98,000	92,077
Non-cash change:				
Finance costs	837	155	28,679	29,671
Release of lease-related government subsidies	–	(1,785)	–	(1,785)
New lease entered	–	6,401	–	6,401
Termination of lease	–	(617)	–	(617)
As at December 31, 2024	23,018	6,654	429,933	459,605

36. RETIREMENT BENEFIT PLANS

The employees of the Group's subsidiaries in the PRC are members of a state-managed defined contribution retirement scheme operated by the PRC government. The PRC subsidiary is required to contribute a certain percentage of their payroll to the retirement benefit scheme subject to certain cap as governed by the social fund bureau. The only obligation of the Group with respect to the retirement benefit scheme is to make the required contributions under the scheme.

The total costs charged to profit or loss, amounting to RMB4,183,000 for the year ended December 31, 2024, representing contributions paid to the retirement benefits scheme by the Group.

37. RELATED PARTY DISCLOSURES

Name	Relationship
Eaglenos Sciences, Inc.* (南京晶捷生物科技有限公司)	The shareholder of the Company

* *English name is for identification purpose only.*

Other than as disclosed elsewhere in the Historical Financial Information. the Group has following transactions with related parties:

(a) Related party transactions

	Year ended December 31, 2024
	RMB'000
Sales of consumer health products	
Eaglenos Sciences, Inc.	62

(b) Compensation of key management personnel

The remuneration of directors and other members of key management during the Track Record Period were as follows:

	Year ended December 31, 2024
	RMB'000
Salaries and other benefits	3,364
Retirement benefit scheme contributions	572
Discretionary bonuses	786
	4,722

38. CONTINGENT LIABILITIES

As of December 31, 2024, we did not have any material contingent liabilities. Our directors confirm that as of the Latest Practicable Date, there had been no material changes or arrangements to our contingent liabilities.

39. RESERVES OF THE COMPANY

	Paid-in Capital	Capital Reserves	Other Reserves	Share-based payments reserve	Accumulated losses	Total
	RMB'000	*RMB'000*	*RMB'000*	*RMB'000*	*RMB'000*	*RMB'000*
At January 1, 2024	7,309	266,099	(260,000)	2,514	(178,223)	(162,301)
Loss and total comprehensive expense for the year	–	–	–	–	(87,783)	(87,783)
Issue of Series C shares *(Note 31)*	500	97,500	–	–	–	98,000
Equity-settled share-based payments *(Note 32)*	–	–	–	1,493	–	1,493
Redemption liabilities *(Note 30)*	–	–	(98,000)	–	–	(98,000)
	7,809	363,599	(358,000)	4,007	(266,006)	(248,591)

40. PARTICULARS OF PRINCIPAL SUBSIDIARIES OF THE COMPANY

Particulars of the Company's principal subsidiaries as at December 31, 2024 and the date of this report are as follows:

Name of subsidiary	Place/country and date of establishment/ Incorporation	Registered Capital	Equity interest attributable to owners of the Company as at December 31, 2024	Date of this report	Principal activities
			%	%	
Guangxi Nuogang Biotechnology Co., Ltd.* (廣西諾港生物科技有限公司) *(Note ii)*	PRC August 31, 2023	RMB3,000,000	100.0	100.0	Manufacture and Sale of Medical Devices
Novlead Biotechnology (Yangzhou) Co., Ltd.* (諾令生物科技(揚州)有限公司) *(Note ii)*	PRC February 19, 2024	RMB15,000,000	100.0	100.0	Manufacture and Sale of Medical Devices

Notes:

i. The above table lists the subsidiaries of the Company which, in the opinion of the directors of the Company, affected the results or assets of the Group. To give details of other subsidiaries would, in the opinion of the directors of the Company, result in particulars of excessive length.

ii. No audited statutory financial statements has been issued by these subsidiaries for the year ended December 31, 2024, have been issued as of the date of this report.

* *English name is for identification purpose only.*

41. CAPITAL COMMITMENTS

	As at December 31,
	2024
	RMB'000
Capital expenditure in respect of acquisition of property and equipment	2,223

42. SUBSEQUENT EVENTS

Upon approval by the shareholders' general meeting held on December 18, 2025, the shareholders of the Company agreed to convert the Company into a joint stock limited liability company. The net assets of the Company as at the conversion base date, which is October 31, 2025, including paid-in capital, capital reserves, and accumulated losses were converted into 8,405,122 ordinary shares with a par value of RMB1 each. The excess of the net assets converted over the nominal value of the ordinary shares was credited to the Company's share premium.

As at January 20, 2026, all outstanding share options granted under the 2020 Share Incentive Plan were modified to restricted shares.

Pursuant to the resolutions of the Shareholders dated February 5, 2026, the Shares was [**REDACTED**] on a [**REDACTED**] basis immediately prior to the [**REDACTED**], and the nominal value of the Shares was changed from RMB1.0 each to RMB[**REDACTED**] each. Immediately after the [**REDACTED**], the registered share capital of the Company was RMB8,405,122 with [**REDACTED**] Shares in a nominal value of RMB[**REDACTED**] each.

43. SUBSEQUENT FINANCIAL STATEMENTS

No audited financial statements of the Group, the Company or any of its subsidiaries have been prepared in respect of any period subsequent to December 31, 2024 and up to the date of this report.

The following is the text of a report set out on pages IA-[●] to IA-[●], received from the Company's reporting accountants, Deloitte Touche Tohmatsu, Certified Public Accountants, Hong Kong, for the purpose of incorporation in this [document]. [The information set out on pages IA-3 to IA-[16] is the unaudited condensed consolidated financial statements of the Group for the nine months ended September 30, 2025 and does not form part of the Accountants' Report from the reporting accountant, Deloitte Touche Tohmatsu, Certified Public Accountants, Hong Kong, as set out in Appendix I to this document, and is included herein for information purpose only.]

REPORT ON REVIEW OF CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

TO THE BOARD OF DIRECTORS OF NANJING NOVLEAD BIOTECHNOLOGY CO., LTD.

Introduction

We have reviewed the condensed consolidated financial statements of Nanjing Novlead Biotechnology Co., Ltd. ("南京諾令生物科技股份有限公司") (the "Company") and its subsidiaries (collectively referred to as the "Group") set out on pages IA-[●] to IA-[●], which comprise the condensed consolidated statement of financial position as of September 30, 2025 and the related condensed consolidated statement of profit or loss and other comprehensive income, statement of changes in equity and statements of cash flows for the nine-month period then ended, and notes to the condensed consolidated financial statement. The condensed consolidated financial statements have been prepared by the directors of the Company solely for the purpose of the [**REDACTED**] of the shares of the Company on The Stock Exchange of Hong Kong Limited. As a result, the condensed consolidated financial statements may not be suitable for another purpose. The directors of the Company are responsible for the preparation and presentation of these condensed consolidated financial statements in accordance with International Accounting Standard 34 "Interim Financial Reporting" ("IAS 34") issued by International Accounting Standards Board. Our responsibility is to express a conclusion on these condensed consolidated financial statements based on our review, and to report our conclusion solely to you, as a body, in accordance with our agreed terms of engagement, and for no other purpose. We do not assume responsibility towards or accept liability to any other person for the contents of this report.

Scope of Review

We conducted our review in accordance with Hong Kong Standard on Review Engagements 2410 "Review of Interim Financial Information Performed by the Independent Auditor of the Entity" issued by the Hong Kong Institute of Certified Public Accountants. A review of these condensed consolidated financial statements consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with Hong Kong Standards on Auditing and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion

Based on our review, nothing has come to our attention that causes us to believe that the condensed consolidated financial statements are not prepared, in all material respects, in accordance with IAS 34.

[Deloitte Touche Tohmatsu]
Certified Public Accountants
Hong Kong
[**REDACTED**]

CONDENSED CONSOLIDATED STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

	NOTES	Nine-month ended September 30, 2025	2024
		RMB'000 *(unaudited)*	*RMB'000* *(unaudited)*
Revenue	*3*	31,565	35,394
Cost of sales		(15,818)	(13,878)
Gross profit		15,747	21,516
Other income	*4*	4,318	5,551
Other gains and losses	*5*	124	(1,226)
Impairment losses under expected credit loss ("ECL") model, net of reversal		–	30
Selling expenses		(20,294)	(22,148)
Administrative expenses		(17,245)	(19,187)
Research and development expenses		(20,719)	(23,714)
Share of results of an associate		(119)	–
Finance costs	*6*	(29,621)	(20,789)
Loss before tax	*7*	(67,809)	(59,967)
Income tax expense	*8*	–	–
Loss for the period		(67,809)	(59,967)
Other comprehensive expense			
Items that may be reclassified subsequently to profit or loss:			
Exchange differences arising on translation of foreign operations		(11)	(9)
Total comprehensive expense for the period		(67,820)	(59,976)
Loss per share (RMB)	*10*		
Basic and diluted		(0.81)	(0.76)

CONDENSED CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

	NOTES	As at September 30, 2025	As at December 31, 2024
		RMB'000 *(unaudited)*	*RMB'000* *(Audited)*
Non-current assets			
Property and equipment	*11*	20,910	19,429
Right-of-use assets	*11*	4,156	5,921
Intangible assets	*11*	548	560
Interest in an associate		388	507
Other non-current assets	*12*	2,219	3,826
Time deposits		96,584	73,398
		124,805	103,641
Current assets			
Inventories and contract costs	*13*	15,716	11,535
Trade and other receivables	*14*	7,704	4,910
Financial assets at fair value through profit or loss ("FVTPL")	*15*	10,000	–
Value-added tax recoverable		2,469	1,673
Time deposits		43,985	32,214
Cash and cash equivalents		30,018	69,100
		109,892	119,432
Current liabilities			
Trade and other payables	*16*	9,941	16,138
Bank borrowings	*17*	27,000	23,018
Lease liabilities		2,243	2,475
Provisions	*18*	2,431	1,336
Contract liabilities		1,944	1,225
		43,559	44,192
Net current assets		66,333	75,240
Total assets less current liabilities		191,138	178,881
Non-current liabilities			
Lease liabilities		4,188	4,179
Redemption liabilities	*19*	508,973	429,933
		513,161	434,112
Net liabilities		(322,023)	(255,231)
Capital and reserves			
Paid-in capital	*20*	8,064	7,809
Reserves		(330,087)	(263,040)
Total equity		(322,023)	(255,231)

CONDENSED CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

	Paid-in capital	Capital reserve	Other reserve	Share-based payments reserve	Accumulated losses	Translation reserve	Total
	RMB'000	*RMB'000*	*RMB'000*	*RMB'000*	*RMB'000*	*RMB'000*	*RMB'000*
At January 1, 2024 (unaudited)	**7,309**	**266,099**	**(260,000)**	**2,514**	**(186,472)**	**59**	**(170,491)**
Loss for the period	–	–	–	–	(59,967)	–	(59,967)
Other comprehensive expense for the period	–	–	–	–	–	(9)	(9)
Total comprehensive expense for the period	–	–	–	–	(59,967)	(9)	(59,976)
Issue of Series C shares *(Note 20)*	500	97,500	–	–	–	–	98,000
Equity-settled share-based payments *(Note 21)*	–	–	–	1,144	–	–	1,144
Redemption liabilities *(Note 19)*	–	–	(98,000)	–	–	–	(98,000)
At September 30, 2024 (unaudited)	**7,809**	**363,599**	**(358,000)**	**3,658**	**(246,439)**	**50**	**(229,323)**
At January 1, 2025 (audited)	**7,809**	**363,599**	**(358,000)**	**4,007**	**(272,718)**	**72**	**(255,231)**
Loss for the period	–	–	–	–	(67,809)	–	(67,809)
Other comprehensive expense for the period	–	–	–	–	–	(11)	(11)
Total comprehensive expenses for the period	–	–	–	–	(67,809)	(11)	(67,820)
Issue of Series C shares *(Note 20)*	255	49,745	–	–	–	–	50,000
Equity-settled share-based payments *(Note 21)*	–	–	–	1,028	–	–	1,028
Redemption liabilities *(Note 19)*	–	–	(50,000)	–	–	–	(50,000)
At September 30, 2025 (unaudited)	**8,064**	**413,344**	**(408,000)**	**5,035**	**(340,527)**	**61**	**(322,023)**

CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS

	Nine-month ended September 30,	
	2025	2024
	RMB'000	*RMB'000*
	(unaudited)	*(unaudited)*
NET CASH USED IN OPERATING ACTIVITIES	(46,013)	(41,319)
INVESTING ACTIVITIES		
Interest received	3,089	349
Proceeds on disposal of property and equipment	–	5
Purchase of financial assets at FVTPL	(172,000)	(130,000)
Redemption of financial assets at FVTPL	162,000	75,000
Placement of time deposits	(65,000)	(40,000)
Withdrawal of time deposits	30,000	20,000
Purchases of property and equipment	(4,438)	(8,754)
Purchases of intangible assets	(241)	(54)
Net cash used in investing activities	(46,590)	(83,454)
FINANCING ACTIVITIES		
Interest paid	(468)	(641)
Repayment of bank borrowings	(29,000)	(18,000)
Repayments of lease liabilities	–	(83)
Bank borrowings raised	33,000	18,000
Proceeds from issuance of shares	50,000	98,000
Net cash from financing activities	53,532	97,276
Net decrease in cash and cash equivalents	(39,071)	(27,497)
Effects of exchange rate changes on the balance of cash	(11)	(9)
Cash and cash equivalents at the beginning of the period	69,100	39,115
Cash and cash equivalents at the end of the period	30,018	11,609

NOTES TO THE HISTORICAL FINANCIAL INFORMATION

1. CORPORATE INFORMATION AND BASIS OF PREPARATION

The Company, formerly known as Nanjing Noquan Biomedical Technology Co., Ltd. ("南京諾全生物醫療科技有限公司") was established and registered in the People's Republic of China (the "PRC") on April 16, 2018, as a limited liability company. In September 2020, the name of the Company was changed to Nanjing Novlead Biotechnology Company Limited ("南京諾令生物科技有限公司"). In December 2025, the Company was converted into a joint stock company with limited liability while its name changed to Nanjing Novlead Biotechnology Co., Ltd. ("南京諾令生物科技股份有限公司"). The respective addresses of the registered office and the principal place of business of the Company are stated in the section headed "Corporate Information" in this document.

The Group is principally engaged in the business of development and commercialization of gas-based cardiopulmonary therapeutic and diagnostic devices.

The condensed consolidated financial statements are presented in Renminbi ("RMB"), which is also the functional currency of the Company.

The condensed consolidated financial statements have been prepared in accordance with International Accounting Standard 34 "Interim Financial Reporting" ("IAS 34") issued by International Accounting Standards Board as well as with the applicable disclosure requirements of the Rules Governing the Listing of Securities on The Stock Exchange of Hong Kong Limited.

The condensed consolidated financial statements has been prepared on a going concern basis not withstanding that, as at September 30, 2025, the Group had net liabilities of RMB322,023,000, primarily due to the significant amount of the redemption liabilities of RMB508,973,000. Pursuant to a shareholders' agreements entered into among the Company and the Shareholders of the Company dated February 2, 2026, which superseded the previous shareholders agreements, the redemption rights granted by the Company were suspended before the first filing of the [**REDACTED**] by the Company with the Stock Exchange, while all other special rights will be terminated upon. The special rights shall be automatically reinstated upon the earliest of the occurrence of any of the following redemption right restoring events: (i) the [**REDACTED**] was not approved within 24 months by the regulatory authority or before December 31, 2027; (ii) the Company withdrew the [**REDACTED**], (iii) the [**REDACTED**] was returned or rejected, or (iv) the Company did not refile the [**REDACTED**] within six months after the lapse of the initial [**REDACTED**]. In this regard, the directors of the Company are of the opinion that the Company is not probable to settle the redemption liabilities in next twelve months from September 30, 2025.

2. MATERIAL ACCOUNTING POLICIES INFORMATION

The condensed consolidated financial statements have been prepared on the historical cost basis except for certain financial instruments, which are measured at fair values.

The accounting policies and methods of computation used in the condensed consolidated financial statements for the nine months ended September 30, 2025 are the same as those presented in the Group's historical financial information for the year ended December 31, 2024 (the "Historical Financial Information") included in the accountants' report as set out in Appendix I to this document.

3. REVENUE AND SEGMENT INFORMATION

(i) Disaggregation of revenue from contracts with customers

	Nine months ended September 30,	
	2025	2024
	RMB'000 *(unaudited)*	*RMB'000* *(unaudited)*
Types of goods or services		
Sales of medical devices		
Inhaled Nitric Oxide (iNO) therapy devices	26,833	29,147
Cardiopulmonary circulatory support devices	283	–
Respiratory diagnosis devices	3,543	2,232
	30,659	31,379

	Nine months ended September 30,	
	2025	2024
	RMB'000 *(unaudited)*	*RMB'000* *(unaudited)*
Other products and services		
Contract development services	–	3,774
Others *(Note i)*	906	241
	31,565	35,394
Timing of revenue recognition		
A point in time	31,442	35,345
Over time	123	49
	31,565	35,394
Sales Channel		
Distributors	30,308	31,620
Direct sales	1,257	–
Others	–	3,774
	31,565	35,394

Notes:

(i) Others are mainly generated from maintenance services and sales of consumer health products.

(ii) Overseas markets mainly include Taiwan China, Mongolia and Indonesia.

(i) Segment information

Information reported to the executive directors of the Company, being the chief operating decision maker (the "CODM"), for the purposes of resource allocation and assessment focuses on revenue analysis by products. During the period under review, the CODM assesses the operating performance and allocates resources of the Group as a whole. No other discrete financial information is provided to the CODM other than the Group's results and financial position as a whole. In this regard, no segment information is presented.

Geographic information

Information of the Group's revenue, determined based on geographical location of customers, during the nine months ended September 30, 2025 and 2024 is as follows:

	Nine months ended September 30,	
	2025	2024
	RMB'000 *(unaudited)*	*RMB'000* *(unaudited)*
Geographical markets		
Chinese mainland	30,602	32,859
Overseas *(Note ii)*	963	2,535
	31,565	35,394

Substantially all of the Group's non-current assets are located in the PRC as of September 30, 2025.

Information about major customers

No revenue amounting to 10% or more of the Group's total revenue was derived from sales to one customer.

4. OTHER INCOME

	Nine months ended September 30,	
	2025	2024
	RMB'000 *(unaudited)*	*RMB'000* *(unaudited)*
Government grants *(Note)*	1,217	2,253
Interest income from bank deposits and bank balances	2,683	2,968
Interest income from structured deposits	363	264
Others	55	66
	4,318	5,551

Note: The government grants mainly represent unconditional government subsidies received from relevant government bodies to encourage the operations of certain subsidiaries and compensation of rental expenses. The government grants are accounted for as immediate financial support with no future related costs expected to be incurred and are not related to any assets.

5. OTHER GAINS AND LOSSES

	Nine months ended September 30,	
	2025	2024
	RMB'000 *(unaudited)*	*RMB'000* *(unaudited)*
Losses on disposals of property and equipment	–	(507)
Losses on disposals of intangible asset	–	(694)
Net foreign exchange losses	(39)	(39)
Others	163	14
	124	(1,226)

6. FINANCE COSTS

	Nine months ended September 30,	
	2025	2024
	RMB'000 *(unaudited)*	*RMB'000* *(unaudited)*
Interest expense on:		
– redemption liabilities *(Note 19)*	(29,040)	(20,075)
– bank borrowings	(450)	(620)
– lease liabilities	(131)	(94)
	(29,621)	(20,789)

7. LOSS BEFORE TAX

Loss before tax for the period during the nine months ended September 30, 2025 and 2024 has been arrived at after charging:

	Nine months ended September 30,	
	2025	2024
	RMB'000 *(unaudited)*	*RMB'000* *(unaudited)*
Depreciation of property and equipment	4,564	4,731
Depreciation of right-of-use assets	1,765	1,755
Amortisation of other intangible assets	253	537
Total depreciation and amortisation	6,582	7,023

	Nine months ended September 30,	
	2025	**2024**
	RMB'000 *(unaudited)*	*RMB'000* *(unaudited)*
Auditor's remuneration	–	–
Directors' and supervisors' remuneration	2,213	2,366
Other staff costs		
– salaries and other benefits	31,596	31,781
– retirement benefit scheme contributions	3,003	3,011
– equity-settled share-based payments expenses	1,028	1,144
Total staff costs	37,840	38,302
Cost of inventories recognised as an expense (including Write-down of inventories amounting to RMB1,904,000 (nine months ended September 30, 2024: RMB483,000))	12,493	12,301
Research and development costs recognized as an expense	20,719	23,714

8. INCOME TAX EXPENSE

No provision for PRC income tax has been provided in the financial statements as the Group has no assessable profit during the nine months ended September 30, 2025 and 2024.

9. DIVIDENDS

No dividends were paid, declared or proposed during the nine months ended September 30, 2024 and September 30, 2025.

10. LOSS PER SHARE

The calculation of basic loss per share attributable to owners of the Company is based on the following data:

	Nine months ended September 30,	
	2025	**2024**
Loss (RMB'000)		
Loss for the purpose of basic loss per share attributable to owners of the Company	(67,809)	(59,967)
Number of shares ('000)		
Weighted average number of ordinary shares for the purpose of basic loss per share calculation	83,356	79,108
RMB	(0.81)	(0.76)

The weighted average number of ordinary shares for the purpose of calculating basic loss per share for the Nine months ended September 30, 2025 and 2024 has been determined on the assumptions that the [**REDACTED**] as set out in Note 25 and "Share Capital" section of the document had been effective since January 1, 2024.

The computation of diluted loss per share for the period ended 30 September 2025 and 2024 has not considered shares options granted under the share incentive plan (note 21), the restricted shares unvested, and the conversion of preferred shares as their inclusion would be anti-dilutive.

11. MOVEMENTS IN PROPERTY AND EQUIPMENT, RIGHT-OF-USE ASSETS AND OTHER INTANGIBLE ASSETS

During the nine months ended September 30, 2025, the Group purchased property and equipment of RMB6,407,000 (nine months ended September 30, 2024: RMB1,936,000), recognized Nil right-of-use assets (nine months ended 30 September 2024: RMB6,401,000) and purchased other intangible assets of RMB241,000 (nine months ended September 30, 2024: RMB54,000).

12. OTHER NON-CURRENT ASSETS

	As at September 30,	As at December 31,
	2025	2024
	RMB'000 *(unaudited)*	*RMB'000* *(audited)*
Rental deposits	400	400
Prepayment for acquisition of property and equipment	1,819	3,426
	2,219	3,826

13. TRADE AND OTHER RECEIVABLES

	As at September 30,	As at December 31,
	2025	2024
	RMB'000 *(unaudited)*	*RMB'000* *(audited)*
Trade receivables – contract with customers	242	–
Prepayments to suppliers	6,580	4,280
Deposits	351	241
Others	531	389
	7,704	4,910

The Group mainly requires 100% prepayment from customers for sales of medical devices before goods been delivered, except for sales of consumer health products, the Group offers a credit period of 0 to 90 days upon delivery. This will give rise to contract liabilities at the start of a contract, until the goods been accepted by the customers.

Trade receivables that are denominated in currencies other than functional currency of the relevant group entities are set out below:

	As at September 30,	As at December 31,
	2025	2024
	RMB'000 *(unaudited)*	*RMB'000* *(audited)*
United State Dollar ("USD")	242	–

The following is an aged analysis of trade receivables, net of allowance for credit losses, presented based on revenue recognition dates:

	As at September 30,	As at December 31,
	2025	2024
	RMB'000 *(unaudited)*	*RMB'000* *(audited)*
Within 90 days	152	–
91-180 days	90	–
	242	–

14. INVENTORIES AND CONTRACT COSTS

	As at September 30, 2025	As at December 31, 2024
	RMB'000 *(unaudited)*	*RMB'000* *(audited)*
Raw materials and consumables	7,667	6,807
Work in progress	1,011	571
Finished goods	5,151	4,157
Contract fulfilment costs *(Note)*	1,887	–
	15,716	11,535

Note: The costs directly relate to the contracts in the provision of contract development services, generate resources that will be used in satisfying the contract and are expected to be recovered.

15. FINANCIAL ASSETS AT FVTPL

	As at September 30, 2025	As at December 31, 2024
	RMB'000 *(unaudited)*	*RMB'000* *(audited)*
Structured deposits *(Note)*	10,000	–
Analysed as:		
– Current	10,000	–

Note: The Group and the Company invested in financial products managed by a financial institution in the PRC. The principal is guaranteed by the relevant financial institutions with expected yield ranged from 1.00% to 2.10% per annum as at September 30, 2025 and the actual yield to be received is uncertain until settlement. The investments have maturity date within one year and are classified as financial assets measured at FVTPL.

16. TRADE AND OTHER PAYABLES

	As at September 30, 2025	As at December 31, 2024
	RMB'000 *(unaudited)*	*RMB'000* *(audited)*
Trade payables	1,137	1,193
Accrued staff costs and benefits	7,270	7,536
Accrued royalty fee	476	486
Other taxes payables	254	321
Accrued service fee	420	4,440
Deposits from customers	170	170
Payable to staff	42	1,733
Other payables	172	162
	9,941	16,138

The following is an aged analysis of trade payables presented based on goods or services receipt date at the end of the reporting period:

	As at September 30, 2025	As at December 31, 2024
	RMB'000 *(unaudited)*	*RMB'000* *(audited)*
Within 90 days	713	973
91-180 days	187	103
180-365 days	128	36
1 to 2 years	36	78
2 to 3 years	73	3
	1,137	1,193

17. BANK BORROWINGS

During the nine months ended September 30, 2025, the Group newly obtained unsecured and unguaranteed bank loans amounting to RMB33,000,000 (nine-month ended September 30, 2024: RMB18,000,000), and made repayments amounting to RMB29,000,000 (nine-month ended September 30, 2024: RMB18,000,000).

The loans carries interest at fixed interest rates ranged from 2.20% to 2.60% per annum (December 31, 2024: 2.50% to 2.90%) and are repayable within one year.

18. PROVISIONS

	Warranty provision	Provision for onerous contract	Total
	RMB'000	*RMB'000*	*RMB'000*
At January 1, 2024 (unaudited)	1,581	–	1,581
Additional provision in the period	804	–	804
Utilisation of provision	(938)	–	(938)
At September 30, 2024 (unaudited)	1,447	–	1,447

	Warranty provision	Provision for onerous contract	Total
	RMB'000	*RMB'000*	*RMB'000*
At January 1, 2025 (audited)	1,336	–	1,336
Additional provision in the period	1,070	1,085	2,155
Utilisation of provision	(1,060)	–	(1,060)
At September 30, 2025 (unaudited)	1,346	1,085	2,431

The warranty provision represents management's best estimate of the Group's liability under 1-year assurance-type warranty granted on medical devices, based on prior experience and industry averages for defective products.

The provision for onerous contracts relates to certain development contracts with customers under which the unavoidable costs of meeting the obligation exceed the economic benefits to be received due to anticipated increase in certain staff and materials costs and any penalties arising from failure to fulfil the contracts.

19. REDEMPTION LIABILITIES

The movements of this redemption liabilities are as follows:

	Total
	RMB'000
At January 1, 2024 (unaudited)	303,254
Recognition of financial instruments with preferred rights at amortized cost	98,000
Charged to finance costs	20,075
At September 30, 2024 (unaudited)	421,329
At January 1, 2025 (audited)	429,933
Recognition of financial instruments with preferred rights at amortized cost	50,000
Charged to finance costs	29,040
At September 30, 2025 (unaudited)	508,973

20. PAID-IN CAPITAL

	Paid-in Capital
	RMB'000
Issued and fully paid	
At January 1, 2024 (unaudited)	7,309
Issue of Series C shares *(Note)*	500
At September 30, 2024 (unaudited)	7,809
At January 1, 2025 (audited)	7,809
Issue of Series C shares *(Note)*	255
At September 30, 2025 (unaudited)	8,064

Note: From February 2024 to August 8, 2024, the Company entered into investment agreements with Series C investors, pursuant to which the Company issued and allotted an aggregate of 754,830 shares at a total consideration of RMB148,000,000. As at September 30, 2024, 500,000 shares with a total consideration of RMB98,000,000 were registered and received, among which RMB500,000 was credited to the Company's paid-in capital and the remaining balance was credited as capital reserve. The remaining 225,000 shares with a total consideration of RMB50,000,000 were registered and received in March 2025, among which RMB255,000 was credited to the Company's paid-in capital and the remaining balance was credited as capital reserve.

Upon approval by the shareholders' general meeting held on December 18, 2025, the shareholders of the Company agreed to convert the Company into a joint stock limited liability company. The net assets of the Company as at the conversion base date, which is October 31, 2025, including paid-in capital, capital reserves, and accumulated losses were converted into 8,405,122 ordinary shares with a par value of RMB1 each. The excess of the net assets converted over the nominal value of the ordinary shares was credited to the Company's share premium.

Pursuant to the resolutions of the Shareholders dated February 5, 2026, the Shares was [**REDACTED**] on a [**REDACTED**] basis immediately prior to the [**REDACTED**], and the nominal value of the Shares was changed from RMB1.0 each to RMB[**REDACTED**] each. Immediately after the [**REDACTED**], the registered share capital of the Company was RMB8,405,122 with [**REDACTED**] Shares in a nominal value of RMB[**REDACTED**] each.

21. SHARE-BASED PAYMENT TRANSACTIONS

A share incentive plan (the "2020 Share Incentive Plan") was approved by the shareholders of the Company on December 10, 2020 and became effective on the same day. The purpose of the Share Incentive Plan was to provide incentives to employees and directors (the "Restricted Person") in order to promote the success of the business of the Group.

The Share Incentive Plan was implemented through a employee stock ownership platform (the "Shareholding Platforms") named Jingning Noring Team Biotechnology Partnership Enterprise (Limited Partnership) ("Jingning Noring") (景寧諾令團隊生物科技合夥企業(有限合夥). Pursuant to the 2020 Share Incentive Plan, certain employees were granted share options to acquire ordinary shares of the Company via Jingning Noring, while certain directors and senior management were granted restricted shares comprising the Company's ordinary shares held by Jingning Noring, which are subject to applicable restrictions.

(1) Share options under 2020 Share Incentive Plan

Details of the share options outstanding throughout the Track Record Period are as follows:

	Number of share options	Weighted average exercise price
		RMB
Employees:		
Outstanding at January 1, 2025	256,508	21.00
Granted during the period	3,000	78.40
Outstanding at September 30, 2025	259,508	21.66
Exercisable at the end of the period	229,060	17.58

For the nine months ended September 30, 2025, the Group's total share-based payment expenses recognized in the condensed consolidated statement of profit or loss and other comprehensive income in relation to share option granted by the Company is RMB1,028,000 (nine-month ended September 30, 2024: RMB1,144,000).

(2) Restricted shares under 2020 Share Incentive Plan

For the nine months ended September 30, 2025 and 2024, the Group has recognized Nil expense related to the restricted shares.

22. FAIR VALUE MEASUREMENTS OF FINANCIAL INSTRUMENTS

The fair values of financial assets and financial liabilities of the Group are determined in accordance with generally accepted pricing models based on discounted cash flow analysis and market comparable approach.

Except for financial assets measured at FVTPL, the Group does not hold any other financial instruments measured at fair value.

The directors of the Company consider that the carrying amounts of financial assets and financial liabilities recorded at amortized cost in the consolidated financial statements approximate to their fair values.

Fair value of the Group's financial assets that are measured at fair value on recurring basis:

Financial assets	Fair value at September 30, 2025	Fair value at December 31, 2024	Fair value hierarchy	Valuation technique(s) and key input(s)
	RMB'000 *(unaudited)*	*RMB'000* *(audited)*		
– Structured deposits	10,000	–	Level 2	Discounted cash flow method, estimated based on expected return and market, interest rate

The Directors consider that the carrying amounts of the Group's financial assets and financial liabilities recorded at amortized cost in the condensed consolidated financial statements approximate their fair values.

23. RELATED PARTY DISCLOSURES

Name and relationship

Name	Relationship
Eaglenos Sciences, Inc.* (南京晶捷生物科技有限公司)	The shareholder of the Company

* *English name is for identification purpose only.*

During the nine months ended 30 September 2025 and 2024, the Group has related party transactions with the following party:

(a) ***Related party transactions***

	Nine months ended September 30,	
	2025	2024
	RMB'000 *(unaudited)*	*RMB'000* *(unaudited)*
Sales of consumer health products		
Eaglenos Sciences, Inc.	–	14

(b) ***Compensation of key management personnel***

The remuneration of directors and other members of key management during the nine months ended September 30, 2025 and 2024 were as follows:

	Period ended September 30,	
	2025	2024
	RMB'000 *(unaudited)*	*RMB'000* *(unaudited)*
Salaries and other benefits	3,446	2,524
Retirement benefit scheme contributions	551	427
Discretionary bonuses	1	150
	3,998	3,101

24. CAPITAL COMMITMENTS

	As at September 30,	As at December 31,
	2025	2024
	RMB'000 *(unaudited)*	*RMB'000* *(audited)*
Capital expenditure in respect of acquisition of property and equipment	606	2,223

25. SUBSEQUENT EVENTS

Upon approval by the shareholders' general meeting held on December 18, 2025, the shareholders of the Company agreed to convert the Company into a joint stock limited liability company. The net assets of the Company as at the conversion base date, which is October 31, 2025, including paid-in capital, capital reserves, and accumulated losses were converted into 8,405,122 ordinary shares with a par value of RMB1 each. The excess of the net assets converted over the nominal value of the ordinary shares was credited to the Company's capital reserves.

As at January 20, 2026, all outstanding share options granted under the 2020 Share Incentive Plan were modified to restricted shares.

Pursuant to the resolutions of the Shareholders dated February 5, 2026, the Shares will be [**REDACTED**] on a [**REDACTED**] basis immediately prior to the [**REDACTED**], and the nominal value of the Shares will be changed from RMB1.0 each to RMB[**REDACTED**] each. Immediately after the [**REDACTED**], the registered share capital of the Company will be RMB8,405,122 with [**REDACTED**] Shares in a nominal value of RMB[**REDACTED**] each.

[**REDACTED**]

[**REDACTED**]

[**REDACTED**]

[REDACTED]

[**REDACTED**]

This Appendix sets out a summary of main provisions of the Articles of Association of the Company adopted on February 5, 2026, which shall become effective from the date on which the H Shares are [**REDACTED**] *on the Hong Kong Stock Exchange. As the main purpose of this Appendix is to provide potential* [**REDACTED**] *with an overview of the Company's Articles of Association, it may not necessarily contain all information that is important for potential* [**REDACTED**].

1. DIRECTORS AND BOARD OF DIRECTORS

(1) Power to Allot and Issue Shares

The Articles of Association does not contain provisions that authorize the Board of Directors to allot or issue shares.

(2) Power to Dispose of Assets of our Company or any Subsidiary

The Board of Directors shall determine the authority for external investments, acquisition and disposal of assets, asset mortgages, external guarantees, entrusted wealth management, material transactions and connected transactions, and establish stringent procedures for review and decision-making. Major investment projects shall be assessed by relevant experts and professionals and reported to the shareholders' general meeting for approval.

(3) Emoluments and Compensation or Payments for Loss of Office

The shareholders' general meeting of the Company shall be composed of all shareholders. The shareholders' general meeting is the organ of authority of the Company, which shall, in accordance with the law, exercise the following functions and powers: to elect and replace directors and to determine matters relating to the remuneration of the directors.

(4) Provide Financial Assistance for Acquiring the Shares of the Company

The Company or its subsidiaries (including affiliates of the Company) shall not give financial assistance, in the form of gift, advance, guarantee, loan or otherwise, to another person who purchases shares of the Company or its parent company, except when the Company implements an employee stock ownership plan.

The Company or its subsidiaries (including affiliates of the Company) may provide financial assistance for the acquisition of the Company or its parent company's shares by third parties where such assistance is for the benefit of the Company and has been duly approved either by a resolution of shareholders' general meeting or by a resolution of the Board of Directors acting pursuant to authority granted under the Articles of Association or by shareholders' general meeting. The aggregate amount of any such financial assistance shall in no event exceed 10% of the Company's total issued share capital. Such resolution made by the Board of Directors shall be approved by more than two-thirds of all directors.

(5) Disclosure of Interests in Contracts with the Company

No director shall, without prior disclosure to and approval by a resolution of either the Board of Directors or the shareholders' general meeting in accordance with the Articles of Association, directly or indirectly enter into any contract or transaction with the Company.

(6) Appointment, Resignation and Dismissal

The Company has established the Board of Directors, which consists of nine directors, including one chairperson, among which, independent non-executive directors shall account for more than one-third of the total number of the Board of Directors and shall not be less than three.

Non-employee representative directors shall be elected or changed at the shareholders' general meeting, and can be removed before maturity of the term of office at a shareholders' general meeting. Directors shall serve a term of three years and may be re-elected for a consecutive term upon expiration of their term of office.

The term of office of a director shall commence from the date on which the said director assumes office until the expiry of the term of office of the current session of the Board of Directors.

Directors of the Company shall be natural persons. A person must satisfy the qualification requirements for directors under the applicable laws and regulations.

If an election or appointment of a director is taken place in contravention of this Article, the said election, appointment or engagement shall be invalid. If a director falls under any of the circumstances set out in this Article during his/her term of office, the Company shall remove him/her from office.

(7) Borrowing Powers

The Articles of Association does not contain specific provisions regarding the authority of directors to exercise borrowings powers. The Board of Directors has the authority to formulate protocols for the Company to issue bonds or other securities and for [**REDACTED**]. Such protocols for issuing bonds or other securities and for [**REDACTED**] must receive approval from the shareholders' general meeting. The shareholders' general meeting may authorize the Board of Directors to resolve on the issue of corporate bonds.

2. AMENDMENT OF THE ARTICLES OF ASSOCIATION

The Company shall amend the Articles of Association under any of the following circumstances:

(I) after amendments are made to the Company Law or relevant laws and administrative regulations, the securities regulatory rules of the place where the Company's shares are [**REDACTED**], the Articles of Association runs counter to such amendments;

(II) the circumstances of the Company have changed, and are inconsistent with the matters recorded in the Articles of Association;

(III) the shareholders' general meeting resolves to amend the Articles of Association.

If the amendment to the Articles of Association adopted by a resolution of the shareholders' general meeting is subject to the approval of the competent authority, it shall be reported to the competent authority for approval; if it involves matters of company registration, the registration of changes shall be dealt with in accordance with the law.

3. SPECIAL RESOLUTION TO BE PASSED BY A MAJORITY OF SHAREHOLDERS

There shall be two types of resolutions of the shareholders' general meetings, namely ordinary resolutions and special resolutions.

An ordinary resolution of the shareholders' general meeting shall be adopted by shareholders in attendance holding more than half of the voting rights.

A special resolution of the shareholders' general meeting shall be passed by more than two-thirds of the voting rights held by the shareholders present at the meeting.

The shareholders referred to in this Article include shareholders who appoint proxies to attend the shareholders' general meeting.

4. VOTING RIGHTS

Shareholders shall exercise their voting rights according to the number of voting shares they represent, and each share shall have one vote.

The shares of the Company held by the Company shall have no voting rights and such shares shall not be included in the total number of shares present at shareholders' general meetings with voting rights and shall not be deposited into the Central Clearing and Settlement System.

If the securities regulatory rules of the place where the Company's shares are [**REDACTED**] require any shareholder to abstain from voting on a particular resolution or restrict any shareholder to vote only for (or against) a particular resolution, any votes cast by or on behalf of such shareholder in contravention of such requirement or restriction shall not be counted.

5. RULES ON SHAREHOLDERS' GENERAL MEETINGS

The shareholders' general meetings are classified into annual general meetings and extraordinary general meetings. Annual general meetings shall be called once a year and shall be held within six months after the end of the preceding fiscal year.

6. FINANCE AND AUDIT

(1) Financial and Accounting Policies

The Company shall formulate its own financial and accounting systems in accordance with the laws, administrative regulations, the securities regulatory rules of the place where the Company's shares are [**REDACTED**] and the requirements of relevant state departments. At the end of each fiscal year, the Company shall prepare a financial and accounting report which shall be audited by an accounting firm in accordance with the laws.

The financial and accounting reports shall be made available at the Company for inspection by the shareholders 20 days before the annual general meeting is held.

Except for statutory accounting books, the Company shall not prepare any other accounting books. The Company's funds shall not be deposited into an account established in the name of any individual.

(2) Appointment and Dismissal of Accountants

The Company shall engage an independent accounting firm that meets the relevant national regulations and the regulatory requirements of the place where the Company's shares are [**REDACTED**] to conduct accounting statement audit, net asset verification and other related consulting services, and the term of service shall be one year, which is renewable upon expiry of the term.

The appointment and removal of an accounting firm providing regular audit services to the Company shall be determined by shareholders' general meeting.

The Company shall send a 30-day prior notice to the accounting firm when it intends to dismiss or not renew the appointment of the accounting firm, and the accounting firm is entitled to give opinions when the shareholders' general meeting of the Company votes on the dismissal or non-renewal of the same.

Where the accounting firm resigns, it shall state to the shareholders' general meeting whether the Company has improper circumstances.

7. NOTICE OF MEETING AND MATTERS DISCUSSED

The Company shall convene an extraordinary general meeting within two months after occurrence of any of the following circumstances:

(I) the number of directors is less than the minimum quorum required by the Company Law or is less than two-thirds of the number specified in the Articles of Association;

(II) where the unrecovered losses of the Company amount to one-third of its total share capital;

(III) where shareholders who individually or collectively hold more than 10% of the shares of the Company request in writing;

(IV) when the Board of Directors deems it necessary;

(V) when the audit committee proposes to convene such a meeting;

(VI) other circumstances as provided by the laws, administrative regulations, departmental rules, the regulatory rules of the place where the Company's shares are [**REDACTED**] or the Articles of Association.

When the Company convenes a shareholders' general meeting, the Board of Directors, the audit committee and the shareholders who individually or collectively hold more than 1% of the shares of the Company shall have the right to put forward proposals to the Company.

Shareholders who individually or collectively hold more than 1% of the shares of the Company may put forward a provisional proposal 10 days before the convening of the shareholders' general meeting and submit it to the convener in writing. The provisional proposals shall have clear subjects for discussion and specific issues for resolution. The convener shall issue a supplementary notice of the shareholders' general meeting within 2 days upon receipt of the proposals to announce the contents of the provisional proposals and submit the provisional proposals to the shareholders' general meeting for consideration, however, except for the provisional proposals that violate the requirements of the laws, administrative regulations or the Articles of Association, or are not within the terms of reference of the shareholders' general meeting.

Except as provided for in the preceding paragraph, the convener shall not amend the proposals already specified in the notice of the shareholders' general meeting or add new proposals after the notice of the shareholders' general meeting has been issued.

The convener shall notify all the shareholders of an annual general meeting by way of announcement at least 21 days prior to the convening thereof, and shall notify all the shareholders of an extraordinary general meeting by way of announcement 15 days prior to the convening thereof; the aforesaid duration shall not include the date on which the meeting is convened. If laws, regulations and the securities regulatory authorities of the place where the Company's shares are listed stipulate otherwise, such provisions shall prevail.

The notice and the supplementary notice of the shareholders' general meeting shall fully and completely disclose all the specific contents of all proposals.

To resolve on increase or decrease of the registered capital of the Company; to resolve on the merger, division, dissolution and liquidation of the Company or changes in the form of the Company; to amend the Articles of Association; to deliberate the acquisition or disposal of material assets by the Company within one year with a value exceeding 30% of the latest audited total assets of the Company; to deliberate share incentive plans and employee stock ownership plans; and other matters which are required by laws, administrative regulations, departmental rules, the regulatory rules of the place where the Company's shares are [**REDACTED**] or the Articles of Association and are determined by an ordinary resolution of the shareholders' general meeting to have material impact on the Company and therefore require a special resolution approval; shall be passed by a special resolution of the shareholders' general meeting. All other matters shall be passed by an ordinary resolution of the shareholders' general meeting.

Where the contents of a resolution of the Company's shareholders' general meeting or the Board of Directors violate any law or administrative regulation, shareholders are entitled to petition to the People's Court to declare the resolution invalid.

Shareholders shall be entitled to request the People's Court to cancel the relevant resolution within 60 days after the resolution is adopted if the convening procedure or voting method of the shareholders' general meeting or board meeting violates the laws, administrative regulations or the Articles of Association, or the resolution content violates the Articles of Association, except where the convening procedure or voting method of the shareholders' general meeting or board meeting only has some minor defects, which produce no substantial effect on the resolution.

8. TRANSFER OF SHARES

Shares issued by the Company prior to the [**REDACTED**] of its shares may not be transferred within one year from the date of [**REDACTED**] and [**REDACTED**] of its shares on a stock exchange.

The directors and senior management members of the Company shall declare to the Company the number of shares of the Company they hold and the subsequent changes in their shareholdings. The shares transferrable by them during each year of their tenures as determined at the time of appointment shall not exceed 25% of their total holdings of shares of the same class in the Company. The shares in the Company held by them shall not be transferred within one year from the date on which the Company's shares are [**REDACTED**] for [**REDACTED**]. The aforesaid persons shall not transfer their shares of the Company within half a year from the date of their resignation.

Where relevant requirements of the securities regulatory authorities of the place where the Company's shares are [**REDACTED**] have any other provisions on the transfer restrictions of overseas [**REDACTED**] shares, such provisions shall prevail.

9. POWER OF THE COMPANY TO REPURCHASE ITS SHARES

The Company shall not repurchase its shares, save and except for any one of the following circumstances:

(I) to reduce the registered capital of the Company;

(II) merger with other companies that hold shares in the Company;

(III) to use such shares in connection with employee stock ownership plans or share incentives;

(IV) request to the Company to acquire the shares from shareholders who vote against any resolution adopted at the shareholders' general meeting on the merger or division of the Company;

(V) to use the shares in the conversion of the convertible corporate bonds issued by the Company;

(VI) such circumstances that are necessary for the Company to safeguard its value and the interests of its shareholders;

(VII) other circumstances stipulated by laws, administrative regulations and the regulatory rules of the place where the Company's shares are listed.

The Company may repurchase its shares through trading in a public and centralized manner or other methods permitted by laws, administrative regulations, the Hong Kong Listing Rules and the securities regulatory authorities of the place where the Company's shares are [**REDACTED**].

Where the Company repurchases its shares under the circumstances set out in items (III), (V) or (VI) above, the repurchase shall be conducted through open centralized trading.

Where the Company repurchases its own shares under the circumstances set out in items (I) and (II) above, it shall be subject to the resolution of the shareholders' general meeting; Where the Company acquires its own shares under the circumstances set out in items (III), (V) and (VI) above, it may be resolved at the board meeting attended by more than two-thirds of the directors in accordance with the provisions of the Articles of Association or the authorization of the shareholders' general meeting. If it is otherwise provided in the securities regulatory rules of the place where the Company's shares are [**REDACTED**], such rules shall prevail on the premise of not violating the provisions of the Company Law, the Securities Law, the Trial Administrative Measures and the Guidelines for the Articles of Association of Listed Companies.

Under the circumstance stipulated in item (I), the shares of the Company so repurchased shall be cancelled within ten days from the date of repurchase; under the circumstances stipulated in either item (II) or (IV), the shares of the Company so repurchased shall be transferred or cancelled within six months; in case of items (III), (V) and (VI), the number of its own shares held by the Company in aggregate shall not exceed 10% of the total number of issued shares of the Company, and such shares shall be transferred or cancelled within 3 years.

10. DIVIDENDS AND OTHER METHODS OF DISTRIBUTION

The Company may distribute profit in the form of cash or shares.

After the shareholders' general meeting has resolved on the plan to allocate profits, or after the Board of Directors of the Company has formulated a specific plan based on the conditions and upper limit for the next year interim dividend approved by the annual general meeting, the Board of Directors shall complete the distribution of dividends (or shares) within 2 months.

11. PROXY

Shareholders may attend the shareholders' general meeting in person or, alternatively, appoint a proxy to attend and vote on their behalf.

The power of attorney issued by a shareholder to appoint another person to attend a shareholders' general meeting shall contain the following particulars:

(I) the name of the principal, the class and number of shares of the Company held by the principal;

(II) the name of the proxy;

(III) the shareholder's specific instructions, including respective instructions on for, against or abstention voting on each item for deliberation listed in the shareholders' general meeting agenda;

(IV) date of issuance of the proxy form and its validity period;

(V) signature (or seal) of the principal. If the principal is a legal person shareholder, the seal of the legal person entity shall be affixed.

12. INSPECTION OF REGISTER OF MEMBERS

The Company establishes the register of members according to the certificate provided by the securities registration and clearing institution. The register of members is sufficient evidence to prove that the shareholders hold the Company's shares. A shareholder shall enjoy rights and have obligations according to the class of shares held by him. Holders of shares of the same class shall enjoy equal rights and have equal obligations.

The [**REDACTED**] is maintained in Hong Kong for inspection by shareholders. However, the Company may suspend the registration of shareholders in accordance with applicable laws, regulations, and the securities regulatory rules of the place where the Company's shares are [**REDACTED**], as well as under provisions equivalent to Section 632 of the Companies Ordinance (Chapter 622 of the Laws of Hong Kong). Any shareholder registered in the [**REDACTED**] or any person requesting to be registered in the register of [**REDACTED**] may apply to the Company for the issuance of new share certificates to replace lost share certificates. In the event of loss of share certificates by holders of overseas [**REDACTED**] foreign shares, applications for replacement may be processed in accordance with the laws of the jurisdiction where the original register of members of overseas [**REDACTED**] foreign shares is maintained, the rules of the relevant securities exchange, or other applicable regulations.

13. RIGHTS OF MINORITIES IN RELATION TO FRAUD OR OPPRESSION

If any director or senior management member (other than a member of the audit committee) violates laws and administrative regulations or the Articles of Association in fulfilling his/her duties, thereby causing any loss to the Company, the shareholder(s) severally or jointly holding more than 1% of the shares of the Company for more than 180 consecutive days shall have the right to request the audit committee in writing to institute legal proceedings at the People's Court.

If a member of the audit committee violates laws and administrative regulations or the Articles of Association in fulfilling his/her duties, thereby causing any loss to the Company, the aforementioned shareholders may request the Board of Directors in writing to institute legal proceedings at the People's Court. If the audit committee or the Board of Directors refuses to institute legal proceedings after receipt of the aforesaid signed written request or fails to institute legal proceedings within 30 days after receipt of the request, or if under urgent circumstances that any delay of legal proceedings may cause irrecoverable damages to the interests of the Company, the shareholders specified in the preceding paragraph shall have the right to directly institute legal proceedings at the People's Court in their own names for the interest of the Company.

If any other person infringes upon the legitimate rights and interests of the Company, thereby causing any loss to the Company, the shareholders specified in paragraph 1 of this Article may institute legal proceedings at the People's Court pursuant to the provisions of the preceding two paragraphs.

If the directors, supervisors or senior management member of a wholly-owned subsidiary of the Company are involved in any of the circumstances set forth in the preceding paragraph, or if any other person infringes upon the legitimate rights and interests of a wholly-owned subsidiary of the Company and causes losses, shareholders who have held, individually or in the aggregate, more than 1% of the shares of the Company for more than 180 consecutive days may, in accordance with the provisions of the preceding three paragraphs, request, in writing, that the supervisory committee or the board of directors of the wholly-owned subsidiary institute legal proceedings at the People's Court, or directly institute legal proceedings in their own names at the People's Court.

In the event of a director or senior management member violates laws, administrative regulations or the Articles of Association, thereby damaging the interests of the shareholder(s), the shareholder(s) may institute legal proceedings at the People's Court.

Shareholders of the Company who abuse their shareholders' rights and thereby cause damage to the Company or other shareholders shall be liable for compensation in accordance with the law; any shareholder of the Company who abuses the status of the Company as an independent legal entity or the limited liability of shareholders to evade debts and seriously damages the interests of the Company's creditors shall assume joint and several liability for the Company's debts.

14. LIQUIDATION PROCEDURE

The Company shall be dissolved under any of the following circumstances:

(I) the term of its operations as is stipulated in the Articles of Association has expired or other events of dissolution specified in the Articles of Association have occurred;

(II) dissolution has been resolved by the shareholders' general meeting;

(III) dissolution is necessary due to merger or division of the Company;

(IV) the Company's business license is revoked, or the Company is ordered to close down or dissolve in accordance with the law;

(V) where the Company encounters serious difficulties in its operation and management and its continuous existence will cause significant losses to the interests of shareholders, and such difficulties cannot be resolved through other means, shareholders holding more than 10% of the voting rights of all shareholders of the Company may request the People's Court to dissolve the Company.

On the occurrence of the events of dissolution set out in the preceding paragraph, the Company shall make an announcement on the National Enterprise Credit Information Publicity System within 10 days.

Where the Company is to be dissolved pursuant to items (I), (II), (IV) or (V) above, it shall undergo liquidation. Directors shall act as the liquidation obligor and form a liquidation committee within 15 days from the date when the event of dissolution occurs to carry out liquidation.

The Company shall undergo liquidation in accordance with the provisions of items (I), (II), (IV) or (V) above. Where the Company fails to form a liquidation committee to liquidate the Company within the prescribed period of time or fails to proceed with liquidation after forming a liquidation committee, any interested person may petition the People's Court to appoint the relevant persons to form a liquidation committee to liquidate the Company.

The liquidation committee shall notify creditors within 10 days from the date of its formation, and publish an announcement on the newspapers recognized by the company registration authority and the stock exchange where the Company's shares are [**REDACTED**], or on the National Enterprise Credit Information Publicity System and in the manner required by the stock exchange of the place where the Company's shares are [**REDACTED**] within 60 days. Creditors shall file their claims with the liquidation committee within 30 days of receiving the notice, or within 45 days from the publication if any such creditor has not received the notice.

After the liquidation committee has thoroughly examined the Company's assets and prepared a balance sheet and schedule of assets, it shall formulate the liquidation plan and submit such plan to the shareholders' general meeting or a People's Court for confirmation.

Upon completion of the liquidation, the liquidation committee shall prepare a liquidation report and submit it to the shareholders' general meeting or the People's Court for verification. Thereafter, the report shall be submitted to the registration authority of the Company in order to apply for deregistration.

15. OTHER IMPORTANT PROVISIONS FOR THE COMPANY OR THE SHAREHOLDERS

(1) General Provisions

The Company is a perpetually existing joint stock limited company.

The shareholders shall hold responsibility to the Company in accordance with their shares, while the Company shall be responsible for its debts with all its assets.

The Articles of Association shall be legally binding on the Company and its shareholders, directors and senior management members.

(2) Capital Increase and Capital Reduction

In accordance with the laws and regulations, listing rules of the place where the Company's shares are [**REDACTED**], the Company may, based on its operating and development needs and the resolutions of the shareholders' general meeting, increase its capital.

The Company may reduce its registered capital. The reduction of registered capital by the Company shall be dealt with in accordance with the Company Law, the Hong Kong Listing Rules, other relevant regulations, and the procedures stipulated in the Articles of Association.

If the Company increases or reduces its registered capital, the Company shall, according to laws, apply for change in registration with the company registration authority.

(3) Shareholders

Shareholders of the Company shall enjoy the following rights:

(I) the right to receive dividends and other forms of distributions of benefits in proportion to the number of shares held;

(II) the right to request to convene, summon, preside, attend or appoint a proxy to attend shareholders' general meetings and to exercise the right to speak and the corresponding voting right in accordance with the law;

(III) to supervise and manage business operations of the Company and to raise proposals or address inquiries accordingly;

(IV) to transfer, donate or pledge their shares in accordance with laws, administrative regulations, and the Articles of Association;

(V) to review and copy the Articles of Association, the register of members, minutes of shareholders' general meetings, resolutions of board meetings and financial and accounting reports. Eligible shareholders can examine account books and accounting documents of the Company;

(VI) in the event of the termination or liquidation of the Company, to participate in the distribution of residual assets of the Company according to the number of shares held by them;

(VII) to request the Company to acquire their shares, provided that the procedures for the Company to repurchase shares as stipulated in the Articles of Association, relevant laws and regulations, and the securities regulatory authorities and stock exchanges of the place where the Company's shares are [**REDACTED**] are satisfied, for shareholders who object to the Company's resolution on merger or division made by the shareholders' general meeting;

(VIII) other rights provided for by laws, administrative regulations, departmental rules, the securities regulatory rules of the place where the Company's shares are [**REDACTED**] and the Articles of Association.

Where any shareholder demands to review and make copies of the relevant information or obtain any of the above-mentioned materials, he/she shall submit to the Company written documents proving the class(es) and number of shares he/she holds. The Company shall provide the relevant information or materials as requested by the shareholder after verifying the shareholder's identity in accordance with the Articles of Association.

The shareholders of the Company shall have the following obligations:

(I) to comply with the laws, administrative regulations and the Articles of Association;

(II) to provide share capital according to the shares subscribed for and share participation methods;

(III) not to return shares unless prescribed otherwise in laws and regulations;

(IV) not to abuse their shareholders' rights to harm the Company's or other shareholders' interests; not to abuse the Company's legal person independent status or the shareholders' limited liability to harm the interests of the Company's creditors;

(V) to assume other obligations required by laws, administrative regulations, departmental rules, normative documents, the listing rules of the stock exchange of the place where the Company's shares are [**REDACTED**] and the Articles of Association.

(4) Board of Directors

The Board of Directors exercises the following functions and powers:

(I) to convene shareholders' general meetings and report its work to the shareholders' general meeting;

(II) to implement the resolutions of shareholders' general meetings;

(III) to decide on the operation plan and investment scheme of the Company;

(IV) to formulate the Company's proposals for profit distribution and loss recovery;

(V) to formulate proposals for increases or reductions of the Company's registered capital and for the issuance and [**REDACTED**] of bonds or other securities;

(VI) to formulate plans for the Company's major acquisition, acquisition of the shares of the Company, or merger, division, dissolution or change of corporate form of the Company;

(VII) to decide, within the scope of authorization of the shareholders' general meeting, on matters such as external investments, acquisition and sale of assets, pledging of assets, external guarantee matters, entrusted wealth management, connected transactions and external donations of the Company;

(VIII) to decide on the setup of the Company's internal management organs;

(IX) to make decisions for appointing or dismissing the Company's manager, secretary to the Board, and other senior management personnel, and to determine their remuneration and rewards and punishments; to appoint or dismiss the Company's financial officer-in-charge and other senior management personnel based on the nomination of the manager, and to determine their remuneration and rewards and punishments;

(X) to formulate the Company's basic management system;

(XI) to formulate the proposed amendments to the Articles of Association;

(XII) to manage information disclosure by the Company;

(XIII) to propose the appointment or replacement of an accounting firm that performs audits for the Company at the shareholders' general meeting;

(XIV) to listen to the work report of the manager of the Company and examine the manager's work;

(XV) to deliberate and approve external guarantee matters except for those requiring deliberation by the shareholders' general meeting;

(XVI) other functions and powers granted by laws, administrative regulations, departmental rules, the securities regulatory rules of the place where the Company's shares are [**REDACTED**], the Articles of Association or the shareholders' general meeting.

Matters exceeding the scope of authority delegated by the shareholders' general meeting shall be submitted to the shareholders' general meeting for consideration.

Meetings of the Board of Directors may be held only if more than one half of the directors are present. Unless otherwise provided in the Articles of Association, resolutions of the Board of Directors shall be passed by a simple majority of all directors.

(5) Independent Non-executive Directors

The Company has established a Board of Directors, which consists of 9 directors, of which non-executive directors refer to directors who do not hold management positions in the Company. Independent non-executive directors shall account for more than 1/3 of the total and shall not be less than three. At least one of the independent non-executive directors shall be a financial or accounting professional with appropriate accounting or relevant financial management expertise, or appropriate professional qualifications as referred to in the Listing Rules of the Hong Kong Stock Exchange. Independent non-executive directors shall include at least one person who is ordinarily resident in Hong Kong.

(6) Secretary to the Board

The Company shall have a secretary to the Board, who shall be responsible for the preparation of the shareholders' general meetings and board meetings of the Company, keeping of documents, management of shareholders' information of the Company and handling matters such as information disclosure. The secretary to the Board shall comply with the relevant provisions of laws, administrative regulations, departmental rules, the securities regulatory rules of the place where the Company's shares are [**REDACTED**] and the Articles of Association.

(7) Audit Committee

The Company's Board of Directors shall establish an audit committee to exercise the powers of the supervisory committee as stipulated in the Company Law.

The audit committee shall consist of at least three directors, all of whom must be non-executive directors, with a majority being independent non-executive directors.

The audit committee shall be responsible for reviewing the Company's financial information and disclosures, overseeing and evaluating internal and external audits and internal controls. The following matters shall be submitted to the board meetings only after obtaining approval by a majority of all audit committee members:

(I) disclosure of financial information and internal control evaluation reports in financial and accounting reports and periodic reports;

(II) hiring or dismissing the accounting firm that undertakes audits of a [**REDACTED**] company;

(III) appointment or dismissal of the financial controller of a [**REDACTED**] company;

(IV) changes in accounting policies, accounting estimates or corrections of material accounting errors for reasons other than changes in accounting standards;

(V) other matters specified under laws, administrative regulations, CSRC rules, the business rules of the stock exchange of the place where the Company's shares are [**REDACTED**] and the Articles of Association.

(8) Manager

The Company shall have one manager who shall be appointed or dismissed by the Board of Directors. The manager shall be accountable to the Board of Directors and exercise the following functions and powers:

(I) to be in charge of the production, operation and management of the Company, to organize the implementation of the resolutions of the Board of Directors, and to report his/her work to the Board of Directors;

(II) to organize and implement the Company's annual business plans and investment plans;

(III) to formulate the establishment plan of the internal management organization of the Company;

(IV) to formulate the basic management system of the Company;

(V) to formulate the Company's specific rules;

(VI) to request the Board of Directors to appoint or dismiss the Company's vice manager, financial controller, chief executive officer and chief financial officer;

(VII) to appoint or dismiss management personnel other than those required to be appointed or dismissed by the Board of Directors;

(VIII) other functions and powers granted by the Articles of Association and the Board of Directors.

The manager shall be present at the meetings of the Board of Directors.

(9) Reserve Fund

When distributing the after-tax profit of the current year, the Company shall allocate 10% of its profit to the statutory reserve fund. Provided that no allocation is required if the accumulated statutory reserve fund represents more than 50 percent of the registered capital of the Company.

Where the statutory reserve fund of the Company is not sufficient to cover the Company's loss from the previous year, the profits for the current year shall be used to cover such loss before allocation is made to the statutory reserve fund pursuant to the previous paragraph.

After the Company has withdrawn statutory reserve fund from its profit after tax, it may also withdraw discretionary reserve fund from its profit after tax by resolution of the shareholders' general meeting.

The post-tax profit left after the loss recovery and withdrawal of the reserves by the Company shall be distributed in proportion according to the shareholding proportions of the shareholders.

If the Company, in violation of the Company Law, distributes profits to the shareholders, the shareholders shall return the profits distributed in violation of the provision to the Company; in the event of any loss caused to the Company, the shareholders and the responsible directors and senior management members shall be liable for compensation.

The Company's reserve funds shall be used to cover the Company's losses, expand the Company's production and operation, or convert into additional registered capital. When the reserve fund is used to cover the Company's losses, the discretionary reserve fund and statutory reserve fund shall be first used; if the losses still cannot be covered, the capital reserve fund may be used according to provisions.

When the statutory reserve fund is converted to increase registered capital, the amount of such reserve fund retained shall be no less than 25% of the registered capital of the Company before the conversion.

A. FURTHER INFORMATION ABOUT OUR COMPANY

1. Incorporation of Our Company

Our Company was established as a limited liability company in the PRC on April 16, 2018 and was converted into a joint stock company with limited liability on January 8, 2026. Our registered office address is at Block C1-2, Building 16, Shu Wu, 73 Tanmi Road, Jiangbei New District, Nanjing, Jiangsu Province, PRC. As of the Latest Practicable Date, the registered share capital of our Company is RMB8,405,122.

Our Company has established a principal place of business in Hong Kong at 19/F, Golden Centre, 188 Des Voeux Road Central, Hong Kong and has been registered as a non-Hong Kong company in Hong Kong under Part 16 of the Companies Ordinance on [●]. Mr. POON Ping Yeung (潘秉揚) has been appointed as the authorized representative in Hong Kong and our agent for the acceptance of service of process in Hong Kong whose correspondence address is the same as our place of business in Hong Kong. As we are established in the PRC, our corporate structure and Articles of Association are subject to the relevant laws and regulations of the PRC. A summary of the relevant provisions of our Articles of Association is set out in "Summary of Articles of Association" in Appendix III.

2. Changes in the Share Capital of Our Company

Save as disclosed in the section headed "History, Development and Corporate Structure — Corporate Development", the share capital of our Company did not change during the two years immediately preceding the date of this document.

3. Changes in the Share Capital of Our Subsidiaries

On December 15, 2025, Novlead Yulin's registered capital increased from RMB4 million to RMB36 million.

Save as disclosed above, there has been no other alteration in the share capital of any of the subsidiaries of our Company within the two years immediately preceding the date of this document.

4. Resolutions of Our Shareholders

Pursuant to a general meeting held on February 5, 2026, among other things, our Shareholders resolved that:

(a) the [**REDACTED**];

(b) the issuance by our Company of the H Shares of nominal value of RMB[**REDACTED**] each and such H Shares being [**REDACTED**] on the Hong Kong Stock Exchange;

(c) effective immediately prior to the [**REDACTED**], and taking into account the [**REDACTED**], the issue of H Shares of nominal value of RMB[**REDACTED**] each and such H Shares be [**REDACTED**] on the Stock Exchange;

(d) the number of H Shares to be issued shall not be more than [**REDACTED**]% of the total issued share capital of our Company as enlarged by the [**REDACTED**], and the grant to the [**REDACTED**] (or their representatives) of the [**REDACTED**] of not more than [**REDACTED**]% of the number of H Shares issued pursuant to the [**REDACTED**];

(e) subject to the completion of the [**REDACTED**], the granting of a general mandate to the Board to repurchase H Shares [**REDACTED**] on the Stock Exchange with an aggregate number of not exceeding 10% of the number of the total number of H Shares in issue as at the date of the completion of the [**REDACTED**] (excluding additional H Shares which may be issued pursuant to the exercise of the [**REDACTED**] and treasury shares, if any);

(f) subject to the completion of the [**REDACTED**], the granting of a general mandate to the Board to allot and issue Shares at any time within a period up to the date of the conclusion of the next annual general meeting of the Shareholders or the date on which the Shareholders pass a special resolution to revoke or change such mandate, whichever is earlier, upon such terms and conditions and for such purposes and to such persons as the Board in their absolute discretion deem fit, and to make necessary amendments to the Articles of Association, provided that, the number of Shares to be issued shall not exceed 20% of the number of the H Shares in issue as at the date of the completion of the [**REDACTED**] (excluding additional H Shares which may be issued pursuant to the exercise of the [**REDACTED**] and treasury shares, if any);

(g) authorization of the Board to handle matters relating to, among other things, the [**REDACTED**], the issue and [**REDACTED**] of the H Shares; and

(h) subject to the completion of the [**REDACTED**], the conditional adoption of the Articles of Association, which shall become effective on the [**REDACTED**] and the authorization of the Board to amend the Articles of Association in accordance with relevant laws and regulations and upon the request from the Stock Exchange and relevant PRC regulatory authorities.

Explanatory Statement on Repurchase of Our Own Securities

The following paragraphs include, among others, certain information required by the Stock Exchange to be included in this document concerning the repurchase of our own securities.

(a) Reasons for repurchase

The Board would only make such repurchases when it considered that the repurchase of the Shares would be beneficial to and in the best interests of the Company and its Shareholders as a whole. It can strengthen the investors' confidence in the Company and promote a positive effect on maintaining the Company's reputation in the capital market.

(b) Exercise of the general mandate to repurchase Shares

Subject to the passing of the special resolution approving the grant of the general mandate to repurchase Shares at annual general meetings, the Board will be granted general mandate to repurchase Shares until the end of the relevant period. The general mandate to repurchase Shares would expire on the earlier of:

(i) the conclusion of the next annual general meeting of the Company to be held after the [**REDACTED**] of which time it shall lapse unless, by special resolutions passed at that meeting, the authority is renewed, either conditionally or subject to conditions; or

(ii) the revocation or variation of the mandate under the resolution by a special resolution at any general meeting of the Company.

Furthermore, we need to complete registration and approval procedures with relevant government authorities for the actual grant of the repurchase mandate to the Board, as applicable. The exercise in full of the general mandate to repurchase H Shares (on the basis of [**REDACTED**]

H Shares in issue after the [**REDACTED**] as of the [**REDACTED**], without taking into account any additional H Shares which may be issued pursuant to the exercise of the [**REDACTED**], and on the basis that no H Shares will be allotted and issued or repurchased by the Company on or prior to the date of the next annual general meeting to be held after the [**REDACTED**]) would result in a maximum of [**REDACTED**] H Shares being repurchased by the Company during the relevant period, being the maximum of 10% of the H Shares in issue as of the [**REDACTED**] (without taking into account any additional H Shares which may be issued pursuant to the exercise of the [**REDACTED**]).

(c) Source of funds

In repurchasing its Shares, the Company intends to apply funds from the Company's internal resources (which may include surplus funds and retained profits) legally available for such purpose in accordance with the Articles of Association and the applicable laws, rules and regulations of the PRC. The Company is empowered by its Articles of Association to repurchase its Shares. Any Shares to be repurchased will be cancelled or kept as treasury shares if allowed by the Articles of Association and applicable laws and regulations. The Company may not [**REDACTED**] securities on the Stock Exchange for a consideration other than cash or for settlement otherwise than in accordance with the trading rules of the Stock Exchange from time to time.

(d) Suspension of repurchase

A [**REDACTED**] company shall not [**REDACTED**] its shares on the Stock Exchange at any time after inside information has come to its knowledge until the information is made publicly available. In particular, during the period of 30 days immediately preceding the earlier of: (i) the date of the board meeting (as such date is first notified to the Stock Exchange in accordance with the Listing Rules) for the approval of the company's results for any year, half-year, quarterly or any other interim period (whether or not required under the Listing Rules); and (ii) the deadline for the issuer to announce its results for any year or half-year under the Listing Rules, or quarterly or any other interim period (whether or not required under the Listing Rules), until the date of the results announcement, the company may not repurchase its shares on the Stock Exchange unless there are exceptional circumstances.

(e) Close associates and core connected persons

None of our Directors or, to the best of their knowledge having made all reasonable inquiries, any of their close associates have a present intention, in the event the general mandate to repurchase Shares is approved, to sell any Shares to our Company. No core connected person of our Company has notified our Company that they have a present intention to sell Shares to our Company, or have undertaken to do so, if the general mandate to repurchase Shares is approved.

(f) Status of repurchased Shares

Any Shares to be repurchased will be cancelled or kept as treasury shares, subject to the Articles of Association, the Listing Rules and any other applicable laws and regulations.

(g) Takeover implications

If, as a result of any repurchase of Shares, a Shareholder's proportionate interest in the voting rights of our Company increases, such increase will be treated as an acquisition for the purposes of the Takeovers Code. Accordingly, a Shareholder or a group of Shareholders acting in concert could obtain or consolidate control of our Company and become obliged to make a mandatory offer in accordance with Rule 26 of the Takeovers Code. Save as aforesaid, our Directors are not aware of any consequences which would arise under the Takeovers Code as a consequence of any repurchases pursuant to the general mandate to repurchase Shares.

(h) General

On the basis of the [**REDACTED**] and taking into account the current working capital position, the Directors consider that, if the general mandate to repurchase Shares were to be exercised in full, it might have a material adverse effect on the working capital and/or the gearing position of our Company as compared with the position disclosed in this document. However, our Directors do not propose to exercise the general mandate to repurchase Shares to such an extent as would have a material and adverse effect on our working capital or gearing position.

The Directors will exercise the power of the Company to make purchases pursuant to the proposed resolution in accordance with the Listing Rules and the laws of the PRC. The explanatory statement nor the general mandate to repurchase Shares has any unusual features.

B. FURTHER INFORMATION ABOUT OUR BUSINESS

1. Summary of Material Contract

The following contract (not being a contract entered into in the ordinary course of business) was entered into by members of our Group within the two years immediately preceding the date of this document which is or may be material:

(a) [**REDACTED**].

2. Intellectual Property Rights

(a) Trademarks

No.	Trademark	Trademark Owner	Place of Registration	Registration No.	Class	Expiry Date
1 . . .	Novlead	Our Company	PRC	70209630	10	2033/10/13
2 . . .	INOwill	Our Company	PRC	76276423	10	2034/8/27

(b) Domain Names

No.	Domain Names	Registered Owner	Registered Date	Expiry Date
1 . . .	www.novlead.com	Our Company	2020/2/25	2026/2/25

(c) Patents

No.	Patent	Patent Owner	Place of Registration	Registration No.	Registration Date
1 . . .	Therapeutic Gas Delivery Device (治療氣體輸送裝置)	Our Company	PRC	ZL202410444278.1	2025/07/11
2 . . .	Intra-Aortic Balloon Pressure Supply Device, Intra-Aortic Balloon Counterpulsation System and Driving Method Thereof (主動脈內球囊供壓裝置、主動脈內球囊反搏系統及其驅動方法)	Our Company	PRC	ZL202311849890.9	2024/11/29

No.	Patent	Patent Owner	Place of Registration	Registration No.	Registration Date
3 . . .	Fluid Container and Nitric Oxide Therapeutic Apparatus (流容器及一氧化氮治療儀)	Our Company	PRC	ZL202420883914.6	2024/11/29
4 . . .	Apparatus, System and Method for Generating Nitric Oxide (用於生成一氧化氮的設備、系統和方法)	Our Company	PRC	ZL202180027930.4	2023/09/15

Save as aforesaid, as of the Latest Practicable Date, there was no other trade or service mark, patent, intellectual or industrial property right which was material in relation to our business.

C. FURTHER INFORMATION ABOUT OUR DIRECTORS AND SUBSTANTIAL SHAREHOLDERS

1. Disclosure of Interests

***Interests and short positions of our Directors and chief executive in the share capital of our Company and its associated corporations following completion of the* [REDACTED]**

Save as disclosed below, immediately following completion of the [**REDACTED**] (taking into account the [**REDACTED**] and assuming the [**REDACTED**] is not exercised), so far as our Directors are aware, none of our Directors and chief executive has any interest or short positions in our Shares, underlying Shares or debentures of our Company or its associated corporations (within the meaning of Part XV of the SFO) which will have to be notified to our Company and the Stock Exchange pursuant to Divisions 7 and 8 of Part XV of the SFO (including interests and/or short positions (as applicable) which they are taken or deemed to have under such provisions of the SFO), or which will be required, pursuant to section 352 of the SFO, to be recorded in the register referred to therein, or which will be required to be notified to our Company and the Stock Exchange pursuant to the Model Code for Securities Transactions by Directors of Listed Issuers as set out in Appendix C3 to the Listing Rules.

Name	Capacity/Nature of interest	Number of H Shares[(1)]	Approximate percentage of shareholding in the H Shares immediately after completion of the [REDACTED][(2)]	Approximate percentage of shareholding in the total Share capital immediately after completion of the [REDACTED][(2)]
Dr. Mao[(3)]	Beneficial owner	[REDACTED]	[REDACTED]%	[REDACTED]%
	Controlled corporations	[REDACTED]	[REDACTED]%	[REDACTED]%
Mr. He Xing[(4)]	Controlled corporations	[REDACTED]	[REDACTED]%	[REDACTED]%

Notes:

(1) The letter "L" denotes the person's long position in the H Shares.

(2) The calculation is based on the total number of [**REDACTED**] H Shares in issue immediately after completion of the [**REDACTED**] since [**REDACTED**] Unlisted Shares will be converted into H Shares and [**REDACTED**] H Shares will be issued pursuant to the [**REDACTED**], taking into account the [**REDACTED**] and assuming that the [**REDACTED**] is not exercised.

(3) As of the Latest Practicable Date, (i) Dr. Mao directly held approximately 7.14% of our issued Shares, (ii) Jingning Noring directly held approximately 21.41% of our issued Shares; and (iii) Lingxing Hainan directly held approximately 0.71% of our issued Shares. Jingning Noring is owned as to 21.12% by Dr. Mao as a limited partner and its general partner is Nanjing Miyu Technology Co., Ltd. (南京羃羽科技有限公司) ("**Nanjing Miyu**"), which is a company wholly owned by Dr. Mao. Further, Jingning Noring is owned as to 14.23% by Jingning Nuoming, which is owned as to 53.33% by Dr. Mao as a limited partner and the general partner of Jingning Nuoming is Nanjing Miyu. No other limited partner is holding 30% or more partnership interest in Jingning Noring. Dr. Mao therefore is entitled to full control over the voting rights of Jingning Noring in our Company. Lingxing Hainan is owned as to 45.14% by Dr. Mao as a limited partner and its general partner is Mr. Zhang Yuyan, our executive Director, who has entrusted the voting rights as a general partner in Lingxing Hainan to Dr. Mao pursuant to a voting proxy dated December 10, 2025. As such, Dr. Mao is entitled to full control over the voting rights of Lingxing Hainan in our Company. Therefore, under the SFO, Dr. Mao is deemed to be interested in the Shares held by Jingning Noring and Lingxing Hainan.

(4) As of the Latest Practicable Date, (i) the general partner of InnoMed Innovation is Nanjing InnoMed Investment Management Center (L.P.) (南京鷹盟投資管理中心(有限合夥)) ("**InnoMed Investment**"), which is in turn controlled by its general partner Mr. He Xing, and (ii) the general partner of InnoMed Advanced is InnoMed Investment, which is ultimately controlled by Mr. He Xing, a non-executive Director. Mr. He Xing also holds 63.90% partnership interests in InnoMed Advanced. Therefore, under the SFO, Mr. He Xing is deemed to be interested in the Shares held by InnoMed Innovation and InnoMed Advanced.

2. Interests in associated corporations

Name of Director	Name of associated corporation	Approximate percentage of shareholding
Dr. Mao	Changsha Nuoshi	15%
Mr. Cao Guiping	Changsha Nuoshi	15%

Note:

(1) Changsha Nuoshi is owned as to 85% by our Company and as to 15% by Noshi Team (Jingning) Biotechnology Partnership (Limited Partnership)* (諾什團隊(景寧)生物科技合夥企業(有限合夥)), which is owned as to 10% by Dr. Mao as a general partner and as to 90% by Mr. Cao Guiping as a limited partner. Therefore, under the SFO, Dr. Mao and Mr. Cao Guiping are deemed to be interested in the shares in Changsha Nuoshi held by Noshi Team (Jingning) Biotechnology Partnership (Limited Partnership).

3. Interests of the substantial shareholders in the Shares

Save as disclosed in "Substantial Shareholders," immediately following the completion of the [**REDACTED**] and without taking into account any Shares which may be issued pursuant to the exercise of the [**REDACTED**], our Directors are not aware of any other person (not being a Director or chief executive of our Company) who will have an interest or short position in our Shares or the underlying Shares which would fall to be disclosed to us and the Stock Exchange under the provisions of Divisions 2 and 3 of Part XV of the SFO, or who is, directly or indirectly, interested in 10% or more of the issued voting shares of our Company.

4. Interests of the substantial shareholders in other members of our Group

So far as the Directors are aware, the following persons (other than our Company, and any subsidiaries of our Group) are entitled to exercise, or control the exercise of, 10% or more of voting power at the general meetings of other members of our Group:

Name of subsidiary	Name of shareholder	Percentage of interest in the subsidiary
Novlead US	Zhang Qili(1)	10%

Note: Zhang Qili is an independent investor and an Independent Third Party.

5. Particulars of Directors' Service Contracts and Appointment Letters

Each of the Directors has entered into a service contract or a letter of appointment with our Company.

Save as disclosed above, we have not entered into, and do not propose to enter into any service contracts with any of our Directors in their respective capacities as Directors (excluding agreements expiring or determinable by any member of our Group within one year without payment of compensation other than statutory compensation).

6. Remuneration of Directors

Save as disclosed in the section headed "Directors and Senior Management" and note 13 to the Accountants' Report as set out in Appendix I to this document, during the Track Record Period, none of our Directors received other remunerations of benefits in kind from us.

7. Miscellaneous

Mr. Cao Guiping (曹貴平), an executive Director, was a director and the general manger of Xiamen Aerzhidian Sports Culture Co., Ltd.* (廈門阿爾之巔體育文化有限公司) ("**Aerzhidian**"), which was a limited liability company established in the PRC engaged in the cultural and art industry. Aerzhidian was deregistered on May 6, 2022 due to the revocation of its business license, as Aerzhidian no longer carried out any substantial business operations. Mr. Cao Guiping confirmed that Aerzhidian was solvent and dormant with no outstanding liabilities at the time of it being revoked and as far as he is aware, the revocation of the said company has not resulted in any liability or obligation to be imposed against him.

8. Disclaimers

Save as disclosed in this document:

(a) taking no account of any Shares which may be taken up under the [**REDACTED**], so far as is known to any Director or chief executive of our Company, no other person (other than a Director or chief executive of our Company) will, immediately following completion of the [**REDACTED**], have interests or short positions in the Shares or underlying Shares which would fall to be disclosed to our Company and the Stock Exchange under the provisions of Divisions 2 and 3 of Part XV of the SFO or be interested, directly or indirectly, in 10% or more of the nominal value of any class of share capital carrying rights to vote in all circumstances at general meetings of any member of our Group; and

(b) none of our Directors or the chief executive of our Company has any interests or short positions in the Shares, underlying Shares or debentures of our Company or its associated corporations (within the meaning of Part XV of the SFO) which will have to be notified to our Company and the Stock Exchange pursuant to Divisions 7 and 8 of Part XV of the SFO (including interests and short positions which he is taken or deemed to have under such provisions of the SFO) or which will be required, pursuant to section 352 of the SFO, to be entered into the register referred to therein, or will be required, pursuant to the Model Code for Securities Transactions by Directors of Listed Issuers as set out in Appendix C3 to the Listing Rules, to be notified to our Company and the Stock Exchange.

(c) none of our Directors or any of the parties listed in "6. Qualification of Experts" in this Appendix is:

i. interested in our promotion, or in any assets which have been, within two years immediately preceding the date of this document, acquired or disposed of by or leased to us, or are proposed to be acquired or disposed of by or leased to any member of our Group; or

ii. materially interested in any contract or arrangement subsisting at the date of this document which is significant in relation to our business.

D. PRE-[REDACTED] EMPLOYEE INCENTIVE SCHEME

We adopted the pre-[**REDACTED**] employee incentive scheme in 2020, which was later amended in 2026 ("**Pre-**[**REDACTED**] **Employee Incentive Scheme**"), and established Jingning Noring and Jingning Nuoming (the "**ESOP Platforms**"). All awards granted under the Pre-[**REDACTED**] Employee Incentive Scheme have been granted and all grantees have been registered as limited partners of Jingning Noring or Jingning Nuoming as of the Latest Practicable Date and no further awards will be granted under the Pre-[**REDACTED**] Employee Incentive Scheme upon [**REDACTED**]. The terms of the Pre-[**REDACTED**] Employee Incentive Scheme are not subject to the provisions of Chapter 17 of the Listing Rules as the Pre-[**REDACTED**] Employee Incentive Scheme does not involve the grant of new awards by our Company to subscribe for H Shares after the [**REDACTED**]. The Pre-[**REDACTED**] Employee Incentive Scheme will not cause any dilution of the shareholding of our Shareholders after the [**REDACTED**] given all underlying Shares of the awards granted under the Pre-[**REDACTED**] Employee Incentive Scheme have been issued to the ESOP Platforms. For details of the ESOP Platforms, see "History, Development and Corporate Structure — Pre-[**REDACTED**] Employee Incentive Scheme."

The following is a summary of the principal terms of the Pre-[**REDACTED**] Employee Incentive Scheme:

(a) Objectives

The objectives of the Pre-[**REDACTED**] Employee Incentive Scheme are to build incentive mechanisms for employees and consultants, to attract and retain outstanding talents, and to enhance the Company's market competitiveness and sustainable development capabilities.

(b) Eligibility

Participants (each a "**Participant**") of the Pre-[**REDACTED**] Employee Incentive Scheme include directors, senior management, core employees of the Group and other key personnel. Core employees include key business, technical and management personnel who hold positions in the Group and have a significant impact on the Group's overall performance and sustainable development.

(c) Grant of Awards

Each Participant will be granted restricted shares in the form of limited partnership interest in the ESOP Platforms as a limited partner (the "**Awards**"). Upon becoming a limited partner the ESOP Platforms, the Participant indirectly receives economic interest in the number of Shares underlying the Awards granted to the Participant held by the ESOP Platforms.

(d) Payment of the Price of the Awards

The Participants must subscribe for the Awards with personal funds or self-financed funds, and should ensure that their source of funds is lawful. The subscription period of the Awards shall be determined by the administrator of the ESOP Platforms. The Participants shall make the corresponding payment for Awards fully and timely.

(e) Administration

The Pre-[**REDACTED**] Employee Incentive Scheme is administered by the general partner of the ESOP platforms or its authorized persons.

(f) Restriction on transfer

Prior to the [**REDACTED**], the grantees may not transfer any or all of his or her interest in the ESOP Platforms unless specified in the scheme rules or approved by the administrator of the ESOP Platforms. After the [**REDACTED**], in addition to the restrictions under the Pre-[**REDACTED**] Employee Incentive Scheme, the transfer or sale by the grantees shall be subject to the lock-up requirements under the relevant laws and regulations and the stock exchange rules, or the respective agreements entered into between the Company and the relevant grantees pursuant to the terms of the Pre-[**REDACTED**] Employee Incentive Scheme.

(g) Lapse of awards

A share award shall be repurchased in the event of, among others:

(i) the employment of the grantee was dismissed by the Group for legal grounds or violation of the Group's internal policies;

(ii) the loss of ability to work of the grantees (except for work-relating injuries);

(iii) the grantee is held liable for criminal offence;

(iv) the grantee is directly responsible for any significant losses or decline in the Group's operating performance as determined by the Company; or

(v) the grantee committed material violation of the Group's internal rules and regulations.

(h) Rights of the grantees

Grantees shall be entitled to register their interests underlying the awards granted as a limited partner of the ESOP Platforms in accordance with the Pre-[**REDACTED**] Employee Incentive Scheme. The grantees shall have the rights to any dividends or distributions as a limited partner of the ESOP Platforms based on the partnership agreement of the ESOP Platforms.

(i) Duration

The Pre-[**REDACTED**] Employee Incentive Scheme shall be valid and effective commencing on the effective date until the ESOP Platforms no longer holds any Shares, and in any event shall not be longer than the period of ten (10) years.

E. OTHER INFORMATION

1. Litigation

As of the Latest Practicable Date, we were not involved in any litigation, arbitration or claim of material importance and no litigation, arbitration or claim of material importance is known to our Directors to be pending or threatened against any member of our Group, which would have a material adverse effect on our Group's results of operations or financial condition, taken as a whole.

2. Preliminary Expenses

As of the Latest Practicable Date, we have not incurred any material preliminary expense.

3. Estate Duty

Our Directors have been advised that no material liability for estate duty is likely to fall on our Company or any of our subsidiaries under the laws of the PRC.

4. Promoters

The promoters of the Company are all of the 23 then Shareholders immediately before our conversion into a joint stock limited liability company. Within the two years immediately preceding the date of this document, no cash securities or other benefit has been paid, allotted or given nor are any proposed to be paid, allotted or given to any promoters in connection with the [**REDACTED**] and the related transactions described in this document.

5. Taxation of Holders of H Shares

The sale, purchase and transfer of H Shares registered with our Hong Kong branch register of members will be subject to Hong Kong stamp duty. The current rate charged on each of the purchaser and seller is 0.1% of the consideration of or, if higher, of the fair value of our Shares being sold or transferred.

6. Qualification of Experts

The qualifications of the experts (as defined under the Listing Rules and the Companies (Winding Up and Miscellaneous Provisions) Ordinance) who have given opinions and/or advice in this document are as follows:

Name	Qualification
CCB International Capital Limited	Licensed to conduct type 1 (dealing in securities), type 4 (advising on securities) and type 6 (advising on corporate finance) regulated activities under the SFO
Jingtian & Gongcheng	PRC Legal Advisor to our Company
Deloitte Touche Tohmatsu	Certified Public Accountants and Registered Public Interest Entity Auditor
Frost & Sullivan Consulting Co., Ltd.	Independent industry consultant

As of the Latest Practicable Date, none of the experts named above had any shareholding interest in our Company or any of our subsidiaries or the right (whether legally enforceable or not) to subscribe for or to nominate persons to subscribe for securities in any member of our Group.

7. Consents of Experts

Each of the experts as referred to in the paragraph headed "— E. Other Information — 6. Qualification of Experts" in this appendix has given and has not withdrawn its respective written consents to the issue of this document with the inclusion of certificates, letters, opinions or reports and the references to its name included herein in the form and context in which they are respectively included.

8. Sole Sponsor's Independence

The Sole Sponsor has made an [**REDACTED**] on our behalf to the Stock Exchange for the [**REDACTED**] of, and permission to [**REDACTED**], (i) the H Shares to be converted from the Unlisted Shares, and (ii) the H Shares to be issued pursuant to the [**REDACTED**] (including any Shares which may be issued pursuant to the exercise of the [**REDACTED**]).

The Sole Sponsor satisfies the independence criteria applicable to sponsor as set out in Rule 3A.07 of the Listing Rules. The Sole Sponsor will receive a fee of US$850,000 for acting as sponsor to our Company in connection with the [**REDACTED**].

9. No Material Adverse Change

Our Directors confirm that, as of the date of the document, there has been no material adverse change in our financial or trading position, indebtedness, mortgage, contingent liabilities, guarantees or prospects since September 30, 2025, the end of the period reported on the Accountants' Report included in Appendix I to this document; and there has been no event since September 30, 2025 which would materially affect the information presented in the Accountants' Report set out in Appendix I and the Condensed Consolidated Financial Statements in Appendix IA to this document.

10. Binding Effect

This document shall have the effect, if an [**REDACTED**] is made in pursuance hereof, of rendering all persons concerned bound by all the provisions (other than the penal provisions) of sections 44A and 44B of the Companies (Winding Up and Miscellaneous Provisions) Ordinance so far as applicable.

11. Bilingual Document

The English language and Chinese language versions of this document are being published separately in reliance upon the exemption provided under section 4 of the Companies (Exemption of Companies and Prospectuses from Compliance with Provisions) Notice (Chapter 32L of the Laws of Hong Kong).

12. Miscellaneous

Save as otherwise disclosed in this document:

(i) within the two years preceding the date of this document: (i) we have not issued nor agreed to issue any share or loan capital fully or partly paid either for cash or for a consideration other than cash; and (ii) no commissions, discounts, brokerage fee or other special terms have been granted in connection with the issue or sale of any shares of our Company;

(ii) no share or loan capital of our Company or any of our subsidiaries is under option or is agreed conditionally or unconditionally to be put under option;

(iii) we have not issued nor agreed to issue any founder shares, management shares or deferred shares;

(iv) there are no arrangements under which future dividends are waived or agreed to be waived;

(v) there are no procedures for the exercise of any right of pre-emption or transferability of subscription rights;

(vi) there are no contracts for hire or hire purchase of plant to or by us for a period of over one year which are substantial in relation to our business;

(vii) there have been no interruptions in our business which may have or have had a significant effect on our financial position in the last 12 months;

(viii) there are no restrictions affecting the remittance of profits or repatriation of capital by us into Hong Kong from outside Hong Kong;

(ix) no part of the equity or debt securities of our Company, if any, is currently [**REDACTED**] on or [**REDACTED**] on any stock exchange or [**REDACTED**] system, and no such [**REDACTED**] or permission to [**REDACTED**] on any stock exchange other than the Hong Kong Stock Exchange is currently being or agreed to be sought;

(x) our Company has no outstanding convertible debt securities or debentures;

(xi) our Company is a joint stock limited company and is subject to the PRC Company Law; and

(xii) our Company has adopted a code of conduct regarding Directors' securities transactions on terms as required under the Model Code for Securities Transactions by Directors of Listed Issuers as set out in Appendix C3 to the Hong Kong Listing Rules.

DOCUMENTS DELIVERED TO THE REGISTRAR OF COMPANIES IN HONG KONG

The documents attached to the copy of this document and delivered to the Registrar of Companies in Hong Kong for registration were:

(i) a copy of the material contract referred to in the paragraph headed "Statutory and General Information — B. Further Information about Our Business — 1. Summary of Material Contract" in Appendix IV to this document; and

(ii) the written consents referred to in the paragraph headed "Statutory and General Information — E. Other Information — 7. Consents of Experts" in Appendix IV to this document.

DOCUMENTS ON DISPLAY

Copies of the following documents will be published on the website of the Stock Exchange at **www.hkexnews.hk** and our website at **www.novlead.com** during a period of 14 days from the date of this document:

(a) the Articles of Association;

(b) the Accountants' Report from Deloitte Touche Tohmatsu, the text of which is set out in Appendix I to this document;

(c) the audited consolidated financial statements of our Group for the [**REDACTED**];

(d) the Report on Review of Condensed Consolidated Financial Statements from Deloitte Touche Tohmatsu, the text of which is set out in Appendix IA to this document;

(e) the condensed consolidated statements of our Group for the period ended September 30, 2025;

(f) the report from Deloitte Touche Tohmatsu, on the unaudited [**REDACTED**] financial information of our Group, the text of which is set out in Appendix II to this document;

(g) the PRC legal opinion issued by Jingtian & Gongcheng, our PRC Legal Advisor, in respect of certain general corporate matters and property interests of our Group under PRC laws;

(h) the industry report prepared by Frost & Sullivan, referred to in "Industry Overview";

(i) the material contract referred to in the paragraph headed "Statutory and General Information — B. Further Information about Our Business — 1. Summary of Material Contract" in Appendix IV to this document;

(j) the service contracts and the appointment letters referred to in the paragraph headed "Statutory and General Information — C. Further Information about Our Directors and Substantial Shareholders — 5. Particulars of Directors' Service Contracts and Appointment Letters" in Appendix IV to this document;

(k) the written consents referred to in the paragraph headed "Statutory and General Information — E. Other Information — 7. Consents of Experts" in Appendix IV to this document;

(l) a copy of the following PRC laws, together with unofficial English translations:

(i) the PRC Company Law;

(ii) the PRC Securities Law; and

(iii) the Overseas Listing Trial Measures and supporting guidelines.